

INTERCONTINENTALEXCHANGE INC

FORM 10-Q (Quarterly Report)

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Address	2100 RIVEREDGE PARKWAY SUITE 500 ATLANTA, GA 30328
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**UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549**

FORM 10-Q

(Mark one)

☒ **Quarterly Report Pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934**
For the quarterly period ended June 30, 2008

or

☐ **Transition Report Pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934**
For the transition period from _____ to _____

Commission File Number 001-32671

INTERCONTINENTALEXCHANGE, INC.

(Exact name of registrant as specified in its charter)

Delaware
*(State or other jurisdiction of
incorporation or organization)*

58-2555670
*(IRS Employer
Identification Number)*

2100 RiverEdge Parkway, Suite 500, Atlanta, Georgia 30328
(Address of principal executive offices) (Zip Code)

(770) 857-4700
(Registrant's telephone number, including area code)

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer or a non-accelerated filer. See definition of "accelerated filer and large accelerated filer" in Rule 12b-2 of the Exchange Act.

Large accelerated filer ☒
Non-accelerated filer ☐

Accelerated filer ☐
Smaller reporting company ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

As of July 31, 2008, the number of shares of the registrant's Common Stock outstanding was 70,681,988 shares.

IntercontinentalExchange, Inc.
Form 10-Q
Quarterly Period Ended June 30, 2008
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Part I. Financial Information

Item 1. Consolidated Financial Statements (Unaudited)

IntercontinentalExchange, Inc. and Subsidiaries

Consolidated Balance Sheets (In thousands, except per share amounts) (Unaudited)

	June 30, 2008	December 31, 2007
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 362,858	\$ 119,597
Restricted cash	23,891	19,624
Short-term investments	11,514	140,955
Customer accounts receivable, net of allowance for doubtful accounts of \$608 and \$370 at June 30, 2008 and December 31, 2007, respectively	78,376	52,018
Margin deposits and guaranty funds	781,651	792,052
Prepaid expenses and other current assets	20,563	17,848
Total current assets	1,278,853	1,142,094
Property and equipment, net	64,376	63,524
Other noncurrent assets:		
Goodwill	1,054,071	1,009,687
Other intangible assets, net	541,227	537,722
Cost method investments	38,778	38,778
Long-term investments	6,060	—
Other noncurrent assets	12,693	4,540
Total other noncurrent assets	1,652,829	1,590,727
Total assets	<u>\$2,996,058</u>	<u>\$ 2,796,345</u>
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Accounts payable and accrued liabilities	\$ 30,980	\$ 27,811
Accrued salaries and benefits	12,065	23,878
Current portion of long-term debt	40,625	37,500
Current portion of licensing agreement	11,549	10,572
Income taxes payable	22,093	11,687
Margin deposits and guaranty funds	781,651	792,052
Other current liabilities	13,532	7,461
Total current liabilities	912,495	910,961
Noncurrent liabilities:		
Noncurrent deferred tax liability, net	107,447	108,739
Long-term debt	162,500	184,375
Noncurrent portion of licensing agreement	86,681	89,645
Unearned government grant	7,864	8,737
Other noncurrent liabilities	21,092	17,032
Total noncurrent liabilities	385,584	408,528
Total liabilities	1,298,079	1,319,489
Commitments and contingencies		
SHAREHOLDERS' EQUITY:		
Preferred stock, \$0.01 par value; 25,000 shares authorized; no shares issued or outstanding at June 30, 2008 and December 31, 2007	—	—
Common stock, \$0.01 par value; 194,275 shares authorized; 71,585 and 70,963 shares issued at June 30, 2008 and December 31, 2007, respectively; 70,651 and 69,711 shares outstanding at June 30, 2008 and December 31, 2007, respectively	716	710
Treasury stock, at cost; 934 and 1,252 shares at June 30, 2008 and December 31, 2007, respectively	(56,008)	(30,188)
Additional paid-in capital	1,115,349	1,043,971
Retained earnings	608,862	431,708
Accumulated other comprehensive income	29,060	30,655
Total shareholders' equity	1,697,979	1,476,856
Total liabilities and shareholders' equity	<u>\$2,996,058</u>	<u>\$ 2,796,345</u>

See accompanying notes.

IntercontinentalExchange, Inc. and Subsidiaries

Consolidated Statements of Income
(In thousands, except per share amounts)
(Unaudited)

	Six Months Ended June 30,		Three Months Ended June 30,	
	2008	2007	2008	2007
Revenues:				
Transaction fees, net	\$344,096	\$226,713	\$166,664	\$117,372
Market data fees	50,213	29,865	25,493	15,846
Other	10,065	6,684	5,003	3,436
Total revenues	<u>404,374</u>	<u>263,262</u>	<u>197,160</u>	<u>136,654</u>
Operating expenses:				
Compensation and benefits	61,602	43,475	30,923	21,717
Professional services	13,900	11,577	6,928	6,714
CBOT merger-related transaction costs	—	10,944	—	10,944
Patent royalty	—	1,705	—	—
Selling, general and administrative	30,017	25,132	15,680	13,002
Depreciation and amortization	21,790	14,257	10,844	7,748
Total operating expenses	<u>127,309</u>	<u>107,090</u>	<u>64,375</u>	<u>60,125</u>
Operating income	<u>277,065</u>	<u>156,172</u>	<u>132,785</u>	<u>76,529</u>
Other income (expense):				
Interest and investment income	5,844	5,692	2,925	2,868
Interest expense	(9,176)	(8,124)	(4,041)	(4,329)
Other income (expense), net	325	9,331	(30)	139
Total other income (expense), net	<u>(3,007)</u>	<u>6,899</u>	<u>(1,146)</u>	<u>(1,322)</u>
Income before income taxes	274,058	163,071	131,639	75,207
Income tax expense	96,904	53,792	46,775	21,514
Net income	<u>\$177,154</u>	<u>\$109,279</u>	<u>\$ 84,864</u>	<u>\$ 53,693</u>
Earnings per common share:				
Basic	<u>\$ 2.51</u>	<u>\$ 1.60</u>	<u>\$ 1.20</u>	<u>\$ 0.78</u>
Diluted	<u>\$ 2.48</u>	<u>\$ 1.55</u>	<u>\$ 1.19</u>	<u>\$ 0.75</u>
Weighted average common shares outstanding:				
Basic	<u>70,479</u>	<u>68,372</u>	<u>70,596</u>	<u>69,205</u>
Diluted	<u>71,376</u>	<u>70,496</u>	<u>71,403</u>	<u>71,228</u>

See accompanying notes.

IntercontinentalExchange, Inc. and Subsidiaries
Consolidated Statements of Changes in Shareholders' Equity
(In thousands)
(Unaudited)

	Common Stock		Treasury Stock		Additional Paid-in Capital	Retained Earnings	Accumulated Other Comprehensive Income Net Unrealized Gain (Loss) from			Total Shareholders' Equity
	Shares	Value	Shares	Value			Foreign Currency Translation	Available-For-Sale Securities	Net Investment Hedges	
Balance, January 1, 2007	59,596	\$596	(1,471)	\$ (9,748)	\$ 245,030	\$191,179	\$29,863	\$ (2)	\$(2,450)	\$ 454,468
Other comprehensive income	—	—	—	—	—	—	3,183	61	—	3,244
Exercise of common stock options	1,044	11	(4)	(472)	9,920	—	—	—	—	9,459
Issuance of shares for acquisitions	10,303	103	—	—	707,560	—	—	—	—	707,663
Treasury shares received during acquisition	—	—	(1)	(197)	—	—	—	—	—	(197)
Treasury shares received for restricted stock and stock option tax payments	—	—	(181)	(24,814)	—	—	—	—	—	(24,814)
Stock-based compensation	—	—	—	—	25,415	—	—	—	—	25,415
Issuance of restricted stock	20	—	405	5,043	(5,043)	—	—	—	—	—
Tax benefits from stock option plans	—	—	—	—	61,089	—	—	—	—	61,089
Cumulative effect of adoption of FIN 48	—	—	—	—	—	(83)	—	—	—	(83)
Net income	—	—	—	—	—	240,612	—	—	—	240,612
Balance, December 31, 2007	70,963	710	(1,252)	(30,188)	1,043,971	431,708	33,046	59	(2,450)	1,476,856
Other comprehensive loss	—	—	—	—	—	—	(1,539)	(56)	—	(1,595)
Exercise of common stock options	287	3	(1)	(225)	3,829	—	—	—	—	3,607
Issuance of shares for acquisitions	179	2	—	—	24,735	—	—	—	—	24,737
Treasury shares received for restricted stock and stock option tax payments	—	—	(251)	(41,989)	—	—	—	—	—	(41,989)
Stock-based compensation	—	—	—	—	19,162	—	—	—	—	19,162
Issuance of restricted stock	156	1	570	16,394	(16,395)	—	—	—	—	—
Tax benefits from stock option plans	—	—	—	—	40,047	—	—	—	—	40,047
Net income	—	—	—	—	—	177,154	—	—	—	177,154
Balance, June 30, 2008	<u>71,585</u>	<u>\$716</u>	<u>(934)</u>	<u>\$(56,008)</u>	<u>\$1,115,349</u>	<u>\$608,862</u>	<u>\$31,507</u>	<u>\$ 3</u>	<u>\$(2,450)</u>	<u>\$1,697,979</u>

See accompanying notes.

IntercontinentalExchange, Inc. and Subsidiaries
Consolidated Statements of Comprehensive Income
(In thousands)
(Unaudited)

	Six Months Ended June 30,		Three Months Ended June 30,	
	2008	2007	2008	2007
Net income	\$177,154	\$109,279	\$84,864	\$53,693
Other comprehensive income (loss):				
Foreign currency translation adjustments	(1,539)	(6)	464	(3)
Change in available-for-sale securities, net of tax	(56)	64	(34)	77
Comprehensive income	<u>\$175,559</u>	<u>\$109,337</u>	<u>\$85,294</u>	<u>\$53,767</u>

See accompanying notes.

IntercontinentalExchange, Inc. and Subsidiaries
Consolidated Statements of Cash Flows
(In thousands)
(Unaudited)

	Six Months Ended June 30,	
	2008	2007
Operating activities		
Net income	\$ 177,154	\$ 109,279
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	21,790	14,257
Gain on disposal of assets	—	(9,267)
Amortization of debt issuance costs	360	292
Allowance for doubtful accounts	223	(140)
Net realized gains on sales of available-for-sale investments	(36)	(64)
Stock-based compensation	17,821	7,712
Deferred taxes	(1,741)	727
Excess tax benefits from stock-based compensation	(39,991)	(40,094)
Changes in assets and liabilities:		
Customer accounts receivable	(26,498)	(15,895)
Prepaid expenses and other current assets	1,594	(560)
Noncurrent assets	(4,020)	(3,426)
Income taxes payable	50,411	32,395
Accounts payable, accrued salaries and benefits, and other liabilities	(5,515)	(412)
Total adjustments	14,398	(14,475)
Net cash provided by operating activities	191,552	94,804
Investing activities		
Capital expenditures	(7,891)	(19,626)
Capitalized software development costs	(7,177)	(5,337)
Cash paid for acquisitions, net of cash acquired	(29,612)	(392,120)
Purchase of intangible assets	—	(8,454)
Proceeds from sale of assets	—	13,269
Proceeds from sales of available-for-sale investments	223,940	144,851
Purchases of available-for-sale investments	(100,592)	(174,650)
Increase in restricted cash	(8,291)	(976)
Net cash provided by (used in) investing activities	70,377	(443,043)
Financing activities		
Proceeds from credit facilities	—	250,000
Repayments of credit facilities	(18,750)	(9,375)
Issuance costs for credit facilities	(1,519)	(2,052)
Excess tax benefits from stock-based compensation	39,991	40,094
Payments relating to treasury shares received for restricted stock and stock option tax payments	(41,989)	(19,279)
Proceeds from exercise of common stock options	3,607	5,454
Net cash provided by (used in) financing activities	(18,660)	264,842
Effect of exchange rate changes on cash and cash equivalents	(8)	(8)
Net increase (decrease) in cash and cash equivalents	243,261	(83,405)
Cash and cash equivalents, beginning of period	119,597	204,257
Cash and cash equivalents, end of period	<u>\$ 362,858</u>	<u>\$ 120,852</u>
Supplemental cash flow disclosure		
Cash paid for income taxes	<u>\$ 55,251</u>	<u>\$ 28,362</u>
Cash paid for interest	<u>\$ 5,046</u>	<u>\$ 7,254</u>
Supplemental noncash investing activities		
Common stock issued for acquisitions	<u>\$ 24,737</u>	<u>\$ 707,663</u>

See accompanying notes.

IntercontinentalExchange, Inc. and Subsidiaries

**Notes to Consolidated Financial Statements
(Unaudited)**

1. Nature of Business and Organization

IntercontinentalExchange, Inc. (the “Company”) is a leading operator of global regulated futures exchanges and over-the-counter (“OTC”) markets for commodities and derivative financial products. The Company owns 100% of ICE Futures Europe, which operates as a United Kingdom (“U.K.”) Recognized Investment Exchange for the purpose of price discovery, trading and risk management within the energy commodity futures and options markets. The Company also owns 100% of ICE Futures U.S., Inc. (“ICE Futures U.S.”), which operates as a United States (“U.S.”) Designated Contract Market for the purpose of price discovery, trading and risk management within the soft commodity, index and currency futures and options markets. The Company owns 100% of ICE Futures Canada, Inc. (“ICE Futures Canada”), which operates as a Canadian Commodity Futures Exchange for the purpose of price discovery, trading and risk management within the agricultural futures and options markets. Headquartered in Atlanta, Georgia, the Company also has offices in London, New York, Chicago, Houston, Calgary, Winnipeg and Singapore. The Company does not risk its own capital by engaging in any trading activities or by extending credit to market participants.

2. Basis of Presentation

The accompanying unaudited consolidated financial statements have been prepared by the Company in accordance with U.S. generally accepted accounting principles pursuant to the rules and regulations of the Securities and Exchange Commission regarding interim financial reporting. Accordingly, the unaudited consolidated financial statements do not include all of the information and footnotes required by U.S. generally accepted accounting principles for complete financial statements and should be read in conjunction with the Company’s audited consolidated financial statements and related notes thereto for the year ended December 31, 2007. The accompanying unaudited consolidated financial statements reflect all adjustments that are, in the opinion of the Company’s management, necessary for a fair presentation of results for the interim periods presented. These adjustments are of a normal recurring nature. Preparing financial statements requires management to make estimates and assumptions that affect the amounts that are reported in the consolidated financial statements and accompanying disclosures. Although these estimates are based on management’s best knowledge of current events and actions that the Company may undertake in the future, actual results may be different from the estimates. The results of operations for the six months and three months ended June 30, 2008 are not necessarily indicative of the results to be expected for any future period or the full fiscal year. The unaudited consolidated financial statements include the accounts of the Company and its wholly-owned subsidiaries. All intercompany balances and transactions between the Company and its wholly-owned subsidiaries have been eliminated in consolidation.

In December 2007, the Financial Accounting Standards Board (“FASB”) issued Statement of Financial Accounting Standards (“SFAS”) No. 141 (revised 2007), *Business Combinations*, (“SFAS No. 141(R)”). SFAS No. 141(R) will significantly change the accounting for business combinations. Under SFAS No. 141(R), an acquiring entity will be required to recognize all the assets acquired and liabilities assumed in a transaction at the acquisition-date fair value with limited exceptions. SFAS No. 141(R) will change the accounting treatment for certain specific acquisition related items including expensing acquisition related costs as incurred, valuing non-controlling interests at fair value at the acquisition date and expensing restructuring costs associated with an acquired business. SFAS No. 141(R) also includes a substantial number of new disclosure requirements. SFAS No. 141(R) is to be applied prospectively to business combinations for which the acquisition date is on or after January 1, 2009. The Company expects SFAS No. 141(R) will have an impact on its accounting for future business combinations once adopted but the extent of the impact is dependent upon the size, complexity and number of acquisitions that are made in the future.

3. Restricted Cash

As a Recognized Investment Exchange, the Financial Services Authority (“FSA”) in the U.K. requires ICE Futures Europe to restrict the use of the equivalent of six months of operating expenditures in cash or cash

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equivalents at all times. As of June 30, 2008 and December 31, 2007, this amount was equal to \$12.1 million and \$13.1 million, respectively, and is reflected as restricted cash in the accompanying consolidated balance sheets.

The Company owns 100% of ICE Markets Limited, which is based in London and supports the markets for European energy commodities, performs helpdesk functions and is authorized by the FSA to act as an arranger of deals in investments. The FSA requires ICE Markets Limited to maintain a minimum level of financial resources, which is calculated monthly on the basis of 25% of the relevant annual expenditures, adjusted for any illiquid assets. As of June 30, 2008 and December 31, 2007, the resource requirement was equal to \$1.8 million and \$2.7 million, respectively, and is reflected as restricted cash in the accompanying consolidated balance sheets.

ICE Clear Europe has been formed by the Company to serve as a clearing house to perform the clearing and settlement of each futures and options contract that will trade through ICE Futures Europe and for all of the Company's cleared OTC products. ICE Clear Europe is expected to begin clearing these contracts in September 2008 upon the transition of the clearing function from LCH.Clearnet Ltd. ICE Clear Europe has been recognized by the FSA as a U.K. Recognized Clearing House. As such, the FSA requires ICE Clear Europe to restrict the use of the equivalent of six months of operating expenditures in cash or cash equivalents at all times. As of June 30, 2008, the resource requirement was equal to \$7.2 million and is reflected as restricted cash in the accompanying consolidated balance sheet.

Consistent with the other clearing houses that the Company owns, ICE Clear Europe will require that each clearing member make deposits in a fund known as the guaranty fund. The amounts in the guaranty fund will serve to secure the obligations of a clearing member to ICE Clear Europe and may be used to cover losses in excess of the margin and clearing firm accounts sustained by ICE Clear Europe in the event of a default of a clearing member. ICE Clear Europe will commit \$100.0 million of its own cash as part of its guaranty fund. This contribution was made on July 3, 2008 and this cash will subsequently be reflected as restricted cash in the consolidated balance sheet. ICE Clear U.S. and ICE Clear Canada do not contribute to their respective guaranty funds.

4. Short-Term and Long-Term Investments

Investments consist of available-for-sale securities. Available-for-sale securities are carried at fair value using primarily quoted prices in active markets for identical securities, with unrealized gains or losses reported as a component of accumulated other comprehensive income. The cost of securities sold is based on the specific identification method. As of June 30, 2008, available-for-sale securities consisted of the following (in thousands):

	Cost	Gross Unrealized Gains	Gross Unrealized Losses	Estimated Fair Value
Foreign government securities	\$ 171	\$ 1	\$ —	\$ 172
U.S. Treasury securities	1,996	—	—	1,996
Equity securities	9	—	1	8
Corporate bonds	3,970	26	23	3,973
Municipal bonds	11,425	—	—	11,425
Total	<u>\$17,571</u>	<u>\$ 27</u>	<u>\$ 24</u>	<u>\$ 17,574</u>

The contractual maturities of the investments as of June 30, 2008, were as follows (in thousands):

	Estimated Fair Value
Maturities:	
Due within 1 year	\$ 4,658
Due within 1 year to 5 years	1,491
Due within 5 years to 10 years	200
Due after 10 years	11,225
Total	<u>\$ 17,574</u>

Investments that the Company intends to hold for more than one year are classified as long-term investments. The Company currently expects to hold \$6.1 million of the investments for more than one year and has classified them as

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long-term investments in the accompanying consolidated balance sheet as of June 30, 2008. The \$6.1 million in long-term investments relates to auction rate securities that failed to settle at auction during the six months ended June 30, 2008 due to recent events in the credit markets. The fair values of these auction rate securities were determined based on level 3 unobservable inputs supported by little or no market activity that are significant to the fair value of the assets. The Company does not intend to hold any of the other investments for more than one year. Therefore, the Company has classified the remaining \$11.5 million as short-term investments in the accompanying consolidated balance sheet as of June 30, 2008.

The Company considers all short-term, highly liquid investments with remaining maturities at the purchase date of three months or less at the time of purchase to be cash equivalents. Due to the Company's decision to shift more of its funds into cash equivalent investments, the available-for-sale short-term and long-term investments decreased from \$141.0 million as of December 31, 2007 to \$17.6 million as of June 30, 2008. The decision to invest more in cash and cash equivalent investments was primarily due to recent events in the credit markets, near term acquisition requirements and the need to deposit \$100.0 million in the ICE Clear Europe guaranty fund in July 2008 (Note 3).

5. Cost Method Investments

The Company has an 8% equity stake in the National Commodity and Derivatives Exchange, Ltd ("NCDEX"), a derivatives exchange located in Mumbai, India, which it acquired for \$37.0 million. In response to political pressure regarding high commodity prices, the Indian government recently suspended trading in several key contracts traded on NCDEX. It is not yet certain whether these suspensions will be permanent, and if so, if other-than-temporary impairment will result. In addition, the Company may be required to sell 3% of its 8% NCDEX stake as a result of a recent change in Indian law that limits the total ownership by foreign entities in Indian exchanges to a maximum of 5%. The Company currently believes there will be sufficient demand for its shares such that it will at least recover its carrying value if it is required to sell the 3% stake. If the Company cannot recover its carrying value, or if the suspended contracts lead to other-than-temporary impairment, the Company will recognize an impairment loss equal to the difference between the fair value and the carrying value of all of its 8% equity stake. The Company also has a 1.4% equity share investment in LCH.Clearnet, a third party clearing house that currently clears the Company's OTC and energy futures contracts. The Company uses the cost method to account for these investments as the Company does not control and does not have the ability to exercise significant influence over the operating and financial policies of these companies.

6. Goodwill

The following is a summary of the activity in the goodwill balance for the six months ended June 30, 2008 (in thousands):

Goodwill balance at December 31, 2007	\$1,009,687
Acquisition of YellowJacket	46,834
Other activity	(2,450)
Goodwill balance at June 30, 2008	<u>\$1,054,071</u>

The Company completed its acquisition of YellowJacket Software, Inc. ("YellowJacket") on February 13, 2008, which resulted in goodwill of \$46.8 million (Note 10). The goodwill amount from the YellowJacket acquisition has been included in the global OTC segment for purposes of segment reporting and impairment testing. The other activity in the goodwill balance relates to adjustments to the purchase price and related goodwill for acquisitions completed in 2007, primarily relating to updated valuations of identified intangible assets, and to foreign currency translation adjustments. The Company did not recognize any impairment losses on goodwill during the six months or three months ended June 30, 2008 and 2007.

7. Credit Agreements

The Company has a senior unsecured credit agreement under which a term loan facility in the aggregate principal amount of \$203.1 million is outstanding as of June 30, 2008, and a revolving credit facility in the aggregate principal amount of \$250.0 million (collectively, the "Credit Facilities"). No amounts are outstanding under the revolving credit facility as of June 30, 2008. Under the terms of the Credit Facilities, the Company may

borrow an aggregate principal amount of up to \$250.0 million under the revolving credit facility at any time until its termination on January 12, 2010. The Company has agreed to reserve \$50.0 million of the \$250.0 million available under the revolving credit facility for use by ICE Clear U.S., ICE Futures U.S.'s clearing organization, to provide short-term liquidity, if necessary, in the event of default by a clearing participant. The remaining amount under the revolving credit facility can be used by the Company for general corporate purposes.

Loans under the Credit Facilities shall, at the option of the Company, bear interest on the principal amount outstanding at either (i) LIBOR plus an applicable margin rate or (ii) a "base rate" plus an applicable margin rate. The "base rate" will be equal to the higher of (i) Wachovia Bank, National Association's ("Wachovia") prime rate or (ii) the federal funds rate plus 0.5%. The applicable margin rate ranges from 0.50% to 1.125% on the LIBOR loans and from 0.00% to 0.125% for the base rate loans based on the Company's total leverage ratio calculated on a trailing twelve month period. Interest on each loan is payable quarterly. At June 30, 2008, the Company had a \$203.1 million three-month LIBOR loan outstanding with a stated interest rate of 3.30% per annum, including the applicable margin rate at June 30, 2008 of 0.50% on the LIBOR loan. For the borrowings under the term loan facility, the Company began making payments on June 30, 2007, and will make payments quarterly thereafter until January 12, 2012, the fifth anniversary of the closing date of the merger with ICE Futures U.S.

On June 27, 2008, the Company entered into a separate senior unsecured credit agreement (the "Credit Agreement") with Wachovia, as Administrative Agent, Bank of America, N.A., as Syndication Agent, and the lenders named therein. The Credit Agreement provides for a 364-day revolving credit facility in the aggregate principal amount of \$150.0 million, which may be increased to \$200.0 million under certain conditions. The Credit Agreement is available for operational use solely by ICE Clear Europe, the Company's wholly-owned European clearing house. ICE Clear Europe expects to begin clearing ICE Futures Europe's contracts and the cleared OTC contacts during September 2008. Loans under the Credit Agreement shall, at the option of the Company, bear interest on the principal amount outstanding at either (i) LIBOR plus an applicable margin rate or (ii) a "base rate" plus an applicable margin rate. The "base rate" will be equal to the higher of (i) Wachovia's prime rate or (ii) the federal funds rate plus 0.5%. The applicable margin rate ranges from 1.50% to 2.50% on the LIBOR loans and from 0.50% to 1.50% for the base rate loans based on the Company's total leverage ratio calculated on a trailing twelve month period. No amounts are outstanding under the Credit Agreement as of June 30, 2008.

8. Stock-Based Compensation

The Company currently sponsors employee stock option and restricted stock plans. All stock options are granted at an exercise price equal to the fair value of the common stock on the date of grant. The grant date fair value is based on the closing stock price on the date of grant. The fair value of the stock options and restricted stock on the date of the grant is recognized as expense over the vesting period, net of estimated forfeitures. The non-cash compensation expenses recognized in the Company's consolidated statements of income for the stock options and restricted stock were \$17.8 million and \$7.7 million for the six months ended June 30, 2008 and 2007, respectively, and \$9.9 million and \$3.9 million for three months ended June 30, 2008 and 2007, respectively.

The following is a summary of stock options for the six months ended June 30, 2008:

	Number of Options	Weighted Average Exercise Price Per Option
Outstanding at December 31, 2007	1,359,087	\$ 35.91
Exercised	(287,122)	13.16
Forfeited	(25,533)	13.35
Outstanding at June 30, 2008	1,046,432	42.70

Details of stock options outstanding as of June 30, 2008 are as follows:

	Number of Options	Weighted Average Exercise Price Per Option	Weighted Average Remaining Contractual Life (years)	Aggregate Intrinsic Value (In thousands)
Vested or expected to vest	1,006,015	\$ 39.11	6.8	\$ 81,477
Exercisable	773,513	\$ 21.00	6.3	\$ 72,092

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The total intrinsic value of stock options exercised during the six months ended June 30, 2008 and 2007 was \$37.7 million and \$74.7 million, respectively, and was \$14.5 million and \$24.6 million during the three months ended June 30, 2008 and 2007, respectively. As of June 30, 2008, there were \$11.7 million in total unrecognized compensation costs related to stock options. These costs are expected to be recognized over a weighted average period of 2.0 years as the stock options vest.

There are 309,913 restricted shares that have been reserved for potential issuance as performance-based restricted shares for certain Company employees. These restricted shares are subject to a market condition that may reduce the number of shares that are issued if the 2008 Company total shareholder return falls below that of the S&P 500 Index. The reduction in the number of shares that could be issued if total shareholder return is below the return of the S&P 500 Index could be up to a maximum of 20%. These shares were granted in December 2007 and vest over a three-year period based on the Company's financial performance targets set by the Company's compensation committee for the year ending December 31, 2008. The potential compensation expenses to be recognized over the three-year vesting period under these performance-based restricted shares range from \$9.0 million to \$44.9 million depending on which performance target is met in 2008. Under SFAS No. 123(R), the Company will recognize compensation costs, net of forfeitures, using an accelerated amortization method over the vesting period for awards with performance conditions. Compensation costs for such awards will be recognized only if it is probable that the condition will be satisfied. As of March 31, 2008, the Company determined that it was probable that the target performance level would be met and accrued at that level. As of June 30, 2008, the Company determined that it was probable that a performance level between the target and above target performance level will be met and the Company recorded non-cash compensation expenses in the accompanying consolidated statement of income of \$7.0 million and \$4.5 million for the six months and three months ended June 30, 2008, respectively, including a cumulative catch-up adjustment to non-cash compensation expenses of \$1.9 million for the three months ended June 30, 2008. The remaining \$15.9 million in non-cash compensation expenses will be expensed on an accelerated basis over the remaining vesting period. The Company will recognize expense throughout 2008 based on the Company's quarterly assessment of the probable 2008 actual performance as compared to the 2008 financial performance targets.

The following is a summary of the nonvested restricted shares for the six months ended June 30, 2008:

	Number of Restricted Shares	Weighted Average Grant-Date Fair Value per Share
Nonvested at December 31, 2007	1,436,129	\$ 73.56
Granted	37,723	137.96
Vested	(789,832)	19.52
Forfeited	(16,724)	92.30
Nonvested at June 30, 2008	<u>667,296</u>	<u>131.83</u>

Restricted shares in the table above include both time-based and performance-based grants. Unvested performance-based restricted shares granted are presented in the table above at the maximum number of restricted shares that would vest if the maximum performance targets are met. As of June 30, 2008, there were \$36.3 million in total unrecognized compensation costs related to the time-based restricted shares and the performance-based restricted shares, net of estimated forfeitures. These costs are expected to be recognized over a weighted average period of 1.9 years as the restricted shares vest. These unrecognized compensation costs assume that a performance target level between the target and above target performance level will be met on the performance-based restricted shares granted in December 2007. During the six months ended June 30, 2008 and 2007, the total fair value of restricted stock vested under all restricted stock plans was \$127.4 million and \$19.9 million, respectively.

9. Income Taxes

The Company's effective tax rate increased to 35.4% for the six months ended June 30, 2008 from 33.0% for the six months ended June 30, 2007 and to 35.5% for the three months ended June 30, 2008 from 28.6% for the three months ended June 30, 2007. The effective tax rate for the six months and three months ended June 30, 2008 is higher than the federal statutory rate primarily due to state taxes and non-deductible expenses, which are partially offset by favorable foreign income tax rates, tax exempt interest income and tax credits. The effective tax rate for the

six months and three months ended June 30, 2007 is lower than the federal statutory rate primarily due to a decrease in the amount of U.S. taxes accrued on foreign earnings, tax exempt interest income and tax credits, which are partially offset by state taxes and non-deductible expenses.

The undistributed earnings of the Company's foreign subsidiaries that have not been remitted to the U.S. totaled \$297.8 million and \$209.5 million as of June 30, 2008 and December 31, 2007, respectively. These earnings are not subject to U.S. income tax until they are distributed to the United States. Prior to 2007, the Company has provided for deferred U.S. federal income taxes on these undistributed earnings in the accompanying consolidated statements of income as they were determined not to be indefinitely reinvested. However, during 2007, the Company determined that all prior undistributed earnings of its foreign subsidiaries will be indefinitely reinvested outside the United States. The Company made this determination on the basis of sufficient evidence that demonstrates that it will invest the undistributed earnings overseas indefinitely. Determination of the amount of unrecognized deferred U.S. income tax liability on the undistributed earnings of the Company's foreign subsidiaries is not practicable.

10. Acquisitions

The Company completed its acquisition of ICE Futures U.S. on January 12, 2007. As a part of the acquisition of ICE Futures U.S., the Company formed a plan to restructure the ICE Futures U.S. duplicative employee functions to align them with the Company's existing business functions and to streamline ICE Futures U.S.'s operations. Consequently, the Company included an accrual for severance benefit costs of \$14.4 million in the purchase price allocation to account for the planned reduction in workforce. This amount and the related payments are set forth in the following table (in thousands):

Reserve balance, January 12, 2007	\$ 11,040
Increase in reserve	3,326
Cost applied against the reserve	(11,761)
Reserve balance, December 31, 2007	2,605
Cost applied against the reserve	(2,227)
Reserve balance, June 30, 2008	<u>\$ 378</u>

On February 13, 2008, the Company acquired YellowJacket for a combination of stock and cash. YellowJacket is a financial technology firm that operates electronic trade negotiation technology which offers a range of trading tools including instant communication, negotiation and data for various financial markets. With the YellowJacket platform, traders can aggregate and consolidate fragmented instant message-based communications and key transaction details on a single screen. The acquisition has been accounted for as a purchase business combination. The financial results of YellowJacket have been included in the OTC business segment from the date of acquisition.

Under purchase accounting, the total purchase price was allocated to net tangible and identifiable intangible assets based on preliminary estimated fair values of these assets. The purchase price allocation for the YellowJacket acquisition and for certain other acquisitions completed in 2007 are preliminary and are subject to change during the allocation period. The primary area of purchase price allocation that is not yet finalized for these acquisitions relates to identified intangible assets.

The Company will make additional payments in cash or stock to certain former shareholders of YellowJacket and former shareholders of certain other acquired companies if specified revenue targets or certain other strategic goals specified in the purchase agreements for those acquired companies are achieved. The maximum annual contingent payments that could be made in 2008, 2009 and 2010 are \$14.0 million, \$16.2 million and \$79.2 million, respectively.

On June 3, 2008, the Company entered into a definitive merger agreement to acquire Creditex Group, Inc. ("Creditex") for a combination of stock and cash. Creditex is a market leader and innovator in the execution and processing of credit default swaps ("CDS") with markets spanning the U.S., Europe and Asia. Creditex is a leader in the most liquid segments of the CDS market, including indexes, single-names and standardized tranches. The transaction consideration will total approximately \$625 million, comprising approximately \$565 million in the Company's common stock and \$60 million in cash, as well as a working capital adjustment to be finalized after the closing of the transaction. Upon the closing of the transaction, estimated to occur in the third quarter of 2008,

Creditex will be a wholly-owned subsidiary of the Company. The transaction has received FSA approval, as well as early termination of the applicable Hart-Scott-Rodino waiting period, but remains subject to U.S. Financial Industry Regulatory Authority approval.

11. Clearing Organizations

ICE Clear U.S. performs the clearing and settlement of every futures and options contract traded through ICE Futures U.S. and ICE Clear Canada performs the same function for every futures and options contract traded through ICE Futures Canada (ICE Clear U.S. and ICE Clear Canada are referred to herein collectively as the “ICE Clearing Houses”). Each of the ICE Clearing Houses has equal and offsetting claims to and from their respective clearing members on opposite sides of each contract, standing as the counterparty on every contract cleared. Therefore, the Company does not reflect these unsettled contracts as assets and liabilities in the accompanying consolidated balance sheets. However, to the extent that funds are not otherwise available to satisfy an obligation under an applicable contract, the ICE Clearing Houses bear counterparty credit risk in the event that future market movements create conditions that could lead to clearing members failing to meet their obligations to the ICE Clearing Houses. The ICE Clearing Houses reduce their exposure through a risk management program that includes initial and ongoing financial standards for admission as a clearing member, original and variation margin requirements and mandatory deposits to a guaranty fund (as described and defined below). The ICE Clearing Houses also have powers of assessment that provide the ability to collect additional funds from their clearing members to cover a defaulting member’s remaining obligations.

Each of the ICE Clearing Houses requires all clearing members to maintain on deposit with it cash, money market mutual fund shares, U.S. Government obligations (with respect to ICE Clear U.S.), Canadian Government obligations (with respect to ICE Clear Canada) or letters of credit to secure payment of variation margin as may become due from the clearing members, and such deposits in total are known as original margin. ICE Clear U.S. marks all outstanding futures contracts to market at least twice daily and pays and collects option premiums daily. ICE Clear Canada marks all outstanding positions to market once per day. The payments of profits and losses are known as variation margin.

Each of the ICE Clearing Houses requires that each clearing member make deposits in a fund known as a guaranty or clearing fund (“Guaranty Fund”), which is maintained by the relevant ICE Clearing House. These amounts serve to secure the obligations of a clearing member to the ICE Clearing House to which it has made the Guaranty Fund deposits and may be used to cover losses sustained by the respective ICE Clearing House in the event of a default of a clearing member. All income earned from investing clearing members’ cash deposits in the Guaranty Fund belongs to the respective ICE Clearing House and is included in interest income in the accompanying consolidated statements of income.

Should a particular clearing member fail to deposit original margin, or to make a variation margin payment, when and as required, the relevant ICE Clearing House may liquidate the clearing member’s open positions and use the clearing member’s original margin and Guaranty Fund deposits to make up the amount owed. In the event that those deposits are not sufficient to pay that amount in full, the ICE Clearing House may utilize the Guaranty Fund deposits of all clearing members for that purpose. In addition, the relevant ICE Clearing House may assess its clearing members to meet any remaining shortfall. As of June 30, 2008, original margin cash deposits, unsettled variation margin cash deposits and Guaranty Fund cash deposits are as follows for ICE Clear U.S. and ICE Clear Canada (in thousands):

	<u>ICE Clear U.S.</u>	<u>ICE Clear Canada</u>	<u>Total</u>
Original margin	\$ 734,631	\$ 21,038	\$755,669
Variation margin	10,485	4,983	15,468
Guaranty Fund	1,850	8,664	10,514
Total	<u>\$ 746,966</u>	<u>\$ 34,685</u>	<u>\$781,651</u>

The Company has recorded these cash deposits in the accompanying consolidated balance sheets as current assets with offsetting current liabilities to the clearing members of the relevant ICE Clearing House. All cash, securities and letters of credit are only available to meet the financial obligations of that clearing firm to the relevant ICE Clearing House. ICE Clear U.S. and ICE Clear Canada are separate legal entities and are not subject to the

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liabilities of the other ICE Clearing House or the obligations of the members of the other ICE Clearing House. These cash deposits may fluctuate due to the investment choices available to clearing members and the change in the amount of deposits required. As a result, these assets and offsetting liabilities may vary significantly over time.

In addition to the cash original margin, variation margin, and Guaranty Fund deposits made to the relevant ICE Clearing House, clearing members also pledge assets, including U.S. Government obligations, Canadian Government obligations, money market mutual funds and letters of credit to the relevant ICE Clearing House to mitigate its credit risk. These assets are held in safekeeping and any interest and gain or loss accrues to the clearing member. These pledged assets are not reflected in the accompanying consolidated balance sheets as the ICE Clearing Houses do not take legal ownership of the assets. The ICE Clearing Houses have the ability to access the accounts where these assets are held at the financial institutions and depositories in the event of a clearing member default. The amount that the clearing members are required to maintain in the original margin and Guaranty Fund accounts is determined by parameters established by the risk management departments and the boards of directors of each of the ICE Clearing Houses and may fluctuate over time.

As of June 30, 2008, the U.S. Government obligations and money market mutual funds pledged by the clearing members as original margin and Guaranty Fund deposits for ICE Clear U.S. are detailed below (in thousands):

	U.S. Government Securities at Face Value	Money Market Mutual Fund
Original margin	\$4,378,329	\$ 1,121,680
Guaranty Fund	99,915	27,619
Total	<u>\$4,478,244</u>	<u>\$ 1,149,299</u>

As of June 30, 2008, the Canadian Government obligations and letters of credit pledged by the clearing members as original margin and Guaranty Fund deposits for ICE Clear Canada are detailed below (in thousands):

	Canadian Government Securities at Face Value	Letters Of Credit
Original margin	\$ 67,430	\$ 4,418
Guaranty Fund	26,181	—
Total	<u>\$ 93,611</u>	<u>\$ 4,418</u>

ICE Clear U.S. and the Options Clearing Corporation (“OCC”) have entered into a cross-margin agreement, whereby a common clearing firm, or a pair of affiliated clearing firms, may maintain a cross-margin account in which positions in certain of ICE Clear U.S.’s futures and options are combined with certain positions cleared by OCC for purposes of calculating margin requirements of the clearing firms. The margin deposits will be held jointly by ICE Clear U.S. and OCC. Cross-margin cash, securities and letters of credit jointly held with OCC under the cross-margin agreement will be reflected at 50% of the total, or ICE Clear U.S.’s proportionate share, in accordance with the agreement. Clearing firms will maintain separate margin requirements with each clearing house and depending on the impact resulting from offsetting positions between ICE Clear U.S. and OCC; each clearing house may reduce that firm’s margin requirements. Cross margin deposits will be held in a joint custody account controlled by ICE Clear U.S. and OCC. If a participating firm defaults, the gain or loss on the liquidation of the firm’s open position and the proceeds from the liquidation of the cross-margin account will be split 50% each to ICE Clear U.S. and OCC. The cross-margining arrangement reduces capital costs for clearing firms and customers. The agreement permits an individual clearing house to recognize a clearing firm’s open positions at another participating clearing house, and clearing firms are able to offset risks of positions held at one clearing house against those held at another participating clearing house. As of June 30, 2008, ICE Clear U.S. had established connectivity with participating banks. Activity under this cross-margin agreement during the second quarter of 2008 was limited to the submission of a small number of test transactions by a single firm.

12. Commitments and Contingencies

Russell Licensing Agreement

On June 15, 2007, the Company entered into an exclusive licensing agreement (the “Licensing Agreement”) with the Frank Russell Company (“Russell”) to offer futures and options on futures contracts based on the full range of Russell’s benchmark U.S. equity indexes. Due to the wind-down provisions of existing Russell contracts, during the first year of the Licensing Agreement, the Company has the ability to offer the Russell licenses on a non-exclusive basis. These rights will become exclusive starting in the third quarter of 2008, and subject to achieving specified trading volumes, will remain exclusive throughout the remainder of the Licensing Agreement, which extends through June 2014.

In exchange for the license rights, the Company paid Russell \$50.0 million in July 2007 and will also make annual royalty payments based on the annual contract trade volumes, subject to certain minimum annual royalty payments. The Company has recorded the license rights as intangible assets, which were valued based on the net present value of all minimum annual royalty payments that the Company is required to make to Russell throughout the term of the agreement. As of June 30, 2008, the assets related to the Licensing Agreement are \$149.6 million and are included in other intangible assets in the accompanying consolidated balance sheet. The intangible assets are being amortized based on the Company’s valuations of the non-exclusive and the exclusive elements of the Licensing Agreement. For the six months and three months ended June 30, 2008, amortization expense related to the Licensing Agreement was \$83,000 and \$42,000, respectively, which reflects amortization on the non-exclusive portion of the intangible asset as the exclusive period has not yet commenced.

Since the Company is required to make minimum annual royalty payments in order to maintain the Russell license rights, the Company has also recorded a liability based on the net present value of the total required payments as of the effective date of the Licensing Agreement. As of June 30, 2008, the current and noncurrent liabilities relating to the minimum annual royalty payments under the Licensing Agreement are \$11.5 million and \$86.7 million, respectively, and are reflected as licensing agreement liabilities in the accompanying consolidated balance sheet. The difference between the present value of the payments and the actual payments is recorded as interest expense using the effective interest method over the term of the Licensing Agreement. For the six months and three months ended June 30, 2008, interest expense related to the Licensing Agreement was \$3.0 million and \$1.5 million, respectively.

Legal Proceedings

On April 6, 2007, the Supreme Court of the State of New York, County of New York, granted ICE Futures U.S.’s motion to dismiss all claims brought against it in an action commenced on December 8, 2006 by certain holders of non-equity trading permits (“Permit Holders”) of ICE Futures U.S. The plaintiffs alleged that, in violation of purported contract rights and/or rights under New York’s Not-For-Profit Corporation Law, ICE Futures U.S. had not allowed its Permit Holders, including plaintiffs, to vote on the merger pursuant to which the Company acquired ICE Futures U.S. and had improperly denied the Permit Holders a portion of the merger consideration. Plaintiffs sought (i) to enjoin consummation of the merger, (ii) declaratory relief regarding their past and future rights as Permit Holders, and (iii) an award of unspecified damages on claims for breach of fiduciary duty, breach of contract, unjust enrichment, estoppel and fraud. In addition to dismissing its claims, the court also denied the plaintiffs’ motion for a preliminary injunction. On February 4, 2008, the Permit Holders appealed the lower court’s ruling dismissing their complaint but did not pursue an appeal of the lower court’s denial of their request for an order enjoining the merger. The appeal was denied in its entirety by the appellate court in a decision issued on June 24, 2008. The Permit Holders may only appeal that decision with the express authorization of the appeals court. The time within which the Permit Holders may seek such authorization has not expired.

The Company is subject to legal proceedings and claims that arise in the ordinary course of business. However, the Company does not believe that the resolution of these matters, including those specifically discussed above, will have a material adverse effect on the Company’s consolidated financial condition, results of operations, or liquidity. It is possible, however, that future results of operations for any particular quarterly or annual period could be materially and adversely affected by any new developments relating to the legal proceedings and claims.

13. Asset Sale

In August 2006, the Company entered into an agreement with a third-party to sell ICE Futures Europe's former open-outcry disaster recovery site in London. Prior to the closure of ICE Futures Europe's open-outcry floor in London during April 2005, the building on this site was used as a backup open-outcry trading facility. The sale was completed in February 2007, at which time final payment was received and a net gain on disposal of an asset of \$9.3 million was recognized as other income in the accompanying consolidated statement of income for the six months ended June 30, 2007.

14. CBOT Merger-Related Transaction Costs

The Company incurred incremental direct merger-related transaction costs of \$10.9 million during the six months ended June 30, 2007 relating to the proposed merger with CBOT Holdings, Inc. ("CBOT"), including \$3.3 million in costs that were incurred during the three months ended March 31, 2007 and which were capitalized as of March 31, 2007. The Company did not succeed in its proposed merger with CBOT, and the Chicago Mercantile Exchange Holdings, Inc. completed its acquisition of CBOT on July 13, 2007. The \$10.9 million in merger-related transaction costs includes investment banking advisors, legal, accounting, proxy advisor, public relations services and other external costs directly related to the proposed transaction. These costs have been recorded as CBOT merger-related transaction costs in the accompanying consolidated statements of income for the six months and three months ended June 30, 2007.

15. Segment Reporting

The Company's principal business segments consist of its global OTC segment, its futures segment and its market data segment. The operations of ICE Futures Europe, ICE Futures U.S. and ICE Futures Canada make up the futures segment and the operations of ICE Data make up the market data segment. The remaining companies have been included in the global OTC segment as they primarily support the Company's OTC business operations. In the prior quarters in 2007 only, the Company reported four business segments; its global OTC segment, its U.K. futures segment, its U.S. futures segment, which included ICE Futures Canada since its acquisition in August 2007, and its market data segment. As of December 31, 2007, the Company combined the U.K futures segment and the U.S. futures segment into one futures segment in accordance with SFAS No. 131, *Disclosures about Segments of an Enterprise and Related Information*, as this is how it was reported internally and provided to the Company's chief operating decision maker. Prior quarter amounts have been reclassified to conform to the current quarter's business segment presentation. Intersegment revenues and transactions attributable to the performance of services are recorded at cost plus an agreed market percentage intercompany profit. Intersegment revenues attributable to licensing transactions have been priced in accordance with comparable third party agreements. Financial data for the Company's business segments are as follows:

	Global OTC Segment	Futures Segment	Market Data Segment	Total
	(In thousands)			
Six Months Ended June 30, 2008:				
Revenues from external customers	\$ 186,255	\$ 191,024	\$27,095	\$ 404,374
Intersegment revenues	15,596	2,379	16,129	34,104
Depreciation and amortization	18,387	3,353	50	21,790
Interest and investment income	2,099	3,425	320	5,844
Interest expense	6,004	3,172	—	9,176
Income tax expense	34,284	49,699	12,921	96,904
Net income	67,493	83,229	26,432	177,154
Total assets	1,746,488	1,219,185	30,385	2,996,058

Revenues from three clearing members of the futures segment comprised 15.6%, 13.3% and 12.2% of the Company's futures revenues for the six months ended June 30, 2008. These clearing members are primarily intermediaries and represent a broad range of principal trading firms. If the clearing member ceased doing business, the Company believes that the trading firms would continue to conduct transactions through the Company and would clear those transactions through a different clearing member. No additional members or customers accounted

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for more than 10% of the Company's segment revenues or consolidated revenues during the six months ended June 30, 2008.

	<u>Global OTC Segment</u>	<u>Futures Segment</u>	<u>Market Data Segment</u>	<u>Total</u>
	<u>(In thousands)</u>			
Six Months Ended June 30, 2007:				
Revenues from external customers.	\$105,351	\$138,220	\$19,691	\$263,262
Intersegment revenues	17,281	1,837	7,122	26,240
Depreciation and amortization	11,565	2,687	5	14,257
Interest and investment income	2,791	2,701	200	5,692
Interest expense	7,982	142	—	8,124
Income tax expense	13,756	31,311	8,725	53,792
Net income	32,880	61,799	14,600	109,279

Revenues from three clearing members of the futures segment comprised 13.3%, 12.2% and 10.7% of the Company's futures revenues for the six months ended June 30, 2007. These clearing members are primarily intermediaries and represent a broad range of principal trading firms. If the clearing member ceased doing business, the Company believes that the trading firms would continue to conduct transactions through the Company and would clear those transactions through a different clearing member. No additional members or customers accounted for more than 10% of the Company's segment revenues or consolidated revenues during the six months ended June 30, 2007.

	<u>Global OTC Segment</u>	<u>Futures Segment</u>	<u>Market Data Segment</u>	<u>Total</u>
	<u>(In thousands)</u>			
Three Months Ended June 30, 2008:				
Revenues from external customers	\$ 92,907	\$ 90,374	\$ 13,879	\$197,160
Intersegment revenues	7,776	1,268	8,068	17,112
Depreciation and amortization	9,380	1,435	29	10,844
Interest and investment income	1,045	1,743	137	2,925
Interest expense	2,464	1,577	—	4,041
Income tax expense	18,067	22,332	6,376	46,775
Net income	32,151	39,196	13,517	84,864

Revenues from three clearing members of the futures segment comprised 16.0%, 13.6% and 13.3% of the Company's futures revenues for the three months ended June 30, 2008. These clearing members are primarily intermediaries and represent a broad range of principal trading firms. If the clearing member ceased doing business, the Company believes that the trading firms would continue to conduct transactions through the Company and would clear those transactions through a different clearing member. No additional members or customers accounted for more than 10% of the Company's segment revenues or consolidated revenues during the three months ended June 30, 2008.

	<u>Global OTC Segment</u>	<u>Futures Segment</u>	<u>Market Data Segment</u>	<u>Total</u>
	(In thousands)			
Three Months Ended June 30, 2007:				
Revenues from external customers	\$ 52,583	\$ 73,528	\$ 10,543	\$136,654
Intersegment revenues	7,338	1,020	3,712	12,070
Depreciation and amortization	6,101	1,644	3	7,748
Interest and investment income	1,155	1,558	155	2,868
Interest expense	4,226	103	—	4,329
Income tax expense	2,599	14,413	4,502	21,514
Net income	13,809	31,796	8,088	53,693

Revenues from three clearing members of the futures segment comprised 12.4%, 11.5% and 10.4% of the Company's futures revenues for the three months ended June 30, 2007. These clearing members are primarily

intermediaries and represent a broad range of principal trading firms. If the clearing member ceased doing business, the Company believes that the trading firms would continue to conduct transactions through the Company and would clear those transactions through a different clearing member. No additional members or customers accounted for more than 10% of the Company's segment revenues or consolidated revenues during the three months ended June 30, 2007.

16. Earnings Per Common Share

The following is a reconciliation of the numerators and denominators of the basic and diluted earnings per common share computations for the six months and three months ended June 30, 2008 and 2007:

	Six Months Ended June 30,		Three Months Ended June 30,	
	2008	2007	2008	2007
	(In thousands, except per share amounts)			
Basic:				
Net income	\$177,154	\$109,279	\$84,864	\$53,693
Weighted average common shares outstanding	70,479	68,372	70,596	69,205
Basic earnings per common share	\$ 2.51	\$ 1.60	\$ 1.20	\$ 0.78
Diluted:				
Weighted average common shares outstanding	70,479	68,372	70,596	69,205
Effect of dilutive securities:				
Stock options and restricted shares	897	2,124	807	2,023
Diluted weighted average common shares outstanding	71,376	70,496	71,403	71,228
Diluted earnings per common share	\$ 2.48	\$ 1.55	\$ 1.19	\$ 0.75

Basic earnings per common share is calculated using the weighted average common shares outstanding during the period. Common equivalent shares from stock options and restricted stock awards, using the treasury stock method, are also included in the diluted per share calculations unless their effect of inclusion would be antidilutive.

Item 2. Management’s Discussion and Analysis of Financial Condition and Results of Operations

This Quarterly Report on Form 10-Q, including the sections entitled “Legal Proceedings”, “Management’s Discussion and Analysis of Financial Condition and Results of Operations” and “Risk Factors”, contains “forward-looking statements” as defined in the Private Securities Litigation Reform Act of 1995 that are based on our present beliefs and assumptions and on information currently available to us. You can identify forward-looking statements by terminology such as “may,” “will,” “should,” “could,” “would,” “targets,” “goal,” “expect,” “intend,” “plan,” “anticipate,” “believe,” “estimate,” “predict,” “potential,” “continue,” or the negative of these terms or other comparable terminology. These statements relate to future events or our future financial performance and involve risks, uncertainties and other factors that may cause our actual results, levels of activity, performance or achievements to differ materially from those expressed or implied by these forward-looking statements. These risks and other factors include those set forth under the heading “Risk Factors” in this Form 10-Q and in our Annual Report on Form 10-K for the year ended December 31, 2007 and other filings with the Securities and Exchange Commission.

Forward-looking statements and other risks and factors that may affect our performance include, but are not limited to: our business environment; increasing competition and consolidation in our industry; changes in domestic and foreign regulations or government policy; technological developments, including clearing developments; our initiative to establish a European clearing house and our global clearing strategy; the accuracy of our cost estimates and expectations, adjustments to exchange fees or commission rates; our belief that cash flows will be sufficient to fund our working capital needs and capital expenditures at least through the end of 2009; our ability to increase the connectivity to our marketplace; our ability to develop new products and services and pursue strategic acquisitions and alliances on a timely, cost-effective basis; maintaining existing market participants and attracting new ones; protecting our intellectual property rights and our ability to not violate the intellectual property rights of others; adverse litigation results; our belief in our electronic platform and disaster recovery system technologies and the ability to gain access to comparable products and services if our key technology contracts were terminated; and the risk that acquired businesses will not be integrated successfully or the revenue opportunities, cost savings and other anticipated synergies from the mergers may not be fully realized or may take longer to realize than expected. We caution you not to place undue reliance on these forward-looking statements as they speak only as of the date on which such statement is made, and we undertake no obligation to update any forward-looking statement or to reflect the occurrence of an unanticipated event. New factors emerge from time to time, and it is not possible for management to predict all factors that may affect our business and prospects. Further, management cannot assess the impact of each factor on the business or the extent to which any factor, or combination of factors, may cause actual results to differ materially from those contained in any forward-looking statements.

In this quarterly report on Form 10-Q, unless otherwise indicated, the terms “IntercontinentalExchange”, “ICE”, “we”, “us”, “our”, “our company” and “our business” refer to IntercontinentalExchange, Inc., together with its consolidated subsidiaries. Due to rounding, figures may not sum exactly.

Overview and Our Business Environment

We are a leading global exchange and over-the-counter, or OTC, market operator. We operate the leading electronic integrated futures and OTC marketplace for trading a broad array of energy products, as well as a leading soft commodities exchange. Currently, we are the only marketplace to offer an integrated electronic platform for side-by-side trading of products in both futures and OTC markets. Through our widely-distributed electronic trading platform, our marketplace brings together buyers and sellers of derivative and physical commodities and financial contracts. We conduct our regulated U.K. futures markets through our wholly-owned subsidiary, ICE Futures Europe. We conduct our regulated U.S. futures markets through our wholly-owned subsidiary, ICE Futures U.S. We conduct our regulated Canadian futures markets through our wholly-owned subsidiary, ICE Futures Canada. ICE Futures U.S. has a wholly-owned clearing house subsidiary called ICE Clear U.S. and ICE Futures Canada has a wholly-owned clearing house subsidiary called ICE Clear Canada. We completed our acquisition of ICE Futures U.S. on January 12, 2007 and our acquisition of ICE Futures Canada on August 27, 2007.

We operate three business segments: a futures segment, a global OTC segment and a market data segment. In our futures markets, we offer trading in standardized derivative contracts on our regulated exchanges. In our OTC markets, we offer trading in over-the-counter, or off-exchange, derivative contracts, including contracts that provide

for the physical delivery of an underlying commodity or for financial settlement based on the price of an underlying commodity. Through our market data segment, we offer a variety of market data services and products for both futures and OTC market participants and observers.

Our business is primarily transaction based, and our revenues and profitability relate directly to the level of trading activity in our markets. Trading volumes are driven by a number of factors, including the degree of volatility in commodities prices. Price volatility increases the need to hedge contractual price risk and creates opportunities for the exchange of risk between market participants. Changes in our futures trading volumes and OTC average daily commissions have also been driven by varying levels of liquidity and volatility both in our markets and in the broader commodities markets, which influence trading volumes across all of the markets we operate.

We operate our futures and OTC markets primarily on our electronic platform and we offer ICE Futures U.S.'s soft commodity options markets on both our electronic platform and through our trading floor based in New York. In February 2008, we closed our futures open-outcry trading floors in New York and Dublin and now only offer soft commodity options markets through the open-outcry trading floor in New York. We believe that the move toward electronic trade execution, together with the improved accessibility for new market participants and the increased adoption of commodities as a tradable, investable asset class, has contributed to and will likely support continued secular growth in the global markets. As participation continues to increase and as participants continue to employ more sophisticated financial instruments and risk management strategies to manage their price exposure, we believe there remains opportunity for further growth in derivatives trading on a global basis. We do not risk our own capital by engaging in any trading activities.

On June 3, 2008, we entered into a definitive merger agreement to acquire Creditex Group, Inc., or Creditex, for a combination of stock and cash. Creditex is a market leader and innovator in the execution and processing of credit default swaps, or CDS, with markets spanning the U.S., Europe and Asia. Creditex is a leader in the most liquid segments of the CDS market, including indexes, single-names and standardized tranches. The transaction consideration will total approximately \$625 million, comprising approximately \$565 million in our common stock and \$60 million in cash, as well as a working capital adjustment to be finalized after the closing of the transaction. Upon the closing of the transaction, estimated to occur in the third quarter of 2008, Creditex will be our wholly-owned subsidiary. The transaction has received U.K. Financial Services Authority, or FSA, approval and early termination of the applicable Hart-Scott-Rodino waiting period, but still requires U.S. Financial Industry Regulatory Authority approval.

Financial Highlights

- Consolidated revenues increased by 53.6% to \$404.4 million for the six months ended June 30, 2008, compared to the same period in 2007, primarily due to increased contract volumes in our futures and OTC markets resulting from increased volatility, organic growth and acquisitions.
- Consolidated operating expenses increased by 18.9% to \$127.3 million for the six months ended June 30, 2008, compared to the same period in 2007, primarily due to acquisitions, higher cash and non-cash compensation costs, costs associated with the establishment of ICE Clear Europe, the closure of our futures trading floors in New York and Dublin and increased technology spending and related depreciation expenses, partially offset by CBOT Holdings, Inc., or CBOT, merger-related transaction costs incurred during the six months ended June 30, 2007.
- Consolidated operating margin increased to 68.5% for the six months ended June 30, 2008, compared to 59.3% for the same period in 2007.
- Consolidated net income increased by 62.1% to \$177.2 million for the six months ended June 30, 2008, compared to the same period in 2007.

On a consolidated basis, we recorded \$404.4 million in revenues for the six months ended June 30, 2008, a 53.6% increase compared to \$263.3 million for the six months ended June 30, 2007. Consolidated net income was \$177.2 million for the six months ended June 30, 2008, a 62.1% increase compared to \$109.3 million for the six months ended June 30, 2007. The financial results for the six months ended June 30, 2008 include \$2.1 million in

costs associated with the closure of ICE Futures U.S.'s futures trading floors. The financial results for the six months ended June 30, 2007 include a gain of \$9.3 million relating to the sale of our former open-outcry disaster recovery site in London and \$10.9 million in CBOT merger-related transaction costs. During the six months ended June 30, 2008, 120.6 million contracts were traded in our futures markets, up 29.5% from 93.2 million contracts traded during the six months ended June 30, 2007. During the six months ended June 30, 2008, 135.6 million contract equivalents were traded in our OTC markets, up 71.5% from 79.1 million contract equivalents traded during the six months ended June 30, 2007.

On a consolidated basis, we recorded \$197.2 million in revenues for the three months ended June 30, 2008, a 44.3% increase compared to \$136.7 million for the three months ended June 30, 2007. Consolidated net income was \$84.9 million for the three months ended June 30, 2008, a 58.1% increase compared to \$53.7 million for the three months ended June 30, 2007. The financial results for the three months ended June 30, 2007 include \$10.9 million in CBOT merger-related transaction costs. During the three months ended June 30, 2008, 58.1 million contracts were traded in our futures markets, up 20.8% from 48.1 million contracts traded during the three months ended June 30, 2007. During the three months ended June 30, 2008, 68.1 million contract equivalents were traded in our OTC markets, up 76.2% from 38.7 million contract equivalents traded during the three months ended June 30, 2007.

Global Clearing Strategy

We have previously announced our intention to establish ICE Clear Europe, a clearing house based in London, as part of our strategic plan to offer clearing services through our wholly-owned clearing businesses in the U.S., Canada and the U.K. Clearing services for our U.K. energy futures and cleared OTC businesses are currently outsourced to LCH.Clearnet Ltd., or LCH, a third party U.K. clearing house. We provide our clearing services in the U.S. for all ICE Futures U.S. contracts through ICE Clear U.S., and in Canada for all ICE Futures Canada contracts through ICE Clear Canada.

To date, we have completed significant elements of our plan to establish ICE Clear Europe, including the completion of major technology development and successful testing with clearing firms. We believe that gaining greater control over this core clearing process will allow us to introduce more products and services to the futures and OTC markets for broker-dealers and for our customers, as well as ensure technology and operational service levels meet the efficiency standards that we have set within our execution business. We also believe that this flexibility will allow us to increase our speed-to-market for new cleared products and to expand our products further into physically-delivered commodity products on a competitive basis with other derivatives exchanges that manage their own clearing and risk management services. Finally, it is our objective to provide a clearing model that benefits customers and clearing firms alike, through technological innovation, offering a competitive alternative for clearing for new products and new exchanges, competitive pricing, greater profit participation by member firms and new value-added services. Longer term, we anticipate that collectively, our European, Canadian and U.S. clearing houses may partner to serve our global customer base across the commodities and financial products marketplace, in an innovative and capital efficient manner. Our clearing strategy is designed to complement our diverse markets while meeting the risk management, capital and regulatory requirements of an expanding global marketplace.

ICE Clear Europe received recognition from the FSA as a U.K. Recognized Clearing House in May 2008, following HM Treasury approval and an Office of Fair Trading review. Since its recognition by the FSA, ICE Clear Europe has received membership applications from 47 clearing firms and has received written commitments for the transfer of 100% of the open positions established at ICE Futures Europe and ICE OTC from LCH to ICE Clear Europe effective at the transition date.

While transition was originally scheduled to occur in July 2008, under a revised technical framework agreed to with LCH, we now expect the transition of clearing to ICE Clear Europe to occur during September 2008. The existing futures and OTC clearing arrangements between us and LCH are expected to remain in effect until the transition is complete.

Regulation

Providing facilities to trade energy products is one of our core businesses. Recently, given the high price of energy commodities, the U.S. Congress has held numerous hearings regarding the proper regulation of energy

trading and, in particular, the potential impact of speculation on energy prices. Currently, numerous bills are pending before the U.S. Congress addressing regulation of trading within the energy markets and additional bills may be introduced. The passage of certain bills could negatively impact our business by limiting the amount of trading that is conducted in our markets.

We currently operate our OTC electronic platform as an exempt commercial market under the Commodity Exchange Act, or CEA, and regulations of the Commodity Futures Trading Commission, or the CFTC. The CFTC generally oversees, but does not currently substantively regulate, the trading of OTC derivative contracts on our platform. Each of our participants must qualify as an eligible commercial entity, as defined by the CEA, and each participant must trade for its own account, as a principal. As an exempt commercial market, we are required to comply with access, reporting and record-keeping requirements of the CFTC. In May 2008, the U.S. Congress passed legislation in the Farm Bill that subjects certain of our OTC contracts that are deemed by the CFTC to perform a “significant price discovery function” (which is defined as a contract (i) that is linked to a contract traded on a designated contract market and which trades with sufficient volume to affect the designated contract market’s contract or (ii) an electronically traded OTC contract that trades with sufficient volume to be an independent price reference) to additional regulation. As a result, we will plan to adopt futures exchange style regulation for at least one of our OTC contracts, the Henry Hub natural gas swap, and possibly other OTC contracts based upon future findings by the CFTC. This additional regulation will require us to (i) adopt trading rules in such markets, (ii) actively monitor trading in such markets, (iii) impose position limits or position accountability levels for trading in such contracts, and (iv) exercise emergency authority in the markets where appropriate. In addition, we will be required to produce large trader reports for significant price discovery contracts, which we currently provide with respect to our Henry Hub contract pursuant to an existing special call by the CFTC.

Some of the above referenced proposed bills before the U.S. Congress would affect our OTC business, including (i) eliminating our ability, or altering the requirements, to operate as an exempt commercial market, (ii) requiring that we operate our business as a regulated futures exchange that operates as a self regulatory organization, (iii) requiring certain participants on exempt commercial markets to file reports on their positions, and (iv) prohibiting energy traders from entering trades unless the traders could prove that they could take delivery of the commodity.

In the United Kingdom, we engage in a variety of activities related to our business through subsidiary entities that are subject to supervision by the FSA. ICE Futures Europe is recognized as an investment exchange and self-regulatory organization by the FSA in accordance with the Financial Services and Markets Act 2000, or FSMA. As such, ICE Futures Europe maintains front-line regulatory responsibility for its markets and is subject to regulatory oversight by the FSA. To retain its status as a recognized investment exchange, ICE Futures Europe is required to dedicate sufficient resources to its regulatory functions and to meet various regulatory requirements relating to sufficiency of financial resources, adequacy of systems and controls and effectiveness of arrangements for monitoring and disciplining its members. Failure to comply with these requirements could subject ICE Futures Europe to significant penalties, including de-recognition. ICE Futures Europe has direct electronic access in the U.S. through “no action” relief from the CFTC. Several bills currently pending before the U.S. Congress would modify or eliminate this no action relief and force ICE Futures Europe to register with the CFTC as a Designated Contract Market for any energy products with a U.S. delivery point or for any contract that references the settlement price of a U.S. designated contract market, such as ICE Futures Europe’s West Texas Intermediate, or WTI, crude oil contract. Other bills would require ICE Futures Europe to adopt U.S. regulation of its energy contracts with U.S. delivery points or that references the settlement price of a U.S. designated contract market. In addition, one proposed bill in the U.S. Congress could require ICE Futures Europe to place lower position limits on energy contracts linked to settlement prices of a U.S. designated contract market than the U.S. designated contract market itself imposes.

In June 2008, the CFTC modified ICE Futures Europe’s screen based “no action” letter to require ICE Futures Europe to adopt position limits and position accountability levels for its energy contracts for products with U.S. delivery points or which reference the settlement price of a U.S. designated contract market. The modified “no action” letter is subject to approval by the FSA. The modification to the “no action” letter will also require ICE Futures Europe to provide additional trading information to the CFTC to permit the CFTC to incorporate such information into its large trader reporting system. The products impacted include ICE Futures Europe’s WTI crude oil contract, its RBOB gasoline contract, and its New York Harbor heating oil contract. ICE Futures has until October 15, 2008 to comply with the revised terms of its no action letter. Further, in July 2008, the U.K.’s Treasury Select Committee held a hearing regarding the potential impact of speculation on energy prices in both ICE Futures

Europe's on-exchange market and the U.K.'s OTC market. This included consideration of the CFTC's amendment of ICE Futures Europe's no action letter. While no change to legislation or regulation in the United Kingdom is currently proposed, it is possible that the regulatory environment in the United Kingdom for exchange traded energy commodities could change.

Other legislative proposals target futures and OTC market participants. The legislative proposals include (i) placing aggregated position limits and accountability levels on traders across all exchanges and markets, (ii) limiting participation in energy markets by index funds, (iii) limiting participation in energy markets by swaps dealers, (iv) removing or curtailing the issuance of hedge exemptions from position limits, and (v) increasing margins for futures market participants. Further, the Energy Independence and Security Act of 2007 has given the Federal Trade Commission, or FTC, additional authority to investigate and prosecute manipulation in the petroleum markets. In May 2008, the FTC released an advance notice of proposed rulemaking asking the public whether it should exercise its powers in the petroleum futures markets.

If any of the above referenced bills are adopted, they could restrict or foreclose some portions of our business, require us and our participants to operate under heightened regulatory requirements and incur additional costs to comply with new or additional regulations, and could prevent or deter some participants from trading in our markets. We cannot predict whether any of the above bills, some combination of the above bills or new bills will be adopted. If these bills or similar legislation were to be enacted into law, it could have an adverse effect on our business.

Variability in Quarterly Comparisons

In addition to general conditions in the financial markets and in the commodities markets in particular, trading is subject to variability in trading volumes due to a number of key factors. These factors include geopolitical events, weather, real and perceived supply and demand imbalances, regulatory considerations, availability of capital, the number of trading days in a period and seasonality. These and other factors could cause our revenues to fluctuate from quarter to quarter. These fluctuations may affect the reliability of quarter to quarter comparisons of our revenues and operating results when, for example, these comparisons are between quarters in different seasons. Inter-seasonal comparisons will not necessarily be indicative of our results for future periods.

Segment Reporting

For financial reporting purposes, our business is currently divided into three segments: our futures segment, our global OTC segment and our market data segment. In the prior quarters in 2007, we reported four segments, including a U.K. futures segment and a U.S. futures segment, which included ICE Futures Canada since its acquisition in August 2007. We have combined our U.K. futures segment and our U.S. futures segment into one futures segment to better reflect the manner in which management assesses the performance of the business. For a discussion of these segments and related financial disclosure, refer to Note 15 to our consolidated financial statements and related notes included elsewhere in this Quarterly Report on Form 10-Q.

Intersegment Fees

Our global OTC segment provides and supports the platform for electronic trading in our futures segment. Intersegment fees include charges for developing, operating, managing and supporting the platform for electronic trading in our futures segment. Our futures segment and our global OTC segment provide trading information to our market data segment. Our market data segment provides marketing and other promotional services to our global OTC segment. We determine the intercompany or intersegment fees to be paid by the business segments based on transfer pricing standards and independent documentation. These intersegment fees have no impact on our consolidated operating results. We expect the structure of these intersegment fees to remain unchanged and expect that they will continue to have no impact on our consolidated operating results.

Our Futures Segment

The following table presents, for the periods indicated, selected statement of income data in dollars and as a percentage of revenues for our futures segment:

	Six Months Ended June 30,			
	2008	%	2007	%
	(Dollar amounts in thousands)			
Revenues:				
Transaction fees, net:				
ICE Brent Crude futures	\$ 46,918	24.3%	\$ 43,917	31.4%
ICE WTI Crude futures	25,752	13.3	24,559	17.5
ICE Gas Oil futures	20,461	10.6	16,240	11.6
Sugar futures and options	47,739	24.7	23,658	16.9
Cotton futures and options	15,578	8.0	8,008	5.7
Other futures products and options	28,027	14.5	16,478	11.8
Intersegment fees	2,379	1.2	1,837	1.3
Other	6,549	3.4	5,360	3.8
Total revenues	<u>193,403</u>	<u>100.0</u>	<u>140,057</u>	<u>100.0</u>
Operating expenses:				
Selling, general and administrative expenses(1)(2)	42,848	22.2	39,792	28.4
Intersegment expenses	14,870	7.7	16,375	11.7
Depreciation and amortization	3,353	1.7	2,687	1.9
Total operating expenses	<u>61,071</u>	<u>31.6</u>	<u>58,854</u>	<u>42.0</u>
Operating income	132,332	68.4	81,203	58.0
Other income, net(3)	596	0.3	11,907	8.5
Income tax expense	49,699	25.7	31,311	22.4
Net income	<u>\$ 83,229</u>	<u>43.0%</u>	<u>\$ 61,799</u>	<u>44.1%</u>

- (1) Includes compensation and benefits expenses and professional services expenses.
- (2) The financial results for the six months ended June 30, 2008 include \$2.1 million in costs associated with the closure of ICE Futures U.S.'s futures trading floors, including \$1.7 million in compensation expenses.
- (3) The financial results for the six months ended June 30, 2008 include \$3.0 million in interest expense relating to the Russell Licensing Agreement. The financial results for the six months ended June 30, 2007 include a net gain on disposal of an asset of \$9.3 million. Refer to Notes 12 and 13 to our consolidated financial statements and related notes included elsewhere in this Quarterly Report on Form 10-Q for more information on these two items.

Transaction fees are presented net of rebates. We recorded rebates in our futures segment of \$32.1 million and \$12.8 million for the six months ended June 30, 2008 and 2007, respectively. The increase in the rebates is due primarily to an increase in the amount of rebates offered on the ICE WTI Crude futures contract resulting from higher contract volumes trading during the period. We offer rebates in certain of our markets primarily to help generate market liquidity and trading volumes by providing customers trading in those markets a full or partial discount to the applicable commission rate.

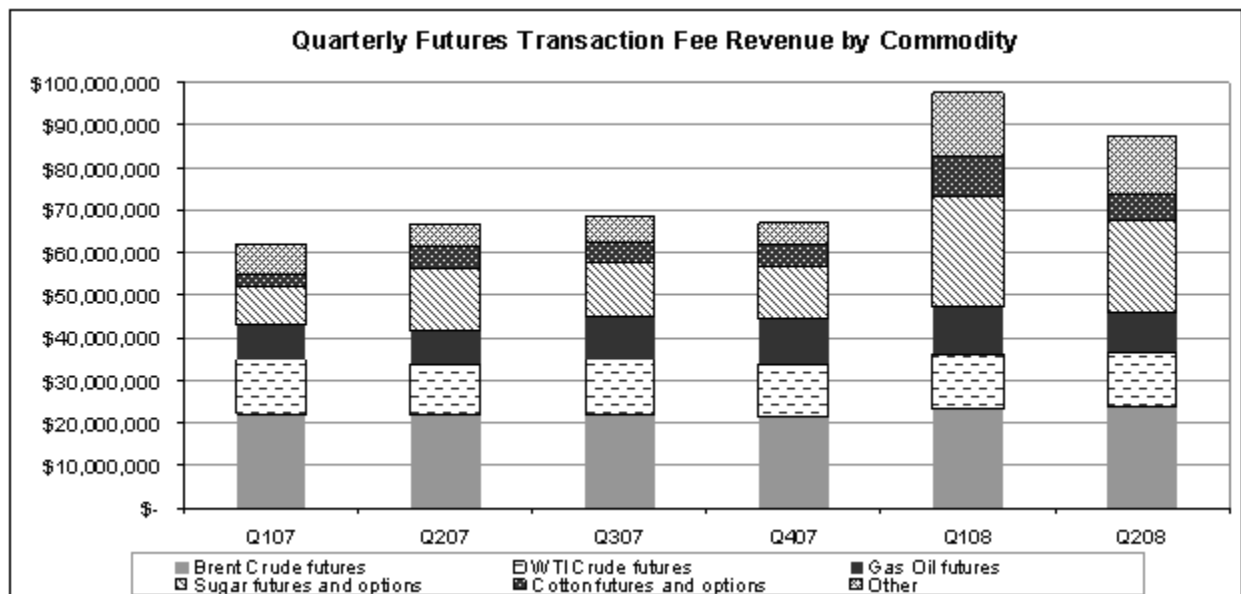
In addition to our transaction fees, a futures participant must currently pay a clearing transaction fee to the clearing house for the benefit of clearing and another for the services of the relevant member clearing firm, or FCM. For ICE Futures U.S. and ICE Futures Canada, our transaction fees include both a trading and a clearing fee as we own 100% of ICE Clear U.S. and ICE Clear Canada. However, consistent with our cleared OTC business, we currently do not derive any direct revenues from the clearing process associated with ICE Futures Europe and participants pay the clearing fees directly to LCH. However, upon the launch of ICE Clear Europe in September 2008, we expect to capture clearing revenues associated with our ICE Futures Europe business, the amount of which will depend upon many considerations, including but not limited to, attracting members to our clearing house, transaction volume, pricing and new products.

A contract is a standardized quantity of the physical commodity underlying each futures contract. The following table presents, for the periods indicated, trading activity in our futures markets by commodity type based on the total number of contracts traded:

	Six Months Ended June 30,		Three Months Ended June 30,	
	2008	2007	2008	2007
	(In thousands)			
Number of futures and option contracts traded:				
ICE Brent Crude futures	34,954	29,563	18,214	14,637
ICE WTI Crude futures	27,828	24,985	13,925	12,181
ICE Gas Oil futures	13,772	10,969	6,489	5,334
Sugar futures and options(1)	22,849	13,770	9,981	8,129
Cotton futures and options(1)	7,237	4,569	2,707	2,799
Other futures and options(2)	13,990	9,310	6,785	4,999
Total	120,630	93,166	58,101	48,079

- (1) Sugar and cotton futures and options contracts began trading on January 12, 2007 in connection with the ICE Futures U.S. acquisition.
- (2) The increase in the number of other futures and options contracts traded primarily relates to the increase in trading of futures and options contracts on coffee and cocoa, which began trading on January 12, 2007 in connection with the ICE Futures U.S. acquisition.

The following chart presents the futures transaction fee revenues by contract traded in our futures markets for the periods presented:



The following table presents our average daily open interest for our futures and options contracts. Open interest is the number of contracts (long or short) that a member holds either for its own account or on behalf of its clients.

	Six Months Ended June 30,		Three Months Ended June 30,	
	2008	2007	2008	2007
	(In thousands)			
Open Interest — futures and option contracts:				
ICE Brent Crude futures	561	639	560	659
ICE WTI Crude futures	541	540	533	569
ICE Gas Oil futures	273	326	280	331
Sugar futures and options	2,053	1,308	1,947	1,377
Cotton futures and options	780	484	779	521
Coffee futures and options	399	315	373	339
Cocoa futures and options	204	194	187	194
Other futures and options	653	561	715	593
Total	5,464	4,367	5,374	4,583

Our Global OTC Segment

The following table presents, for the periods indicated, selected statement of income data in dollars and as a percentage of revenues for our global OTC segment:

	Six Months Ended June 30,			
	2008	%	2007	%
	(Dollar amounts in thousands)			
Revenues:				
Transaction fees, net:				
North American natural gas	\$117,748	58.3%	\$ 70,458	57.4%
North American power	31,859	15.8	18,510	15.1
Other commodities markets	6,020	3.0	2,281	1.9
Electronic trade confirmation	3,994	2.0	2,604	2.1
Intersegment fees	15,596	7.7	17,281	14.1
Market data fees	23,140	11.5	10,174	8.3
Other	3,494	1.7	1,324	1.1
Total revenues	<u>201,851</u>	<u>100.0</u>	<u>122,632</u>	<u>100.0</u>
Operating expenses:				
Selling, general and administrative expenses(1)	61,415	30.4	41,112	33.5
CBOT merger-related transaction costs(2)	—	—	10,944	8.9
Intersegment expenses	16,366	8.1	7,171	5.8
Depreciation and amortization	18,387	9.1	11,565	9.4
Total operating expenses	<u>96,168</u>	<u>47.6</u>	<u>70,792</u>	<u>57.7</u>
Operating income	105,683	52.4	51,840	42.3
Other expense, net	(3,906)	(1.9)	(5,204)	(4.2)
Income tax expense	34,284	17.0	13,756	11.2
Net income	<u>\$ 67,493</u>	<u>33.4%</u>	<u>\$ 32,880</u>	<u>26.8%</u>

(1) Includes compensation and benefits expenses and professional services expenses.

(2) The financial results for the six months ended June 30, 2007 include \$10.9 million in CBOT merger-related transaction costs. Refer to Note 14 to our consolidated financial statements and related notes included elsewhere in this Quarterly Report on Form 10-Q for more information on this item.

Transaction fees are presented net of rebates. We recorded rebates in our global OTC segment of \$8.0 million and \$1.0 million for the six months ended June 30, 2008 and 2007, respectively. Revenues in our global OTC segment are generated primarily through transaction fees earned from trades. While we charge a monthly data access fee for access to our electronic platform, we derive a substantial portion of our OTC revenues from transaction fees paid by participants for each trade that they execute based on the underlying commodity volume.

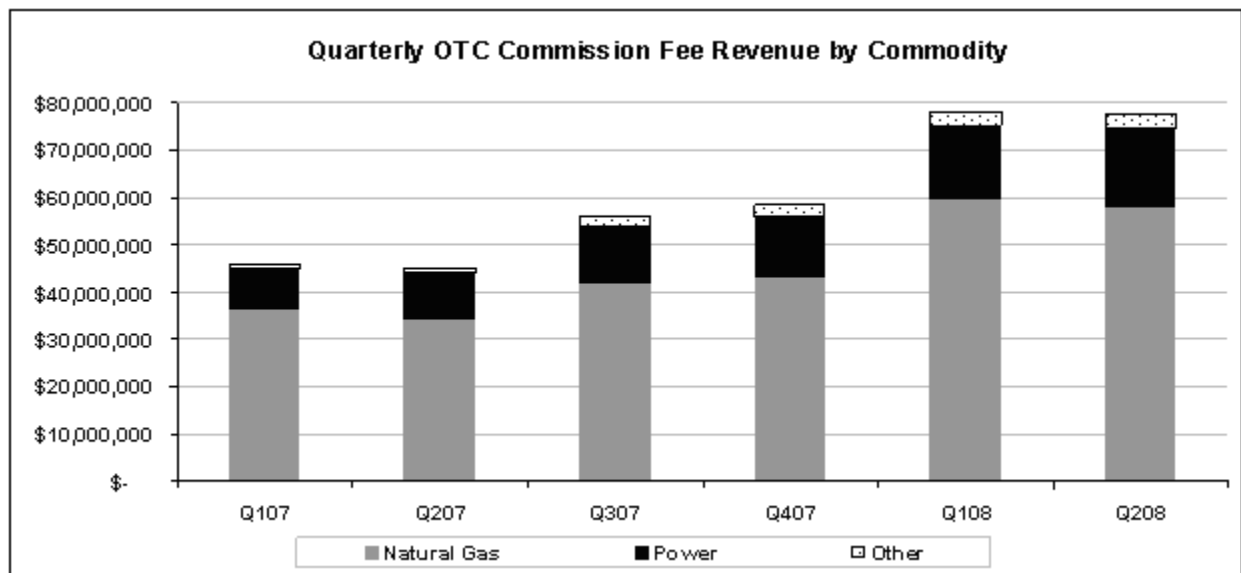
In addition to our transaction fees, a participant that chooses to clear an OTC trade must currently pay a fee to LCH for the benefit of clearing and another for the services of the relevant FCM. Consistent with our ICE Futures Europe business, we currently do not derive any direct revenues from the OTC clearing process and participants pay the clearing fees directly to LCH. However, upon the launch of ICE Clear Europe in September 2008, we expect to capture clearing revenues associated with our global OTC segment, the amount of which will depend upon many considerations, including attracting members to our clearing house, transaction volume, pricing and new products. For the six months ended June 30, 2008 and 2007, transaction fees related to cleared trades represented 71.9% and 71.4% of our total OTC revenues, respectively, net of intersegment fees. We intend to continue to support the introduction of these products in response to the requirements of our participants.

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The following tables present, for the periods indicated, the total volume of the underlying commodity and number of contracts traded in our OTC markets:

	Six Months Ended June 30,		Three Months Ended June 30,	
	2008	2007	2008	2007
(In millions)				
Total Volume — OTC:				
North American natural gas (in million British thermal units, or MMBtu)	313,037	177,814	156,934	85,896
North American power (in megawatt hours)	3,622	2,641	1,820	1,381
Global oil (in equivalent barrels of oil)	493	422	258	227
	Six Months Ended June 30,		Three Months Ended June 30,	
	2008	2007	2008	2007
(In thousands)				
Number of OTC contracts traded:				
North American natural gas	125,215	71,130	62,773	34,358
North American power	5,607	4,055	2,801	2,107
Global oil and other	4,806	3,889	2,554	2,200
Total	135,628	79,074	68,128	38,665

The following chart presents the commission fee revenues by commodity traded in our OTC markets for the periods presented:



Our Market Data Segment

The following table presents, for the periods indicated, selected statement of income data in dollars and as a percentage of revenues for our market data segment:

	Six Months Ended June 30,			
	2008	%	2007	%
	(Dollar amounts in thousands)			
Revenues:				
Market data fees	\$ 27,073	62.6%	\$ 19,691	73.4%
Intersegment fees	16,129	37.3	7,122	26.6
Other	22	0.1	—	—
Total revenues	43,224	100.0	26,813	100.0
Operating expenses:				
Selling, general and administrative expenses(1)	1,256	2.9	985	3.7
Intersegment expenses	2,868	6.6	2,694	10.0
Depreciation and amortization	50	0.1	5	—
Total operating expenses	4,174	9.7	3,684	13.7
Operating income	39,050	90.3	23,129	86.3
Other income, net	303	0.7	196	0.7
Income tax expense	12,921	29.9	8,725	32.5
Net income	\$ 26,432	61.2%	\$ 14,600	54.5%

(1) Includes compensation and benefits expenses and professional services expenses.

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We earn terminal and license fee revenues that we receive from data vendors through the distribution of real-time and historical futures prices and other futures market data derived from trading in our futures markets. We also earn subscription fee revenues from OTC daily indices, view only access to the OTC markets and OTC and futures end of day reports. In addition, we manage the market price validation curves whereby participant companies subscribe to receive consensus market valuations.

Key Statistical Information

The following table presents key transaction volume information, as well as other selected operating information, for the periods presented.

	Six Months Ended June 30,		Three Months Ended June 30,	
	2008	2007	2008	2007
(In thousands, except for percentages and rates per contract)				
Operating Data:				
Our Average Daily Trading Fee Revenues:				
Our U.K. futures business average daily exchange fee revenues	\$ 756	\$ 683	\$ 739	\$ 676
Our U.S. and Canadian futures business average daily exchange fee revenues	701	397	610	447
Our bilateral global OTC business average daily commission fee revenues	172	129	162	129
Our cleared global OTC business average daily commission fee revenues	1,073	607	1,049	589
Our global OTC business average daily commission fee revenues	1,245	736	1,211	718
Our total average daily exchange fee and commission fee revenues	\$ 2,702	\$ 1,816	\$ 2,560	\$ 1,841
Our Trading Volume:				
Futures volume	120,630	93,166	58,101	48,079
Futures average daily volume	950	753	898	755
OTC volume	135,628	79,074	68,128	38,665
OTC average daily volume	1,085	638	1,065	614
Our ICE Futures Europe rate per contract	\$ 1.23	\$ 1.29	\$ 1.21	\$ 1.29
Our agricultural futures and options rate per contract	\$ 2.15	\$ 1.74	\$ 2.21	\$ 1.85
OTC Participants Trading Commission Percentages:				
Commercial companies (including merchant energy)	49.5%	45.7%	48.4%	45.4%
Banks and financial institutions	22.8%	24.8%	22.8%	23.5%
Liquidity providers	27.7%	29.5%	28.8%	31.1%

Six Months Ended June 30, 2008 Compared to Six Months Ended June 30, 2007

Overview

Consolidated net income increased \$67.9 million, or 62.1%, to \$177.2 million for the six months ended June 30, 2008 from \$109.3 million for the comparable period in 2007. Net income from our futures segment increased \$21.4 million, or 34.7%, to \$83.2 million for the six months ended June 30, 2008 from \$61.8 million for the comparable period in 2007, primarily due to higher transaction fee revenues. Net income from our global OTC segment increased \$34.6 million, or 105.3%, to \$67.5 million for the six months ended June 30, 2008 from \$32.9 million for the comparable period in 2007, primarily due to higher transaction fee revenues and \$10.9 million in CBOT merger-related transactions costs incurred during the six months ended June 30, 2007. Net income from our market data segment increased \$11.8 million, or 81.0% to \$26.4 million for the six months ended June 30, 2008 from \$14.6 million for the comparable period in 2007, primarily due to increased market data fees relating to our global OTC markets. Consolidated operating income, as a percentage of consolidated revenues, increased to 68.5% for the six months ended June 30, 2008 from 59.3% for the comparable period in 2007. Consolidated net income, as a percentage of consolidated revenues, increased to 43.8% for the six months ended June 30, 2008 from 41.5% for the comparable period in 2007.

Our consolidated revenues increased \$141.1 million, or 53.6%, to \$404.4 million for the six months ended June 30, 2008 from \$263.3 million for the comparable period in 2007. This increase is primarily attributable to increased trading volumes in our futures and OTC markets and increased market data fees.

Consolidated operating expenses increased \$20.2 million to \$127.3 million for the six months ended June 30, 2008 from \$107.1 million for the comparable period in 2007, representing an increase of 18.9%. This increase is primarily attributable to additional depreciation and amortization expenses recorded on fixed asset additions and intangible assets associated with acquisitions, professional services expenses incurred relating to the establishment of ICE Clear Europe and due to higher compensation expenses incurred during the six months ended June 30, 2008 primarily resulting from higher non-cash compensation expenses and severance costs associated with the ICE Futures U.S. floor closure, partially offset by \$10.9 million in CBOT merger-related transactions costs incurred during the six months ended June 30, 2007.

Revenues

Transaction Fees

Consolidated transaction fees increased \$117.4 million, or 51.8%, to \$344.1 million for the six months ended June 30, 2008 from \$226.7 million for the comparable period in 2007. Transaction fees, as a percentage of consolidated revenues, decreased to 85.1% for the six months ended June 30, 2008 from 86.1% for the comparable period in 2007.

Transaction fees generated in our futures segment increased \$51.6 million, or 38.8%, to \$184.5 million for the six months ended June 30, 2008 from \$132.9 million for the comparable period in 2007, while decreasing as a percentage of consolidated revenues to 45.6% for the six months ended June 30, 2008 from 50.5% for the comparable period in 2007. The increase in transaction fees was primarily due to a 29.5% increase in our futures contract volumes, which was primarily attributable to increased liquidity brought by electronic trading, new market participants, the acquisition of ICE Futures U.S. on January 12, 2007 and increased price volatility primarily relating to real and perceived supply and demand imbalances, geopolitical events and weather. Volumes in our futures segment increased to 120.6 million contracts during the six months ended June 30, 2008 from 93.2 million contracts during the comparable period in 2007. The increase in transaction fees also reflects greater relative volume growth for contracts traded on our ICE Futures U.S. exchange which earn a higher transaction fee or rate per contract. Average transaction fees per trading day increased 34.9% to \$1.5 million per trading day for the six months ended June 30, 2008 from \$1.1 million per trading day for the comparable period in 2007.

Transaction fees generated in our global OTC segment increased \$65.8 million, or 70.1%, to \$159.6 million for the six months ended June 30, 2008 from \$93.9 million for the comparable period in 2007 primarily due to increased

trading volumes. Increased trading volumes were primarily due to increased hedging, new customers and price volatility during the six months ended June 30, 2008 relating to real and perceived supply and demand imbalances, geopolitical events and weather, and due to strategic partnerships with Platts and NGX as well as the acquisitions of ChemConnect, Inc. and Chatham Energy Partners, LLC on July 9, 2007 and October 1, 2007, respectively. Transaction fees in the global OTC segment, as a percentage of consolidated revenues, increased to 39.5% for the six months ended June 30, 2008 from 35.6% for the comparable period in 2007. Contract volumes in our global OTC segment increased 71.5% to 135.6 million contracts traded during the six months ended June 30, 2008 from 79.1 million contracts traded during the comparable period in 2007. Average transaction fees per trading day increased 69.1% to \$1.2 million per trading day for the six months ended June 30, 2008 from \$736,000 per trading day for the comparable period in 2007.

Revenues derived from electronic trade confirmation fees in our global OTC segment increased \$1.4 million, or 53.4%, to \$4.0 million for the six months ended June 30, 2008 from \$2.6 million for the comparable period in 2007. Consolidated electronic trade confirmation fees, as a percentage of consolidated revenues, were 1.0% for the six months ended June 30, 2008 and 2007.

Market Data Fees

Consolidated market data fees increased \$20.3 million, or 68.1%, to \$50.2 million for the six months ended June 30, 2008 from \$29.9 million for the comparable period in 2007. This increase was primarily due to increased data access fees generated in our OTC market and increased terminal fees and license fees that we receive from data vendors in exchange for the provision of real-time price information generated by our futures markets. During the six months ended June 30, 2008 and 2007, we recognized \$24.0 million and \$11.0 million, respectively, in data access fees and terminal fees in our global OTC and futures segments. The increase in the data access fees was due to both an increase in the fees charged for data access, which came into effect October 1, 2007, and an increase in the number of customers. During the six months ended June 30, 2008 and 2007, we recognized \$22.2 million and \$15.8 million, respectively, in terminal and license fees from data vendors in our futures segment. The increase in the market data fees received from data vendors in our futures segment was due to both an increase in the average charge per terminal and an increase in the number of terminals. Consolidated market data fees, as a percentage of consolidated revenues, increased to 12.4% for the six months ended June 30, 2008 from 11.3% for the comparable period in 2007.

Other Revenues

Consolidated other revenues increased \$3.4 million, or 50.6%, to \$10.1 million for the six months ended June 30, 2008 from \$6.7 million for the comparable period in 2007. Consolidated other revenues, as a percentage of consolidated revenues, were 2.5% for the six months ended June 30, 2008 and 2007.

Expenses

Compensation and Benefits

Consolidated compensation and benefits expenses increased \$18.1 million, or 41.7%, to \$61.6 million for the six months ended June 30, 2008 from \$43.5 million for the comparable period in 2007. This increase was primarily due to a \$10.1 million increase in non-cash compensation expenses and \$1.7 million of severance costs associated with the closure of our futures open-outcry trading floors in New York and Dublin. Also, to a lesser extent, the increase was due to higher bonus accruals that are tied to some portion of our OTC revenue performance and due to the addition of more highly skilled and compensated employees, primarily relating to acquisitions and growth in our technology staff. The non-cash compensation expenses recognized in our consolidated financial statements for our stock options and restricted stock were \$17.8 million for the six months ended June 30, 2008 as compared to \$7.7 million for the six months ended June 30, 2007. This increase was primarily due to non-cash compensation costs recognized for the performance-based restricted stock that was granted in December 2006 and December 2007. We currently expect to record non-cash compensation expenses of approximately \$18.4 million for the remaining six months of 2008. However, this amount could increase up to approximately \$29.8 million for the remaining six months of 2008 if the maximum performance level is met or exceeded relating to the performance-based restricted shares granted in December 2007. For a discussion of our performance-based restricted shares, see Note 8 to our

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consolidated financial statements and related notes included elsewhere in this Quarterly Report on Form 10-Q. Consolidated compensation and benefits expenses, as a percentage of consolidated revenues, decreased to 15.2% for the six months ended June 30, 2008 from 16.5% for the comparable period in 2007 primarily due to increased revenues.

Professional Services

Consolidated professional services expenses increased \$2.3 million, or 20.1%, to \$13.9 million for the six months ended June 30, 2008 from \$11.6 million for the comparable period in 2007. This increase was primarily due to \$3.8 million in professional services expenses incurred during the six months ended June 30, 2008 relating to ICE Clear Europe, our European clearing house, compared to \$1.4 million incurred during the six months ended June 30, 2007. Consolidated professional services expenses, as a percentage of consolidated revenues, decreased to 3.4% for the six months ended June 30, 2008 from 4.4% for the comparable period in 2007 primarily due to increased revenues.

Patent Royalty

Patent royalty expenses were \$1.7 million for the six months ended June 30, 2007. Consolidated patent royalty expenses, as a percentage of consolidated revenues, were 0.6% for the six months ended June 30, 2007. The patent licensing agreement terminated in February 2007.

CBOT Merger-Related Transaction Costs

CBOT merger-related transaction costs were \$10.9 million for the six months ended June 30, 2007. Consolidated CBOT merger-related transaction costs, as a percentage of consolidated revenues, were 4.2% for the six months ended June 30, 2007. We did not incur any CBOT merger-related transaction costs during the six months ended June 30, 2008.

Selling, General and Administrative

Consolidated selling, general and administrative expenses increased \$4.9 million, or 19.4%, to \$30.0 million for the six months ended June 30, 2008 from \$25.1 million for the comparable period in 2007. This increase was primarily due to increased technology hosting expenses, hardware and software support, marketing expenses and rent expense that resulted from the growth of our business. Consolidated selling, general and administrative expenses, as a percentage of consolidated revenues, decreased to 7.4% for the six months ended June 30, 2008 from 9.5% for the comparable period in 2007 primarily due to increased revenues.

Depreciation and Amortization

Consolidated depreciation and amortization expenses increased \$7.5 million, or 52.8%, to \$21.8 million for the six months ended June 30, 2008 from \$14.3 million for the comparable period in 2007. This increase was primarily due to additional depreciation expenses recorded on fixed asset additions incurred during 2007 and during the six months ended June 30, 2008 and due to additional amortization expenses recorded on the intangible assets associated with our acquisitions in 2007 and during the six months ended June 30, 2008. We recorded amortization expenses on the acquired intangible assets of \$7.0 million and \$4.1 million for the six months ended June 30, 2008 and 2007, respectively. Consolidated depreciation and amortization expenses, as a percentage of consolidated revenues, were 5.4% for the six months ended June 30, 2008 and 2007.

Other Income (Expense)

Consolidated other income (expense) decreased from other income of \$6.9 million for the six months ended June 30, 2007 to other expense of \$3.0 million for the six months ended June 30, 2008. This decrease primarily related to a gain recognized on the sale of an asset during the six months ended June 30, 2007. We recognized a gain of \$9.3 million during the six months ended June 30, 2007 on the sale of our former open-outcry disaster recovery site in London.

Income Taxes

Consolidated tax expense increased \$43.1 million to \$96.9 million for the six months ended June 30, 2008 from \$53.8 million for the comparable period in 2007, primarily due to the increase in our pre-tax income and an increase in our effective tax rate. Our effective tax rate increased to 35.4% for the six months ended June 30, 2008 from 33.0% for the comparable period in 2007. The effective tax rate for the six months ended June 30, 2008 is higher than the federal statutory rate primarily due to state taxes and non-deductible expenses, which are partially offset by favorable foreign income tax rates, tax exempt interest income and tax credits. The effective tax rate for the six months ended June 30, 2007 is lower than the federal statutory rate primarily due to the decision in the second quarter of 2007 to indefinitely reinvest the earnings of our foreign subsidiaries, thus eliminating the need to record U.S. taxes on these earnings.

Three Months Ended June 30, 2008 Compared to Three Months Ended June 30, 2007

Overview

Consolidated net income increased \$31.2 million, or 58.1%, to \$84.9 million for the three months ended June 30, 2008 from \$53.7 million for the comparable period in 2007. Net income from our futures segment increased \$7.4 million, or 23.3%, to \$39.2 million for the three months ended June 30, 2008 from \$31.8 million for the comparable period in 2007, primarily due to higher transaction fee revenues. Net income from our global OTC segment increased \$18.3 million, or 132.8%, to \$32.2 million for the three months ended June 30, 2008 from \$13.8 million for the comparable period in 2007, primarily due to higher transaction fee revenues and \$10.9 million in CBOT merger-related transactions costs incurred during the six months ended June 30, 2007. Net income from our market data segment increased \$5.4 million, or 67.1%, to \$13.5 million for the three months ended June 30, 2008 from \$8.1 million for the comparable period in 2007, primarily due to increased market data fees relating to our global OTC markets. Consolidated operating income, as a percentage of consolidated revenues, increased to 67.3% for the three months ended June 30, 2008 from 56.0% for the comparable period in 2007. Consolidated net income, as a percentage of consolidated revenues, increased to 43.0% for the three months ended June 30, 2008 from 39.3% for the comparable period in 2007.

Our consolidated revenues increased \$60.5 million, or 44.3%, to \$197.2 million for the three months ended June 30, 2008 from \$136.7 million for the comparable period in 2007. This increase is primarily attributable to increased trading volumes in our futures and OTC markets and increased market data fees.

Consolidated operating expenses increased \$4.2 million to \$64.4 million for the three months ended June 30, 2008 from \$60.1 million for the comparable period in 2007, representing an increase of 7.1%. This increase is primarily attributable to additional depreciation and amortization expenses recorded on fixed asset additions and intangible assets associated with acquisitions, professional services expenses incurred relating to the establishment of ICE Clear Europe and due to higher compensation expenses incurred during the three months ended June 30, 2008 primarily resulting from higher non-cash compensation expenses, partially offset by \$10.9 million in CBOT merger-related transactions costs incurred during the three months ended June 30, 2007.

Revenues

Transaction Fees

Consolidated transaction fees increased \$49.3 million, or 42.0%, to \$166.7 million for the three months ended June 30, 2008 from \$117.4 million for the comparable period in 2007. Transaction fees, as a percentage of consolidated revenues, decreased to 84.5% for the three months ended June 30, 2008 from 85.9% for the comparable period in 2007.

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Transaction fees generated in our futures segment increased \$16.3 million, or 23.0%, to \$87.1 million for the three months ended June 30, 2008 from \$70.8 million for the comparable period in 2007, while decreasing as a percentage of consolidated revenues to 44.2% for the three months ended June 30, 2008 from 51.8% for the comparable period in 2007. The increase in transaction fees was primarily due to a 20.8% increase in our futures contract volumes, which was primarily attributable to increased liquidity brought by electronic trading, new market participants and increased price volatility primarily relating to real and perceived supply and demand imbalances, geopolitical events and weather. Volumes in our futures segment increased to 58.1 million contracts during the three months ended June 30, 2008 from 48.1 million contracts during the comparable period in 2007. The increase in transaction fees also reflects greater relative volume growth for contracts traded on our ICE Futures U.S. exchange which earn a higher transaction fee or rate per contract. Average transaction fees per trading day increased 20.1% to \$1.3 million per trading day for the three months ended June 30, 2008 from \$1.1 million per trading day for the comparable period in 2007.

Transaction fees generated in our global OTC segment increased \$33.0 million, or 70.8%, to \$79.6 million for the three months ended June 30, 2008 from \$46.6 million for the comparable period in 2007 primarily due to increased trading volumes. Increased trading volumes were primarily due to increased hedging, new customers and price volatility during the three months ended June 30, 2008 relating to real and perceived supply and demand imbalances, geopolitical events and weather, and due to strategic partnerships with Platts and NGX as well as the acquisitions of ChemConnect, Inc. and Chatham Energy Partners, LLC on July 9, 2007 and October 1, 2007, respectively. Transaction fees in the global OTC segment, as a percentage of consolidated revenues, increased to 40.4% for the three months ended June 30, 2008 from 34.1% for the comparable period in 2007. Contract volumes in our global OTC segment increased 76.2% to 68.1 million contracts traded during the three months ended June 30, 2008 from 38.7 million contracts traded during the comparable period in 2007. Average transaction fees per trading day increased 68.7% to \$1.2 million per trading day for the three months ended June 30, 2008 from \$718,000 per trading day for the comparable period in 2007.

Revenues derived from electronic trade confirmation fees in our global OTC segment increased \$679,000, or 49.9%, to \$2.0 million for the three months ended June 30, 2008 from \$1.4 million for the comparable period in 2007. Consolidated electronic trade confirmation fees, as a percentage of consolidated revenues, were 1.0% for the three months ended June 30, 2008 and 2007.

Market Data Fees

Consolidated market data fees increased \$9.6 million, or 60.9%, to \$25.5 million for the three months ended June 30, 2008 from \$15.8 million for the comparable period in 2007. This increase was primarily due to increased data access fees generated in our OTC market and increased terminal fees and license fees that we receive from data vendors in exchange for the provision of real-time price information generated by our futures markets. During the three months ended June 30, 2008 and 2007, we recognized \$12.0 million and \$5.7 million, respectively, in data access fees and terminal fees in our global OTC and futures segments. The increase in the data access fees was due to both an increase in the fees charged for data access, which came into effect October 1, 2007, and an increase in the number of customers. During the three months ended June 30, 2008 and 2007, we recognized \$11.4 million and \$8.4 million, respectively, in terminal and license fees from data vendors in our futures segment. The increase in the market data fees received from data vendors in our futures segment was due to both an increase in the average charge per terminal and an increase in the number of terminals. Consolidated market data fees, as a percentage of consolidated revenues, increased to 12.9% for the three months ended June 30, 2008 from 11.6% for the comparable period in 2007.

Other Revenues

Consolidated other revenues increased \$1.6 million, or 45.6%, to \$5.0 million for the three months ended June 30, 2008 from \$3.4 million for the comparable period in 2007. Consolidated other revenues, as a percentage of consolidated revenues, were 2.5% for the three months ended June 30, 2008 and 2007.

Expenses***Compensation and Benefits***

Consolidated compensation and benefits expenses increased \$9.2 million, or 42.4%, to \$30.9 million for the three months ended June 30, 2008 from \$21.7 million for the comparable period in 2007. This increase was primarily due to a \$6.0 million increase in non-cash compensation expenses, due to higher bonus accruals that are tied to some portion of our OTC revenue performance and due to the addition of more highly skilled and compensated employees, primarily relating to acquisitions and growth in our technology staff. The non-cash compensation expenses recognized in our consolidated financial statements for our stock options and restricted stock were \$9.9 million for the three months ended June 30, 2008 as compared to \$3.9 million for the three months ended June 30, 2007. This increase was primarily due to non-cash compensation costs recognized for the performance-based restricted stock that was granted in December 2006 and December 2007, including a cumulative year-to-date adjustment of \$1.9 million that was recorded during the three months ended June 30, 2008. We currently expect to record non-cash compensation expenses of approximately \$18.4 million for the remaining six months of 2008. However, this amount could increase up to approximately \$29.8 million for the remaining six months of 2008 if the maximum performance level is met or exceeded relating to the performance-based restricted shares granted in December 2007. For a discussion of our performance-based restricted shares, see Note 8 to our consolidated financial statements and related notes included elsewhere in this Quarterly Report on Form 10-Q. Consolidated compensation and benefits expenses, as a percentage of consolidated revenues, decreased to 15.7% for the three months ended June 30, 2008 from 15.9% for the comparable period in 2007 primarily due to increased revenues.

Professional Services

Consolidated professional services expenses increased \$214,000, or 3.2%, to \$6.9 million for the three months ended June 30, 2008 from \$6.7 million for the comparable period in 2007. This increase was primarily due to \$2.2 million in professional services expenses incurred during the three months ended June 30, 2008 relating to ICE Clear Europe, our European clearing house, compared to \$862,000 incurred during the three months ended June 30, 2007. Consolidated professional services expenses, as a percentage of consolidated revenues, decreased to 3.5% for the three months ended June 30, 2008 from 4.9% for the comparable period in 2007 primarily due to increased revenues.

CBOT Merger-Related Transaction Costs

CBOT merger-related transaction costs were \$10.9 million for the three months ended June 30, 2007. Consolidated CBOT transaction costs, as a percentage of consolidated revenues, were 8.0% for the three months ended June 30, 2007. We did not incur any CBOT merger-related transaction costs during the three months ended June 30, 2008.

Selling, General and Administrative

Consolidated selling, general and administrative expenses increased \$2.7 million, or 20.6%, to \$15.7 million for the three months ended June 30, 2008 from \$13.0 million for the comparable period in 2007. This increase was primarily due to increased technology hosting expenses, hardware and software support, marketing expenses and rent expense that resulted from the growth of our business. Consolidated selling, general and administrative expenses, as a percentage of consolidated revenues, decreased to 8.0% for the three months ended June 30, 2008 from 9.5% for the comparable period in 2007 primarily due to increased revenues.

Depreciation and Amortization

Consolidated depreciation and amortization expenses increased \$3.1 million, or 40.0%, to \$10.8 million for the three months ended June 30, 2008 from \$7.7 million for the comparable period in 2007. This increase was primarily due to additional depreciation expenses recorded on fixed asset additions incurred during 2007 and during the six months ended June 30, 2008 and due to additional amortization expenses recorded on the intangible assets associated with our acquisitions in 2007 and during the six months ended June 30, 2008. We recorded amortization expenses on the acquired intangible assets of \$3.6 million and \$2.2 million for the three months ended June 30, 2008 and 2007, respectively. Consolidated depreciation and amortization expenses, as a percentage of consolidated revenues, decreased to 5.5% for the three months ended June 30, 2008 from 5.7% for the comparable period in 2007 primarily due to increased revenues.

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Other Income (Expense)

Consolidated other expense decreased from other expense of \$1.3 million for the three months ended June 30, 2007 to other expense of \$1.1 million for the three months ended June 30, 2008. This decrease primarily related to a decrease in interest expense during the three months ended June 30, 2008. Interest expense decreased \$288,000 to \$4.0 million for the three months ended June 30, 2008 from \$4.3 million for the comparable period in 2007 primarily due to a reduction in the interest rate on the outstanding credit facilities debt from 6.11% during the three months ended June 30, 2007 to 3.32% for the three months ended June 30, 2008, partially offset by \$1.5 million in interest expense recorded relating to the Russell Licensing Agreement during the three months ended June 30, 2008.

Income Taxes

Consolidated tax expense increased \$25.3 million to \$46.8 million for the three months ended June 30, 2008 from \$21.5 million for the comparable period in 2007, primarily due to the increase in our pre-tax income and an increase in our effective tax rate. Our effective tax rate increased to 35.5% for the three months ended June 30, 2008 from 28.6% for the comparable period in 2007. The effective tax rate for the three months ended June 30, 2008 is higher than the federal statutory rate primarily due to state taxes and non-deductible expenses, which are partially offset by favorable foreign income tax rates, tax exempt interest income and tax credits. The effective tax rate for the three months ended June 30, 2007 is lower than the federal statutory rate primarily due to the decision in the second quarter of 2007 to indefinitely reinvest the earnings of our foreign subsidiaries, thus eliminating the need to record U.S. taxes on these earnings.

Quarterly Results of Operations

The following table sets forth quarterly unaudited consolidated statements of income for the periods presented. We believe that this data has been prepared on substantially the same basis as our audited consolidated financial statements and includes all adjustments, consisting only of normal recurring adjustments, necessary for the fair presentation of our consolidated results of operations for the quarters presented. The historical results for any quarter do not necessarily indicate the results expected for any future period.

	Three Months Ended,				
	June 30, 2008	March 31, 2008(1)	December 31, 2007	September 30, 2007	June 30, 2007
	(In thousands)				
Revenues:					
Transaction fees, net:					
Futures:					
ICE Brent Crude futures	\$ 23,809	\$ 23,109	\$ 21,320	\$ 22,071	\$ 21,796
ICE WTI Crude futures	12,722	13,030	12,592	12,791	11,889
ICE Gas Oil futures	9,532	10,929	10,599	10,051	7,911
Sugar futures and options	21,491	26,248	12,160	12,829	14,823
Cotton futures and options	6,281	9,297	4,992	4,920	5,032
Other futures products and options	13,255	14,772	10,737	10,671	9,334
OTC:					
North American natural gas	58,205	59,543	43,410	41,665	34,275
North American power	16,157	15,702	12,627	12,212	9,713
Other commodities markets	3,171	2,849	2,393	2,199	1,237
Electronic trade confirmation services	2,041	1,953	1,725	1,681	1,362
Market data fees	25,493	24,720	23,306	17,225	15,846
Other	5,003	5,062	3,435	3,420	3,436
Total revenues	<u>197,160</u>	<u>207,214</u>	<u>159,296</u>	<u>151,735</u>	<u>136,654</u>
Operating expenses:					
Compensation and benefits	30,923	30,679	34,913	23,009	21,717
Professional services	6,928	6,972	4,820	6,650	6,714
CBOT merger-related transaction costs	—	—	33	144	10,944
Selling, general and administrative	15,680	14,337	13,457	12,170	13,002
Depreciation and amortization	10,844	10,946	9,546	8,898	7,748
Total operating expenses	<u>64,375</u>	<u>62,934</u>	<u>62,769</u>	<u>50,871</u>	<u>60,125</u>
Operating income	<u>132,785</u>	<u>144,280</u>	<u>96,527</u>	<u>100,864</u>	<u>76,529</u>
Other expense, net	(1,146)	(1,861)	(438)	(1,590)	(1,322)
Income tax expense	<u>46,775</u>	<u>50,129</u>	<u>31,437</u>	<u>32,593</u>	<u>21,514</u>
Net income	<u>\$ 84,864</u>	<u>\$ 92,290</u>	<u>\$ 64,652</u>	<u>\$ 66,681</u>	<u>\$ 53,693</u>

- (1) The financial results for the three months ended March 31, 2008 include \$2.1 million in costs associated with the closure of ICE Futures U.S.'s futures trading floors, including \$1.7 million in compensation expenses.

Liquidity and Capital Resources

Since our inception, we have financed our operations, growth and cash needs primarily through income from operations and borrowings under our credit facilities. Our principal capital requirements have been to fund capital expenditures, working capital, strategic acquisitions, and marketing and development of our electronic trading platform. We financed the cash portion of the merger with ICE Futures U.S. in 2007 with cash on hand and borrowings under a senior unsecured credit facility discussed below. We financed the other acquisitions we made in 2007 and 2008 with cash on hand and we will also finance the cash portion of the Creditex acquisition with cash on hand. In the future, we may need to incur additional debt or issue additional equity in connection with our strategic acquisitions or investments. See also “Future Capital Requirements” below.

We had consolidated cash and cash equivalents of \$362.9 million and \$119.6 million as of June 30, 2008 and December 31, 2007, respectively. We had \$17.6 million and \$141.0 million in short-term and long-term investments as of June 30, 2008 and December 31, 2007, respectively, and \$30.9 million and \$22.6 million in short-term and long-term restricted cash as of June 30, 2008 and December 31, 2007, respectively. We consider all short-term, highly liquid investments with remaining maturity dates of three months or less at the time of purchase to be cash equivalents. We classify all investments with original maturity dates in excess of three months and with maturities less than one year as short-term investments. We classify all investments that we intend to hold for more than one year as long-term investments. We classify all cash that is not available for general use, either due to FSA requirements or through restrictions in specific agreements, as restricted cash.

Cash Flow

The following tables present, for the periods indicated, the major components of net increases (decreases) in cash and cash equivalents:

	Six Months Ended June 30,	
	2008	2007
	(In thousands)	
Net cash provided by (used in):		
Operating activities	\$191,552	\$ 94,804
Investing activities	70,377	(443,043)
Financing activities	(18,660)	264,842
Effect of exchange rate changes	(8)	(8)
Net increase (decrease) in cash and cash equivalents	<u>\$243,261</u>	<u>\$ (83,405)</u>

Operating Activities

Consolidated net cash provided by operating activities was \$191.6 million and \$94.8 million for the six months ended June 30, 2008 and 2007, respectively. Net cash provided by operating activities primarily consists of net income adjusted for certain non-cash items, including depreciation and amortization and the effects of changes in working capital. Fluctuations in net cash provided by operating activities are primarily attributable to increases and decreases in our net income between periods and, to a lesser extent, due to fluctuations in working capital. The \$96.7 million increase in net cash provided by operating activities for the six months ended June 30, 2008 from the comparable period in 2007 is primarily due to the \$21.4 million increase in our futures segment’s net income, the \$34.6 million increase in our global OTC segment’s net income, and the \$11.8 million increase in our market data segment’s net income for the six months ended June 30, 2008 from the comparable period in 2007.

Investing Activities

Consolidated net cash provided by (used in) investing activities was \$70.4 million and (\$443.0 million) for the six months ended June 30, 2008 and 2007, respectively. Consolidated net cash provided by (used in) investing activities for the six months ended June 30, 2008 and 2007 primarily relates to cash paid for acquisitions, sales and purchases of available-for-sale investments, capital expenditures in each period for software, including internally developed software, and for computer and network equipment. We paid out cash for acquisitions, net of cash acquired, of \$29.6 million and \$392.1 million for the six months ended June 30, 2008 and 2007, respectively. We had a net decrease (increase) in investments classified as available-for-sale of \$123.3 million and (\$29.8 million) for the six months ended June 30, 2008 and 2007, respectively. We incurred capitalized software development costs of \$7.2 million and \$5.3 million for the six months ended June 30, 2008 and 2007, respectively, and we had additional capital expenditures of \$7.9 million and \$19.6 million for the six months ended June 30, 2008 and 2007, respectively. The additional capital expenditures primarily relate to hardware purchases to continue the development and expansion of our electronic platform and related technology infrastructure.

Financing Activities

Consolidated net cash provided by (used in) financing activities was (\$18.7 million) and \$264.8 million for the six months ended June 30, 2008 and 2007, respectively. Consolidated net cash used in financing activities for the six months ended June 30, 2008 primarily relates to \$42.0 million in cash payments related to treasury shares received for restricted stock and stock option tax payments and \$18.8 million in repayments for the credit facilities, partially offset by \$40.0 million in excess tax benefits from stock-based compensation. Consolidated net cash provided by financing activities for the six months ended June 30, 2007 primarily relates to the \$250.0 million in proceeds received from the credit facilities and \$40.1 million in excess tax benefits from stock-based compensation, partially offset by \$19.3 million in cash payments related to treasury shares received for restricted stock and stock option tax payments.

Loan Agreements

We financed the cash portion of the ICE Futures U.S. acquisition with cash on hand and borrowings under a senior unsecured credit facility, or the Credit Facilities, dated January 12, 2007. The Credit Facilities provide for a term loan facility in the aggregate principal amount of \$250.0 million and a revolving credit facility in the aggregate principal amount of \$250.0 million. We used the proceeds of the \$250.0 million term loan along with \$166.8 million of cash on hand to finance the \$416.8 million cash component of the ICE Futures U.S. acquisition. Under the terms of the Credit Facilities, we can borrow an aggregate principal amount of up to \$250.0 million under the revolving credit facility at any time until its termination on January 12, 2010. We have agreed to reserve \$50.0 million of the \$250.0 million available under the revolving credit facility for use by ICE Clear U.S. to provide short-term liquidity, if necessary, in the event of a default by a clearing member. The remaining amount under the revolving credit facility can be used by us for general corporate purposes.

As of June 30, 2008, we had a \$203.1 million three month LIBOR loan outstanding under the term loan facility with a stated interest rate of 3.30% per annum. For the borrowings under the term loan facility, we began making payments on June 30, 2007, and will make payments quarterly thereafter until January 12, 2012, the fifth anniversary of the closing date of the merger with ICE Futures U.S. The Credit Facilities include an unutilized revolving credit commitment that is equal to the unused maximum revolver amount multiplied by an applicable margin rate and is payable in arrears on a quarterly basis. The Credit Facilities require us to use 100% of the net cash proceeds raised from debt issuances or asset dispositions, with certain limited exceptions, to prepay outstanding loans under the Credit Facilities. With limited exceptions, we may prepay the outstanding loans under the Credit Facilities, in whole or in part, without premium or penalty. The Credit Facilities contain affirmative and negative covenants, including, but not limited to, leverage and interest coverage ratios, as well as limitations or required approvals for acquisitions, dispositions of assets and certain investments, the incurrence of additional debt or the creation of liens and other fundamental changes to our business. We have been and are currently in compliance with all applicable covenants under the Credit Facilities.

On June 27, 2008, we entered into a separate senior unsecured credit agreement, or the Credit Agreement, which provides for a 364-day revolving credit facility in the aggregate principal amount of \$150.0 million, which may be increased to \$200.0 million under certain conditions. The Credit Agreement is available for operational use solely by

ICE Clear Europe. No amounts are outstanding under the Credit Agreement at June 30, 2008. The Credit Agreement contains affirmative and negative covenants, including, but not limited to, leverage and interest coverage ratios, as well as limitations or required approvals for acquisitions, dispositions of assets and certain investments, the incurrence of additional debt or the creation of liens and other fundamental changes to our business. We have been and are currently in compliance with all applicable covenants under the Credit Agreement.

Future Capital Requirements

Our future capital requirements will depend on many factors, including the rate of our trading volume growth, required technology initiatives, regulatory compliance costs, the timing and introduction of new products and enhancements to existing products, and the continuing market acceptance of our electronic platform. We currently expect to make capital expenditures ranging between an aggregate of \$36 million and \$40 million in 2008, which we believe will support the enhancement of our technology and the continued expansion of our futures, OTC and market data businesses. We believe that our cash flows from operations and the \$200 million available under the revolving credit facility will be sufficient to fund our working capital needs and capital expenditure requirements at least through the end of 2009.

Contractual Obligations and Commercial Commitments

In the second quarter of 2008, there were no significant changes to our contractual obligations and commercial commitments from those disclosed in the section “Management’s Discussion and Analysis of Financial Condition and Results of Operations” in our Annual Report on Form 10-K for the year ended December 31, 2007, or our 2007 Form 10-K.

Off-Balance Sheet Arrangements

We currently do not have any relationships to unconsolidated entities or financial partnerships that have been established for the sole purpose of facilitating off-balance sheet arrangements or other contractually limited purpose.

New and Recently Adopted Accounting Pronouncements

In September 2006, the Financial Accounting Standards Board, or FASB, issued Statement of Financial Accounting Standards, or SFAS, No. 157, *Fair Value Measurements*. SFAS No. 157 defines fair value, establishes a framework for measuring fair value and expands fair value measurement disclosures. SFAS No. 157 is effective in 2008, except as amended by FASB Staff Position SFAS No. 157-2, discussed below. We adopted the effective portions of SFAS No. 157 on January 1, 2008. The impact of our adoption of SFAS No. 157 was not material to our consolidated financial statements.

In February 2007, the FASB issued SFAS No. 159, *The Fair Value Option for Financial Assets and Financial Liabilities — including an Amendment of FASB Statement No. 115*, which permits entities to choose to measure certain financial assets and financial liabilities at fair value. Unrealized gains and losses on items for which the fair value option has been elected are reported in earnings. We adopted SFAS No. 159 on January 1, 2008 and did not elect the fair value options under SFAS No. 159. The impact of our adoption of SFAS No. 159 had no effect on our consolidated financial statements.

In December 2007, the FASB issued SFAS No. 141 (revised 2007), *Business Combinations*, or SFAS No. 141(R). SFAS No. 141(R) will significantly change the accounting for business combinations. Under SFAS No. 141(R), an acquiring entity will be required to recognize all the assets acquired and liabilities assumed in a transaction at the acquisition-date fair value with limited exceptions. SFAS No. 141(R) will change the accounting treatment for certain specific acquisition related items including expensing acquisition related costs as incurred, valuing non-controlling interests at fair value at the acquisition date and expensing restructuring costs associated with an acquired business. SFAS No. 141(R) also includes a substantial number of new disclosure requirements. SFAS No. 141(R) is to be applied prospectively to business combinations for which the acquisition date is on or after January 1, 2009. We expect SFAS No. 141(R) will have an impact on our accounting for future business combinations once adopted but the extent of the impact is dependent upon the size, complexity and number of acquisitions that are made in the future.

In February 2008, the FASB issued FASB Staff Position SFAS No. 157-2, *Effective Date of FASB Statement No. 157*, or FSP No. 157-2, which delays the effective date of SFAS No. 157 from 2008 to 2009 for all non-financial assets and non-financial liabilities, except those that are recognized or disclosed at fair value in the financial statements on a recurring basis (at least annually). We do not expect our adoption of FSP No. 157-2 to have a material impact on our consolidated financial statements.

Critical Accounting Policies and Estimates

In the second quarter of 2008, there were no significant changes to our critical accounting policies and estimates from those disclosed in the section “Management’s Discussion and Analysis of Financial Condition and Results of Operations” in our 2007 Form 10-K.

Item 3. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risk in the ordinary course of business. This market risk consists primarily of interest rate risk associated with our cash and cash equivalents, short-term investments, restricted cash, long-term investments and current and long-term debt, as well as foreign currency exchange rate risk.

Interest Rate Risk

As of June 30, 2008 and December 31, 2007, our cash and cash equivalents, short-term and long-term investments and restricted cash were \$411.3 million and \$283.2 million, respectively, of which \$20.5 million and \$16.0 million, respectively, were denominated in pounds sterling and Canadian dollars. The remaining investments were denominated in U.S. dollars. We do not use our investment portfolio for trading or other speculative purposes. A hypothetical 100 basis point decrease in long-term interest rates would decrease annual pre-tax earnings by \$4.1 million, assuming no change in the amount or composition of our cash and cash equivalents, short-term and long-term investments and restricted cash.

As of June 30, 2008, we had outstanding a \$203.1 million term loan under our Credit Facilities which is subject to interest rate risk. A hypothetical 100 basis point increase in long-term interest rates would decrease annual pre-tax earnings by \$2.0 million, assuming no change in the volume or composition of our debt. We currently reset the interest rates on a quarterly basis.

Foreign Currency Exchange Rate Risk

We have foreign currency transaction risk related to the settlement of foreign currency denominated assets, liabilities and payables that occur through our foreign operations, which are received in or paid in pounds sterling, due to the increase or decrease in the period-end foreign currency exchange rates between periods. We had foreign currency transaction gains of \$325,000 and \$93,000 for the six months ended June 30, 2008 and 2007, respectively, primarily attributable to the fluctuations of pounds sterling relative to the U.S. dollar. The average exchange rate of pounds sterling to the U.S. dollar increased from 1.9706 for the six months ended June 30, 2007 to 1.9750 for the six months ended June 30, 2008.

Of our consolidated revenues, 1.4% and 1.0% were denominated in pounds sterling or Canadian dollars for the six months ended June 30, 2008 and 2007, respectively. Of our consolidated operating expenses, 16.0% and 15.7% were denominated in pounds sterling or Canadian dollars for the six months ended June 30, 2008 and 2007, respectively. As the pounds sterling or Canadian dollar exchange rate changes, the U.S. equivalent of revenues and expenses denominated in foreign currencies changes accordingly. A 10% adverse change in the underlying foreign currency exchange rates would not have a significant impact on our financial condition or results of operations.

Revenues in our businesses are denominated in U.S. dollars, except with respect to a small number of futures contracts at ICE Futures Europe and sales through ICE Futures Canada. We may experience gains or losses from foreign currency transactions in the future given there are still net assets or net liabilities and expenses of our U.K. and Canadian subsidiaries financial statements that are denominated in pounds sterling or Canadian dollars. Our

U.K. operations in some instances function as a natural hedge because we generally hold an equal amount of monetary assets and liabilities that are denominated in pounds sterling.

In connection with our acquisition of ICE Futures Canada in August 2007, we have foreign currency translation risk equal to our net investment in certain Canadian subsidiaries. The revenues, expenses and financial results of these Canadian subsidiaries are denominated in Canadian dollars, which is the functional currency of these subsidiaries. The financial statements of these subsidiaries are translated into U.S. dollars using a current rate of exchange, with gains or losses included in the cumulative translation adjustment account, a component of shareholders' equity. As of June 30, 2008, the portion of our shareholders' equity attributable to accumulated other comprehensive income from foreign currency translation was \$31.5 million. The period-end foreign currency exchange rate for the Canadian dollar to the U.S. dollar decreased from 1.0120 as of December 31, 2007 to 0.9818 as of June 30, 2008.

Impact of Inflation

We have not been adversely affected by inflation as technological advances and competition have generally caused prices for the hardware and software that we use for our electronic platform to remain constant or to decline. In the event of inflation, we believe that we will be able to pass on any price increases to our participants, as the prices that we charge are not governed by long-term contracts.

Item 4. Controls and Procedures

(a) *Evaluation of disclosure controls and procedures.* As of the end of the period covered by this report, an evaluation was carried out by our management, with the participation of our Chief Executive Officer and Chief Financial Officer, of the effectiveness of our disclosure controls and procedures (as defined in Rule 13a-15(e) under the Securities Exchange Act of 1934). Based upon that evaluation, our Chief Executive Officer and Chief Financial Officer concluded that these disclosure controls and procedures are effective as of the end of the period covered by this report.

(b) *Changes in internal controls.* There were no changes in our internal controls over financial reporting that occurred during our most recent fiscal quarter that have materially affected, or are reasonably likely to materially affect, our internal controls over financial reporting. As a result, no corrective actions were taken.

Part II. Other Information

Item 1. Legal Proceedings

On April 6, 2007, the Supreme Court of the State of New York, County of New York, granted ICE Futures U.S.'s motion to dismiss all claims brought against it in an action commenced on December 8, 2006, by certain holders of non-equity trading permits, or the Permit Holders, of ICE Futures U.S. The plaintiffs alleged that, in violation of purported contract rights and/or rights under New York's Not-For-Profit Corporation Law, ICE Futures U.S. had not allowed its Permit Holders, including the plaintiffs, to vote on the merger pursuant to which we acquired ICE Futures U.S., and had improperly denied the Permit Holders a portion of the merger consideration. Plaintiffs sought (i) to enjoin consummation of the merger, (ii) declaratory relief regarding their past and future rights as Permit Holders, and (iii) an award of unspecified damages on claims for breach of fiduciary duty, breach of contract, unjust enrichment, estoppel and fraud. In addition to dismissing its claims, the court also denied the plaintiffs' motion for a preliminary injunction. On February 4, 2008, the Permit Holders appealed the lower court's ruling dismissing their complaint but did not pursue an appeal of the lower court's denial of their request for an order enjoining the merger. The appeal was denied in its entirety by the appellate court in a decision issued on June 24, 2008. The Permit Holders may only appeal that decision with the express authorization of the appeals court. The time within which the Permit Holders may seek such authorization has not expired.

Item 1A. Risk Factors

Part I, Item 1A, “Risk Factors” of our 2007 Form 10-K includes a detailed discussion of the risks and uncertainties we currently believe may materially affect us. We urge you to read that discussion as well as the “Management’s Discussion and Analysis of Financial Condition and Results of Operations — Regulation” section of this Form 10-Q for additional information about the regulatory environment in which we operate. The information presented below supplements, and should be read in conjunction with, the risk factors and information disclosed in our 2007 Form 10-K. If any of the risks discussed in our 2007 Form 10-K or this Form 10-Q actually occur, our business, financial condition, operating results or cash flows could be materially adversely affected.

The energy commodities trading industry has been and continues to be subject to increased legislative and regulatory scrutiny, and we face the risk of changes to our regulatory environment in the future, which may diminish trading volumes on our electronic platform.

Providing facilities to trade energy products is one of our core businesses. Recently, given the high price of energy, crude oil and other commodities, the U.S. Congress has held numerous hearings regarding the proper regulation of energy trading and, in particular, the potential impact of speculation on energy prices. In addition, the U.K.’s Treasury Select Committee has also held a hearing on this issue. Currently, numerous bills are pending before the U.S. Congress addressing regulation of trading within the energy markets and additional bills may be introduced. The passage of certain bills could negatively impact our business by limiting the amount of trading that is conducted in our markets.

We currently operate our OTC markets as an “exempt commercial market” under the CEA. As such, our markets are subject to anti-fraud, anti-manipulation, access, reporting and record-keeping requirements of the CFTC. However, unlike a futures exchange, ICE is not itself a self regulatory organization that undertakes regulatory oversight of OTC trading. In May 2008, Congress passed legislation as part of the Farm Bill to increase regulation of OTC markets. The new legislation requires and grants authority to OTC electronic trading facilities to assume self regulatory responsibilities, such as market monitoring and establishing position limits or accountability levels, over contracts that serve a significant price discovery function. This legislation would require us and our OTC participants to operate under heightened regulatory burdens and incur additional costs, including recordkeeping and reporting costs, to comply with the additional regulations, and could deter some participants from trading on our OTC platform. Presently, we anticipate that our OTC Henry Hub natural gas contract, which comprised 72.9%, 73.4%, 81.6% and 76.5% of our OTC transaction volumes and 21.3%, 21.4%, 30.1% and 32.9% of our consolidated revenues in the first six months of 2008, and the fiscal years ended December 31, 2007, 2006, 2005, respectively, would be considered a “significant price discovery contract.” It is possible that the CFTC will deem additional OTC contracts traded in our markets to be “significant price discovery contracts.” Bills currently pending in the U.S. Congress could, if enacted, subject our OTC markets to a level of regulation identical or comparable to that of regulated exchanges.

In the United Kingdom, we engage in a variety of activities related to our business through subsidiary entities that are subject to supervision by the FSA. ICE Futures Europe is recognized as an investment exchange and self-regulatory organization by the FSA in accordance with the FSMA. As such, ICE Futures Europe maintains front-line regulatory responsibility for its markets and is subject to regulatory oversight by the FSA. To retain its status as a recognized investment exchange, ICE Futures Europe is required to dedicate sufficient resources to its regulatory functions and to meet various regulatory requirements relating to sufficiency of financial resources, adequacy of systems and controls and effectiveness of arrangements for monitoring and disciplining its members. Failure to comply with these requirements could subject ICE Futures Europe to significant penalties, including de-recognition. ICE Futures Europe has direct electronic access in the United States through “no action” relief from the CFTC. Several bills currently pending before the U.S. Congress would modify or eliminate this no action relief and force ICE Futures Europe to register with the CFTC as a Designated Contract Market for any energy products with a U.S. delivery point or for any contract that references the settlement price of a U.S. designated contract market, such as ICE Futures Europe’s West Texas Intermediate, or WTI, crude oil contract. Other bills would require ICE Futures Europe to adopt U.S. regulation of its energy contracts with U.S. delivery points or that references the settlement price of a U.S. designated contract market. In addition, one proposed bill in the U.S. Congress could require ICE Futures Europe to place lower position limits on energy contracts linked to settlement prices of a U.S. designated contract market than the U.S. designated contract market itself imposes. In July 2008, the U.K.’s Treasury Select

Committee held a hearing regarding the potential impact of speculation on energy prices in both ICE Futures Europe's on-exchange market and the U.K.'s OTC market. This included consideration of the CFTC's amendment of ICE Futures Europe's no action letter. While no change to legislation or regulation in the United Kingdom is currently proposed, it is possible that the regulatory environment in the United Kingdom for exchange traded energy commodities could change in the future.

In June 2008, the CFTC modified ICE Futures Europe's screen based "no action" letter to require ICE Futures Europe to adopt position limits and position accountability levels for its energy contracts for products with U.S. delivery points or which reference the settlement price of a U.S. designated contract market. The modified "no action" letter also requires ICE Futures Europe to provide additional trading information to the CFTC to permit the CFTC to incorporate such information into its large trader reporting system. The products impacted include ICE Futures Europe's WTI crude oil contract, its RBOB gasoline contract, and its New York Harbor heating oil contract. ICE Futures has until October 15, 2008 to comply with the revised terms of its "no action" letter.

In addition, the bills currently pending before the U.S. Congress could, if enacted, impose limits on the size of positions that may be established or maintained by participants in our OTC markets and could prohibit certain participants from trading in OTC markets. Further, allegations of manipulative trading by market participants or the failure of industry participants could subject us, our markets or our industry to regulatory scrutiny, possible fines or restrictions, as well as significant legal expenses and adverse publicity. These changes, if enacted, and increased regulation regarding commodity prices, market participants or the OTC and futures markets generally could materially adversely affect our business. New laws and rules applicable to us could significantly increase our regulatory compliance costs, delay or prevent us from introducing new products and services as planned and discourage some market participants from using our markets. Any of these events could lead to lower trading volumes, liquidity and transaction fees, higher operating costs and lower profitability or losses.

We are currently subject to regulation in multiple jurisdictions. Failure to comply with existing regulatory requirements, and possible future changes in these requirements or in the current interpretation of these requirements, could adversely affect our business.

ICE Futures Europe, through which we conduct our energy futures business, operates as a Recognized Investment Exchange in the United Kingdom. As a Recognized Investment Exchange, ICE Futures Europe has regulatory responsibility in its own right and is subject to supervision by the FSA pursuant to the FSMA. ICE Futures Europe is required under the FSMA to maintain sufficient financial resources, adequate systems and controls and effective arrangements for monitoring and disciplining its members. Likewise, ICE Futures U.S. operates as a Designated Contract Market. As a self-regulatory organization, it is responsible for ensuring that the exchange operates in accordance with existing rules and regulations, and must comply with eighteen core principles under the CEA. The ability of ICE Futures Europe and ICE Futures U.S. to comply with all applicable laws and rules is largely dependent on its maintenance of compliance, audit and reporting systems. We cannot assure you that these systems and procedures are fully effective. Failure to comply with current regulatory requirements and regulatory requirements that may be imposed on us in the future could subject us to significant penalties, including termination of our ability to conduct our regulated energy futures business through ICE Futures Europe and our regulated soft commodities business through ICE Futures U.S.

Electronic trading in our energy futures contracts on ICE Futures Europe is permitted in many jurisdictions around the world, including in the United States, through "no action" relief from the local jurisdiction's regulator. In the United States, direct electronic access to trading in ICE Futures Europe products is offered to U.S. persons based on a series of no action letters from the CFTC that permit non-U.S. exchanges, referred to as foreign boards of trade, to provide U.S. persons with electronic access to their markets without registration with the CFTC as a U.S. regulated exchange. Our ability to offer our current and new futures products under our existing no action relief could be impacted by any actions taken by the CFTC as a result of additional conditions being imposed on ICE Futures Europe under its no action relief. In addition, certain of the bills pending before the U.S. Congress would, if enacted, either eliminate the no action relief granted to ICE Futures Europe and other non-U.S. exchanges, or impose additional regulatory and reporting requirements as a condition for the continuation of such relief. If our offering of products through ICE Futures Europe to U.S. participants is subject to additional regulatory constraints, our business could be adversely affected.

Similarly, electronic trading in ICE Futures U.S. contracts is permitted in many jurisdictions through “no action” relief from the local jurisdiction’s regulatory requirements. With the end of open outcry trading of ICE Futures U.S. agricultural futures contracts in February 2008, the ability of ICE Futures U.S. to offer trading in these futures products in multiple jurisdictions will be dependent upon its ability to comply with the existing conditions of its no action relief in various jurisdictions and any new conditions that may be added.

New legislation, regulations or enforcement may require us to allocate more resources to regulatory compliance and oversight and may diminish confidence in our markets, which would adversely affect our business. Even the perception of unfairness or illegal behavior in our markets could adversely affect our business. In addition, the recent demise of certain hedge funds that traded energy commodities may result in additional regulation on our business or on our participants by the CFTC or the U.S. Congress. Legislative and regulatory initiatives, either in the United States, the United Kingdom or elsewhere, could affect one or more of the following aspects of our business or impose one or more of the following requirements:

- the manner in which we communicate with and contract with our participants;
- a requirement that we impose additional position limits or position accountability limits on our participants;
- prohibitions against certain categories of participants (e.g., pension funds) from accessing our markets;
- the demand for and pricing of our products and services;
- the tax treatment of trading in our products;
- a requirement that we maintain minimum regulatory capital on hand;
- a requirement that we exercise regulatory oversight of our OTC participants, and assume responsibility for their conduct;
- a requirement that we make additional reports to regulatory authorities regarding the trading activities of our participants, which would impact our financial and regulatory reporting practices;
- our record-keeping and record-retention procedures;
- the licensing of our employees; and
- the conduct of our directors, officers, employees and affiliates.

The implementation of new legislation or regulations, or changes in or unfavorable interpretations of existing regulations by courts or regulatory bodies, could require us to incur significant compliance costs and impede our ability to operate, expand and enhance our electronic platform as necessary to remain competitive and grow our business. Regulatory changes inside or outside the United States or the United Kingdom could materially and adversely affect our business, financial condition and results of operations.

Legislative or regulatory changes regarding the operation of clearing facilities or preventing them from being owned or controlled by exchanges may prevent us from operating a clearing house.

Many clearing firms have emphasized the importance to them of centralizing clearing of futures contracts and options on futures contracts to maximize the efficient use of their capital, exercise greater control over their value at risk and extract greater operating leverage from clearing activities. Many clearing firms have expressed the view that clearing firms should have a choice of where to clear their transactions or should control the governance of clearing houses. In addition, some clearing firms have expressed the view that multiple clearing houses should be consolidated and operated as utilities rather than as for-profit enterprises. Some of these firms, along with the Futures Industry Association and U.K. Futures and Options Associations, are attempting to cause legislative or regulatory changes to be adopted that would allow market participants to transfer positions from an exchange-owned clearing house (such as ICE Clear Europe) to a clearing house owned and controlled by clearing firms. Some market participants, including the U.K. Futures and Options Association, have expressed support for extending the European Union Code of Clearing and Conduct to derivatives, which would mandate clearing choice for customers through interoperability. In addition, the U.S. Department of Justice released comments on February 7, 2008

requesting the U.S. Department of Treasury to review futures markets to determine if a different regime for clearing is feasible, which could include ending exchange control of financial futures clearing to foster exchange competition. The Department of Justice comments specifically excluded markets for commodity futures, such as energy and agricultural futures markets. In addition, several Members of the U.S. Congress have advocated for higher margins on futures products, which could change the way we collect margin or operate the risk management functions of our clearing houses. If these legislative or regulatory changes are adopted, alternative clearing houses may seek to clear positions established on our exchanges. Even if they are not successful in their efforts, the factors described above may cause clearing firms to limit the use of our clearing houses. If any of these events occur, our revenues and profits would be materially and adversely affected.

Our cost structure is largely fixed. If our revenues decline and we are unable to reduce our costs, or if our expenses increase without a corresponding increase in revenues, our profitability will be adversely affected.

Our cost structure is largely fixed and we expect that it will continue to be largely fixed in the foreseeable future. We base our expectations of our cost structure on historical and expected levels of demand for our products and services as well as our fixed operating infrastructure, such as computer hardware and software, leases, hosting facilities and security and staffing levels. If demand for our current products and services declines, our revenues will decline. If demand for future products that we acquire or license is not to the level necessary to offset the cost of the acquisition or license, our net income would decline. For example, we have incurred significant costs to secure the exclusive license with the Russell Investment Group for listing Russell's index futures. The costs we incurred to secure the exclusive license will be amortized over the next several years. If our clearing and execution fees for the Russell index futures is not sufficient to offset the amortization cost, our net income will decrease. We may not be able to adjust our cost structure on a timely basis to counteract a decrease in revenue or net income, which would result in an adverse impact on our profitability.

The nature and role of ICE Futures U.S.'s self-regulatory responsibilities may change.

Some financial services regulators have publicly stated their interest in evaluating the ability of a financial exchange, organized as a for-profit corporation, to adequately discharge its self-regulatory responsibilities. ICE Futures U.S.'s regulatory programs and capabilities contribute significantly to its brand name and reputation. We cannot assure you that ICE Futures U.S. will not be required to further modify or restructure its corporate governance or regulatory functions in order to address these or other concerns. For example, the CFTC adopted, but recently stayed implementation of, final rules to minimize conflicts of interest on boards of directors of registered, futures exchanges, or designated contract markets. The new rules provided a safe harbor to designated contract markets that had at least 35% of their board of directors comprised of persons with no material relationship to the designated contract market or its members and who therefore were deemed to be "public directors." While the rules regarding conflicts of interest that were stayed would not likely result in costly or burdensome changes at ICE Futures U.S., implementation of such rules could alter the composition of ICE Futures U.S.'s board of directors and any future new rules, modifications of existing rules or restructuring of regulatory functions could entail material costs.

Item 2. Unregistered Sales of Equity Securities and Use of Proceeds

None.

Item 3. Defaults Upon Senior Securities

None.

Item 4. Submission of Matters to a Vote of Security Holders

Our annual meeting of shareholders was held in Atlanta, Georgia on May 15, 2008. At the annual meeting, the shareholders were presented with two proposals as set forth in our annual proxy statement, both of which were approved.

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Out of 70,512,717 shares of stock entitled to vote at such meeting based upon the record date of March 18, 2008, there were present in person or by proxy an aggregate of 59,169,405 shares, constituting a quorum. The following sets forth detailed information regarding the results of the voting at the meeting for each proposal:

Proposal 1. The shareholders elected the following directors to serve for the ensuing year.

Name of Nominee	Number of Votes For	Number of Votes Withheld
Charles R. Crisp	57,655,772	1,513,633
Jean-Marc Forneri	30,490,067	28,679,338
Fred W. Hatfield	53,443,330	5,726,075
Terrence F. Martell	57,602,368	1,567,037
Sir Robert Reid	57,526,613	1,642,792
Frederic V. Salerno	54,291,303	4,878,102
Frederick W. Schoenhut	57,554,976	1,614,429
Jeffrey C. Sprecher	56,850,127	2,319,278
Judith A. Sprieser	56,517,405	2,652,000
Vincent Tese	56,707,446	2,461,959

Proposal 2. The shareholders ratified the appointment by the Audit Committee of the Board of Directors of Ernst & Young LLP as our independent registered public accounting firm for 2008.

For	Against	Abstain
57,798,239	908,301	462,865

Item 5. Other Information

None.

Item 6. Exhibits

Exhibit Number	Description of Document
10.1	— IntercontinentalExchange, Inc. 2005 Equity Incentive Plan, as amended on May 15, 2008.
10.2	— Agreement and Plan of Merger by and among IntercontinentalExchange, Inc., Columbia Merger Corporation, Creditex Group Inc. and TA Associates, Inc. dated June 3, 2008.
10.3	— Second Amendment to \$500,000,000 Credit Agreement among IntercontinentalExchange, Inc. and Wachovia Bank, National Association, as Administrative Agent, Bank of America, N.A., as Syndication Agent, and the Lenders named therein dated as of June 13, 2008 (incorporated by reference to Exhibit 10.1 to our Current Report on Form 8-K, filed with the SEC on June 19, 2008, File No. 001-32671).
10.4	— \$150,000,000 Credit Agreement, dated as of June 27, 2008, among IntercontinentalExchange, Inc. Wachovia Bank, National Association, as Administrative Agent, Bank of America, N.A., as Syndication Agent, and other Lenders named therein (incorporated by reference to Exhibit 10.1 to ICE's Current Report on Form 8-K, filed with the SEC on July 3, 2008, File No. 001-32671).
31.1	— Rule 13a-14(a)/15d-14(a) Certification of Chief Executive Officer
31.2	— Rule 13a-14(a)/15d-14(a) Certification of Chief Financial Officer
32.1	— Section 1350 Certification of Chief Executive Officer
32.2	— Section 1350 Certification of Chief Financial Officer

SIGNATURE

Pursuant to the requirements of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

INTERCONTINENTALEXCHANGE, INC.
(Registrant)

Date: August 4, 2008

By: /s/ Scott A. Hill
Scott A. Hill
Senior Vice President, Chief Financial Officer
(Principal Financial Officer and
Principal Accounting Officer)

INTERCONTINENTALEXCHANGE, INC.
2005 EQUITY INCENTIVE PLAN

Amended and Restated Effective as of May 15, 2008

1. Purpose. The purpose of the Plan is to provide an incentive to attract, retain and reward individuals performing services for the Company and to motivate such individuals to contribute to the growth and profitability of the Company.

The Plan permits the grant of Incentive Stock Options, Nonstatutory Stock Options, Stock Appreciation Rights, Restricted Stock, and Restricted Stock Units.

2. Administration.

(a) Powers of the Administrator. The Plan shall be administered by the Administrator. Subject to Applicable Laws and the provisions of the Plan, the Administrator shall have all powers and discretion necessary or appropriate to administer the Plan, including, but not limited to, the power to (i) select the persons to be granted Awards under this Plan, (ii) to determine the number of shares subject to each Award, (iii) to determine the exercise price or purchase price of each Award, (iv) to set the terms and conditions of each Award, (v) to determine whether Awards will be settled in Shares, cash or in any combination thereof, (v) to adopt such rules and procedures as it deems necessary or appropriate for the administration, interpretation and application of the Plan, and (vi) to determine all other matters relating to administration and operation of the Plan. The terms and conditions of each Option includes whether an Option should be an ISO or an NSO. All questions of interpretation, implementation, and application of the Plan shall be determined by the Administrator in its sole discretion. Such determinations shall be final and binding on all persons, and shall be given the maximum deference permitted by law. All determinations of the Administrator shall be made by a majority of its members either present in person or participating by conference telephone at a meeting or by written consent. No member of the Board or the Committee that acts as Administrator shall be liable for any act or omission on such member's own part, including but not limited to, the exercise of any power or discretion given to such member under the Plan, except for those acts or omissions resulting from such member's own gross negligence or willful misconduct.

(b) Delegation of Authority. Subject to Applicable Laws, the Administrator shall have the right, from time to time, to delegate to one or more executive officers of the Company the authority of the Administrator to grant and determine the terms and conditions of Awards granted under the Plan, subject to the requirements of Section 157(c) of the Delaware General Corporation Law (or any successor provision) and such other limitations as the Administrator shall determine. In no event shall any such delegation of authority be permitted with respect to Awards granted to any member of the Board or to any person who is subject to Rule 16b-3 under the Exchange Act or is a covered employee under Section 162(m) of the Code. The Administrator shall also be permitted to delegate, to any appropriate executive officer of the Company, responsibility for performing certain ministerial functions under the Plan. In the event that the Administrator's authority is delegated to executive officers in accordance with the foregoing, all provisions of the Plan relating to the Administrator shall be interpreted in a manner

consistent with the foregoing by treating any such reference as a reference to such executive officer for such purpose. Any action undertaken in accordance with the Administrator's delegation of authority hereunder shall have the same force and effect as if such action was undertaken directly by the Administrator and shall be deemed for all purposes of the Plan to have been taken by the Administrator.

(b) Section 409A of the Code. The Administrator may only grant those Awards that either comply with the applicable requirements of Section 409A of the Code, or do not result in the deferral of compensation within the meaning of Section 409A of the Code.

3. Shares Subject to the Plan

(a) Number of Shares. The maximum number of Shares that may be issued under the Plan is 2,125,000 (prior to November 21, 2005, 8,500,000), subject to limited re-issuance as indicated below. This limit is subject to adjustment as provided in Section 3(c). The Shares may be authorized, but unissued Shares, or reacquired Shares. Shares shall not be deemed to have been issued pursuant to the Plan with respect to any portion of an Award that is settled in cash. Upon payment in Shares pursuant to the exercise or settlement of an Award, the number of Shares available for issuance under the Plan shall be reduced only by the number of Shares actually issued in such payment.

(b) Lapsed Awards. If an Option or SAR expires, is surrendered, or becomes unexercisable without having been exercised in full, or if any unissued Shares are retained by the Corporation upon exercise of an Option or SAR in order to satisfy the exercise price or any withholding taxes due with respect to such exercise, the unissued or retained Shares shall become available for future grant under the Plan (unless the Plan has terminated). If unvested Shares are forfeited (repurchased by the Corporation at their original purchase price), such Shares shall also become available for future grant under the Plan, but the total number of such forfeited Shares that become available may not exceed twice the maximum number set forth above (subject to adjustment as provided in Section 3(c)). Other Shares that actually have been issued under the Plan pursuant to an Award shall not be returned to the Plan and shall not become available for future grant under the Plan. Upon the exercise of any Award granted in tandem with any other Award, such related Award shall be cancelled to the extent of the number of Shares as to which the Award is exercised and, notwithstanding the foregoing, such number of Shares shall no longer be available for Awards under the Plan.

(c) Adjustments in Awards and Authorized Shares. In the event of any merger, consolidation, reorganization, recapitalization, stock dividend, stock split, reverse stock split, separation, liquidation or other change in the corporate structure or capitalization affecting the Shares, appropriate adjustment shall be made by the Administrator in the kind, exercise price (or purchase price, as applicable), and number of Shares (including, but not limited to, the maximum number of Shares reserved under the Plan) that are or may become subject to Awards granted or to be granted under the Plan; provided, however, any adjustment to an outstanding Option or SAR shall comply with Section 424 of the Code. The determination by the Administrator as to the terms of any of the foregoing adjustments shall be conclusive and binding on all persons.

(d) Limitations.

(i) Subject to adjustment as provided in Section 3(c), not more than an aggregate of 2,125,000 (prior to November 21, 2005, 8,500,000) Shares may be issued under ISOs.

(ii) Effective on or after the Listing Date, subject to adjustment as provided in Section 3(c) above, the maximum number of Shares with respect to which Options or SARs, or a combination thereof, may be granted during any calendar year to any individual Grantee shall be 250,000 (prior to November 21, 2005, 1,000,000), and the maximum number of Shares with respect to which Restricted Stock or RSUs, or a combination thereof, may be granted during any calendar year to any individual Grantee shall be 125,000 (prior to November 21, 2005, 500,000). For persons hired on or after adoption of the Plan by the Board, these limits can be increased to 500,000 (prior to November 21, 2005, 2,000,000) Shares with respect to which Options or SARs may be granted, and 250,000 (prior to November 21, 2005, 1,000,000) Shares with respect to Restricted Stock or RSUs may be granted during any calendar year. These limitations shall be applied and construed consistently with Section 162(m) of the Code.

4. Eligibility. The Administrator may grant an Award to any natural person (or any other person if the securities law requirements are met) who is an employee, consultant, or director of the Company, as selected in the sole discretion of the Administrator.

5. Stock Options.

(a) Grant of Options. Subject to the terms and conditions of the Plan, the Administrator, at any time and from time to time, may grant Options. Each Option granted under the Plan shall be authorized by action of the Administrator and shall be evidenced by an Award Agreement.

(b) ISOs or NSOs. Options granted under the Plan shall be designated by the Administrator as either ISOs or NSOs. The Company does not represent or warrant that an Option intended to be an ISO qualifies as such. To the extent that the aggregate Fair Market Value (determined as of the date the Option is granted) of the Shares with respect to which ISOs are exercisable for the first time by any individual during any calendar year (under all plans of the Company) exceeds one-hundred thousand dollars (\$100,000), the Option shall be treated as an NSO. If an ISO is exercised more than three (3) months after the date on which Grantee ceases to be an employee (other than by reason of death or Disability), the Option will be treated as an NSO, and not an ISO, as required by Section 422 of the Code.

(c) Option Exercise Price. The exercise price for the Shares to be issued pursuant to the exercise of an Option shall be determined by the Administrator; provided, however, in the case of an ISO, and an NSO intended to qualify as “performance-based compensation” within the meaning of Section 162(m) of the Code, the per Share exercise price shall be not less than one hundred percent (100%) of the Fair Market Value of a Share on the date of grant.

(d) Time of Exercise. An Option shall become exercisable as specified in the Award Agreement. An Option shall not be exercisable after the 10th anniversary of the date of grant.

(e) Vesting.

(i) Shares shall become vested as specified in the Award Agreement. Vesting may be immediate or deferred. Vesting may be time-based or performance-based. Shares acquired on exercise of an Option shall first be attributable to vested Shares, then unvested Shares. Shares shall cease to vest at the time of termination of Service.

(ii) Shares acquired under the Plan that have not vested may be repurchased by the Corporation at the lesser of the original exercise price or the Shares' Fair Market Value if the Grantee's Service with the Company is terminated for any reason or no reason, with or without Cause. The Corporation may assign any unvested Share repurchase right it may have, whether or not then exercisable, to such person or persons as may be selected by the Corporation. The Corporation may require the Grantee to place certificates for any unvested Shares in escrow under reasonable terms established by the Administrator.

(iii) Upon the occurrence of a Change in Control, the unvested Share repurchase right shall lapse to the same extent as Options become exercisable pursuant to Section 8.

(iv) The unvested Share repurchase right may be exercised by written notice to Grantee within 90 days after termination of Grantee's Service (or exercise of the Option, if later). If notice is not given within such 90-day period, the repurchase option shall terminate unless the parties have extended the time for its exercise. Cash payment (or cancellation of purchase money indebtedness) must be made by the thirtieth (30th) day after the date of the written notice to Grantee of the exercise of the repurchase right.

(f) Special Rules for 10% Owners. The exercise price of an ISO granted to an individual who owns stock possessing more than ten percent (10%) of the combined voting power of all classes of stock of the Corporation shall not be less than one hundred ten percent (110%) of the fair market value of a Share on the date of grant. No ISO granted to an individual who owns stock possessing more than ten percent (10%) of the total combined voting power of all classes of stock shall be exercisable after the expiration of five (5) years from the date of grant. For purposes of determining whether an employee owns stock possessing more than ten percent (10%) of the total combined voting power of all classes of stock, an employee shall be considered as owning the stock owned, directly or indirectly, by or for his or her brothers and sisters (whether by the whole or half blood), spouse, ancestors, and lineal descendants. Stock owned, directly or indirectly, by or for a corporation, partnership, estate, or trust shall be considered as being owned proportionately by or for its stockholders, partners, or beneficiaries. Stock with respect to which the employee holds an Option shall not be counted.

(g) Payment of Exercise Price. The exercise price for Shares purchased under an Option shall be paid in full by delivery of consideration equal to the product of the Option exercise price and the number of Shares purchased. Subject to Applicable Laws, in the sole discretion of the Administrator, payment of any Option's exercise price may be made in cash, by check or cash equivalent, or as provided otherwise in this section, partly or wholly.

(i) By Tender of Stock. If the exercise occurs on or after the Listing Date, payment may be made by tender to the Corporation of Shares owned by Grantee or delivery of a properly executed form of attestation of ownership of Shares as the Administrator may require (including withholding of Shares otherwise deliverable upon exercise of the Option), which have a Fair Market Value on the date of tender or attestation equal to the aggregate exercise price of the Shares as to which said Option shall be exercised. Unless otherwise allowed under the Award Agreement, an Option may not be exercised by tender to the Corporation of Shares or attestation unless such Shares (i) have been owned by Grantee for more than six (6) months (or any shorter period necessary to avoid a charge to the Corporation's earnings for financial reporting purposes), (ii) were not acquired, directly or indirectly, from the Corporation or (iii) are to pay required taxes as described in Section 11(n).

(ii) By Cashless Exercise. If the exercise occurs on or after the Listing Date, and to the extent not prohibited by Section 402 of the Sarbanes-Oxley Act of 2002, by delivery of a properly executed exercise notice, together with irrevocable instructions, to

(a) a brokerage firm designated by the Corporation to deliver promptly to the Corporation the aggregate amount of sale or loan proceeds to pay the Option exercise price and any withholding tax obligations that may arise in connection with the exercise and

(b) the Corporation to deliver the certificates for such purchased shares directly to such brokerage firm, all in accordance with the regulations of the Federal Reserve Board.

(iii) Such other medium as the Administrator determines, in its sole discretion.

(h) Exercise of Option. Any Option granted hereunder shall be exercisable according to the terms of the Plan and at such times and under such conditions as determined by the Administrator and set forth in the Award Agreement. An Option will be deemed exercised when the Corporation receives: (i) written notice from the Grantee to the Corporation at the address specified in the Award Agreement, and (ii) full payment for the Shares with respect to which the Option is exercised (together with any applicable withholding taxes). After receiving proper notice of exercise and payment, the Corporation shall issue Shares as evidenced by issuing a certificate(s) for the Shares purchased or by the appropriate entry on the books of the Corporation or of a duly authorized transfer agent of the Corporation. Until the Shares are issued (as evidenced as described in preceding sentence), no right to vote or to receive dividends or any other rights as a stockholder shall exist with respect to the awarded stock, notwithstanding the exercise of the Option. The Corporation will issue such Shares as soon as practicable after exercise.

(i) Termination of Option.

(1) Termination of Service. If a Grantee's Service terminates, his or her rights to exercise an Option then held shall be limited. Grantee's Service shall not be deemed to have terminated merely because of a change in the capacity in which Grantee renders Service or a change in the Company, provided that there is no interruption or termination of Grantee's employment or service. Grantee's Service with the Company shall be treated as continuing

intact while the Grantee is on military leave, sick leave, or other bona fide leave of absence (such as temporary employment by the government) approved by the Company if the period of such leave does not exceed three (3) months, or, if longer, so long as the Grantee's right to reemployment with the Corporation is provided either by statute or by contract. Where the period of leave exceeds three (3) months and where the Grantee's right to reemployment is not provided either by statute or by contract, Service will be deemed to have terminated on the first day immediately following such three-month period. Subject to the foregoing, the Administrator, in its sole discretion, shall determine whether Grantee's Service has terminated and the effective date thereof.

(2) Regular Termination. Except as otherwise provided in paragraphs (3) through (5), if a Grantee's Service terminates, Grantee shall have the right for a period of three (3) months after the date of termination to exercise the Option to the extent Grantee was entitled to exercise the Option on that date; provided, however, that the date of exercise is in no event after the expiration of the term of the Option. To the extent the Option is not exercised within this period, the Option will terminate.

(3) Termination by Disability. If a Grantee terminates Service by reason of Disability, Grantee or his or her qualified representative shall have the right for a period of twelve (12) months after the date on which Grantee's Service ends to exercise the Option to the extent Grantee was entitled to exercise the Option on that date, provided the date of exercise is in no event after the expiration of the term of the Option. To the extent the Option is not exercised within this period, the Option will terminate.

(4) Termination Upon Death. If a Grantee dies while in Service, the person who acquired the right to exercise the Option by bequest or inheritance or by reason of the death of the Grantee shall have the right for a period of twelve (12) months after the date of death to exercise the Option to the extent Grantee was entitled to exercise the Option on that date, provided the date of exercise is in no event after the expiration of the term of the Option. To the extent the Option is not exercised within this period, the Option will terminate.

(5) Termination for Cause. If a Grantee's Service is terminated by the Company for Cause, Grantee shall have no right to exercise the Option, and the Option will terminate.

(6) Award Agreement. The Award Agreement may provide rules different from those set forth in subsections (1) through (5), provided that an Option may not be exercisable for more than three (3) months after the termination of Service (12 months if Service terminated by Disability as provided in Section 5(i)(3) or upon Death as provided in Section 5(i)(4)) unless the Committee concludes that a longer exercise period would not make variable accounting mandatory.

(j) Modification, Extension, and Renewal. Within the limitations of the Plan, the Administrator shall have the power to modify, extend, or renew outstanding Options and authorize the grant of new Options in substitution therefor, provided that any such action may not have the effect of significantly impairing any rights or obligations of any Option previously

granted without the consent of Grantee. The Administrator shall consider the impact of Section 409A of the Code on any such modification, extension, renewal, or substitution grant.

6. Stock Appreciation Rights.

(a) Grant of SARs. Subject to the terms and conditions of the Plan, the Administrator, at any time and from time to time, may grant SARs separately, or in tandem with any Options that have been or are granted under the Plan.

(b) Terms and Conditions. Each SAR granted under the Plan shall be subject to the same terms and conditions that apply to Options pursuant to Section 5 herein, except as otherwise provided in this Section 6 or by the Administrator. Each SAR granted under the Plan shall be evidenced by an Award Agreement.

(c) Exercise. An SAR shall be deemed exercised when the Corporation receives written notice of the exercise from the Grantee to the Corporation at the address specified in the Award Agreement.

(d) Tandem SARs. An SAR granted in tandem with a related Option shall entitle the holder of the related Option to surrender to the Corporation the unexercised portion of the related Option and to receive from the Corporation in exchange therefor an amount equal to the excess of the Fair Market Value of one Share on the date the right is exercised over the exercise price per Share times the number of Shares covered by the portion of the Option that is surrendered. At the discretion of the Administrator, the payment upon exercise may be in cash, in Shares, or in a combination thereof. A tandem SAR shall have the same other terms and provisions as the related Option. Any SAR granted in tandem with an ISO shall be designed to meet the requirements of Section 422 of the Code. SARs shall be canceled to the extent the related Options are exercised, and the related Options shall be canceled to the extent the SARs are exercised.

(e) Stand-Alone SARs. Upon exercise of a stand-alone SAR, a Grantee shall be entitled to receive from the Corporation an amount equal to the excess of the Fair Market Value of one Share on the date of exercise over the exercise price per Share times the number of Shares with respect to which the SAR is exercised. At the discretion of the Administrator, the payment upon SAR exercise may be in cash, in Shares, or in a combination thereof.

7. Restricted Stock and Restricted Stock Units.

(a) Grant of Restricted Stock. Subject to the terms and provisions of the Plan, the Administrator, at any time and from time to time, may grant Restricted Stock and Restricted Stock Units in such amounts as the Administrator, in its sole discretion, shall determine. Each Restricted Stock and Restricted Stock Unit Award shall be evidenced by an Award Agreement.

(b) Consideration for Awards. Restricted Stock Awards may be for past services, for future services, or for any other consideration, provided that at least the par value of each Share transferred pursuant to such Awards must be for consideration other than future services.

(c) Vesting and Forfeiture. The Award Agreement shall provide a vesting schedule. Vesting may be immediate or deferred. Vesting may be time-based or performance-based (as determined by the achievement of Performance Goals). If a Grantee's Service terminates during the applicable Restriction Period or portion thereof to which forfeiture conditions apply, any unvested Shares of Restricted Stock and Restricted Stock Units shall be forfeited, and the Corporation shall pay the Grantee \$0.01 for each unvested Share of Restricted Stock, whether or not the Shares have been issued. For this purpose, a Grantee shall be treated as continuing to provide Services while the Grantee is on military leave, sick leave, or any other bona fide leave of absence (to be determined in the sole and absolute discretion of the Administrator). Notwithstanding the foregoing, the Administrator may provide, by rule or regulation or in any Award Agreement, or may determine in any individual case, that restrictions or forfeiture conditions relating to Restricted Stock and Restricted Stock Units shall be waived in whole or in part in the event of terminations resulting from specified causes, and the Administrator may in other cases waive in whole or in part the forfeiture of Restricted Stock and Restricted Stock Units.

(d) Time of Issuance or Payment. Each Restricted Stock Award Agreement and Restricted Stock Unit Award Agreement shall state the time that the Shares shall be issued, or amounts paid, to the Grantee. The issuance or payment may be immediate (as soon as administratively feasible) or deferred (at any later time, provided that the issuance may not be more than ten years after the effective date of the Award), before or after vesting. Issuance or payment may be accelerated by events such as a Change in Control, an initial public offering (IPO), sale of the Corporation or all or substantially all of the Corporation's assets, or termination of Services, but may not be deferred for more than ten (10) years. Upon issuance of Shares, the Shares shall be fully paid and nonassessable and shall be issued in the name of the Grantee; however, at the request of the Grantee, the Shares may be issued in the names of the Grantee and his or her spouse (i) as joint tenants with right of survivorship, (ii) as community property, or (iii) as tenants in common without right of survivorship or may be issued in the name of a child or a family trust. Until issuance, unless the Administrator determines otherwise, Shares shall be held by the Corporation as escrow agent.

(e) Other Restrictions. The Administrator, in its sole discretion, may impose such other restrictions on Shares of Restricted Stock and Restricted Stock Units as it may deem advisable or appropriate.

(f) Modification, Extension, and Renewal of Restricted Stock and RSU Awards. Within the limitations of the Plan, the Administrator may modify, extend, or renew outstanding Awards of Restricted Stock and Restricted Stock Units or accept the cancellation of such outstanding Awards (to the extent the Shares have not been issued) for the granting of new Awards in substitution therefore. The foregoing notwithstanding, no modification of an Award shall, without the consent of the Grantee, alter or impair any rights or obligations under any Award previously granted. The Administrator shall consider the impact of Section 409A of the Code on any such modification, extension, renewal, or substitution grant.

8. Change in Control. An Award's exercisability (or Restriction Period, as applicable) and term may be affected by a Change in Control, as described in this section.

(a) Optional Assumption or Substitution . At the time of a Change in Control, the surviving, continuing, successor or purchasing corporation or parent corporation thereof, as the case may be (the “Acquiror”), may either assume the Corporation’s rights and obligations with respect to outstanding Awards or substitute for outstanding Awards substantially equivalent Awards for the Acquiror’s stock. If the Acquiror is the same corporate entity as the Corporation, or its successor by merger, a reaffirmation of the Award shall be treated as an assumption, and a failure to reaffirm shall be treated as a failure to assume. Any assumption or substitution of an Option or SAR shall be designed to meet the requirements of Section 424 of the Code.

(b) No Assumption or Substitution — Options and SARs . Unless otherwise determined by the Administrator, if the Acquiror does not assume or substitute for outstanding Options and SARs in connection with a Change in Control, a Grantee’s outstanding Options and SARs shall become fully vested and exercisable as of the date seven (7) days before the Effective Date of the Change in Control. The Administrator shall notify the Grantee in writing or electronically that the Option or SAR shall be exercisable. The vesting and exercise of any Option or SAR that was permissible solely by reason of a Change in Control shall be conditioned upon consummation of the Change in Control. Options and SARs that are neither assumed nor substituted for by the Acquiror in connection with a Change in Control, nor exercised as of the time of the Change in Control, shall terminate and cease to be outstanding.

(c) No Assumption or Substitution — Restricted Stock and RSUs . Unless otherwise determined by the Administrator, if the Acquiror does not assume or substitute for a Grantee’s outstanding Restricted Stock or Restricted Stock Units in connection with a Change in Control, the Grantee’s outstanding Restricted Stock and Restricted Stock Units shall become fully vested as of the Effective Date of the Change in Control. The vesting of any Restricted Stock and Restricted Stock Unit that was permissible solely by reason of a Change in Control shall be conditioned upon consummation of the Change in Control. Shares that have not previously been issued under Restricted Stock or Restricted Stock Units, as applicable, that are neither assumed nor substituted for by the Acquiror in connection with a Change in Control shall be issued.

(d) Award Agreement . The Award Agreement may provide rules different from those set forth in subsections (a) through (c).

9. Securities Law Requirements . Shares shall not be issued pursuant to the exercise or settlement of an Award unless the exercise or settlement of such Award and the issuance and delivery of such Shares pursuant thereto shall comply with all Applicable Laws, and shall be further subject to the approval of counsel for the Corporation with respect to such compliance. As a condition to the exercise or receipt of an Award, the Company may require the person exercising or receiving such Award to represent and warrant at the time of any such exercise or receipt that the Shares are being purchased only for investment and without any present intention to sell or distribute such Shares if, in the opinion of counsel for the Corporation, such a representation is required by any Applicable Laws. The inability of the Corporation to obtain, from any regulatory body having jurisdiction, the authority deemed by the Corporation’s counsel to be necessary for the lawful issuance and sale of any Shares hereunder or the unavailability of an exemption from registration for the issuance and sale of any Shares hereunder shall relieve the Corporation of any liability in respect of the nonissuance or sale of such Shares as to which such requisite authority shall not have been obtained.

10. Restrictions on Shares Issued . The Corporation (or a representative of the Corporation's underwriter(s)) may, in connection with the first underwritten registration of the offering of any securities of the Corporation, require that Grantee not sell, dispose of, transfer, make any short sale of, grant any option for the purchase of, or enter into any hedging or similar transaction with the same economic effect as a sale with respect to, any Shares or other securities of the Corporation held by Grantee, for a period of time specified by the underwriter(s) (not to exceed 12 months) following the Corporation's effective date of registration. Grantee will execute and deliver such other agreements that are reasonably requested by the Corporation or the underwriter(s) that are consistent with the foregoing or that are necessary to give further effect thereto, and the Corporation may impose stop-transfer instructions with respect to Grantee's Shares until the end of such specified period.

11. Miscellaneous .

(a) No Rights to Awards . Nothing in the Plan shall be construed to give any person any right to be granted an Award.

(b) No Employment Rights . Neither the Plan nor the granting of an Award nor any other action taken pursuant to the Plan shall constitute or be evidence of any agreement or understanding, express or implied, that the Company will utilize Grantee's services for any period of time, or in any position, or at any particular rate of compensation.

(c) No Stockholders' Rights . A Grantee, or a transferee of a Grantee, shall have no rights as a stockholder with respect to any Shares covered by his or her Award until the Shares are issued. No adjustment shall be made for dividends (ordinary or extraordinary, whether in cash, securities, or other property), distributions, or other rights for which the record date is prior to the date the Shares are issued.

(d) Transferability . Unless otherwise provided in an Award Agreement, Awards may not be sold, pledged, assigned, hypothecated, transferred, or disposed of in any manner by the Grantee, whether by operation of law or otherwise, other than by will or by the laws of descent and distribution, and all Awards granted under the Plan shall be exercisable during the Grantee's lifetime only by the Grantee, or by the Grantee's legal representative or guardian in the event of the Grantee's incapacity; provided, however, that an NSO may be transferred upon the approval of the Administrator (in its sole discretion) by appropriate instrument to an inter vivos or testamentary trust in which the Option is to be passed to the Grantee's beneficiaries upon the Grantee's death or by gift to the Grantee's immediate family (consisting of the Grantee's child, stepchild, grandchild, parent, stepparent, grandparent, spouse, sibling, mother-in-law, father-in-law, son-in-law, daughter-in-law, brother-in-law, or sister-in-law, and shall include adoptive relationships). Any such purported assignment, sale, transfer, delegation, or other disposition in violation of this Section 11(d) shall be null and void. If the Administrator makes an Award transferable, such Award shall contain such additional terms and conditions as the Administrator deems appropriate.

(e) Claims . Any person who makes a claim for benefits under the Plan or under any Award Agreement entered into pursuant to the Plan shall file the claim in writing with the

Administrator. Written notice of the disposition of the claim shall be delivered to the claimant within 60 days after filing. If the claim is denied, the Administrator's written decision shall set forth (i) the specific reason or reasons for the denial, (ii) a specific reference to the pertinent provisions of the Plan or Award Agreement on which the denial is based, and (iii) a description of any additional material or information necessary for the claimant to perfect his or her claim and an explanation of why such material or information is necessary. If the Administrator describes additional material or information and such material or information is available, the claimant may resubmit the claim within 60 days after the claim is denied. No lawsuit may be filed by the claimant until a claim is made and denied pursuant to this subsection. The claimant may not present additional material or information in connection with any lawsuit unless the material or information has first been submitted to the Administrator in connection with the original claim or in connection with a resubmission within 60 days after the claim was denied.

(f) Attorneys' Fees. In any legal action or other proceeding brought by either party to enforce or interpret the terms of the Award Agreement, the prevailing party shall be entitled to recover reasonable attorneys' fees and costs.

(g) Confidentiality. The terms and conditions of the Award Agreement, including without limitation the number of Shares for which the Option is granted, are confidential. Grantee shall not disclose the terms of the Option to any third party, except to Grantee's financial or legal advisors, tax preparer or family members, unless disclosure is required by law.

(h) Corporation Free to Act. An Award grant shall not affect in any way the right or power of the Corporation or its stockholders to make or authorize any or all adjustments, recapitalizations, reorganizations, or other changes in the Company's capital structure or its business, or any merger or consolidation of any member of the Company or any issue of bonds, debentures, or preferred or preference stocks affecting the Shares or the rights thereof, or of any rights, options, or warrants to purchase any capital stock of the Corporation, or the dissolution or liquidation of the Corporation, any sale or transfer of all or any part of its assets or business, or any other corporate act or proceedings of the Corporation, whether of a similar character or otherwise.

(i) Acquired Company Awards. Notwithstanding anything in the Plan to the contrary, the Administrator may grant Awards under the Plan in substitution for awards issued under other plans, or assume under the Plan awards issued under other plans, if the other plans are or were plans of other acquired entities ("Acquired Entities") (or the parent of the Acquired Entity) and the new Award is substituted, or the old award is assumed, by reason of a merger, consolidation, acquisition of property or of stock, reorganization or liquidation (the "Acquisition Transaction"); provided, however, any substitution or assumption of a stock option or a stock appreciation right pursuant to an Acquisition Transaction shall meet the requirements of Section 424 of the Code. In the event that a written agreement pursuant to which the Acquisition Transaction is completed is approved by the Board and said agreement sets forth the terms and conditions of the substitution for or assumption of outstanding awards of the Acquired Entity, said terms and conditions shall be deemed to be the action of the Administrator without any further action by the Administrator, except as may be required for compliance with Rule 16b-3 under the Exchange Act, and the persons holding such Awards shall be deemed to be Grantees.

(j) Severability. If any provision of the Plan or Award Agreement, or its application to any person, place, or circumstance, is held by an arbitrator or a court of competent jurisdiction to be invalid, unenforceable, or void, that provision shall be enforced to the greatest extent permitted by law, and the remainder of this Plan and Award Agreement and of that provision shall remain in full force and effect as applied to other persons, places, and circumstances.

(k) Governing Law. This Plan and the Award Agreement shall be governed by and construed in accordance with the laws of the State of Georgia applicable to contracts wholly made and performed in the State of Georgia, except to the extent superseded by Federal law.

(l) Rules of Exchange. If the Shares are listed on any established stock exchange or traded on the NASDAQ National Market or the NASDAQ SmallCap Market, the applicable requirements of any such exchange or market shall be hereby incorporated by reference.

(m) Competition. If the Award Agreement subjects the Award to this subsection, a Grantee who has a contract of employment that defines Grantee's obligations with respect to competition violates such obligations or if a Grantee has no such contract either renders services for any organization or business that is or becomes competitive with the Company or engages directly or indirectly in any organization or business which is or becomes otherwise prejudicial to or in conflict with the interests of the Company, as determined by the Administrator, prior to or during a six-month period after any exercise of an Option or settlement of an Award, the exercise or settlement shall be cancelled and rescinded. The Administrator shall notify the Grantee in writing of any such cancellation and rescission within two years after such exercise or settlement. Within ten days after receiving such notice from the Administrator, the Grantee shall pay to the Corporation the amount of any gain realized or payment received as a result of the cancelled and rescinded exercise of the Option or settlement of the Award.

(n) Taxes and Withholding. Prior to the delivery of any Shares or cash pursuant to an Award (or exercise thereof), the Corporation shall have the right to deduct from the Shares issuable or the cash payable, or to require a Grantee to remit to the Corporation, an amount sufficient to satisfy any federal, state, local and foreign taxes, if any, required by law to be withheld by the Corporation with respect to such Award (or exercise thereof). Alternatively or in addition, the Corporation, in its sole discretion, shall have the right to require a Grantee, through payroll withholding, cash payment or otherwise, including by means of a cashless exercise (as described in Section 5(g)(ii)), to make adequate provision for any such tax withholding obligations of the Corporation arising in connection with an Award. The Corporation may also accept from Grantee the tender of a number of whole Shares having a Fair Market Value equal to all or any part of the federal, state, local and foreign taxes, if any, required by law to be withheld by the Corporation with respect to an Option or the Shares acquired upon the exercise thereof.

(o) Fractional Shares. The Corporation shall not be required to issue or deliver any fractional Share upon the exercise of an Option or SAR, or the settlement of a Restricted Stock or Restricted Stock Unit Award. The Administrator shall determine whether cash, other Awards, or other property shall be issued or paid in lieu of such fractional Shares or whether such fractional Shares or any rights thereto shall be forfeited or otherwise eliminated. Any action pursuant to this Section 11(o) shall be consistent with Section 409A of the Code.

(p) **Bifurcation**. Notwithstanding anything in the Plan to the contrary, the Board, in its discretion, may bifurcate the Plan so as to restrict, limit or condition the use of any provision of the Plan to Grantee's who are officers or directors subject to Section 16 of the Exchange Act without so restricting, limiting or conditioning the Plan with respect to other Grantees.

12. Right of First Refusal. Any Shares received pursuant to the exercise of an Option or SAR or upon settlement of an Award which are not readily tradable on an established market shall be subject to a "right of first refusal." The right of first refusal shall provide that, prior to any subsequent transfer, the Shares must first be offered for purchase in writing to the Corporation at the then fair market value, which, for this purpose, shall be the price specified in a bona fide written offer from an independent prospective buyer. The Corporation will have a total of thirty (30) business days to exercise the right of first refusal on the same terms offered by an independent prospective buyer. The Corporation may assign any right of first refusal it may have, whether or not then exercisable, to person(s) as may be selected by the Corporation. The right of first refusal shall terminate upon the Listing Date.

13. Effective Date of the Plan. The Plan will become effective upon adoption by the Board, subject to approval by the Corporation's stockholders within twelve (12) months of such adoption. Such stockholder approval shall be obtained in the degree and manner required under Applicable Laws. Awards may be granted under the Plan at any time after the Plan's adoption and before the termination of the Plan. The Plan shall terminate on the 10th anniversary of its adoption. Any Option exercised or Award received before stockholder approval is obtained shall be rescinded if stockholder approval is not obtained within the time prescribed, and Shares issued on the exercise of any such Option or settlement of such Award shall not be counted in determining whether stockholder approval is obtained.

14. Amendment and Termination of the Plan. The Board may at any time suspend or terminate the Plan or revise or amend it in any respect whatsoever. The Corporation shall obtain stockholder approval of any Plan amendment to the extent necessary and desirable to comply with Applicable Laws. No suspension, termination, revision or amendment of the Plan shall impair the rights of any Grantee, unless mutually agreed otherwise between the Grantee and the Administrator, which agreement must be in writing and signed by the Grantee and the Corporation. Termination of the Plan shall not affect the Administrator's ability to exercise the powers granted to it hereunder with respect to Awards granted under the Plan prior to the date of such termination.

15. Definitions. Whenever the following terms are used in the Plan, they shall have the meaning indicated below, unless a different meaning is required by the context.

"Administrator" means a committee consisting of two or more Board members, the composition of which shall satisfy at all times on and after the Listing Date the requirements of Rule 16b-3 of the Exchange Act, Section 162(m) of the Code, and the rules of any applicable stock exchange or national market system or quotation system on which the Common Stock is listed or quoted.

"Applicable Laws" means the legal requirements relating to the administration of equity compensation plans, if any, under applicable provisions of federal securities laws, applicable

state corporate and securities laws, the Code, the rules of any applicable stock exchange or national market system or quotation system on which the Common Stock is listed or quoted, and the applicable laws and rules of any foreign country or jurisdiction where Awards are, or will be, granted under the Plan.

“Award” means, individually or collectively, a grant under the Plan of Options, SARs, Restricted Stock, or Restricted Stock Units.

“Award Agreement” means the written agreement evidencing the grant of an Award. The Award Agreement shall be in such form as the Administrator shall from time to time approve, which shall comply with and be subject to the terms and conditions of the Plan. Award Agreements need not be the same for each Grantee.

“Board” means the board of directors of the Corporation.

“Cause” Unless the Award Agreement provides otherwise, for purposes of this Plan, “Cause” means:

(1) Grantee is convicted of, pleads guilty to, or confesses or otherwise admits to any felony involving intentional conduct or any act of fraud, misappropriation or embezzlement;

(2) Grantee knowingly engages in any act or course of conduct or knowingly fails to engage in any act or course of conduct (a) which is reasonably likely to adversely affect the Company’s right or qualification under applicable laws, rules or regulations to serve as an exchange or other form of a marketplace for trading commodities or (b) which violates the rules of any exchange or market on which the Company effects trades (or at such time is actively contemplating effecting trades) and which could lead to a denial of the Company’s right or qualification to effect trades on such exchange or market;

(3) There is any act or omission by Grantee involving malfeasance or gross negligence in the performance of Grantee’s duties and responsibilities to the material detriment of the Company; or

(4) Grantee breaches in any material respect any of the provisions of any applicable employment agreement or violates any provision of any generally applicable code of conduct which is distributed in writing to the Company’s employees; provided, however,

(5) If Grantee’s employment contract contains a procedure for determining whether Cause exists, that procedure shall apply under this Agreement.

“Change in Control” Unless the Award Agreement provides otherwise, for purposes of this Plan, “Change in Control” means the occurrence of any of the following events:

(1) Any “person” (as that term is used in Sections 13(d) and 14(d)(2) of the Securities Exchange Act of 1934), is or becomes the beneficial owner (as defined in Rule

13d-3 under such Act), directly or indirectly, of securities representing 30% or more of the combined voting power of the then outstanding securities of the Corporation eligible to vote for the election of the members of the Board unless (A) such person is the Corporation or a subsidiary of the Corporation, (B) such person is an employee benefit plan (or a trust which is a part of such a plan) which provides benefits exclusively to, or on behalf of, employees or former employees of the Company, (C) such person is an underwriter temporarily holding such securities pursuant to an offering of such securities, (D) such person is Grantee, an entity controlled by Grantee or a group which includes Grantee or (E) such person acquired such securities in a Non-Qualifying Transaction (as defined in (4) below);

(2) During any period of two consecutive years or less beginning after the closing date of the initial public offering of the common stock of the Corporation, individuals who at the beginning of such period constitute the Board cease, for any reason, to constitute at least a majority of the Board, unless the election or nomination for election of each new director was approved by at least two-thirds of the directors then still in office who were directors at the beginning of the period (either by a specific vote of such directors or by the approval of the Corporation's proxy statement in which each such individual is named as a nominee for a director without written objection to such nomination by such directors); provided, however, that no individual initially elected or nominated as a director of the Corporation as a result of an actual or threatened election contest with respect to directors or as a result of any other actual or threatened solicitation of proxies or consents by or on behalf of any person other than the Board shall be deemed to be approved;

(3) Any dissolution or liquidation of the Corporation or any sale or the disposition of 50% or more of the assets or business of the Corporation, or

(4) The consummation of any reorganization, merger, consolidation or share exchange or similar form of corporate transaction involving the Corporation unless (A) the persons who were the beneficial owners of the outstanding securities eligible to vote for the election of the members of the Board immediately before the consummation of such transaction hold more than 60% of the voting power of the securities eligible to vote for the members of the board of directors of the successor or survivor corporation in such transaction immediately following the consummation of such transaction and (B) the number of the securities of such successor or survivor corporation representing the voting power described in (A) above held by the persons described in (A) above immediately following the consummation of such transaction is beneficially owned by each such person in substantially the same proportion that each such person had beneficially owned the outstanding securities eligible to vote for the election of the members of the Board immediately before the consummation of such transaction, provided (C) the percentage described in (A) above of the securities of the successor or survivor corporation and the number described in (B) above of the securities of the successor or survivor corporation shall be determined exclusively by reference to the securities of the successor or survivor corporation which result from the beneficial ownership of shares of common stock of the Corporation by the persons described in (A) above immediately before the consummation

of such transaction (any transaction which satisfies all of the criteria specified in (A), (B) and (C) above shall be deemed to be a “Non-Qualifying Transaction”);

Notwithstanding the foregoing, the initial public offering of the common stock of the Corporation shall in no event constitute a Change in Control.

“Code” means the Internal Revenue Code of 1986, as amended.

“Common Stock” means the Common Stock, par value \$0.01 per Share, of the Corporation.

“Company” means, collectively, the Corporation and any “parent corporation” or “subsidiary corporation” of the Corporation as defined in Code §424(e) and §424(f), respectively.

“Corporation” means IntercontinentalExchange, Inc., a Delaware corporation.

“Disability” Unless the Award Agreement provides otherwise, for purposes of this Plan, “Disability” means permanent and total disability as defined in Code §22(e)(3).

“Effective Date of a Change in Control” Unless the Award Agreement provides otherwise, for purposes of this Plan, “Effective Date of a Change in Control” means either the date which includes the “closing” (as such term is commonly understood in the United States) of the transaction which makes a Change in Control effective if the Change in Control is made effective through a transaction which has such a “closing” or the earliest date a Change in Control is reported in accordance with any applicable law, regulation, rule or common practice as effective to any government or any agency of any government or to any exchange or market in which the Corporation effects any trades if the Change in Control is made effective other than through a transaction which has such a “closing.”

“Exchange Act” means the Securities Exchange Act of 1934, as amended.

“Fair Market Value” means, as of any date, the value of Common Stock determined as follows:

(1) After the Listing Date, if the Shares are listed on any established stock exchange or traded on the NASDAQ National Market or the NASDAQ SmallCap Market, the Fair Market Value of a Share shall be the closing sales price for such stock (or the closing bid, if no sales were reported) as quoted on such exchange or market (or the exchange or market with the greatest volume of trading in the Common Stock) on the last market trading day prior to the day of determination, as reported in The Wall Street Journal or such other source as the Administrator deems reliable; or

(2) On or before the Listing Date, the Fair Market Value shall be determined in good faith by the Administrator using any reasonable valuation method.

“Grantee” means a person who has been granted an Award under the Plan.

“ISO” means an incentive stock option within the meaning of Code §422.

“Listing Date” means the first date upon which any security of the Corporation is listed or approved for listing upon notice of issuance on any securities exchange.

“NSO” means an option that is not an ISO.

“Option” means a stock option granted pursuant to the Plan.

“Performance Goals” means the goals determined by the Administrator, in its discretion, to be applicable to a Grantee with respect to an Award. As determined by the Administrator, the Performance Goals applicable to an Award may provide for a targeted level or levels of achievement using certain Company or individual performance measures. The Performance Goals may differ from Grantee to Grantee and from Award to Award. Any criteria used may be measured in absolute terms or relative to comparison companies. Such Performance Goals may include, but are not limited to, earnings; earnings per share; earnings before interest, taxes, depreciation and amortization; revenue; profits; profit growth; profit-related return ratios; cost management; dividend payout ratios; market share; economic value added; cash flow; total shareholder return, or other measures of performance selected by the Administrator. The Administrator shall have the authority to make equitable adjustments to the Performance Goals in recognition of unusual or non-recurring events affective the Company or the financial statements of the Company, in response to changes in Applicable Laws, or to account for items of gain, loss or expense determined to be extraordinary or unusual in nature or infrequent in occurrence or related to the disposal of a segment of a business or related to a change in accounting principles.

“Plan” means this IntercontinentalExchange, Inc. 2005 Equity Incentive Plan.

“Restricted Stock” means an Award of Shares that may be subject to certain restrictions and a risk of forfeiture.

“Restricted Stock Unit” or **“RSU”** means a right granted to a Grantee to receive Shares or cash upon satisfaction of specified performance or other criteria, such as continuous Service.

“Restriction Period” means the period during which the transfer of Shares of Restricted Stock are subject to restrictions and therefore, the shares are subject to a substantial risk of forfeiture. Such restrictions may be based on continuous Service, the achievement of Performance Goals, and/or the occurrence of other events as determined by the Administrator.

“Service” means the Grantee’s employment or service with the Company, whether in the capacity of an employee, a director, or a consultant.

“Share” means one share of Common Stock.

“Stock Appreciation Right” or **“SAR”** means an Award that is designated as an SAR pursuant to Section 6 of the Plan.

IN WITNESS WHEREOF, the undersigned Secretary of the Corporation certifies that this Plan, as amended and restated, was adopted by the Board on May 15, 2008, effective as of the same date.

/s/ Johnathan H. Short

Secretary

AGREEMENT AND PLAN OF MERGER

by and among

INTERCONTINENTALEXCHANGE, INC.,

COLUMBIA MERGER CORPORATION,

CREDITEX GROUP INC.,

and

**TA ASSOCIATES, INC., as the Stockholders' Representative
(for the limited purposes described herein)**

June 3, 2008

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AGREEMENT AND PLAN OF MERGER

THIS AGREEMENT AND PLAN OF MERGER (this “Agreement”), dated as of June 3, 2008, is by and among IntercontinentalExchange, Inc., a Delaware corporation (“Buyer”), Columbia Merger Corporation, a Delaware corporation (“MergerCo”), Creditex Group Inc., a Delaware corporation (the “Company”), and TA Associates, Inc., solely in the capacity of Stockholders’ Representative and only for the express purposes provided for herein and for no other purpose (the “Stockholders’ Representative”). An index of defined terms used in this Agreement is attached as Annex A hereto.

WHEREAS, Buyer and the Company wish to effect a business combination through a merger (the “Merger”) of MergerCo with and into the Company on the terms and conditions set forth in this Agreement and in accordance with the Delaware General Corporation Law, as amended (the “DGCL”);

WHEREAS, it is intended that (a) the Merger shall qualify as a “reorganization” within the meaning of Section 368(a)(1)(A) of the Internal Revenue Code of 1986, as amended (the “Code”), and the rules and regulations promulgated thereunder, by virtue of the provisions of Section 368(a)(2)(E) of the Code, (b) this Agreement shall constitute a plan of reorganization for purposes of Section 354 and 361 of the Code, and (c) that each of Buyer, MergerCo and the Company shall be a “party to a reorganization” within the meaning of Section 368(b) of the Code;

WHEREAS, the Board of Directors of the Company (the “Company Board”) has approved this Agreement, the Merger and the other transactions contemplated by this Agreement and determined that this Agreement and the Merger are advisable and in the best interest of the Company and its stockholders;

WHEREAS, the respective Boards of Directors of Buyer and MergerCo have determined that this Agreement, the Merger and the other transactions contemplated by this Agreement are in the best interest of Buyer and MergerCo, respectively;

WHEREAS, immediately following the execution and delivery of this Agreement, the Company shall use commercially reasonable efforts to obtain from all of its stockholders an irrevocable and unconditional action by written consent adopting this Agreement and approving the Merger, substantially in the form attached hereto as Exhibit A (the “Stockholder Written Consent”); and

WHEREAS, concurrently with the execution and delivery of this Agreement, Buyer shall enter into a Registration Rights Agreement, substantially in the form attached hereto as Exhibit B (the “Registration Rights Agreement”), with certain Stockholders of the Company, and Buyer shall enter into an Escrow Agreement, substantially in the form attached hereto as Exhibit C (the “Escrow Agreement”), with the Stockholders’ Representative,

NOW THEREFORE, in consideration of the mutual agreements and covenants herein contained, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto agree as follows:

ARTICLE I

THE MERGER

Section 1.1 The Merger. Subject to the terms and conditions of this Agreement and in accordance with the DGCL, at the Effective Time (as defined in Section 1.2), the Company and MergerCo shall consummate the Merger pursuant to which (a) MergerCo shall be merged with and into the Company and the separate corporate existence of MergerCo shall thereupon cease, (b) the Company shall be the surviving corporation in the Merger (the “Surviving Corporation”) and shall continue to be governed by the Laws of the State of Delaware, and (c) the separate corporate existence of the Company with all its rights, privileges, immunities, powers and franchises shall continue unaffected by the Merger. The Merger shall have the effects specified in the DGCL.

Section 1.2 Effective Time. On the Closing Date (as defined in Section 1.4), MergerCo and the Company shall duly execute a certificate of merger (the “Certificate of Merger”) and file such Certificate of Merger with the Secretary of State of the State of Delaware in accordance with the DGCL. The Merger shall become effective upon the later of: (a) the date and time of the filing of the Certificate of Merger with the Secretary of State of the State of Delaware and (b) such later date and time as may be specified in the Certificate of Merger with the consent of Buyer and the Company (the “Effective Time”).

Section 1.3 Certificate of Incorporation and By-Laws. The certificate of incorporation of the Company, as in effect immediately prior to the Effective Time, shall be amended pursuant to the Merger to read in its entirety as set forth in Exhibit D hereto, and as so amended shall be the certificate of incorporation of the Surviving Corporation until thereafter amended, restated, repealed or otherwise modified as provided by Law or the terms of such certificate of incorporation. The by-laws of MergerCo, as in effect immediately prior to the Effective Time, shall be the by-laws of the Surviving Corporation until thereafter amended as provided by Law, by the terms of the certificate of incorporation of the Surviving Corporation and by the terms of such by-laws.

Section 1.4 Closing. The closing of the Merger (the “Closing”) shall occur as promptly as practicable (but in no event later than the third (3rd) Business Day (as defined below) following the day on which the last to be satisfied or waived of the conditions set forth in Article VIII (other than those conditions which by their nature are required to be satisfied at the Closing, but subject to the satisfaction or waiver of those conditions at the Closing) shall have been satisfied or waived in accordance with this Agreement), and shall take place at such time and on a date to be specified by the parties (the actual date of such Closing, the “Closing Date”). The Closing shall take place at the offices of Goodwin Procter LLP (“Goodwin”), 620 Eighth Avenue, New York, NY 10018, or at such other place as agreed to by the parties hereto. “Business Day” means any day other than a day on which the office of the Secretary of State of the State of Delaware is closed or banks in New York, New York are required to close.

Section 1.5 Directors and Officers. The directors of MergerCo immediately prior to the Effective Time shall, from and after the Effective Time, be the initial directors of the

Surviving Corporation, and the officers of the Surviving Corporation immediately prior the Effective Time shall, from and after the Effective Time, be the initial officers of the Surviving Corporation, in each case to hold office until their successors have been duly elected or appointed and qualified or until their earlier death, resignation or removal in accordance with the certificate of incorporation and by-laws of the Surviving Corporation, and the DGCL.

ARTICLE II

EFFECT OF THE MERGER ON THE CAPITAL STOCK OF THE CONSTITUENT CORPORATIONS

Section 2.1 Effect on Capital Stock. As of the Effective Time, by virtue of the Merger and without any action on the part of the holders of any shares of the Company Stock (as defined in Section 2.1(e)(v)) (each a “Stockholder,” and collectively, the “Stockholders”) or any shares of the capital stock of MergerCo:

(a) MergerCo Shares. Each share of common stock, par value \$0.01 per share, of MergerCo issued and outstanding immediately prior to the Effective Time shall be converted into one fully paid and nonassessable share of common stock, par value \$0.01 per share, of the Surviving Corporation.

(b) Cancelled Shares. Each share of Company Stock that is owned by the Company, by Buyer or by MergerCo shall automatically be cancelled and retired and shall cease to exist, and no cash or other consideration shall be delivered or deliverable in exchange therefor.

(c) Company Common Stock. Each share of the Company’s Common Stock, par value \$.001 per share (the “Common Stock”), issued and outstanding immediately prior to the Effective Time (other than shares to be cancelled in accordance with Section 2.1(b), the Company Restricted Stock (as defined in Section 2.2(b)), and any Dissenting Shares (as defined in Section 3.3(a)) will be converted into, subject to this Article II and the last sentence of Section 3.2(c), the right to receive (i) subject to Section 2.10 and Section 2.11, that number of shares of Common Stock, par value \$.01 per share, of the Buyer (“Buyer Stock”), equal to the Common Stock Merger Consideration per Share (as defined in Section 2.1(e)(iv)) and (ii) a contingent right to receive (x) in the event that the Final Closing Adjustment is a positive amount as provided in Section 2.5(d), the portion of such Final Closing Adjustment to be delivered in respect of a share of Common Stock in the form and at the time determined pursuant to Section 2.5(d), (y) each time, if at all, there is a release and distribution to the Stockholders of Escrow Shares and Escrow Cash from the Escrow Funds, the portion of such Escrow Shares and Escrow Cash to be delivered in respect of a share of Common Stock in the form and at the times determined pursuant to the Escrow Agreement, and (z) in the event that there is a release and distribution of any amount held in the Stockholders’ Representative Expense Fund, the portion of such distribution allocated in respect of a share of Common Stock. Notwithstanding the foregoing, an Electing Employee Stockholder (as defined in Section 2.11(a)) may, in respect of each share of Common Stock (other than shares representing Company Restricted Stock) owned by such Electing Employee Stockholder, elect in lieu of the Common Stock Merger

Consideration per Share provided for in clause (i) of the immediately preceding sentence, to receive the Cash Consideration Per Share and the other contingent consideration described in Section 2.11(a) in accordance with and subject to the terms and conditions of Section 2.11 and Section 3.1 (such election, a “Cash Election”). As of the Effective Time, all such shares of Common Stock shall no longer be outstanding and shall automatically be cancelled and retired and shall cease to exist, and each holder of a stock certificate which immediately prior to the Effective Time represented any such shares of Common Stock (a “Common Stock Certificate”) shall cease to have any rights with respect thereto, except the right to receive, upon the surrender of such Common Stock Certificate or the delivery of an affidavit of loss in lieu thereof as described in Section 3.2(d), the consideration per share set forth in this Section 2.1(c) at the times set forth in this Section 2.1(c), subject to Section 2.10 and Section 2.11.

(d) Company Preferred Stock. Each share of the Company’s Series A Convertible Preferred Stock, par value \$.001 per share (the “Series A Convertible Preferred Stock”), the Company’s Series C Convertible Preferred Stock, par value \$.001 per share (the “Series C Convertible Preferred Stock,” and the Company’s Series D Convertible Preferred Stock, par value \$.001 per share (the “Series D Convertible Preferred Stock,” and together with the Series A Convertible Preferred Stock and the Series C Convertible Preferred Stock, the “Convertible Preferred Stock”), issued and outstanding immediately prior to the Effective Time (other than shares to be cancelled in accordance with Section 2.1(b) and any Dissenting Shares) will be converted into, subject to this Article II and the last sentence of Section 3.2(c), the right to receive (i) subject to Section 2.10, that number of shares of Buyer Stock equal to the product of (A) the Common Stock Merger Consideration per Share multiplied by (B) the total number of shares of Common Stock (including fractional shares) into which such share of Convertible Preferred Stock is, as of the Effective Time, convertible pursuant to the terms of the Company’s Certificate of Incorporation (as defined in Section 4.1(a)) (as applicable to such share of Convertible Preferred Stock, the “Conversion Ratio”) (the product of (A) the Common Stock Merger Consideration per Share multiplied by (B) the applicable Conversion Ratio is hereinafter sometimes referred to as the “Preferred Stock Merger Consideration per Share” of such shares of Convertible Preferred Stock) and (ii) a contingent right to receive (x) in the event that the Final Closing Adjustment is a positive amount as provided in Section 2.5(d), (A) the portion of such Final Closing Adjustment to be delivered in respect of a share of Common Stock multiplied by (B) the applicable Conversion Ratio, in the form and at the time determined pursuant to Section 2.5(d), (y) each time, if any, there is a release and distribution to the Stockholders of Escrow Shares and Escrow Cash from the Escrow Funds, (A) the portion of such Escrow Shares and Escrow Cash to be delivered in respect of a share of Common Stock multiplied by (B) the applicable Conversion Ratio, in the form and at the times determined pursuant to the Escrow Agreement, and (z) in the event that there is a release and distribution of any amount held in the Stockholders’ Representative Expense Fund, (A) the portion of such distribution allocated in respect of a share of Common Stock multiplied by (B) the applicable Conversion Ratio. As of the Effective Time, all such shares of Convertible Preferred Stock shall no longer be outstanding and shall automatically be cancelled and retired and shall cease to exist, and each holder of a stock certificate which immediately prior to the Effective Time represented any such shares of Convertible Preferred Stock (a “Convertible Preferred Stock Certificate”) shall cease to have any rights with respect thereto, except the right to receive, upon the surrender of such Convertible Preferred Stock Certificate or the delivery of an affidavit of loss in lieu thereof as described in

Section 3.2, the applicable consideration per share set forth in this Section 2.1(d) at the times set forth in this Section 2.1(d), subject to Section 2.1(d).

(e) Certain Definitions. For purposes of this Agreement:

(i) “ Aggregate Merger Consideration ” shall mean the sum of the aggregate merger consideration provided for in Section 2.1(c) with respect to shares of Common Stock issued and outstanding immediately prior to the Effective Time plus the aggregate merger consideration provided for in accordance with Section 2.1(d) with respect to shares of Convertible Preferred Stock issued and outstanding immediately prior to the Effective Time.

(ii) “ Aggregate Promissory Note Proceeds ” shall mean an amount, as certified by the Chief Financial Officer of the Company, equal to the aggregate outstanding principal amount and accrued interest as of immediately prior to the Effective Time of all promissory notes in favor of the Company, which were delivered to the Company by Stockholders as payment for shares of Company Stock.

(iii) “ Closing Price ” shall mean the average of (A) the average per share closing prices of Buyer Stock as reported on the New York Stock Exchange, Inc. composite transactions reporting system (as reported in the Eastern Edition of *The Wall Street Journal* or, if not reported thereby, another authoritative source) for the eight (8) consecutive full trading days ending on the first (1st) Business Day prior to the date hereof, and (B) the average per share closing prices of Buyer Stock as reported on the New York Stock Exchange, Inc. composite transactions reporting system (as reported in the Eastern Edition of *The Wall Street Journal* or, if not reported thereby, another authoritative source) for the eight (8) consecutive full trading days ending on the fifth (5th) Business Day prior to the Closing.

(iv) “ Common Stock Merger Consideration per Share ” shall mean a number of shares of Buyer Stock equal to the Net Merger Consideration divided by the Fully Diluted Shares Outstanding, rounded to six decimal points.

(v) “ Company Stock ” shall mean any shares of Common Stock and Convertible Preferred Stock of the Company.

(vi) “ Escrow Funds per Share ” shall mean (A) 7.5% multiplied by the amount of Net Merger Consideration that is the result of the calculations described in subsections (A) through (L) of Section 2.1(e)(xv), divided by (B) the Fully Diluted Shares Outstanding, rounded to six decimal points.

(vii) “ Estimated Reference Date Balance Sheet ” shall mean the unaudited consolidated balance sheet of the Company and its Subsidiaries as of the close of business on March 31, 2008, prepared in accordance with GAAP and on a basis consistent with the accounting practices and policies used to prepare the Company’s Financial Statements.

(viii) “ Estimated Reference Date Cash Amount ” shall mean the aggregate amount of cash and cash equivalents (excluding Restricted Cash) of the Company and its Subsidiaries as of the close of business on March 31, 2008, as reflected on the Estimated Reference Date Balance Sheet (provided , that for purposes of such calculation, only 50.1% of the cash and cash equivalents held by QW Holdings, LLC shall be included).

(ix) “ Estimated Reference Date Stockholders’ Equity ” shall mean the amount of the Company’s Stockholders’ Equity as of the close of business on March 31, 2008, which calculation shall be based on the Estimated Reference Date Balance Sheet, as set forth on a certificate delivered by the Company to Buyer on the date of this Agreement.

(x) “ Estimated Stockholders’ Equity Adjustment ” shall mean an amount equal to the Estimated Closing Date Stockholders’ Equity (as defined in Section 2.5(a)) minus the Estimated Reference Date Stockholders’ Equity.

(xi) “ Fully Diluted Shares Outstanding ” shall mean the sum, as certified by the Chief Financial Officer of the Company, of (A) the number of shares of Common Stock issued and outstanding immediately prior to the Effective Time (excluding all shares of Company Restricted Stock and, if the Closing Date occurs after the ninetieth (90th) day following the date of this Agreement, all shares that would have been Company Restricted Stock but for the lapse of forfeiture restrictions (as a result of vesting) subsequent to the date that is ninety (90) days after the date of this Agreement but prior to the Closing Date), plus (B) the number of shares of Common Stock issuable upon exercise of all Vested Company Options that remain outstanding immediately prior to the Effective Time, plus (C) the number of shares of Common Stock issuable upon conversion of all issued and outstanding Convertible Preferred Stock immediately prior to the Effective Time.

(xii) “ GAAP ” shall mean U.S. generally accepted accounting principles, as applied on a consistent basis.

(xiii) “ Indebtedness for Borrowed Money ” shall mean an amount equal to the sum of:

(A) the outstanding principal and accrued and unpaid interest (as well as prepayment, breakage and similar charges payable) under that certain Amended and Restated Senior Secured Revolving Credit Agreement, dated as of November 22, 2006, as amended and restated as of July 31, 2007, by and among the Company, the Lenders named therein and JPMorgan Chase Bank, N.A., as Administrative Agent; and

(B) any other indebtedness for money borrowed by the Company or any Subsidiary of the Company, any indebtedness for money borrowed that is secured by the assets of or in any manner by the

Company or any Subsidiary of the Company, and all accrued and unpaid interest or fees, penalties or other amounts due with respect to any of the foregoing.

(xiv) “ Merger Consideration ” shall mean an amount equal to \$625,000,000.

(xv) “ Net Merger Consideration ” shall mean the number of shares of Buyer Stock equal to the result of the calculations described in (A) through (M) below, divided by the Closing Price: (A) the Merger Consideration, plus (B) the Estimated Reference Date Cash Amount, plus (C) to the extent that the Company has received the written consents provided for in Section 3.2(c) to reduce the number of shares of Buyer Stock and/or the cash amount to be received by certain affected Stockholders, the portion of Aggregate Promissory Note Proceeds attributable to the holders of such notes who have provided such consents, plus (D) if the Estimated Stockholders’ Equity Adjustment is a positive number, the amount of the Estimated Stockholders’ Equity Adjustment, plus (E) the lesser of (i) the sum of the Company’s investment cost for all of its equity interests in Trade Settlement, Inc. and The Clearing Corporation and (ii) the sum of the fair market value of such equity interests as of close of business on March 31, 2008 as established pursuant to Section 2.5(a) (to the extent such equity interests are not sold by the Company prior to the Closing), minus (F) the amount of Indebtedness for Borrowed Money outstanding as of the close of business on March 31, 2008, minus (G) the amount of the Company Transaction Expenses (as defined in Section 2.4) accrued as of March 31, 2008, minus (H) if the Estimated Stockholders’ Equity Adjustment is a negative number, the absolute value of such Estimated Stockholders’ Equity Adjustment, minus (I) the deferred revenue of the Company and its Subsidiaries as of the close of business on March 31, 2008, minus (J) the sum of the “Second Payment” and the “Tax Amount” (each as defined in the Agreement and Plan of Merger among the Company, ICE Merger Sub Inc., CreditTrade Inc., ICG Holdings, Inc. dated as of July 24, 2006) relating to the Company’s CreditTrade acquisition as of the close of business on March 31, 2008, minus (K) the amount of the accounts receivable of the Company and its Subsidiaries that are more than one hundred and twenty (120) days past due and uncollected as of the close of business on March 31, 2008, minus (L) the Expense Amount deposited into the Stockholder’s Representative Expense Fund pursuant to Section 2.6, minus (M) an amount equal to 7.5% of Nominal Net Merger Consideration.

(xvi) “ Nominal Net Merger Consideration ” shall mean the amount that is equal to the result of the calculations described in subsections (A) through (K) of Section 2.1(e)(xv).

(xvii) “ Option Exchange Consideration ” shall mean that number (rounded to six decimal points) of shares of Buyer Stock as is determined by the Company Board equal to the sum of (A) the Common Stock Merger

Consideration per Share and (B) the value (measured in shares of Buyer Stock) of the payments per Share that may be released and distributed pursuant to subclause (ii)(y) of Section 2.1(c) determined immediately prior to the Effective Time (after giving effect to any discount for amounts that may not be released and distributed pursuant to subclause (y) of Section 2.1(c)). This value determination by the Company Board shall be based on a valuation report provided by a nationally recognized independent third party appraisal firm; provided, however, that if the Company Board cannot obtain such a valuation report after using its reasonable best efforts to secure such a valuation report, after consultation with Buyer, the Company Board may make such determination in its reasonable good faith discretion taking into account all facts and circumstances. It is understood and agreed that the Option Exchange Consideration shall under no circumstances (1) be less than the amount of the Common Stock Merger Consideration per Share or (2) exceed the sum of (x) the Common Stock Merger Consideration per Share and (y) the Escrow Funds per Share.

(xviii) “ Pro Rata Portion ” shall mean, with respect to a Stockholder, the quotient obtained by dividing (A) the aggregate number of shares of Common Stock held by such Stockholder as of immediately prior to the Effective Time (assuming the conversion of all outstanding shares of Convertible Preferred Stock immediately prior to the Effective Time), but excluding all Forfeited Shares (as defined in Section 2.2(b)) of such Stockholder as of the relevant date that Pro Rata Portion is calculated, by (B) the aggregate number of shares of Common Stock held by all Stockholders as of immediately prior to the Effective Time (assuming the conversion of all outstanding shares of Convertible Preferred Stock immediately prior to the Effective Time), but excluding all Forfeited Shares of all Stockholders as of the relevant date that Pro Rata Portion is calculated.

(xix) “ Restricted Cash ” shall mean the sum of all cash security deposits and cash required to collateralize outstanding letters of credit, in each case, as required by any real property lease agreement which the Company or any of its Subsidiaries is a lessee or sublessee under.

(xx) “ Stockholders’ Equity ” shall mean the consolidated stockholders’ equity of the Company and the Subsidiaries as of a particular date, calculated based on the applicable balance sheet for such date in accordance with GAAP; provided, that notwithstanding the foregoing, if at the Effective Time (A) the Company has purchased and paid for the D&O Tail Policy referred to in Section 7.7(c), then Stockholders’ Equity shall be increased by the amount paid for such policy, but not to exceed the amount of the Premium Limit or (B) the Company has purchased but not paid for such D&O Tail Policy, then the accrual relating to the cost for such policy, not to exceed the amount of the Premium Limit, shall be disregarded for purposed of calculating Stockholders’ Equity.

(xxi) “ Stock Plan ” shall mean any plan, agreement or arrangement providing for the issuance of Common Stock, or any rights of any kind,

contingent or accrued, to acquire or receive shares of Common Stock or benefits measured by the value of shares of Common Stock.

(xxii) “ Subsidiary ” shall mean any corporation more than one-half (50%) of whose outstanding voting securities, or any partnership, joint venture or other entity more than one-half (50%) of whose total equity interest, is directly or indirectly owned by Buyer or the Company, as the case may be.

Section 2.2 Company Stock Options and Related Matters .

(a) Treatment of Options .

(i) Company Options . The Company currently has outstanding options to purchase shares of Common Stock granted under the Stock Plans listed on Schedule 2.2(a), and each option which is outstanding and vested on or prior to the date which is the earlier of (i) ninety (90) days after the date of this Agreement and (ii) the Closing Date shall be deemed to be “ Vested Company Option ” for all purposes of this Agreement, and any such option which is outstanding but unvested on or prior to the date which is the earlier of (i) ninety (90) days after the date of this Agreement and (ii) the Closing Date shall be deemed to be an “ Unvested Company Option ” for all purposes of this Agreement. The aggregate Unvested Company Options and the aggregate Vested Company Options shall sometimes be referred to, collectively, as the “ Company Options , ” and each individually, a “ Company Option ”. For purposes of this Agreement, a holder of Vested Company Options shall be referred to as a “ Vested Optionholder , ” and the holders of Company Options shall be referred to as “ Optionholders ”.

(ii) Assumption of Company Options . At the Effective Time, each outstanding Company Option under the Stock Plans listed on Schedule 2.2(a) shall be converted into an option to acquire the number of shares of Buyer Stock (the “ New Option ”) equal to the product of (rounded down to the nearest whole number) (x) the number of shares of Common Stock subject to the Company Option immediately prior to the Effective Time multiplied by (y) the Option Exchange Consideration, at an exercise price per share (rounded up to the nearest whole cent) equal to (A) the exercise price per share of Common Stock of such Company Option immediately prior to the Effective Time divided by (B) the Option Exchange Consideration; provided, however, that the exercise price applicable and the number of shares of Common Stock purchasable pursuant to each New Option shall be determined in a manner consistent with the requirements of Sections 409A and 424(a) of the Code. Following the Effective Time, each New Option shall continue to be governed by the same terms and conditions (including vesting schedule, reacquisition rights and repurchase rights) as were applicable to the applicable Company Option immediately prior to the Effective Time, including but not limited to terms contained in any Notice of Grant, Stock Option Agreement, Stock Issuance Agreement or Stock Purchase Agreement, as appropriate, applicable to such Unvested Company Option. For

the avoidance of doubt, the foregoing conversion of Company Options shall be deemed to be an assumption of such option by Buyer and an assignment of the Company's repurchase rights with respect thereto, if applicable, as contemplated by the Company's Stock Plans.

(b) Company Restricted Stock. At the Effective Time, each outstanding share of Common Stock subject to any vesting restrictions, repurchase rights or forfeiture rights, that may be held, awarded, outstanding, payable or reserved for issuance under the Stock Plans (the "Company Restricted Stock"), shall be converted into the right to receive the number of shares of Buyer Stock equal to the product of (x) the number of shares of Company Restricted Stock multiplied by (y) the Common Stock Merger Consideration per Share ("Buyer Restricted Stock"). Following the Effective Time, each such share of Buyer Restricted Stock will be subject to the same terms and conditions as were applicable to the rights under the relevant Stock Plan and Company Restricted Stock agreement immediately prior to the Effective Time, and any vesting restrictions, repurchase rights or forfeiture rights will remain applicable to such share of Buyer Restricted Stock and will be assigned to Buyer as applicable. Each such share of Company Restricted Stock shall also be converted into the contingent right to share in and receive, following the Closing Date at the applicable time of payment, to the extent that such share of Buyer Restricted Stock has not previously been forfeited, (x) in the event that the Final Closing Adjustment is a positive amount as provided in Section 2.5(d), the portion of such Final Closing Adjustment to be delivered in respect of a share of Common Stock in the form and at the time determined pursuant to Section 2.5(d), (y) each time, if at all, there is a release and distribution to the Stockholders of Escrow Shares and Escrow Cash from the Escrow Funds, the portion of such Escrow Shares and Escrow Cash to be delivered in respect of a share of Common Stock in the form and at the times determined pursuant to the Escrow Agreement, and (z) in the event that there is a release and distribution of any amount held in the Stockholders' Representative Expense Fund, the portion of such distribution allocated in respect of a share of Common Stock. For purposes of this Agreement, the shares of Company Restricted Stock that have been converted into Buyer Restricted Stock and that have been forfeited following such conversion are collectively referred to in this Agreement as "Forfeited Shares". After the Closing and not less than five (5) Business Days prior to the date any contingent merger consideration may be paid to the Stockholders as contemplated in Section 2.1(c) hereof, or otherwise promptly following the reasonable request of the Stockholders' Representative, the Buyer shall provide the Stockholders' Representative with a schedule of all recipients of Buyer Restricted Stock, which schedule shall evidence a true and correct statement on the portion of each recipient's Buyer Restricted Stock that have become Forfeited Shares, if any.

(c) Other Incentive Plan Awards. At the Effective Time, each award outstanding under the T-Zero Long-Term Incentive Plan ("T-Zero LTIP Awards") will remain outstanding and will remain subject to the same terms and conditions as were applicable to the T-Zero LTIP Awards immediately prior to the Effective Time. At the Effective Time, each award outstanding under the Q-Wixx Long-Term Incentive Plan ("Q-Wixx LTIP Awards") will remain outstanding and will remain subject to the same terms and conditions as were applicable to the Q-Wixx LTIP Awards immediately prior to the Effective Time.

(d) Corporate Actions. At or prior to the Effective Time, the Company, the Board of Directors and the compensation committee, as applicable, shall adopt any resolutions and take any actions which are necessary to effectuate the provisions of Section 2.2(a) and Section 2.2(b), including without limitation determining the Option Exchange Consideration amount and making any associated amendments, interpretations or valuations.

(e) No Right to Acquire Shares. The Company shall take all actions necessary to ensure that from and after the Effective Time neither Buyer nor the Surviving Corporation will be required to deliver Common Stock or other capital stock of the Company to any Person pursuant to or in settlement of Company Options, shares of Company Restricted Stock or any similar rights.

Section 2.3 Payments at Closing for Indebtedness. As of the Closing Date, Buyer and MergerCo shall provide sufficient funds to the Surviving Corporation to enable the Surviving Corporation to repay all Indebtedness for Borrowed Money then outstanding. The Company shall, not less than two (2) Business Days prior to the Closing, secure payoff letters with respect to all such outstanding Indebtedness for Borrowed Money. Buyer and MergerCo will cooperate in arranging for such repayment and shall take such reasonable actions as may be necessary to facilitate such repayment and to facilitate the release, in connection with such repayment, of any Encumbrance securing such Indebtedness for Borrowed Money.

Section 2.4 Payments at Closing for Expenses. At the Closing, Buyer shall cause the Surviving Corporation to pay all outstanding fees and expenses of the Company, its Subsidiaries and the Stockholders' Representative in connection with the negotiation and the consummation of the transactions contemplated by this Agreement, including, without limitation, those expenses which are payable to Goodwin and to Evercore Partners Inc., and which have not been paid on or prior to the Closing Date. All such fees and expenses, whether paid on or prior to the Closing Date, shall be hereinafter referred to as the "Company Transaction Expenses".

Section 2.5 Closing and Post-Closing Adjustments.

(a) At least two (2) Business Days prior to the Closing Date, the Company shall deliver to Buyer (i) an estimated unaudited consolidated balance sheet of the Company and its Subsidiaries as of the close of business on the Closing Date (the "Estimated Closing Balance Sheet") prepared in accordance with GAAP and on a basis consistent with the accounting practices and policies used in the preparation of the Company's Financial Statements, together with a certificate based on such Estimated Closing Balance Sheet setting forth the Company's calculation of its Stockholders' Equity as of such date (the "Estimated Closing Date Stockholders' Equity"), (ii) to the extent that the Company's equity interests in Trade Settlement, Inc. and The Clearing Corporation have not been sold by the Company prior to the Closing, independent appraisals or other documentation sufficient to establish to the reasonable satisfaction of Buyer the sum of the fair market value of such equity interests as of close of business on March 31, 2008, and (iii) a certificate setting forth the Company's calculation of the amount of the accounts receivable of the Company and its Subsidiaries that are more than one hundred and twenty (120) days past due and uncollected as of the close of business on March 31, 2008. At the Closing, the Net Merger Consideration shall be calculated to give effect to any

increase or decrease in the Company's Stockholders' Equity from the close of business on March 31, 2008 through the Closing as provided in Section 2.1(e)(xv) and the related definitions.

(b) As promptly as practicable, but no later than one hundred and twenty (120) days after the Closing Date, Buyer will cause to be prepared and delivered to the Stockholders' Representative a proposed final consolidated balance sheet of the Company and its Subsidiaries as of the close of business on March 31, 2008 (the "Reference Date Balance Sheet") and on the Closing Date (the "Closing Balance Sheet"), and a certificate based on such Reference Date Balance Sheet and Closing Balance Sheet setting forth Buyer's calculation of the Company's Stockholders' Equity as of the close of business on March 31, 2008 (the "Reference Date Stockholders' Equity") and on the Closing Date (the "Closing Date Stockholders' Equity," and together with the Reference Date Balance Sheet, the Closing Balance Sheet and the Reference Date Stockholders' Equity, the "True-up Statement"). Each of the Reference Date Balance Sheet and the Closing Balance Sheet (i) shall be prepared in accordance with GAAP applied on a basis that is consistent with the preparation of the Company's Financial Statements, including, without limitation, the use of the same accounting principles, practices, procedures, policies and methods, with consistent classifications, judgments, inclusions, exclusions and valuation and estimation methodologies, that were employed in the preparation of the Estimated Reference Date Balance Sheet, and (ii) shall include the same line items reflected in the Estimated Reference Date Balance Sheet. The Stockholders' Representative shall have thirty (30) days following its receipt of the True-up Statement and all supporting documentation requested by it (the "Review Period") to review the same. On or before the expiration of the Review Period, the Stockholders' Representative shall deliver to Buyer a written statement accepting or objecting to the True-up Statement. In the event that the Stockholders' Representative objects to the True-up Statement, such objection shall include an itemization of the Stockholders' Representative's disputed items and the reasons therefor. If the Stockholders' Representative does not deliver an objection to Buyer within the Review Period, the Stockholders' Representative shall be deemed to have accepted the True-up Statement, and the calculations set forth therein shall be final and binding for purposes of making the adjustments to merger consideration, if any, as contemplated below.

(c) In the event that the Stockholders' Representative objects to the True-up Statement within the Review Period, Buyer and the Stockholders' Representative shall promptly meet and in good faith attempt to resolve such objections. Any such objections which cannot be resolved between Buyer and the Stockholders' Representative within thirty (30) days following Buyer's receipt of the Stockholders' Representative's statement of objections shall be resolved in accordance with this Section 2.5(c). Should the Stockholders' Representative and Buyer not be able to resolve such objections as may be raised with respect to the True-up Statement within the thirty (30) day period described above, either party may submit the matter to a firm of independent certified public accountants as to which the Company and Buyer shall mutually agree prior to the Closing Date, (the "Accounting Referee") for review and resolution, with instructions to complete the same as promptly as practicable, but in any event within thirty (30) days of its engagement, and to make any calculations strictly in accordance with the accounting methodologies and principles provided for in this Agreement. If following the Closing Date the agreed Accounting Referee is unwilling or unable to act in this role, the Stockholders' Representative and Buyer shall cooperate and work together in good faith to mutually agree

another firm of certified public accountants or another reputable and experienced firm or person to act in this role. Based solely on such accounting methodologies and principles, and the presentations provided to the Accounting Referee by each of Buyer and the Stockholders' Representative, the Accounting Referee shall prepare and deliver to Buyer and the Stockholders' Representative a statement setting forth its own calculations of the Company's Reference Date Cash Amount, the Reference Date Stockholders' Equity and the Closing Date Stockholders' Equity, which calculations, absent manifest error, shall be binding and conclusive on the parties and not subject to appeal. The Accounting Referee shall be instructed that in making its determination, it shall make revised calculations only with respect to those items or amounts which are in dispute between Buyer and the Stockholders' Representative and, further, it must select a position with respect to any such disputed items or amounts that is equal to the final position of Buyer or the final position of the Stockholders' Representative, or in between the final position of Buyer and the final position of the Stockholders' Representative. No appeal of the Accounting Referee's determination shall be permitted, except in the event of manifest error or a failure by the Accounting Referee to comply with the principles and methods set forth in this Agreement. The fees and costs of the Accounting Referee, if one is required, shall be payable (i) fifty percent (50%) out of the Stockholders' Representative Expense Fund (as defined in Section 2.6), on the one hand, and (ii) fifty percent (50%) by Buyer, on the other hand.

(d) In the event that the Final Closing Adjustment (as defined below) is a negative amount, the parties shall cause the Escrow Agent to release to Buyer (out of the Escrow Funds) the number of Escrow Shares (rounded to the nearest whole number) and Escrow Cash having an aggregate value equal to the absolute value of the Final Closing Adjustment (as determined in accordance with the Escrow Agreement). In the event that the Final Closing Adjustment is a positive amount then, subject to Section 2.9 hereof, Buyer shall deliver to the Exchange Agent (as defined in Section 3.2(a)) the number of shares of Buyer Stock (rounded to the next whole number) or, with respect to the entitlements of Non-Accredited Investors and Electing Employee Stockholders among the Stockholders, cash in lieu thereof (in the case of an Electing Employee Stockholder, in the same proportion that the cash received by him or her represents to the aggregate merger consideration received by such Electing Employee Stockholder), having an aggregate value equal to such Final Closing Adjustment (as determined in accordance with the Escrow Agreement), and the Exchange Agent shall distribute such shares or cash proportionally to the Stockholders based on each such Stockholder's Pro Rata Portion of such Final Closing Adjustment, subject to all applicable federal, state and local Tax withholdings. Any delivery, release or distribution made under this Section 2.5(d) shall be made within five (5) Business Days of the final determination of the True-up Statement. Such additional shares of Buyer Stock and cash, if any, are intended to be treated for Tax purposes as consideration for the Company Stock purchased by Buyer in the Merger and shall be treated as such consideration (subject to any requirement to treat a portion as imputed interest) for all Tax purposes except to the extent otherwise required by a final determination of a Taxing Authority. For purposes of this Section 2.5(d), the terms used herein shall be defined as follows:

- (i) "Closing Date Stockholders' Equity Adjustment" shall mean an amount equal to (i) the Closing Date Stockholders' Equity, minus
- (ii) the Reference Date Stockholders' Equity, in each case, as finally determined in accordance with the provisions of this Section 2.5 above.

(ii) “Final Cash Adjustment” shall mean an amount equal to (i) the aggregate amount of the Company’s and its Subsidiaries’ cash and cash equivalents as of the close of business on March 31, 2008, as reflected on the Reference Date Balance Sheet (as finally determined in accordance with the provisions of this Section 2.5 above), minus (ii) the Estimated Reference Date Cash Amount.

(iii) “Final Closing Adjustment” shall mean an amount equal to the sum of (i) the Final Stockholders’ Equity Adjustment, plus (ii) the Final Cash Adjustment.

(iv) “Final Stockholders’ Equity Adjustment” shall mean an amount equal to (i) the Closing Date Stockholders’ Equity Adjustment, minus (ii) the Estimated Stockholders Equity Adjustment.

(e) The parties hereto agree that normal algebraic principles shall be applied in the case of all calculations to be made under this Agreement. By way of example, in the event this Agreement called for a calculation that involved the subtraction of a negative amount, such calculation would result in the addition of the absolute value of such negative amount. For illustration purposes only, the equation below would be computed as follows:

(A) negative \$10,000,000, minus (B) negative \$2,000,000 = negative \$8,000,000.

Section 2.6 Expense Amount . Notwithstanding anything herein to the contrary, at the Closing Buyer shall deliver into an account designated by the Stockholder’s Representative (the “Stockholders’ Representative Expense Fund”) an amount in cash equal to \$205,000 (the “Expense Amount”). The Stockholders’ Representative Expense Fund shall be held, and may be used at any time, by the Stockholders’ Representative to fund any expenses incurred by it in the performance of its duties and obligations hereunder, including but not limited to, those duties and obligations listed in Section 11.2. The Stockholders’ Representative Expense Fund will be held by the Stockholders’ Representative until the date on which no Escrow Shares or Escrow Cash remain in the Escrow Funds. Any portion of the Stockholders’ Representative Expense Fund remaining after such date shall be paid by the Stockholders’ Representative to each Stockholder based on such Stockholder’s Pro Rata Portion. All of the obligations to administer and maintain the Stockholders’ Representative Expense Fund (and the amounts held in the Stockholders’ Representative Expense Fund), and to distribute amounts out of the Stockholders’ Representative Expense Fund, shall be borne exclusively by Stockholders’ Representative out of the Stockholders’ Representative Expense Fund. None of Buyer, MergerCo or the Company shall have any obligation or liability of any nature whatsoever with respect to the administration and maintenance of the Stockholders’ Representative Expense Fund or the distribution of any amounts out of the Stockholders’ Representative Expense Fund.

Section 2.7 Escrow Funds . Immediately following the Effective Time, Buyer shall deliver to the custody of The Bank of New York Mellon Corporation (the “Escrow Agent”), without any act of the Stockholders, the following:

(i) a number of Shares of Buyer Stock (such shares, the “Escrow Shares”), rounded to the nearest whole number, equal to the following product: (A) 7.5% multiplied by (B) the Nominal Net Merger Consideration multiplied by (C) a fraction, the numerator of which is the Nominal Net Merger Consideration, minus the amounts of cash paid pursuant to Section 2.10 and Section 2.11 in lieu of Buyer Stock that would have otherwise been delivered pursuant to clause (i) of Section 2.1(c) and clause (i) of Section 2.1(d), and the denominator of which is the Nominal Net Merger Consideration; and

(ii) an amount in cash (such cash, the “Escrow Cash”) equal to the following product: (A) 7.5% multiplied by (B) the Nominal Net Merger Consideration multiplied by (C) the Closing Price multiplied by (D) a fraction, the numerator of which is the cash paid pursuant to Section 2.10 and Section 2.11 in lieu of shares of Buyer Stock that would have otherwise been delivered pursuant to clause (i) of Section 2.1(c) and clause (i) of Section 2.1(d) and the denominator of which is the Nominal Net Merger Consideration.

The Escrow Shares and the Escrow Cash shall comprise the “Escrow Funds”, which shall be held by the Escrow Agent pursuant to, and shall be governed by, the terms of the Escrow Agreement to be entered into by and among Buyer, the Stockholders’ Representative and the Escrow Agent. The Escrow Funds shall be held in escrow and shall be available to settle certain contingencies as provided in Section 2.5 and compensate the Buyer Indemnified Parties for any Losses suffered or incurred by them and for which they are entitled to recovery under Article IX of this Agreement, and will be allocated among and released and distributed to the Stockholders and/or Buyer in accordance with the Escrow Agreement (the Escrow Shares and Escrow Cash released or distributed from the Escrow Funds to the Stockholders under this Agreement, if any, being the “Released Escrow Consideration”). The Released Escrow Consideration is intended to be treated for Tax purposes as consideration for the Company Stock purchased by Buyer from the Stockholders in the Merger and shall be treated as such consideration (subject to any requirement to treat a portion as imputed interest) for all Tax purposes except to the extent otherwise required by a final determination of a Governmental Body. Notwithstanding anything to the contrary in this Agreement, Buyer makes no representations or warranties to the Company or the Stockholders regarding the Tax treatment of the transactions contemplated in this Agreement or any of the Tax consequences to any Stockholders relating to those transactions. Each of the Company and each Stockholder must rely solely on his, her or its own Tax advisors in connection with such transactions. No Stockholder may, directly or indirectly, sell, exchange, transfer or otherwise dispose of his, her or its right to receive any portion of the Escrow Funds (except by will or by operation of the Laws of intestate succession). Any such purported sale, exchange, transfer or disposition shall be null and void.

Section 2.8 Other Adjustments. The Aggregate Merger Consideration, as well as any New Options issuable to holders of Company Options and shares of Buyer Stock issuable to holders of Company Restricted Stock, shall be adjusted to reflect fully the effect of any stock split, reverse split, stock dividend (including any dividend or distribution of securities convertible into shares of Buyer Stock or Company Stock), reorganization, recapitalization or

other like change with respect to Buyer Stock or Company Stock occurring after the date hereof and prior to the Effective Time.

Section 2.9 Fractional Shares. Notwithstanding anything herein to the contrary, no fractional shares of Buyer Stock shall be issued to any Person in the Merger. In lieu thereof, each Person entitled to a fraction of a share of Buyer Stock (after taking into account all Certificates surrendered by such Person in accordance with Section 3.1 and Section 3.2, the aggregate number of shares of Company Stock represented thereby and any Company Options held by such Person immediately prior to the Effective Time) shall receive, at the time that the merger consideration provided for in Section 2.1(c), Section 2.1(d) or Section 2.2(b), as applicable, is delivered to such Person, an amount in cash equal to the Closing Price multiplied by the fraction of a share of Buyer Stock to which such Person otherwise would be entitled. No such Person shall be entitled to dividends, voting rights, interest on the value of, or any other rights in respect of a fractional share. Fractional shares shall be determined on an aggregate basis for each Person and not on a per share or per Certificate basis.

Section 2.10 Private Placement; Non-Accredited Investors.

(a) The parties understand and agree that the Aggregate Merger Consideration is intended to be issued and transferred as contemplated in this Agreement pursuant to a “private placement” exempt from registration under the Securities Act of 1933, as amended (the “Securities Act”) by virtue of Regulation D thereof. The shares of Buyer Stock comprising the Aggregate Merger Consideration will be characterized as “restricted securities” under the Securities Act and, consequently, such shares may not be resold within first being registered under the Securities Act, unless they are sold pursuant to an exemption therefrom. Any book entries recording the record ownership of shares of Buyer Stock (it being understood and agreed by the parties that the Buyer Stock is uncertificated) shall bear such annotations as Buyer may reasonably deem necessary and desirable in connection therewith. Each party represents and warrants to the other parties that, as of the Closing Date, assuming the truth of the representations and warranties made herein, such party has taken no action without the prior written consent of the other parties hereto that would cause the issuance and transfer of the Aggregate Merger Consideration to become subject to the registration requirements of the Securities Act.

(b) Notwithstanding any other provision hereof, the shares of Buyer Stock comprising the Aggregate Merger Consideration shall only be issued to Accredited Investors. Each Stockholder to whom shares of Buyer Stock are issued in the Merger shall make to Buyer in writing all such representations and warranties as may be reasonably required by Buyer in connection therewith. No shares of Buyer Stock shall be issued in the Merger to a Non-Accredited Investor. In lieu thereof, a Non-Accredited Investor shall be entitled, upon surrender of the Certificate or Certificates representing (i) such Person’s Common Stock, to receive (A) at the Effective Time an amount in cash for each share held by such Person equal to the Common Stock Merger Consideration per Share provided for in clause (i) of Section 2.1(c) multiplied by the Closing Price and (B) thereafter, the contingent right to receive the consideration provided for in clauses (x), (y) and (z) of Section 2.1(c), provided that if any such consideration would consist of Buyer Stock, such Person will receive instead an amount in cash in lieu thereof equal

to the number of shares of Buyer Stock such Person would have received multiplied by the Closing Price and (ii) such Person's Convertible Preferred Stock, to receive (A) at the Effective Time an amount in cash for each share of Preferred Convertible Stock held by such Person equal to the applicable Preferred Stock Merger Consideration per Share provided for in clause (i) of Section 2.1(d) multiplied by the Closing Price and (B) thereafter, the contingent right to receive the consideration provided for in clauses (x), (y) and (z) of Section 2.1(d), provided that if any such consideration would consist of Buyer Stock, such Person will receive instead an amount in cash in lieu thereof equal to the number of shares of Buyer Stock such Person would have received multiplied by the Closing Price. For the purposes of this Agreement, "Non-Accredited Investor" means a Person who is not an Accredited Investor, and "Accredited Investor" means a Person that is an "accredited investor" as such term is defined in Rule 501 promulgated under the Securities Act, or would otherwise be excluded under Rule 501(e)(1) under the Securities Act from any calculation of the number of purchasers of shares of Buyer Stock in the Merger; provided, that Buyer shall have a sole and absolute discretion to determine whether each such Stockholder is an Accredited Investor or a Non-Accredited Investor for the purposes of this Agreement.

Section 2.11 Cash Election .

(a) Notwithstanding any other provision of this Agreement, as acknowledged in Section 2.1(c), any holder of Common Stock as of the Effective Time that is not a Non-Accredited Investor and who is listed on Schedule 2.11 may elect, in respect of some or all of the shares of Common Stock (excluding shares of Company Restricted Stock) held by him or her to convert each such share of Common Stock into (i) the right to receive an amount in cash equal to the Common Stock Merger Consideration per Share multiplied by the Closing Price, without interest (the "Cash Consideration Per Share") in lieu of the Common Stock Merger Consideration per Share provided for in clause (i) of Section 2.1(c), subject to the terms and conditions of this Section 2.11 and Section 3.1 (the "Cash Election" referenced in Section 2.1(c)) and (ii) the contingent right to receive the consideration provided for in clauses (x), (y) and (z) of Section 2.1(c), which amounts, if any, would be payable in cash. Each such holder of Common Stock that is eligible to make a Cash Election is hereinafter referred to as an "Electing Employee Stockholder". In order to qualify for the Cash Election, an Electing Employee Stockholder must make a valid election as provided for in Section 3.1 and not revoke such election within the time period provided in Section 3.1.

(b) The maximum aggregate amount of cash payable in respect of all Cash Elections shall not exceed the lesser of (i) \$50,000,000 and (ii) the maximum amount of cash that may be paid in respect of Cash Elections, when considered together with (x) all other cash that may be paid as part of the merger consideration under this Agreement and (y) all cash that may be paid in respect of Dissenting Shares, that would still allow Buyer to acquire control (within the meaning of section 368(c) of the Code) of the Company with the remainder of the Aggregate Merger Consideration that consists of Buyer Stock (the lesser of (i) and (ii), the "Maximum Cash Consideration"). If the total number of shares of Common Stock with respect to which Cash Elections have been validly made and not revoked would require aggregate cash payments in excess of the Maximum Cash Consideration, then each Electing Employee Stockholder who has made a Cash Election shall be entitled to maintain such Cash Election with respect to an amount

equal to the lesser of (i) the amount of such Electing Employee Stockholder's Cash Election, or (ii) an amount equal to the Electing Employee Stockholder's pro rata portion (as described below) of the Maximum Cash Consideration, and with respect to those Electing Employee Stockholders who have made Cash Elections in amounts in excess of their respective Pro Rata Portions of the Maximum Cash Consideration (an "Oversubscription Amount"), the Oversubscription Amounts of such Electing Employee Stockholders shall be reduced, pro rata (based on stock ownership relative to other Electing Employee Stockholders with Oversubscription Amounts), until the aggregate Cash Elections for all Electing Employee Stockholders equals the Maximum Cash Consideration. All shares of Common Stock for which a valid Cash Election has been made, but which cannot be converted into cash as a result of the limitations described above, shall instead be converted into the right to receive the Common Stock Merger Consideration per Share and contingent consideration described in Section 2.1(c).

ARTICLE III

EXCHANGE FOR SHARES; DISSENTING SHARES

Section 3.1 Cash Election Procedure.

(a) As soon as reasonably practicable following the date of this Agreement, the Company and Buyer shall agree upon a form of election to be used in connection with a Cash Election (the "Form of Election"). The Form of Election shall permit an Electing Employee Stockholder to specify the number of shares of Common Stock (other than Company Restricted Stock) held by him or her with respect to which such Electing Employee Stockholder makes a Cash Election and shall otherwise be in such form and contain such provisions as the Company and Buyer shall mutually agree and consistent with this Agreement. The Company shall deliver the Form of Election to those of its Stockholders that are Electing Employee Stockholders as soon as reasonably practicable following agreement as to its form and content, and use commercially reasonable endeavors to deliver the Form of Election together with the Information Statement to be delivered by the Company pursuant to Section 7.1(b).

(b) Any Cash Election shall be properly made by an Electing Employee Stockholder only if the Company shall have received at its designated office, on or before the Election Deadline, a Form of Election properly completed and signed. For purposes of this Agreement, "Election Deadline" means 5:00 p.m., Eastern Standard Time, on the date that is sixty (60) days after the date the Form of Election is mailed to the Electing Employee Stockholders (or on such other date as the parties hereto mutually agree).

(c) A properly made Cash Election may be revoked with respect to all or any portion of the shares of Common Stock subject thereto (but only in whole share amounts) by the Electing Employee Stockholder who submitted the applicable Form of Election submitting to the Company a written notice of such revocation received by the Company at or prior to the Election Deadline. In addition, all Cash Elections shall automatically be revoked if this Agreement is terminated in accordance with its terms.

(d) The Company shall promptly provide copies of all Forms of Election received by the Company pursuant to this Section 3.1 to Buyer. The good faith determination of the Company and Buyer shall be conclusive and binding as to whether or not Cash Elections shall have been properly made or revoked pursuant to this Section 3.1 and as to when Forms of Election and notices of revocation were received by the Company pursuant to this Section 3.1. The Company and Buyer shall have reasonable discretion to disregard immaterial defects in the Forms of Election. The Company and Buyer shall jointly make all computations as to the proration contemplated by Section 2.11 and, absent manifest error, such computations shall be conclusive and binding on the parties and all holders of Company Stock.

Section 3.2 Exchange for Shares of Buyer Stock or Cash.

(a) As soon as practicable following the date of this Agreement and in any event not less than fifteen (15) Business Days before the Closing Date, Buyer shall appoint Computershare Trust Company, N.A. or such other national exchange agent, bank or trust company as is reasonably acceptable to the Company (the “Exchange Agent”) to act as exchange agent for the purposes of this Agreement. At the Effective Time, Buyer shall (i) deposit with the Exchange Agent, for the benefit of the holders of shares of Company Stock outstanding immediately prior to the Effective Time, such Buyer Stock as represents the portion of the Net Merger Consideration payable in shares of Buyer Stock and the portion of the Net Merger Consideration consisting of cash payable pursuant to Section 2.10 and Section 2.11 (such cash, together with the deposited Buyer Stock, the “Exchange Fund”), and (ii) deposit with the Escrow Agent the amount of Escrow Cash and the number of Escrow Shares to be deposited into the Escrow Funds pursuant to Section 2.7 hereof. Subject to Section 2.5, Buyer shall also deposit in the Exchange Fund such additional shares of Buyer Stock, if any, as may be issuable pursuant to Section 2.5(d). The Exchange Agent shall, pursuant to irrevocable instructions, make the payments and distributions provided for in this Section 3.2 out of the Exchange Fund. The Exchange Fund shall not be used for any other purpose, except as provided in this Agreement.

(b) As soon as reasonably practicable following the date of this Agreement and in any event not less than five (5) Business Days before the Closing Date, Buyer shall cause the Exchange Agent to make available upon request a form of letter of transmittal reasonably acceptable to the Company (which shall specify that delivery shall be effected, and risk of loss and title to the Common Stock Certificates and the Convertible Preferred Stock Certificates (each, “Certificates”) shall pass, only upon proper delivery of the Certificates to the Exchange Agent, and which shall include all such representations and warranties as may be reasonably required by Buyer in connection with a Stockholder’s qualification as an Accredited Investor) and instructions for use in effecting the surrender of a Certificate in exchange for, subject to Section 2.10 and Section 2.11, the merger consideration provided for in Section 2.1(c), Section 2.1(d) or Section 2.2(b), as applicable, with respect to each share formerly represented by such Certificate. As soon as reasonably practicable after the Effective Time, Buyer shall, or shall cause the Surviving Corporation to, cause the Exchange Agent to mail to each record holder, as of the Effective Time, of an outstanding Certificate, who has not previously submitted a duly executed letter of transmittal, such form of letter of transmittal and instructions.

(c) Upon the surrender of a Certificate (or an affidavit of loss in lieu of such Certificate as provided in Section 3.2(d)) to the Exchange Agent in accordance with the terms of the letter of transmittal and instructions provided by the Exchange Agent, the holder of such Certificate shall be entitled to receive in exchange therefor (i) subject to Section 2.10 and Section 2.11, the merger consideration provided for in Section 2.1(c), Section 2.1(d) or Section 2.2(b), as applicable (after giving effect to required Tax withholdings as provided in Section 3.2(f)) that such holder is entitled to receive pursuant to this Agreement and (ii) a check in the amount (after giving effect to required Tax withholdings as provided in Section 3.2(f), including with respect to the entitlements of Non-Accredited Investors to cash in lieu of any shares of Buyer Stock) of (A) any cash in lieu of fractional shares thereof plus (B) any unpaid non-stock dividends and any other dividends or other distributions that such holder has the right to receive pursuant to this Agreement, and the Certificate so surrendered shall forthwith be cancelled. No interest will be paid or accrued on any amount payable upon due surrender of a Certificate. If a delivery or payment is to be made to a Person other than the Person in whose name a Certificate surrendered is registered, it shall be a condition of delivery or payment that the Certificate so surrendered shall be properly endorsed or otherwise in proper form for transfer and delivered to the Exchange Agent with all documents required to evidence and effect such transfer and that the Person requesting such delivery or payment pay any transfer or other Taxes required by reason of the delivery or payment to a Person other than the registered holder of the Certificate surrendered or establish to the satisfaction of the Exchange Agent that such Tax has been paid or is not applicable. All shares of Buyer Stock to be issued pursuant to the Merger (including the Escrow Shares) shall be deemed issued and outstanding as of the Effective Time and whenever a dividend or other distribution is declared by Buyer in respect of Buyer Stock, the record date for which is at or after the Effective Time, that declaration shall include dividends or other distributions in respect of all shares issuable pursuant to this Agreement. No dividends or other distributions in respect of Buyer Stock shall be paid to any holder of any unsurrendered Certificate until such Certificate (or an affidavit of loss in lieu of the Certificate as provided in Section 3.2(d)) is surrendered for exchange in accordance with this Section 3.2. Subject to the effect of applicable Laws, following surrender of any such Certificate (or affidavits of loss in lieu of the Certificate as provided in Section 3.2(d)), there shall be issued and/or paid to the holder of the whole shares of Buyer Stock issued in exchange therefor, without interest, (x) at the time of such surrender, the dividends or other distributions with a record date after the Effective Time theretofore payable with respect to such whole shares of Buyer Stock and not paid and (y) at the appropriate payment date, the dividends or other distributions payable with respect to such whole shares of Buyer Stock with a record date after the Effective Time but with a payment date subsequent to surrender. Until surrendered as contemplated by this Section 3.2(c), each Certificate (other than Certificates representing shares of Company Stock to be cancelled in accordance with Section 2.1(b) and Dissenting Shares) shall at any time after the Effective Time represent solely the right to receive upon such surrender, subject to Section 2.10 and 2.11, the merger consideration provided for in Section 2.1(c), Section 2.1(d) or Section 2.2(b), as applicable, allocable to the shares represented by such Certificate, as contemplated by Article II and this Article III. Notwithstanding any provision of this Agreement to the contrary, the number of shares of Buyer Stock comprised in the portion of the Aggregate Merger Consideration to be received by any Stockholder pursuant to the Merger, and/or any cash amount to be received by each Stockholder pursuant to this Agreement (with such Buyer Stock being valued at the Closing Price), shall be reduced by the outstanding principal and accrued interest

payable by such Stockholder to the Company pursuant to the terms of such Stockholder's promissory notes in favor of the Company, and the Company shall deliver to Buyer at least five (5) Business Days prior to the Closing a schedule providing correct and complete details of all such promissory notes and all such amounts payable by any Stockholder as of the Closing; provided, that such Stockholder has delivered to the Company prior to the Closing a written consent, in form reasonably satisfactory to Buyer, authorizing such reduction.

(d) If any Certificate shall have been lost, stolen or destroyed, upon the making and delivery of an affidavit of that fact by the Person claiming such Certificate to be lost, stolen or destroyed, the Exchange Agent will deliver in exchange for such lost, stolen or destroyed Certificate, subject to Section 2.10 and Section 2.11, the merger consideration provided for in Section 2.1(c), Section 2.1(d) or Section 2.2(b), as applicable, with respect to the shares formerly represented thereby. No Stockholder shall be required to deliver any bond or other security in connection with the delivery of an affidavit as contemplated by this Section 3.2(d).

(e) To the extent permitted by applicable Law, none of Buyer, MergerCo, the Company, the Surviving Corporation or the Exchange Agent shall be liable to any Person in respect of any Common Stock Consideration per Share or Preferred Stock Merger Consideration per Share or any cash amounts to be paid in lieu thereof from the Exchange Fund properly delivered to a public official pursuant to any applicable abandoned property, escheat or similar Law. If any Certificate shall not have been surrendered prior to six (6) months after the Effective Time, any such shares, cash, dividends or distributions in respect of such Certificate shall, to the extent permitted by applicable Law, become the property of the Surviving Corporation, free and clear of all claims or interest of any Person previously entitled thereto.

(f) Each of the Exchange Agent, the Surviving Corporation, Stockholders' Representative and Buyer shall deduct and withhold from any amounts payable or consideration deliverable by them pursuant to this Agreement to any holder of Company Stock, such amounts or such consideration as are required to be withheld by them with respect to the making of such payment or delivery of such consideration under the Code and the rules and regulations promulgated thereunder, or any provision of United States federal, state or local Tax Laws. To the extent that amounts or consideration are so withheld, such withheld amounts (or the cash equivalent of such consideration) shall be (i) remitted by the Exchange Agent, the Surviving Corporation, Stockholders' Representative or Buyer, as the case may be, to the applicable governmental agency and (ii) treated for all purposes of this Agreement as having been paid or delivered to the holder of the Company Stock in respect of which such deduction and withholding was made.

(g) All the merger consideration provided for in Section 2.1(c), Section 2.1(d) or Section 2.2(b), as applicable, or cash paid in lieu thereof in accordance with this Agreement, paid upon the surrender of a Certificate in accordance with the terms of this Article III shall be deemed to have been paid in full satisfaction of all rights pertaining to the shares of Company Stock formerly represented by such Certificate. At the Effective Time, the stock transfer books of the Company shall be closed and no further registration of transfers of shares shall thereafter be made on the records of the Company. If, after the Effective Time, Certificates are presented

to the Surviving Corporation for transfer, they shall be cancelled and exchanged for the merger consideration provided for in Section 2.1(c), Section 2.1(d) or Section 2.2(b), as applicable, or cash paid in lieu thereof, as provided in this Article III, subject to applicable Law in the case of Dissenting Shares.

(h) The Exchange Agent shall invest any cash included in the Exchange Fund as directed by Buyer in direct obligations of the U.S. Treasury, on a daily basis. Any interest and other income resulting from such investments shall be the property of and will be promptly paid to Buyer. If for any reason (including losses) the cash in the Exchange Fund shall be insufficient to fully satisfy all of the payment obligations to be made by the Exchange Agent hereunder, Buyer shall promptly deposit cash into the Exchange Fund in an amount that is equal to the deficiency in the amount of cash required to fully satisfy such payment obligations.

(i) Promptly following the date that is thirty (30) months after the Effective Time, the Exchange Agent shall deliver to the Surviving Corporation all cash, Certificates and other documents in its possession relating to the Merger. Any former Stockholders who have not complied with this Section 3.2 prior to the end of such thirty (30) month period shall thereafter look only to the Surviving Corporation (subject to abandoned property, escheat or other similar Laws) for payment of their claim for the merger consideration provided for in Section 2.1(c), Section 2.1(d) or Section 2.2(b), as applicable, or any cash or cash paid in lieu thereof, without any interest thereon. If any Certificates shall not have been surrendered immediately prior to the date that such unclaimed funds would otherwise become subject to any abandoned property, escheat or similar Law unclaimed funds payable with respect to such Certificates shall, to the extent permitted by applicable Law, become the property of Surviving Corporation, free and clear of all claims or interest of any Person previously entitled thereto.

Section 3.3 Appraisal Rights.

(a) Notwithstanding anything in this Agreement to the contrary, any shares of Company Stock that are issued and outstanding immediately prior to the Effective Time and that are held by Stockholders who, in accordance with Section 262 of the DGCL (the “Appraisal Rights Provisions”) (i) have not consented in the Stockholder Written Consent (as defined in the Recitals) to adopt and approve this Agreement and (ii) shall have demanded properly in writing on or before the Demand Date appraisal for such shares and complied in all respects with the Appraisal Rights Provisions and (iii) shall not have effectively withdrawn, lost or failed to perfect their rights to appraisal (collectively, the “Dissenting Shares”), will not be converted as described in Section 2.1, but at the Effective Time, by virtue of the Merger and without any action on the part of the holder thereof, shall be cancelled and shall cease to exist and shall represent the right to receive only those rights provided under the Appraisal Rights Provisions; provided, however, that all shares of Company Stock held by Stockholders who shall have failed to perfect or who effectively shall have withdrawn or lost their rights to appraisal of such shares of Company Stock under the Appraisal Rights Provisions shall thereupon be deemed to have been cancelled and retired and to have been converted, as of the Effective Time, into the right to receive, subject to Section 2.10 and Section 2.11, the merger consideration provided for in Section 2.1(c), Section 2.1(d) or Section 2.2(b), as applicable, or any cash in lieu of fractional shares, without interest, in the manner provided in Article II. For purposes of this Agreement,

the “Demand Date” shall be the twentieth (20th) day after the date of the mailing by the Company to the Stockholder of notice of the approval of the Merger and of such Stockholder’s rights to appraisal in accordance with the Appraisal Rights Provisions. Persons who have perfected statutory rights with respect to Dissenting Shares as aforesaid will not be paid by the Surviving Corporation as provided in this Agreement and will have only such rights as are provided by the Appraisal Rights Provisions with respect to such Dissenting Shares. The Company shall give Buyer and MergerCo prompt notice of any demands received by the Company for the exercise of appraisal rights with respect to shares of Company Stock and Buyer shall have the right to participate in all negotiations and proceedings with respect to such demands. The Company shall not, except with the prior written consent of Buyer (which consent may be withheld by Buyer for any reason whatsoever or for no reason, in Buyer’s sole and absolute discretion), make any payment with respect to, or settle or offer to settle, any such demands.

(b) Each dissenting Stockholder who becomes entitled under the Appraisal Rights Provisions to payment for Dissenting Shares shall receive payment therefor after the Effective Time from the Surviving Corporation (but only after the amount thereof shall have been agreed upon or finally determined pursuant to the Appraisal Rights Provisions), and such shares of Company Stock shall be cancelled.

ARTICLE IV

REPRESENTATIONS AND WARRANTIES OF THE COMPANY

The Company hereby makes to Buyer and MergerCo the representations and warranties contained in this Article IV.

Section 4.1 Existence; Good Standing; Authority.

(a) The Company is a corporation duly incorporated, validly existing and in good standing under the Laws of the State of Delaware. The Company has all requisite corporate power and authority to own, operate and lease its properties and assets and carry on its business as currently conducted. The Company is duly licensed or qualified to do business as a foreign corporation under the Laws of each jurisdiction listed on Schedule 4.1(a) and each other jurisdiction in which the character of its properties or assets or in which the transaction of its business makes such qualification necessary, except where the failure to be so licensed or qualified, individually or in the aggregate, has not had and would not reasonably be expected to result in a Company Material Adverse Effect (as defined below). The Company has made available to Buyer’s counsel a complete and correct copy of the Company’s Amended and Restated Certificate of Incorporation (the “Certificate of Incorporation”) and by-laws (the “By-laws”), each as amended to date, and each of the Certificate of Incorporation and the By-laws is in full force and effect and no amendments thereto are pending.

For the purposes hereof, “Company Material Adverse Effect” means a material adverse effect on the business, financial condition, assets, properties, liabilities or results of operations of the Company and its Subsidiaries, taken as a whole; provided, however, that none

of the following shall constitute, or will be considered in determining whether there has occurred, a Company Material Adverse Effect: (i) any change, effect or circumstance that the Company establishes was the proximate result of any action or omission of a party required under this Agreement or the pendency or announcement of the transactions contemplated by this Agreement; (ii) any effect arising from or relating to any change in GAAP or any change in applicable Laws unrelated to the Merger, or the interpretation thereof, and of general applicability after the date of this Agreement; (iii) any failure of the Company to meet any financial projection or forecast, other than by reason of a breach or violation of any representation or warranty of the Company pursuant to this Agreement (provided that for the avoidance of doubt, and as provided in Section 4.24, no representations or warranties are being made by the Company with respect to financial projections or forecasts); and (iv) any change or development in economic, political, business or credit derivative market conditions generally (whether as a result of acts of terrorism, war (whether or not declared), armed conflicts or otherwise); provided, however, that (ii) and (iv) above shall operate only to the extent that such effect, change or development does not affect the Company and its Subsidiaries, taken as a whole, in a disproportionate manner.

(b) The Company has all requisite corporate power and authority and has taken all corporate action necessary in order to execute and deliver this Agreement and to perform its obligations hereunder and to consummate the transactions contemplated hereby, subject only to receipt of the Stockholder Written Consent from holders of Company Stock constituting (i) at least a majority of the outstanding shares of the voting capital stock of the Company representing at least a majority of the outstanding voting power of the Company and (ii) at least a majority of the outstanding shares of the Series D Convertible Preferred Stock (collectively, the “Required Stockholder Approval”). This Agreement has been duly executed and delivered by the Company and, assuming the due authorization, execution and delivery of this Agreement by each of Buyer and MergerCo, constitutes a legal, valid and binding obligation of the Company, enforceable against the Company in accordance with its terms.

Section 4.2 Capitalization.

(a) The authorized capital stock of the Company consists of (i) 382,630 shares of Series A Convertible Preferred Stock, par value \$.001 per share, of which 153,400 shares are issued and outstanding; (ii) 2,000,000 shares of Series C Convertible Preferred Stock, par value \$.001 per share, of which 1,200,000 shares are issued and outstanding; (iii) 35,000,000 shares of Series D Convertible Preferred Stock, par value \$.001 per share, of which 19,035,560 shares are issued and outstanding; and (iv) 65,000,000 shares of Common Stock, par value \$.001 per share, of which 20,101,514 shares are issued and outstanding. All of the issued and outstanding shares of capital stock of the Company have been duly authorized and validly issued, and are fully paid and non-assessable. Schedule 4.2(a) sets forth a correct and complete list as of the date of this Agreement of (i) the number of shares of Common Stock and Convertible Preferred Stock that each current Stockholder of the Company holds of record, (ii) each outstanding Vested Company Option, Unvested Company Option and share of Company Restricted Stock, including the holder, date of grant exercise price (if applicable), number of shares of Common Stock subject thereto, number of shares of Common Stock vested of such date, vesting schedule, the type of Company Option, share of Company Restricted Stock and the Stock Plan under which such

Company Option or share of Company Restricted Stock was granted, and (iii) each outstanding T-Zero LTIP Award and Q-Wixx LTIP Award (together, the “LTIP Awards”), including the holder, date of grant exercise price (if applicable), number of shares of Common Stock (if applicable) subject thereto, number of such LTIP Awards vested of such date, vesting schedule, the type of LTIP Award the Stock Plan under which such LTIP Award was granted. Except as set forth on Schedule 4.2(a), there are no outstanding subscriptions, options, warrants, commitments, preemptive rights, deferred compensation rights, agreements, arrangements or commitments of any kind to which the Company is a party relating to the issuance of, or outstanding securities convertible into or exercisable or exchangeable for, any shares of capital stock of any class or other equity interests of the Company. The Company does not have outstanding any bonds, debentures, notes or other obligations the holders of which have the right to vote (or convertible into or exercisable for securities having the right to vote) with the Stockholders on any matter. Except as set forth on Schedule 4.2(a), there are no agreements to which the Company is a party with respect to the voting of any shares of capital stock of the Company or which restrict the transfer of any such shares. Except as set forth on Schedule 4.2(a), there are no outstanding contractual obligations of the Company to repurchase, redeem or otherwise acquire any shares of capital stock, other equity interests or any other securities of the Company.

(b) Each Company Option and share of Company Restricted Stock (i) was granted in compliance in all material respects with all applicable Laws and all of the terms and conditions of the Stock Plan pursuant to which it was issued, (ii) except as set forth on Schedule 4.2(b), has an exercise price (if applicable) per share of Common Stock equal to or greater than the fair market value of a share of Common Stock on the grant date, (iii) has a grant date identical to the date on which the Company Board or compensation committee actually awarded such Company Option and share of Company Restricted Stock, and (iv) qualifies for the Tax and accounting treatment afforded to such Company Option and share of Company Restricted Stock in the Company’s Tax returns and the Company’s Financial Statements, respectively, and (v) except as set forth on Schedule 4.2(b), is exempt from Section 409A of the Code.

Section 4.3 Subsidiaries.

(a) The Company’s Subsidiaries are listed on Schedule 4.3(a). Except as set forth on Schedule 4.3(a), the Company owns directly or indirectly all of the outstanding shares of capital stock or other equity interest of each of the Company’s Subsidiaries. Except as set forth on Schedule 4.3(a), neither the Company nor any of its Subsidiaries owns, directly or indirectly, any capital stock, equity or other ownership interest in any other Person. Each of the outstanding shares of capital stock or other securities of each of the Company’s Subsidiaries is duly authorized, validly issued, fully paid and non-assessable.

(b) Each of the Company’s Subsidiaries is an entity of the type set forth on Schedule 4.3(b), duly incorporated, organized or otherwise formed, validly existing and in good standing under the Laws of its jurisdiction of organization and has all requisite corporate or similar power and authority to own, operate and lease its properties and assets and to carry on its business as currently conducted. Each such Subsidiary is duly licensed or qualified to do business as a foreign corporation under the Laws of each jurisdiction listed on Schedule 4.3(b)

and each other jurisdiction in which the character of its properties or assets or in which the transaction of its business makes such qualification necessary, except where the failure to be so licensed or qualified, individually or in the aggregate, has not had and would not reasonably be expected to result in a Company Material Adverse Effect. The Company has made available to Buyer's counsel a complete and correct copy of the organizational documents of each such Subsidiary, in each case as amended to date, and each of those organizational documents is in full force and effect and no amendments thereto are pending.

Section 4.4 No Conflict; Consents .

(a) Subject to the adoption and approval of the Merger by the Stockholders, the execution, delivery and performance by the Company of this Agreement, and the consummation by the Company of the transactions contemplated hereby in accordance with the terms hereof, will not, except as set forth on Schedule 4.4(a), (i) violate, conflict with or result in a default (whether after the giving of notice, lapse of time or both) under, give rise to a right of termination of or acceleration of any obligations under or the creation of an Encumbrance on any of the assets of the Company or any of its Subsidiaries pursuant to any agreement, lease, license, contract, note, mortgage, indenture, arrangement or other obligation (each a "Contract") to which the Company or any of its Subsidiaries is a party or by which the Company's or any of its Subsidiaries' assets are bound, (ii) conflict with, or result in, any violation of any provision of the Certificate of Incorporation or By-laws or the comparable organizational documents of any of the Company's Subsidiaries; or (iii) violate or result in a violation of, or constitute a default (whether after the giving of notice, lapse of time or both) under, any provision of any Law, or any order of, or any restriction imposed by, any court or other Governmental Body applicable to the Company or any of its Subsidiaries, except, in the case of clauses (i) and (iii) of this Section 4.4(a), for any such conflicts, defaults, violations, terminations and any waivers if not obtained that would not, individually or in the aggregate, reasonably be expected to result in a Loss that would exceed \$1,000,000 or otherwise reasonably be expected to result in a Company Material Adverse Effect.

(b) Except as set forth in Schedule 4.4(b), no notice, or report to, declaration or filing with, or consent or approval of (i) any United States federal, state or local, or any supra-national or non-U.S., government, political subdivision, governmental, regulatory or administrative authority, instrumentality, agency body or commission, Self-Regulatory Organization, court, tribunal or judicial or arbitral body, including the Securities and Exchange Commission (the "SEC"), the Financial Industry Regulatory Authority, Inc. ("FINRA") and the FSA (each a "Governmental Body"), or (ii) any other third party pursuant to any Material Contract, is required by or with respect to the Company or any of its Subsidiaries in connection with the execution and delivery by the Company of this Agreement, and the performance by the Company or any of its Subsidiaries under, or the consummation by the Company and its Subsidiaries of the transactions contemplated by, this Agreement in accordance with the terms hereof, except for: (A) the filing of a pre-merger notification and report form by the Company under the Hart-Scott-Rodino Antitrust Improvements Act of 1976, as amended (the "HSR Act"), and the expiration or termination of the applicable waiting period thereunder; and (B) the filing of the Certificate of Merger with the Secretary of State of the State of Delaware. For purposes of this Agreement, "Self-Regulatory Organization" shall mean any U.S. or foreign commission,

board, agency or body that is not a Governmental Body but is charged with the supervision or regulation of brokers, dealers, securities underwriting or trading, stock exchanges, commodities exchanges, ECNs, insurance companies or agents, investment companies or investment advisers.

(c) Schedule 4.4(c) sets forth a correct and complete list of all claims currently held by the Company or any of its Subsidiaries, as creditors or claimants, with respect to debtor or debtor-in-possession subject to proceedings under Chapter 11 of Title 11 of the United States Code, together with a correct and complete list of all orders entered by the applicable United States Bankruptcy Court with respect to each such proceeding. None of such orders would, individually or in the aggregate, reasonably be expected to involve \$1,000,000 or more or otherwise result in a Company Material Adverse Effect.

Section 4.5 Financial Statements.

(a) The Company has delivered to Buyer the following financial statements, copies of which are attached hereto as Schedule 4.5(a) (collectively, the “Company’s Financial Statements”):

(i) the audited consolidated balance sheets of the Company and its Subsidiaries as of December 31, 2006 and December 31, 2007, and consolidated statements of income and cash flows for each of the years then ended (such December 31, 2007 audited consolidated balance sheet being hereinafter referred to as the “Latest Audited Balance Sheet”); and

(ii) the Estimated Reference Date Balance Sheet, and the unaudited, unconsolidated statements of income and cash flows for the three-month period then ended.

Subject to, in the case of any of the Company’s Financial Statements that are unaudited, the absence of footnotes and the need to make normal, recurring year-end adjustments with respect to any of the Company’s Financial Statements that are unaudited, the Company’s Financial Statements have been prepared in accordance with GAAP consistently applied and present fairly in all material respects the consolidated financial condition of the Company and consolidated results of the Company’s operations, changes in stockholders’ equity and cash flows, respectively, at and for the periods presented.

(b) Neither the Company nor any of its Subsidiaries has any indebtedness or liabilities of any nature whatsoever (whether absolute, accrued, contingent or otherwise and whether due or to become due) that would, individually or in the aggregate, reasonably be expected to result in a Loss that would exceed \$1,000,000 or otherwise reasonably be expected to result in a Company Material Adverse Effect, other than those (i) fully reflected in or reserved against in the Latest Audited Balance Sheet, or (ii) set forth on Schedule 4.5(b).

Section 4.6 Absence of Certain Changes. Except as set forth on Schedule 4.6, since the date of the Latest Audited Balance Sheet, the Company and its Subsidiaries have operated their business only in the ordinary course of business consistent with past practices, and, without limiting the generality of the foregoing, (i) there has not been any change, event or effect that,

individually or in the aggregate, would reasonably be expected to result in a Company Material Adverse Effect, and (ii) the Company and its Subsidiaries have not taken any action that would be prohibited by Section 6.1, if such provisions had been in effect since the date of the Latest Audited Balance Sheet.

Section 4.7 Litigation. Except as set forth on Schedule 4.7(a), as of the date hereof (a) there is no litigation, action, suit, claim, arbitration, investigation or other proceeding pending or, to the Knowledge of the Company, threatened, against the Company or any of its Subsidiaries, and (b) neither the Company nor any of its Subsidiaries is a party to or subject to any provision of any outstanding writ, order, judgment, injunction, decree or award of any Governmental Body. Neither the Company nor any of its Subsidiaries is a party to any litigation, action, suit, claim, arbitration, investigation or other proceeding, or subject to any provision of any outstanding writ, order, judgment, injunction, decree or award of any Governmental Body that would, individually or in the aggregate, reasonably be expected to result in a Loss that would exceed \$1,000,000 or otherwise reasonably be expected to result in a Company Material Adverse Effect.

Section 4.8 Taxes.

(a) Except as set forth on Schedule 4.8 :

(i) Neither the Company nor any of its Subsidiaries has taken or agreed to take any action to, nor to the Knowledge of the Company is there any fact or circumstance that would, prevent the Merger and other transactions contemplated by this Agreement from qualifying as a “reorganization” within the meaning of Section 368(a) of the Code; provided, that the representations and warranties in this Section 4.8 (a)(i) shall not be considered breached if the Merger and other transactions contemplated by this Agreement do not qualify as a “reorganization” within the meaning of Section 368(a) of the Code because of cash paid to the Stockholders with respect to Dissenting Shares;

(ii) The Company and its Subsidiaries have timely filed or been included in, or will timely file or be included in, all Tax Returns (as defined below) required to be filed by them or in which they are to be included, taking into account any extension of time to file granted to or obtained on behalf of the Company or any of its Subsidiaries, and all such Tax Returns are or will be true, correct and complete in all material respects;

(iii) The Company and its Subsidiaries have timely paid or caused to be timely paid all Taxes due and owing or have made provision, in accordance with GAAP, for all Taxes owed or accrued, whether current or deferred;

(iv) Neither the Internal Revenue Service (the “IRS”) nor any other Taxing Authority has proposed, asserted or assessed any deficiency or claim for any amount of additional Taxes with respect to the Company or any of its Subsidiaries;

(v) No waiver, extension or comparable consent regarding the application of the statute of limitations with respect to any Taxes of the Company or any Subsidiary is outstanding, nor is any request for any such waiver or consent pending. To the Knowledge of the Company, no federal, state, local or foreign audits or other administrative proceedings or court proceedings are pending with regard to any Taxes or Tax Returns of the Company or any of its Subsidiaries and neither the Company nor any of its Subsidiaries has received a written notice of any actual or threatened audits or proceedings or is otherwise aware of any such audits or proceedings;

(vi) The Company and its Subsidiaries have complied with all applicable Laws relating to the withholding of Taxes, the payment thereof and any information reporting requirements;

(vii) Neither the Company nor any of its Subsidiaries has ever been a member of an affiliated group of corporations filing a consolidated federal income Tax Return (other than a group the common parent of which is or was the Company) nor does the Company or any of its Subsidiaries have any liability for Taxes of any other Person (other than the Company or any of its Subsidiaries) under Treasury Regulations Section 1.1502-6 (or any similar provision of foreign, state or local Law) or otherwise. Neither the Company nor any of its Subsidiaries is a party to any agreement or arrangement requiring the indemnification, sharing or allocation of Taxes;

(viii) Neither the Company nor any of its Subsidiaries will be required to include any item of income in, or exclude any item of deduction from, taxable income for any taxable period (or portion thereof) ending after the Closing Date as a result of any:

(A) Change in method of accounting for a taxable period ending on or prior to the Closing Date;

(B) "Closing agreement" as described in Section 7121 of the Code (or any corresponding or similar provision of state, local or foreign income Tax law) executed on or prior to the Closing Date;

(C) Intercompany transaction or excess loss account described in Treasury Regulations under Section 1502 of the Code (or any corresponding or similar provision of state, local or foreign income Tax law);

(D) Installment sale or open transaction disposition made on or prior to the Closing Date; or

(E) Prepaid amount received on or prior to the Closing Date;

(ix) Neither the Company nor any of its Subsidiaries has distributed the stock of another entity or had its stock distributed by another entity in a transaction that was purported or intended to be governed in whole or in part by Code Sections 355 or 361;

(x) Neither the Company nor any of its Subsidiaries has participated in a reportable transaction within the meaning of Treasury Regulation Section 1.6011-4(b) or (c)(3);

(xi) Neither the Company nor any of its Subsidiaries has participated in a transaction for which disclosure was provided in order to avoid penalties;

(xii) Neither the Company nor any of its Subsidiaries has been a United States real property holding corporation within the meaning of Section 897(c)(2) of the Code during the applicable period specified in Section 897(c)(1)(A)(ii) of the Code;

(xiii) Neither the Company nor any of its Subsidiaries is a party to any agreement, contract, arrangement or plan that has resulted or could result, separately or in the aggregate, in the payment of any “excess parachute payment” within the meaning of Section 280G of the Code (or any corresponding or similar provision of state, local or foreign Tax law);

(xiv) There are no liens for Taxes upon the assets of the Company or its Subsidiaries, except for Permitted Liens and for which adequate reserves have been established in accordance with GAAP; and

(xv) To the Knowledge of the Company, there are no unresolved questions, claims or disputes concerning the liability for Taxes of the Company or any Subsidiary that would exceed the estimated reserves therefor established on its books and records. No written claim has ever been made by a Taxing Authority in a jurisdiction where the Company or a Subsidiary does not file Tax Returns that the Company or such Subsidiary may be subject to taxation by that jurisdiction.

(b) For the purposes of this Agreement:

(i) “Taxes” shall mean any and all taxes, charges, fees, levies or other assessments, imposed by the IRS or any other Taxing Authority, including, without limitation, all federal, state, local and foreign income, profits, franchise gross receipts, environmental, customs duty, capital stock, severances, stamp, payroll, sales, employment, unemployment, disability, use, property, withholding, excise, production, value added, occupancy and other taxes, or other amounts payable under unclaimed property, escheatment or similar common law concepts, and such term shall include any interest whether paid or received, fines, penalties or additional amounts attributable to, or imposed upon, or with respect to, any such taxes, charges, fees, levies or other assessments, whether disputed or not and

including any obligations to indemnify or otherwise assume or succeed to any such liabilities of any other person;

(ii) “Taxing Authority” shall mean any Governmental Body, or any lawfully authorized third-party, responsible for the audit, assessment, collection, adjudication, arbitration, competent authority or other dispute resolution, or other administration of Taxes, including without limitation the legislation of Laws, or promulgation of rules or regulations, with respect to Taxes; and

(iii) “Tax Returns” shall mean any report, return, estimate, information return, statement, document or other filing (together with all schedules and other information included therewith) required to be supplied to any Taxing Authority with respect to Taxes.

Section 4.9 Employee Benefit Plans.

(a) Schedule 4.9(a)(1) sets forth all benefit and compensation plans, contracts, policies or arrangements covering current or former employees (to the extent there are any continuing obligations with respect thereto) of the Company and its Subsidiaries, including but not limited to, “employee benefit plans,” as defined in Section 3(3) of the Employee Retirement Income Security Act of 1974, as amended (“ERISA”), currently maintained by the Company or any of its Subsidiaries, and deferred compensation, severance, change in control, termination stock option, stock purchase, stock appreciation rights, stock based, incentive and bonus plans (the “Company Plans”), other than plans maintained outside of the United States primarily for the benefit of Employees working outside of the United States (the “Company Non-U.S. Plans”, which are set forth on Schedule 4.9(a)(2) (the Company Plans and Company Non-U.S. Plans, together, the “Benefit Plans”). True and complete copies of all Benefit Plans listed on Schedules 4.9(a)(1) and 4.9(a)(2), including but not limited to, any trust instruments, insurance contracts and loan agreements forming a part of any Company Plans, and all amendments thereto have been provided or made available to Buyer. Neither the Company nor any of its Subsidiaries nor any entity which is considered one employer with the Company under Section 4001 of ERISA or Section 414 of the Code (an “ERISA Affiliate”), sponsors, maintains or contributes to (or is obligated to contribute to) or has within the past six years sponsored, maintained or contributed to any “employee pension plan,” as defined in Section 3(2) of ERISA, that is subject to Title IV of ERISA or Section 412 of the Code (a “Pension Plan”), or any “multiemployer plan,” as defined in Section 3(37) of ERISA, or any “multiple employer” plan within the meaning of Sections 210(a), 4063 or 4064 of ERISA. Except as set forth on Schedule 4.9(a)(3), none of the Company Plans provides for post-employment life or health insurance benefits for any participant or any beneficiary of a participant, except as may be required under the Consolidated Omnibus Budget Reconciliation Act of 1985, as amended (or similar state law), and at the expense of the participant or the participant’s beneficiary, and the Company or its Subsidiaries may amend or terminate any such plan at any time without incurring any liability thereunder other than in respect of claims incurred prior to such amendment or termination.

(b) The Company Plans have been administered substantially in accordance with and are in substantial compliance with the applicable provisions of ERISA and the Code,

including but not limited to the Pension Protection Act of 2006, Section 502(i) of ERISA and Section 4975 of the Code, and neither the Company nor any of its Subsidiaries has incurred or reasonably expects to incur a material Tax or material penalty imposed by Section 502 of ERISA or Section 4980F of the Code. Each Company Plan that is intended to qualify under Section 401(a) of the Code has received a favorable determination or opinion letter from the IRS regarding its qualification thereunder, covering all Tax Law changes through and including the Economic Growth and Tax Relief Reconciliation Act of 2001, or has applied to the IRS for such favorable determination letter within the applicable remedial amendment period under Section 401(b) of the Code, such plan was timely adopted and no circumstances exist that could reasonably be expected to result in loss of the qualification of such Company Plan under Section 401(a) of the Code. All Company Plans that are “nonqualified deferred compensation plans” (within the meaning of Section 409A of the Code) have been maintained and administered in good faith compliance with the requirements of Section 409A of the Code and any regulations or other guidance issued thereunder. As of the date hereof, there is no pending or, to the Company’s knowledge threatened, litigation relating to the Company Plans that would, individually or in the aggregate, reasonably be expected to result in a Loss that would exceed \$1,000,000 or that would otherwise have a Company Material Adverse Effect.

(c) All contributions required to be made under each Benefit Plan, as of the date hereof, have been timely made and all obligations in respect of each Benefit Plan have been, in all material respects, properly accrued and reflected in the Company’s Financial Statements.

(d) All Company Non-U.S. Plans comply in all material respects with applicable local Law. The Company and its Subsidiaries have no unfunded liabilities with respect to any such Company Non-U.S. Plan that would, individually or in the aggregate, reasonably be expected to result in a Loss that would exceed \$1,000,000 or that would otherwise have a Company Material Adverse Effect. As of the date hereof, there is no pending or, to the Knowledge of the Company, threatened litigation relating to Company Non-U.S. Plans that would, individually or in the aggregate, reasonably be expected to result in a Loss that would exceed \$1,000,000 or that would otherwise have a Company Material Adverse Effect.

(e) Except as set forth in Schedule 4.9(e), there has been no amendment to, announcement by the Company or any of its Subsidiaries relating to, or change in employee participation or coverage under, any Benefit Plan which would increase materially the expense of maintaining such plan above the level of the expense incurred therefor for the most recent fiscal year.

(f) Except as expressly contemplated by this Agreement or as set forth on Schedule 4.9(f), neither the execution and delivery of this Agreement nor the consummation of the transactions contemplated hereby will (i) result in any payment becoming due or result in an increase in any payment to any employee of the Company or any of its Subsidiaries, (ii) increase any compensation or benefits (including without limitation severance or termination pay) otherwise payable under any Benefit Plan, (iii) result in the acceleration of the time of payment or vesting or result in any payment or funding (through a grantor trust or otherwise) of any such compensation or benefits or increase the amount payable or result in any other obligation pursuant to any such plan, (iv) limit or restrict the right of the Company or, after the

consummation of the transactions contemplated hereby, Buyer to merge, amend or terminate any of the Company Plans, (v) result in payments under any of the Company Plans which would not be deductible under Section 280G of the Code, (vi) result in any actual or potential obligation to reimburse or otherwise “gross up” any Person for the interest or additional Tax set forth under Section 409A(a)(1)(B) of the Code or (vii) result in any obligation on the Company or any of its Subsidiaries to account to Her Majesty’s Revenue & Customs for income Tax on behalf of any employee or former employee or pay National Insurance contributions (either employer or employee) pursuant to Chapter 2 of Part 7 of the Income Tax (Earnings and Pensions) Act 2003.

(g) The Company undertakes that all holders of Company Restricted Stock (as defined in clause 2.2(b) of this Agreement) who are subject to taxation in the United Kingdom will join with their relevant employing company in executing valid taxation elections pursuant to section 431(1) of Chapter 2 of Part 7 of the Income Tax (Earnings and Pensions) Act 20 within the relevant time limit set by such section in respect of their acquisition of Buyer Stock if no election has previously been entered into in respect of the related Company Restricted Stock.

(h) The Company undertakes that it shall procure the assignment of its rights to Buyer pursuant to all deeds of indemnities and undertakings entered into by employees or former employees in relation to indemnification for secondary class 1 National Insurance liabilities arising in the United Kingdom in respect of Company Restricted Stock and Company Options awarded pursuant to the Stock Plan and shall if necessary to give effect to the continuation and survival of such indemnities and undertakings with respect to New Options or Buyer Stock issued to such employee or former employee in relation to their Company Restricted Stock, procure that new deeds or amendments to the existing deeds are entered into by the relevant parties.

Section 4.10 Real and Personal Property .

(a) Except as set forth on Schedule 4.10(a) , neither the Company nor any of its Subsidiaries owns any real property.

(b) Schedule 4.10(b) sets forth a list of all real property leased or sub-leased by the Company or any of its Subsidiaries (the “ Leased Real Property ”). All leases or sub-leases relating to Leased Real Property are identified on Schedule 4.10(b) (each a “ Lease ” and collectively, the “ Leases ”) and the Company has made available to Buyer’s counsel a correct and complete copy of each Lease, as amended to date. With respect to each Lease listed on Schedule 4.10(b) :

(i) such Lease is legal, valid, binding and enforceable against each party thereto, subject to applicable bankruptcy, insolvency, moratorium or other similar Laws relating to creditors’ rights and general principles of equity;

(ii) each Lease listed on Schedule 4.10(b) has been duly authorized and executed by the Company or such Subsidiary, as applicable;

(iii) neither the Company nor any Subsidiary, nor any other party to any Lease, is in default in any material respect under any of said Leases, and no

event has occurred which, with notice or lapse of time, would constitute a material default or permit termination, material modification or acceleration under any of said Leases;

(iv) neither the Company nor any Subsidiary has any obligation or right to purchase or acquire the property subject to said Lease or any other real estate interest; and

(v) neither the Company nor any Subsidiary has granted to any Person or entity, and, to the Knowledge of the Company, no Person or entity has, any option, right of first refusal or other contractual right or obligation to acquire title to any of such property or any portion thereof or interest therein.

(c) Except as set forth on Schedule 4.10(c) or as specifically disclosed in the Latest Audited Balance Sheet, and except with respect to leased personal property, the Company and each of its Subsidiaries have good title to all of the tangible personal property and assets shown on the Latest Audited Balance Sheet or acquired after the date of the Latest Audited Balance Sheet, free and clear of any Encumbrances, except for Permitted Liens. For the purposes of this Agreement, (i) “Encumbrance” shall mean any lien, pledge, charge, mortgage, easement, encroachment, imperfection of title, title exception, title defect, right of possession, lease, security interest, encumbrance, adverse claim, interference or restriction on transfer (except for restrictions arising under applicable securities Laws), including a Permitted Lien; and (ii) “Permitted Lien” shall mean (A) Encumbrances securing Indebtedness for Borrowed Money that is specifically disclosed in the Latest Audited Balance Sheet, (B) Encumbrances for Taxes, fees, assessments or other governmental charges which are not delinquent or remain payable without penalty or which are being contested in good faith and which in any event do not exceed \$1,000,000, individually or in the aggregate, (C) carriers’, warehousemens’, mechanics’, landlords’, materialmens’, repairmens’ or other similar Encumbrances arising in the ordinary course of business relating to obligations as to which there is no default on the part of Company and which in any event do not exceed \$1,000,000, individually or in the aggregate, (D) Encumbrances consisting of pledges or deposits required in the ordinary course of business in connection with workers’ compensation, unemployment insurance and other social security legislation or to secure liability to insurance carriers and which in any event do not exceed \$1,000,000, individually or in the aggregate, (E) Encumbrances set forth on Schedule 4.10(c) and (F) Encumbrances of record or imperfections of title which are not material in character, amount or extent and which do not materially detract from the value or materially interfere with the present use of the assets or specific parcel of Leased Real Property to which they relate.

(d) The Company and its Subsidiaries are the lessees of, and hold valid leasehold interests in all material assets shown as leased on the Latest Audited Balance Sheet and all Leased Real Property disclosed on Schedule 4.10(b). Except as would not be material to the Company and its Subsidiaries as a whole, the assets owned, licensed or leased by the Company and its Subsidiaries constitute all the assets used in the business of the Company and its Subsidiaries (including all books, records, computers and computer programs and data processing systems), are in good condition (subject to normal wear and tear and immaterial impairments of value and damage) and are generally suitable for the uses for which they are used

in the operation of the business of such Persons. As of the Effective Time, the Company and its Subsidiaries will have sufficient property, assets and rights to engage in the business of the Company and its Subsidiaries in substantially the same manner as on the date hereof.

Section 4.11 Labor and Employment Matters.

(a) Except as set forth on Schedule 4.11(a), (i) the Company and each of its Subsidiaries are in compliance in all material respects with all applicable Laws relating to employment and employment practices including, without limitation, all applicable Laws relating to taxation, employment standards, workers' compensation, terms and conditions of employment, occupational health and safety, disability benefits, wages and hours, termination of employment, human rights, immigration, pay equity, employment equity, and, where applicable, the Worker Adjustment and Retraining Notification Act, (ii) in the three (3) years before the date of this Agreement, there has been no harassment, discrimination, retaliatory act or similar claim, action or proceeding against the Company or any of its Subsidiaries or any of their officers, directors or employees (in their capacities as such), and (iii) no employee of the Company or any of its Subsidiaries is owed or has filed an administrative complaint or action alleging the employee is owed any material wages, benefits or other compensation for past services (other than wages, benefits and compensation accrued in the ordinary course of business during the current pay period and accrued vacation). None of the matters identified on Schedule 4.11(a) would, individually or in the aggregate, reasonably be expected to result in a Loss that would exceed \$1,000,000 or otherwise reasonably be expected to result in a Company Material Adverse Effect.

(b) None of the employees of the Company or any Subsidiary is represented by a labor union and neither the Company nor any Subsidiary of the Company is a party to or otherwise bound by any collective bargaining agreement, contract or other agreement or understanding with a labor union or labor organization. There is no organizational effort currently being made or, to the Knowledge of the Company, threatened by or on behalf of any labor organization or trade union to organize any employees of the Company or any Subsidiary, and neither the Company nor any Subsidiary of the Company is subject to any charge, demand, petition or representation proceeding seeking to compel, require or demand it to bargain with any labor union or labor organization; nor is there pending or, to the Knowledge of the Company, threatened in writing, any material labor dispute, picketing, strike, walkout, work stoppage, slow-down or lockout involving the Company or any Subsidiary of the Company, nor has there been any such action, dispute or proceeding within the last three years.

(c) Schedule 4.11(c) contains in respect of each employee of any UK Subsidiary of the Company at the date of this Agreement, details of name, age, position, gender, length of employment, annual salary, annual bonus, other remuneration or benefits and notice period required to be served by the employing company to terminate the employment. Such information is correct and complete in all respects.

(d) The data room maintained by the Company in connection with the transactions contemplated by this Agreement contains true, up-to-date and complete copies of

standard contracts of employment between any UK Subsidiary of the Company and any employees.

Section 4.12 Contracts. Except as set forth in Schedule 4.12, neither the Company nor any Subsidiary of the Company is a party to:

(a) any partnership, joint venture or other similar Contract relating to the formation, operation, management or control of any partnership or joint venture;

(b) any Contract that is reasonably likely to require annual payments to or from the Company or any of its Subsidiaries in excess of \$500,000 in any calendar year;

(c) any employment, severance or consulting Contract with any director, officer or employee requiring an annual payment of cash compensation in excess of \$200,000 for each Person;

(d) any Contract that (i) purports to limit or restrict in any material respect the ability of the Company or any Subsidiary or Affiliate (as defined below in subsection (e)) of the Company to enter into or engage in any market or line of business, (ii) could require the disposition of any material assets or line of business of the Company or any Subsidiary of the Company or, after the Effective Time, Buyer or its Subsidiaries, (iii) grants “most favored nation” status that, after the Effective Time, would apply to Buyer and its Subsidiaries, including the Company and its Subsidiaries, or (iv) prohibits or limits the rights of the Company or any of its Subsidiaries to make, sell, perform or distribute any products or services or use, transfer, license, distribute or enforce any of their respective Intellectual Property rights;

(e) any Contract with any current officer, director or Affiliate of the Company or any of its Subsidiaries (an “Affiliate” of any Person means another Person that directly or indirectly, through one or more intermediaries, controls, is controlled by, or is under common control with, such first Person) or any Person owning of record or, to the Knowledge of the Company, beneficially owning five percent or more of the outstanding shares of Common Stock or, to the Knowledge of the Company, any family member of any of the foregoing or any entity that is an Affiliate of any such family member;

(f) any Contract for the sale of any of the assets of the Company or any of its Subsidiaries other than in the ordinary course of business consistent with past practice;

(g) any Contract relating to the incurrence, assumption, surety or guarantee of any indebtedness (excluding any agreement to guarantee lease payments);

(h) any Contract under which the Company or any of its Subsidiaries has made advances or loans to any other Person (which shall not include routine travel advances, not to exceed \$10,000, made to an employee of the Company or any of its Subsidiaries in the ordinary course of business consistent with past practice);

(i) any Contract providing for indemnification by the Company or any of its Subsidiaries of any Person, except for any such Contract that is (x) not material to the Company or any of its Subsidiaries and (y) entered into in the ordinary course of business;

(j) any Contract that contains a put, call or similar right pursuant to which the Company or any of its Subsidiaries could be required to purchase or sell, as applicable, any assets that have a fair market value or purchase price of more than \$500,000 or any equity securities of any Person; and

(k) any other material Contract (or group of related Contracts) not described (or required to be disclosed on Schedule 4.12) pursuant to Section 4.12(a) through Section 4.12(j) and the performance of which requires aggregate payments to or from the Company in excess of \$500,000 in any instance, other than Contracts entered into in the ordinary course of business consistent with past practice.

A correct and complete copy of each of the Contracts set forth on Schedule 4.12 (together with each Lease, each Intellectual Property License and each license with respect to Company Software, collectively, the “Material Contracts”) has been made available to Buyer’s counsel and each such Material Contract is in full force and effect and represents legally valid and binding obligations of the Company and/or its Subsidiaries party thereto and of each other counterparty thereto, except as such enforceability may be limited by bankruptcy, insolvency, reorganization, moratorium and similar laws affecting creditors’ rights generally and by general equitable principles (regardless of whether enforcement is sought in a proceeding at law or in equity). Except as expressly stated on Schedule 4.12, each of the agreements listed on Schedule 4.12 is in full force and effect, and neither the Company nor any of its Subsidiaries is and no other party thereto is, in default or breach in any material respect under the terms of any such Contract.

Section 4.13 Intellectual Property.

(a) The Company or its Subsidiaries solely own all right and title to, free and clear of any lien, or, has licenses (sufficient for the conduct of its business as currently conducted) to each item of Company Intellectual Property used in connection with the operation or conduct of its business as currently conducted, including in connection with the sale of any products or the provision of any services by the Company or its Subsidiaries. Neither the Company nor its Subsidiaries are subject to any proceeding or outstanding decree, order, judgment or stipulation resulting from the resolution of a dispute restricting in any manner the use, enforceability, transfer or licensing by the Company or its Subsidiaries of any of the Company Intellectual Property.

(b) Schedule 4.13(b) contains a list of all Intellectual Property Licenses. All Intellectual Property Licenses are valid, binding and in full force and effect. The Company or its Subsidiaries have taken all necessary action to maintain each Intellectual Property License. No loss or expiration of any Intellectual Property License is pending or threatened (other than expiration upon the expiration of any term thereof).

(c) Schedule 4.13(c) contains a list of all Registered Intellectual Property owned by, or filed by or on behalf of, the Company or its Subsidiaries. Each item of Registered

Intellectual Property owned by, or filed on behalf of, the Company or its Subsidiaries is valid and subsisting. All necessary registration, maintenance and renewal fees currently due in connection with said Registered Intellectual Property have been paid and all necessary documents, recordations and certifications in connection with such Registered Intellectual Property have been filed with the relevant patent, copyright, trademark or other authorities in the United States or foreign jurisdictions, as the case may be, for the purpose of maintaining such Registered Intellectual Property, except for such Registered Intellectual Property which the Company has permitted to expire or has cancelled or abandoned in its reasonable business judgment prior to the Effective Date.

(d) The Company's or its Subsidiaries' licensing of any of their trademarks, trade names, and service marks has been subject to commercially reasonable quality control by the Company or its Subsidiaries and the Company or its Subsidiaries have exercised such quality control in a consistent and commercially reasonable manner. Schedule 4.13(d) lists all unregistered and common law trademarks, service marks and trade names of the Company or its Subsidiaries currently used in the conduct of the business of the Company or its Subsidiaries and recognized by the Company or its Subsidiaries as marks or trade names.

(e) All Registered Intellectual Property that the Company or its Subsidiaries purport to own, which was developed by an employee of a Company or its Subsidiaries, (i) has been assigned to the Company or its Subsidiaries by said employee through a valid assignment document or (ii) was developed by said employee working within the scope of his or her employment at the time of such development so that such Registered Intellectual Property became the exclusive property of Company or its Subsidiaries pursuant to a valid, executed agreement. All Company Intellectual Property (excluding any Registered Intellectual Property) that the Company or its Subsidiaries purport to own, which was developed by an employee of a Company or its Subsidiaries, was (A) developed by said employee working within the scope of his or her employment at the time of such development or (B) assigned to the Company or its Subsidiaries by said employee through a valid assignment document. All employees working for the Company or its Subsidiaries as of the date of this Agreement, or employees who have previously worked for the Company or its Subsidiaries, are or were under an obligation, pursuant to a valid executed employment agreement, to assign all rights and interest in any Intellectual Property, developed by said employee while working within the scope of his or her employment at the time of such development, to the Company or appropriate Subsidiary.

(f) Schedule 4.13(f) lists all agreements pursuant to which Company Intellectual Property has been developed or created by a third party for the Company or its Subsidiaries. To the extent that any Company Intellectual Property has been developed or created by a third party for the Company or its Subsidiaries, the Company or its Subsidiaries either (i) have obtained ownership of and are the exclusive owner of, or (ii) have obtained a license (sufficient for the conduct of the business of the Company or its Subsidiaries as currently conducted) to, all of such third party's Intellectual Property developed or created for the Company or its Subsidiaries, by operation of Law or through execution of a valid assignment or license agreement.

(g) The operation of the business of the Company or its Subsidiaries including the design, development, marketing and sale of the products or services (including products currently under development), has not and does not infringe or misappropriate in any manner the Intellectual Property of any third party or constitute unfair competition or trade practices under the Laws of any jurisdiction.

(h) Neither the Company nor its Subsidiaries have received written notice of any claim from any third party that either the Company Intellectual Property or the operation of the business of the Company or its Subsidiaries or any act, product or service of the thereof, infringes or misappropriates the Intellectual Property of any third party or constitutes unfair competition or trade practices under the Laws of any jurisdiction. Except as set forth in Schedule 4.13(h), to the Knowledge of the Company, no Person has or is currently infringing or misappropriating any Company Intellectual Property. Except as set forth in Schedule 4.13(h), as of the date of this Agreement, neither the Company nor any of its Subsidiaries is a party to any suit, action or proceeding which involves a claim of infringement, unauthorized use, or violation of any Intellectual Property used or owned by any Person against the Company or its Subsidiaries, or challenging the ownership, use, validity or enforceability of any Intellectual Property owned or used by the Company or its Subsidiaries.

(i) Except as set forth in Schedule 4.13(i), the Company has taken reasonable steps to protect the rights of the Company or its Subsidiaries in the Confidential Information used by the Company or its Subsidiaries of any Confidential Information which has not been intentionally dedicated to the public domain through the commercially reasonable conduct of the business of the Company and its Subsidiaries.

(j) For the purposes of this Agreement:

(i) “Company Intellectual Property” means any Intellectual Property that is owned by or licensed to the Company or any of its Subsidiaries, including the Company Software.

(ii) “Confidential Information” means any data or information concerning the Company or its Subsidiaries (including trade secrets), without regard to form, regarding (for example and including) (a) business process models; (b) proprietary software, including source code; (c) research, development, products, services, marketing, selling, business plans, budgets, unpublished financial statements, licenses, prices, costs, contracts, suppliers, customers, and customer lists; (d) the identity, skills and compensation of employees, contractors, and consultants; (e) specialized training; and (f) discoveries, developments, trade secrets, processes, formulas, data, lists, and all other works of authorship, mask works, ideas, concepts, know how, designs, and techniques, whether or not any of the foregoing is or are patentable, copyrightable, or registrable under any intellectual property Laws or industrial property Laws in the United States or elsewhere.

(iii) “Intellectual Property” means any and all of the following, throughout the world, and all rights arising out of or associated therewith: (a) all

patents and applications therefor and all reissues, divisions, renewals, extensions, provisionals, continuations and continuations in part thereof (“Patents”); (b) all inventions (whether patentable or not), invention disclosures, improvements, proprietary information, know how, technology, technical data and customer lists, and all documentation relating to any of the foregoing; (c) all copyrights, copyright registrations and applications therefor, and all derivative works thereof; (e) all rights in internet uniform resource locators, domain names, trade names, logos, slogans, designs, common law trademarks and service marks, trademark and service mark registrations and applications therefor; (f) all software; (g) all rights in databases and data collections; and (h) all moral and economic rights of authors and inventors, however denominated.

(iv) “Intellectual Property Licenses” shall mean licenses (i) with respect to Company Intellectual Property licensed to any third party (other than end user licenses in the ordinary course of business) (“Intellectual Property License Out”) or (ii) pursuant to which a third party has licensed any Company Intellectual Property to the Company or its Subsidiaries (other than licenses of commercially available shrink wrap software or off the shelf software (by way of example only, Adobe Acrobat or Microsoft Word) have a per user license fee of less than \$2,000 or a total acquisition cost of less than \$10,000).

(v) “Registered Intellectual Property” means, throughout the world, any and all: (a) patents and patent applications (including provisional applications); (b) registered trademarks and service marks, applications to register trademarks and service marks, and intent to use applications to register trademarks and service marks; (c) registered copyrights and applications for copyright registration; (d) domain name registrations; and (e) any other Intellectual Property that is the subject of an application, registration or corresponding right issued by, filed with, or recorded with any Governmental Body.

Section 4.14 Software .

(a) Schedule 4.14(a) sets forth a true, correct and complete list of: (i) the Company Proprietary Software and (ii) the Company Licensed Software (other than commercially available shrink wrap software or off the shelf software (by way of example only, Adobe Acrobat or Microsoft Word) having a per user license fee of less than \$2,000 or a total acquisition cost of less than \$10,000).

(b) Neither the Company nor its Subsidiaries use open source software, freeware, GNU or Linux systems, or any modification thereof that has resulted in any (i) restriction on the use, licensing or disclosure of any Software, that would prevent the operation of the business of the Company or its Subsidiaries; or (ii) requirement that the Company or its Subsidiaries deliver or otherwise disclose to any third party any source code for any Company Proprietary Software or permit any licensee to modify any such source code. Any open source

software, freeware, GNU or Linux systems, used in connection with or embedded in the products of the Company or its Subsidiaries, or any modification thereof is set forth on Schedule 4.14(b).

(c) To the extent that the Company Proprietary Software was developed by consultants, contractors or other Persons other than employees of the Company or its Subsidiaries, such Persons have executed appropriate instruments of assignment in favor of the Company or its Subsidiaries that have conveyed to the Company or its Subsidiaries ownership of all of its Intellectual Property rights in the Company Proprietary Software. The Company or its Subsidiaries have not received written notice from any third party claiming any right, title or interest in the Company Proprietary Software.

(d) Except as detailed in the agreements listed in Schedule 4.14(b), the Company has not granted any rights in the Company Software to any third party (other than end user licenses in the ordinary course of business).

(e) For the purposes of this Agreement:

(i) “ Company Licensed Software ” means all Software licensed to the Company or any of its Subsidiaries.

(ii) “ Company Proprietary Software ” means all Software owned by the Company or its Subsidiaries, including, all current and prior versions of any Software owned by the Company or its Subsidiaries used to operate the internal computers and systems of the Company or its Subsidiaries or used in products and services marketed, licensed, sold or distributed to customers of the Company or its Subsidiaries.

(iii) “ Company Software ” means the Company Licensed Software and the Company Proprietary Software.

(iv) “ Software ” means any computer software program, together with any error corrections, updates, modifications, or enhancements thereto, in both machine readable form and human readable form, including all comments and any procedural code.

Section 4.15 Environmental Matters . Except as set forth on Schedule 4.15 :

(a) the Company and its Subsidiaries have at all times been in material compliance with all applicable Environmental Laws (as defined below) including with respect to their operations and use of the Leased Real Property;

(b) neither the Company nor any of its Subsidiaries generates, transports, treats, stores, or disposes of any Hazardous Material (as defined below), except in material compliance with all applicable Environmental Laws, and there has been no Release (as defined below) of any Hazardous Material by the Company or the Subsidiaries at or on the Leased Real Property or at any other location that requires remediation by or would result in liability to the Company or any of its Subsidiaries pursuant to any applicable Environmental Law;

(c) neither the Company nor the Subsidiaries have (i) received written notice under the citizen suit provisions of any Environmental Law; (ii) received any written request for information, notice, demand letter, administrative inquiry or written complaint or claim under any Environmental Law; (iii) been subject to or threatened in writing with any governmental or private action with respect to any Environmental Law or (iv) received written notice of any unsatisfied liability under any Environmental Law and to the Knowledge of the Company there is no such liability;

(d) the Company has made available to Buyer's counsel copies of all environmental reports, studies, assessments, sampling data and memoranda in its or its Subsidiary's possession relating to the Company and its Subsidiaries or any of their current or former properties or operations.

For the purposes of this Agreement:

(i) “ Environment ” means soil, surface waters, groundwater, land, stream sediments, surface or subsurface strata and ambient air.

(ii) “ Environmental Laws ” means all Laws relating to protection of the Environment or health or safety, including, without limitation, the federal Comprehensive Environmental Response, Compensation and Liability Act, the Resource Conservation and Recovery Act, the Clean Air Act, the Clean Water Act, the Toxic Substances Control Act, the Endangered Species Act, the Occupational Safety and Health Act and similar federal, state and local Laws as in effect on the Closing Date.

(iii) “ Hazardous Material ” means any pollutant, toxic substance, hazardous waste, hazardous materials, hazardous substances, petroleum or petroleum-containing products regulated under or as defined in, or listed under, any Environmental Law.

(iv) “ Release ” means any releasing, disposing, discharging, injecting, spilling, leaking, pumping, dumping, emitting, escaping or emptying of a Hazardous Material into the Environment.

Section 4.16 Insurance . Schedule 4.16 sets forth a correct and complete list of all the insurance policies held by, or for the benefit of, the Company and its Subsidiaries (the “ Insurance Policies ”), and any pending and unresolved claims made against the Insurance Policies. Except as set forth on Schedule 4.16 , the Insurance Policies are sufficient for the Company's compliance in all material respects with all applicable Laws, all Contracts to which the Company or its Subsidiary is a party or by which it is bound, and generally for the Company and its Subsidiaries to conduct their business in the normal and ordinary course consistent with prevailing industry practices. With respect to any pending claims, neither the Company nor any of its Subsidiaries has been advised in writing of any defense to coverage in connection with any claim to coverage asserted under or in connection with any of the Insurance Policies. Each of the Company and its Subsidiaries is in compliance with the provisions of each Insurance Policy under which it is the insured party, except where any failure to comply would not, individually or

in the aggregate, reasonably be expected to be material and adverse to the Company and its Subsidiaries. No insurer under any Insurance Policy has cancelled or generally disclaimed liability under any Insurance Policy or indicated any intent to do so or not to renew any such Insurance Policy.

Section 4.17 No Brokers. Neither the Company nor any of its Subsidiaries or Affiliates has entered into any contract, arrangement or understanding with any Person or firm that may result in the obligation of such entity or Buyer or MergerCo to pay any finder's fees, brokerage or agent's commissions or other like payments in connection with the negotiations leading to this Agreement or consummation of the Merger, except that the Company has retained and will owe fees to Evercore Partners Inc. as its financial advisor in connection with the Merger.

Section 4.18 Compliance with Laws. Except as set forth in Schedule 4.18, the businesses of the Company and each of its Subsidiaries have been, and are currently being, conducted in compliance with all federal, state, local and foreign Laws, statutes or ordinances, the common law and all rules, regulations, standards, judgments, orders, writs, injunctions, decrees, arbitration awards, agency requirements, licenses and permits of any Governmental Body (collectively, "Laws"), except for such violations as would not, individually or in the aggregate, reasonably be expected to result in a Loss that would exceed \$1,000,000 or otherwise reasonably be expected to result in a Company Material Adverse Effect. Except as set forth in Schedule 4.18, no investigation or review by any Governmental Body with respect to the Company or any of its Subsidiaries is pending or, to the Knowledge of the Company, threatened, nor has any Governmental Body indicated in writing an intention to conduct the same. Except as set forth in Schedule 4.18, the Company has not received any written notice or written communication of any material noncompliance with any such Laws that has not been cured as of the date of this Agreement.

Section 4.19 Government Regulation.

(a) All licenses, registrations, qualifications, memberships, permits, approvals and other authorizations from a Governmental Body held by the Company and its Subsidiaries are listed in Schedule 4.19(a) (collectively, the "Governmental Permits"). Except as would not, individually or in the aggregate, reasonably be expected to result in a Loss that would exceed \$1,000,000 or otherwise reasonably be expected to result in a Company Material Adverse Effect, the Governmental Permits constitute all the licenses, registrations, certifications, qualifications, memberships, permits, consents, approvals, exemptions, orders and other authorizations from or issued by a Governmental Body required by the Company and its Subsidiaries to conduct their businesses in the three years before the date of this Agreement.

(b) Except as set forth on Schedule 4.19(b) and as would not, individually or in the aggregate, reasonably be expected to result in a Loss that would exceed \$1,000,000 or otherwise reasonably be expected to result in a Company Material Adverse Effect:

(i) the Company and its Subsidiaries have timely filed (and, where applicable, obtained approval of) all registrations, qualifications, memberships, applications, reports and permit declarations required to be filed by it with any Governmental Body, and all amendments or supplements to any of the foregoing;

(ii) the Company and its Subsidiaries are not subject to any restrictions or limitations imposed by any Governmental Body which are continuing and which materially limit such entities' ability to conduct their businesses, and there are no circumstances which will cause any of the Governmental Permits to be suspended, varied, limited, revoked or not renewed, or otherwise materially affected, in whole or in part;

(iii) in the three years before the date of this Agreement the business of each Authorized Group Company (as defined in Section 7.4(b)) has been conducted in all respects in compliance with the requirements of FSMA and the regulatory system (as that expression is defined for the purposes of the FSA's Handbook of Rules and Guidance) (together, "Regulatory Requirements");

(iv) the current employees of the Company and its Subsidiaries have, and the former employees, while employed by the Company and its Subsidiaries, had, at all requisite times while employed by the Company or any Subsidiary held all necessary regulatory, licenses, approvals and authorizations required to enable them to carry out their respective functions within each Authorized Group Company;

(v) in the three years before the date of this Agreement, each Authorized Group Company has complied with its own compliance policies and procedures, as disclosed to Buyer;

(vi) in the three years before the date of this Agreement, each Authorized Group Company has ensured that all of its promotional and advertising material complies with Regulatory Requirements;

(vii) to the Knowledge of the Company, no investigation or enquiry is being or has been conducted or is being contemplated by any Governmental Body with respect to an Authorized Group Company;

(viii) no regulatory or disciplinary proceedings or actions have been brought and no fine or other penalty has been imposed by any Governmental Body, whether against any Authorized Group Company, or, to the Knowledge of the Company, a director, officer or any employee or former employee of any Authorized Group Company;

(ix) in the three years before the date of this Agreement, no court orders or warrants under the United Kingdom Proceeds of Crime Act 2002, the United Kingdom Terrorism Act 2000 or any analogous legislation or regulatory requirement in any jurisdiction have been made in relation to any material or information held by any Authorized Group Company;

(x) there are valid client agreements in place between each Authorized Group Company and its clients to the extent required by the Regulatory Requirements;

(xi) each Authorized Group Company complies with its obligations under Rule 2.3 of the FSA's new Conduct of Business sourcebook in relation to the payment and acceptance of fees, commissions and non-monetary benefits; and

(xii) the complaints register relating to the business of each Authorized Group Company has been maintained in accordance with Regulatory Requirements, is up-to-date and accurate, and there are, to the Knowledge of the Company, no material regulatory complaints or allegations concerning any Authorized Group Company currently in existence.

(c) Except as disclosed on SEC Form BD of any Subsidiary of the Company filed prior to the date of this Agreement, copies of which have been made available to Buyer, neither the Company nor any Subsidiary has been the subject of any disciplinary proceedings or orders of any Governmental Body arising under applicable Laws which would be required to be disclosed on such Form BD. No such disciplinary proceeding or order is pending or, to the Knowledge of the Company, threatened. Except as disclosed on such Form BD filed prior to the date of this Agreement, neither the Company nor any Subsidiary has been permanently enjoined by the order of any Governmental Body from engaging or continuing any conduct or practice in connection with any activity or in connection with the purchase or sale of any security.

(d) Each Authorized Group Company materially meets the current requirements of the FSA in relation to its Treating Customers Fairly initiative (TCF), and has taken appropriate steps to ensure that it will meet the future requirements of the FSA in relation to TCF as published by the FSA prior to the date of this Agreement.

(e) All material correspondence between each Authorized Group Company and the FSA for the last three years has been disclosed.

(f) All binding recommendations (if any) suggested by a Governmental Body to which each Authorized Group Company is subject have been materially implemented to the satisfaction of the relevant Governmental Body.

(g) All fines and levies (if any) imposed on each Authorized Group Company by any Governmental Body have been paid.

(h) Each Authorized Group Company has sufficient regulatory capital to meet the capital adequacy requirements of the FSA as at the date of this Agreement and will have sufficient regulatory capital to meet such requirements at all times up to 31 December 2008.

(i) Without limiting any other provisions of this Section 4.19, except as disclosed on Schedule 4.19(i), the Company and its Subsidiaries are not required to be registered with the SEC as a broker-dealer or a national securities exchange, or with the Commodity Futures Trading Commission ("CFTC") as a designated contract market and are not subject to the provisions of the Commodity Exchange Act and CFTC regulations governing exempt commercial markets.

Section 4.20 Books and Records. Except as set forth on Schedule 4.20, the books of account and other financial records of the Company and its Subsidiaries are complete and correct in all material respects, represent actual, bona fide transactions, as applicable, and have been maintained in accordance with sound business practices and all applicable requirements of Law. The minute books of the Company and its Subsidiaries contain accurate and complete records of all meetings held, and all corporate actions taken by, the Stockholders, the Board of Directors and committees of the Board of Directors of the Company and each of its Subsidiaries, and no meeting of any Stockholders, Board of Directors or committee has been held for which minutes have not been prepared or are not contained in such minute books.

Section 4.21 Related Party Transactions. Except for employment arrangements (including employee benefit plan matters) conducted in the ordinary course of business or as set forth on Schedule 4.21(a), neither the Company nor any of its Subsidiaries is party to any contract, lease or commitment with any Stockholder, director, officer or employee of the Company or any of its Subsidiaries or, to the Knowledge of the Company, any member of the immediate family, grandparents, grandchildren or first cousins of such stockholder, director, officer or employee. Contracts, leases or commitments set forth on Schedule 4.21(a) comply with all Laws applicable to the relevant related party transaction. Except for this Agreement and any liability arising under this Agreement and except for employment arrangements (including employee benefit plans) in effect as of the date of this Agreement or entered into or established after the date of this Agreement in compliance with Article VI, from and after the Closing, neither the Company nor any of its Subsidiaries shall be bound by any Contract or any other arrangement of any kind whatsoever with, or have any liability to, any of the Stockholders. Except as set forth on Schedule 4.21(b), all Contracts concluded between the Company and its Subsidiaries or between any of its Subsidiaries were made at arms' length.

Section 4.22 Foreign Assets Control. Neither the Company nor any of its Subsidiaries does business with, sponsors, or provides assistance or support to, the government of, or any person located in, any country, or with any other person, targeted by any of the economic sanctions of the United States administered by the United States Treasury Department's Office of Foreign Assets Control ("OFAC"); the Company is not owned or controlled (within the meaning of the regulations promulgating such sanctions or the Laws authorizing such promulgation) by, any such government or person.

Section 4.23 AML Standards. The Company has made available to Buyer copies of the policies and procedures used by the Company and its Subsidiaries for verification of the identity of new and existing customers of the Company and its Subsidiaries and compliance with Title III of the United and Strengthening America by Providing Appropriate Tools Required to Intercept and Obstruct Terrorism Act of 2001 and similar Laws. The Company and its Subsidiaries have each been and are in compliance in all material respects with all such Laws and all "know your client" Laws applicable to the Company or any of its Subsidiaries or to their respective employees in any jurisdiction. Set forth on Schedule 4.23 is a description of the policies and procedures of the Company and its Subsidiaries with respect to such Laws.

Section 4.24 No Other Representations and Warranties; Knowledge.

(a) NONE OF THE COMPANY, ANY OF ITS SUBSIDIARIES OR ANY OF ITS REPRESENTATIVES, DIRECTORS, OFFICERS, OPTIONHOLDERS OR STOCKHOLDERS, HAS MADE ANY REPRESENTATIONS OR WARRANTIES, EXPRESS OR IMPLIED, OF ANY NATURE WHATSOEVER RELATING TO THE COMPANY OR ANY OF ITS SUBSIDIARIES OR THE BUSINESS OF THE COMPANY OR ANY OF ITS SUBSIDIARIES OR REPRESENTATIVES OR OTHERWISE IN CONNECTION WITH THE TRANSACTIONS CONTEMPLATED HEREBY, OTHER THAN THOSE REPRESENTATIONS AND WARRANTIES EXPRESSLY SET FORTH IN THIS ARTICLE IV (INCLUDING THE ACCOMPANYING SCHEDULES) OR AS PROVIDED PURSUANT TO ARTICLE VIII.

(b) Without limiting the generality of the foregoing, neither the Company, nor any representative of the Company, nor any of its employees, officers, directors, Optionholders or Stockholders, has made, and shall not be deemed to have made, any representations or warranties in the materials relating to the business of the Company and its Subsidiaries made available to Buyer and MergerCo, including due diligence materials, or in any presentation of the business of the Company and its Subsidiaries by management of the Company or others in connection with the transactions contemplated hereby, and no statement contained in any of such materials or made in any such presentation shall be deemed a representation or warranty hereunder or otherwise or deemed to be relied upon by Buyer or MergerCo in executing, delivering and performing this Agreement and the transactions contemplated hereby. It is understood that any cost estimates, projections or other predictions, any data, any financial information or any memoranda or offering materials or presentations, including but not limited to, any offering memorandum or similar materials made available by the Company and its representatives are not and shall not be deemed to be or to include representations or warranties of the Company, and are not and shall not be deemed to be relied upon by Buyer or MergerCo in executing, delivering and performing this Agreement and the transactions contemplated hereby.

(c) Whenever a representation or warranty made by the Company herein refers to the “Knowledge of the Company”, such knowledge shall be deemed to consist only of the actual knowledge of the Persons listed in Schedule 4.24(c), after due inquiry (which due inquiry the Company hereby confirms has been made).

(d) For the avoidance of doubt, this Section 4.24 shall not apply, or otherwise be deemed in any manner, to limit any Person from seeking any available remedy for fraud.

ARTICLE V

REPRESENTATIONS AND WARRANTIES OF BUYER AND MERGERCO

Except as disclosed in any form, statement, certification, report or document filed or furnished by Buyer with the SEC under the Securities Exchange Act of 1934, as amended (the “Exchange Act”) or the Securities Act (collectively, the “Buyer Reports”), Buyer and MergerCo

hereby jointly and severally make to the Company the representations and warranties contained in this Article V.

Section 5.1 Existence; Good Standing. Each of Buyer and MergerCo is a corporation duly incorporated, validly existing and in good standing under the Laws of the State of Delaware. Each of Buyer and MergerCo has all requisite corporate power and authority to own, operate, lease and encumber its properties and assets and carry on its respective business as currently conducted. Each of Buyer and MergerCo is duly licensed or qualified to do business as a foreign corporation under the Laws of each jurisdiction in which the character of its properties or assets or in which the transaction of its business makes such qualification necessary, except where the failure to be so licensed or qualified, individually or in the aggregate, has not had and would not reasonably be expected to result in a Buyer Material Adverse Effect. For the purposes hereof, “Buyer Material Adverse Effect” means a material adverse effect on the business, financial condition, assets, properties, liabilities or results of operations of Buyer and its Subsidiaries, taken as a whole; provided, however, that none of the following shall constitute, or will be considered in determining whether there has occurred, a Buyer Material Adverse Effect: (i) any change, effect or circumstance that Buyer establishes through specific evidence was the proximate result of any action or omission of a party required under this Agreement or the pendency or announcement of the transactions contemplated by this Agreement; (ii) any effect arising from or relating to any change in GAAP or any change in applicable Laws unrelated to the Merger, or the interpretation thereof, and of general applicability after the date of this Agreement; (iii) any failure of Buyer to meet any financial projection or forecast, other than by reason of a breach or violation of any representation or warranty of Buyer pursuant to this Agreement; and (iv) any change or development in economic, political, business or commodities trading market conditions generally (whether as a result of acts of terrorism, war (whether or not declared), armed conflicts or otherwise); provided, however, that (ii) and (iv) above shall operate only to the extent that such effect, change or development does not affect Buyer and its Subsidiaries, taken as a whole, in a disproportionate manner.

Section 5.2 Formation and Ownership of MergerCo; No Prior Activities .

(i) MergerCo was formed solely for the purpose of engaging in the transactions contemplated by this Agreement. All of the issued and outstanding capital stock of MergerCo is validly issued, fully paid and non-assessable and owned, beneficially and of record, by Buyer free and clear of all claims, stockholder agreements, limitations on Buyer’s voting rights, and Encumbrances of any nature whatsoever.

(ii) As of the date hereof and as of the Effective Time, except for (A) liabilities incurred in connection with its incorporation and organization, and (B) this Agreement and any other agreements or arrangements contemplated by this Agreement or in furtherance of the transactions contemplated pursuant to this Agreement, MergerCo has not incurred, directly or indirectly, through any of its Subsidiaries, any liabilities or engaged in any business activities of any type or kind whatsoever.

Section 5.3 Capitalization. As of the date of this Agreement, the authorized capital stock of Buyer consists of (i) 194,275,000 shares of Common Stock, of which, as of March 31, 2008, 71,464,750 shares were issued and 70,504,211 shares were outstanding (960,539 shares being held as treasury stock), and (ii) 25,000,000 shares of Preferred Stock of which zero shares, as of March 31, 2008, were issued and outstanding.

Section 5.4 Authority; Validity of Agreement; Necessary Action. Each of Buyer and MergerCo has all requisite corporate power and authority and has taken all corporate action necessary in order to execute and deliver this Agreement and to perform its respective obligations hereunder and the consummate the transactions contemplated hereby. This Agreement has been duly executed and delivered by each of Buyer and MergerCo and, assuming the due authorization, execution and delivery of this Agreement by the Company, constitutes a legal, valid and binding obligation of each of Buyer and MergerCo, as the case may be, enforceable against each of them in accordance with its terms.

Section 5.5 No Conflicts. The execution, delivery and performance by each of Buyer and MergerCo of this Agreement, and the consummation by each of Buyer and MergerCo of the transactions contemplated hereby in accordance with the terms hereof, will not, (i) violate, conflict with or result in a default (whether after the giving of notice, lapse of time or both) under, give rise to a right of termination of or acceleration of any obligations under or the creation of an Encumbrance on any of the assets of Buyer or any of its Subsidiaries pursuant to any Contract to which Buyer or any of its Subsidiaries is a party or by which Buyer or any of its Subsidiaries' assets are bound, (ii) conflict with, or result in, any violation of any provision of the Certificate of Incorporation or By-laws of Buyer or the comparable organizational documents of any of Buyer's Subsidiaries; or (iii) violate or result in a violation of, or constitute a default (whether after the giving of notice, lapse of time or both) under, any provision of any Law, or any order of, or any restriction imposed by, any court or other Governmental Body applicable to Buyer or any of its Subsidiaries, except, in the case of clauses (i) and (iii) of this Section 5.5, for any such conflicts, defaults, violations, terminations and any waivers if not obtained that would not, individually or in the aggregate, reasonably be expected to result in a Buyer Material Adverse Effect.

Section 5.6 Governmental Approvals and Consents. No notice or report to, declaration or filing with, or consent or approval of any Governmental Body is required by or with respect to Buyer or any of its Subsidiaries in connection with the execution and delivery by Buyer and MergerCo of this Agreement, and the performance by Buyer or any of its Subsidiaries of any of its obligations under, and the consummation by Buyer or any of its Subsidiaries of the transactions contemplated by, this Agreement in accordance with the terms hereof, except for: (A) the filing of a pre-merger notification and report form by Buyer and MergerCo under the HSR Act, and the expiration or termination of the applicable waiting period thereunder; (B) the filing of the Certificate of Merger with the Secretary of State of the State of Delaware, and (C) such filings and notices as may be required of Buyer or its Subsidiaries under the Exchange Act or the Securities Act.

Section 5.7 Buyer Reports; Financial Statements. Buyer has since December 31, 2007 filed or furnished, as applicable, on a timely basis all Buyer Reports required by Law. Each of

such Buyer Reports filed or furnished since December 31, 2007, at the time of its filing or being furnished complied in all material respects with the applicable requirements of the Securities Act, the Exchange Act and the Sarbanes-Oxley Act of 2002 (as amended, the “Sarbanes-Oxley Act”), and any rules and regulations promulgated thereunder applicable to such Buyer Reports. As of their respective dates (or, if amended prior to the date hereof, as of the date of such amendment) such Buyer Reports did not, and any Buyer Reports filed or furnished with the SEC subsequent to the date hereof will not, contain any untrue statement of a material fact or omit to state a material fact required to be stated therein or necessary to make the statements made therein, in light of the circumstances in which they were made, not misleading. Each of the consolidated balance sheets included in the financial statements included in such Buyer Reports (including the related notes and schedules) fairly presents the consolidated financial position of Buyer and its Subsidiaries as of its date and each of the consolidated statements of income, retained earnings, and cash flows and of changes in financial position included in the financial statements included in Buyer Reports (including any related notes and schedules) fairly presents the results of operations, retained earnings, members’ equity, cash flows and changes in financial position, as the case may be, of Buyer and its Subsidiaries for the periods set forth therein, in each case in conformity with GAAP consistently applied during the periods involved, except as may be indicated in such statements or in the notes thereto or, in the case of unaudited financial statements, as permitted by the regulations and rules promulgated under the Exchange Act. Except for liabilities and obligations incurred in the ordinary course of business since December 31, 2007, neither Buyer nor any of its Subsidiaries has any liabilities or obligations of any nature which, individually or in the aggregate, could reasonably be expected to have a Buyer Material Adverse Effect.

Section 5.8 Absence of Certain Changes. Since December 31, 2007, Buyer and its Subsidiaries have operated their business only in the ordinary course of business consistent with past practices, and without limiting the foregoing, there has not been any change, event or effect that, individually or in the aggregate, would reasonably be expected to result in a Buyer Material Adverse Effect.

Section 5.9 Compliance. The businesses of each of Buyer and its Subsidiaries have been, and are being, conducted in compliance in all material respects with all Laws. Without limiting the foregoing, Buyer is in compliance in all material respects with the applicable listing and corporate governance rules and regulations of the New York Stock Exchange.

Section 5.10 Brokers. Neither Buyer nor any of its Subsidiaries or Affiliates has entered into any contract, arrangement or understanding with any Person or firm that may result in the obligation of such entity or the Company to pay any finder’s fees, brokerage or agent’s commissions or other like payments in connection with the negotiations leading to this Agreement or consummation of the Merger, except that Buyer has retained Morgan Stanley & Co. Incorporated to deliver a fairness opinion to Buyer’s Board of Directors and will owe fees to Morgan Stanley & Co. Incorporated for delivering that fairness opinion.

Section 5.11 Litigation. There is no litigation, action, suit, claim, arbitration, investigation or other proceeding pending or, to the knowledge of Buyer or MergerCo, threatened, against Buyer or any of its Subsidiaries, that, individually or in the aggregate, has had

or would reasonably be expected to have a Buyer Material Adverse Effect, and neither Buyer nor any of its Subsidiaries is a party to or subject to any provision of any outstanding writ, order, judgment, injunction, decree or award of any Governmental Body that, individually or in the aggregate, would reasonably be expected to result in a Buyer Material Adverse Effect.

Section 5.12 Inspection. Buyer is an informed and sophisticated Person, and has engaged expert advisors experienced in the evaluation and acquisition of companies such as the Company and its Subsidiaries as contemplated hereunder. Buyer has undertaken such investigation and has been provided with and has evaluated such documents and information as it has deemed necessary to enable it to make an informed and intelligent decision with respect to the execution, delivery and performance of this Agreement and the transactions contemplated hereby. Buyer acknowledges that (a) the Company does not make any representation or warranty with respect to (i) any projections, estimates or budgets delivered to or made available to Buyer or MergerCo of future revenues, future results of operations (or any component thereof), future cash flows or future financial condition (or any component thereof) of the Company and its Subsidiaries or the future business and operations of the Company and its Subsidiaries or (ii) any other information or documents made available to Buyer or MergerCo or their counsel, accountants or advisors with respect to the Company, its Subsidiaries or any of their respective businesses, assets, liabilities or operations, except as expressly set forth in Article IV of this Agreement (including the accompanying Schedules) or made pursuant to Article VIII of this Agreement, and (b) neither Buyer nor MergerCo has relied or will rely upon any of the information described in subclauses (i) and (ii) of clause (a) above or any other information, representation or warranty except those representations or warranties set forth in Article IV of this Agreement or made pursuant to Article VIII of this Agreement in negotiating, discussing, executing, delivering and performing this Agreement and the transactions contemplated hereby.

Section 5.13 No other Representations and Warranties; Knowledge.

(a) NONE OF BUYER OR ANY OF ITS SUBSIDIARIES (INCLUDING MERGERCO) OR ANY OF ITS REPRESENTATIVES, DIRECTORS, OFFICERS OR STOCKHOLDERS, HAS MADE ANY REPRESENTATIONS OR WARRANTIES, EXPRESS OR IMPLIED, OF ANY NATURE WHATSOEVER RELATING TO BUYER OR ANY OF ITS SUBSIDIARIES (INCLUDING MERGERCO) OR THE BUSINESS OF BUYER OR ANY OF ITS SUBSIDIARIES (INCLUDING MERGERCO) OR REPRESENTATIVES OR OTHERWISE IN CONNECTION WITH THE TRANSACTIONS CONTEMPLATED HEREBY, OTHER THAN THOSE REPRESENTATIONS AND WARRANTIES EXPRESSLY SET FORTH IN THIS ARTICLE V OR AS PROVIDED PURSUANT TO ARTICLE VIII.

(b) Without limiting the generality of the foregoing, neither Buyer, nor MergerCo, nor any representative of Buyer or MergerCo, nor any of their respective employees, officers, directors or stockholders, has made, and shall not be deemed to have made, any representations or warranties in any materials relating to the business of Buyer and its Subsidiaries (including MergerCo) and stockholders made available to the Company and its Subsidiaries and Stockholders, including due diligence materials, or in any presentation of the business of Buyer and its Subsidiaries (including MergerCo) by management of Buyer, MergerCo or others in connection with the transactions contemplated hereby, and no statement

contained in any of such materials or made in any such presentation shall be deemed a representation or warranty hereunder or otherwise or deemed to be relied upon by Company or the Stockholders in executing, delivering and performing this Agreement and the transactions contemplated hereby. It is understood that any cost estimates, projections or other predictions, any data, any financial information or any memoranda or offering materials or presentations, including but not limited to, any offering memorandum or similar materials made available by Buyer, MergerCo and their representatives are not and shall not be deemed to be or to include representations or warranties of Buyer or MergerCo, and are not and shall not be deemed to be relied upon by Company in executing, delivering and performing this Agreement and the transactions contemplated hereby.

(c) For the avoidance of doubt, this Section 5.13 shall not apply, or otherwise be deemed in any manner, to limit any Person from seeking any available remedy for fraud.

ARTICLE VI

CONDUCT OF BUSINESS PENDING THE MERGER

Section 6.1 Conduct of Business Prior to Closing. Except as expressly permitted in this Section 6.1, set forth in Schedule 6.1 or as consented to in writing by Buyer, during the period commencing on the date of this Agreement and ending at the Effective Time or such earlier date as this Agreement may be terminated in accordance with its terms (the “Pre-Closing Period”), the Company shall, and shall cause each of its Subsidiaries to, (a) act and carry on its business in the ordinary course of business consistent with past practice and comply with all applicable Laws, (b) use commercially reasonable efforts to maintain and preserve its and each of its Subsidiaries’ business organization, assets and properties and existing relationships and goodwill with customers, suppliers, creditors, lessor, sub-lessees and employees and (c) use commercially reasonable efforts to protect, defend and maintain the ownership, validity and registration of the Company Intellectual Property. Without limiting the generality of the foregoing, except as expressly permitted herein or as set forth in Schedule 6.1 and except that the Company may renew or extend its existing revolving credit facility with JPMorgan Chase Bank N.A. (but may not borrow under such facility without the prior written consent of Buyer), during the Pre-Closing Period, the Company shall not, and shall not permit any of its Subsidiaries to, directly or indirectly, do any of the following without the prior written consent of Buyer (which consent shall not be unreasonably withheld):

(a) except as set forth in Schedule 6.1(a), split, subdivide, combine, redeem or reclassify, purchase or otherwise acquire, directly or indirectly, any of its capital stock or securities convertible or exchangeable into or exercisable for any shares of its capital stock or issue or authorize the issuance of any other securities in respect of, in lieu of or in substitution for shares of its capital stock or any of its other securities (it being understood that the foregoing will not apply to the forfeiture of Company Restricted Stock or the acquisition of Company Restricted Stock for nominal or de minimis consideration, in each case in accordance with the terms of the applicable outstanding Company Restricted Stock agreement as in effect on the date of this Agreement);

(b) except as set forth in Schedule 6.1(b), authorize for issuance, issue, sell, pledge, dispose of, grant, transfer, encumber, or authorize the issuance, sale, pledge, disposition, grant, transfer, lease, license, guarantee or encumbrance of, any shares of its capital stock or of any its Subsidiaries (other than the issuance of shares by its wholly-owned Subsidiary to it or another of its wholly-owned Subsidiaries), or securities convertible or exchangeable into or exercisable for any shares of such capital stock, or any options, warrants or other rights of any kind to acquire any shares of such capital stock or such convertible or exchangeable securities (other than the issuance of shares of Common Stock upon the exercise of outstanding Company Options, in accordance with their terms or upon the conversion of any shares of Convertible Preferred Stock, in each case, that are outstanding on the date of this Agreement);

(c) make any change to the Certificate of Incorporation or By-laws or the organizational documents of its Subsidiaries, or change the authorized capital stock or equity interests of the Company or any Subsidiary;

(d) declare, set aside, make or pay any dividend or other distribution, payable in cash, stock, property or otherwise, with respect to any of its capital stock (except for dividends paid by any direct or indirect wholly-owned Subsidiary to it or to any other direct or indirect wholly-owned Subsidiary) or enter into any agreement with respect to the voting of its capital stock;

(e) merge or consolidate itself or any of its Subsidiaries with any other Person, except for any such transactions among its wholly-owned Subsidiaries, or restructure, reorganize or completely or partially liquidate;

(f) except as set forth in Schedule 6.1(f), (i) incur any Indebtedness for Borrowed Money, or guarantee any indebtedness of another Person, (ii) issue, sell or amend any debt securities of the Company or any of its Subsidiaries, guarantee any debt securities of another Person, or enter into any "keep well" or other agreement to maintain any financial statement condition of another Person, (iii) make any loans, advances (other than routine travel advances, not to exceed \$10,000, to employees of the Company and its Subsidiaries in the ordinary course of business consistent with past practice) or capital contributions to, or investment in, any other Person, other than the Company or any of its direct or indirect wholly owned Subsidiaries; provided, however, that the Company may, in the ordinary course of business and consistent with prior practices, continue to invest in debt securities maturing not more than 365 days after the date of investment, or (iv) mortgage, pledge or otherwise encumber any assets, or create or suffer any material lien thereupon, except, in each case, in the ordinary course of business and consistent with prior practices pursuant to credit facilities in existence on the date hereof (or any extensions, renewals or refinancings thereof);

(g) (i) prepay any loans (if any) from its Stockholders, officers or directors or any Person affiliated with any of the foregoing, or (ii) make any change in its borrowing arrangements, or (iii) knowingly waive, release or assign any rights or claims (including any write-off or other compromise of any accounts receivable of the Company or any of its Subsidiaries), other than any such immaterial waiver, release, assignment, write-off or compromise made in the ordinary course of business consistent with past practice; provided,

however, that, for the avoidance of doubt, the Company shall not be prohibited from paying any Indebtedness for Borrowed Money or any expenses in connection with the Merger and related transactions;

(h) make any changes with respect to accounting policies or procedures, except as required by changes in Law or by GAAP;

(i) except as required pursuant to existing written, binding agreements in effect prior to the date of this Agreement and set forth in Schedule 6.1(i) or as otherwise required by applicable Law:

(i) increase the rates of direct compensation or bonus compensation, severance benefits, welfare benefits or any other benefits payable or to become payable to any officer, management level employee, agent or consultant of the Company or any Subsidiary;

(ii) establish, adopt, amend or terminate any Benefit Plans (including but not limited to any change in the character of any 401(k) plan from single-employer to multiple-employer status) or amend the terms of any outstanding equity-based awards grant or provide any severance or termination payments or benefits to any director, officer or employee of the Company or any of its Subsidiaries;

(iii) forgive any loans to directors, officers or employees of the Company or any of its Subsidiaries; and

(iv) change any actuarial or other assumptions used to calculate funding obligations with respect to any Benefit Plan or to change the manner in which contributions to such plans are made or the basis on which such contributions are determined, except as may be required by GAAP.

(j) acquire assets other than in the ordinary course of business consistent with past practice or as set forth in the 2008 annual forecast of the Company that has been provided to Buyer (the “Annual Budget”) and consistent therewith from any Person in any transaction or series of transactions;

(k) except as set forth in the Annual Budget and consistent therewith, make or authorize any capital expenditure in excess of \$100,000 individually or \$1,000,000 in the aggregate;

(l) transfer, sell, lease, license, mortgage, pledge, surrender, encumber, divest, cancel, abandon or allow to lapse or expire (except in accordance with the current terms of any agreement of the Company or any of its Subsidiaries that is currently in effect) or otherwise dispose of any material properties or material assets of the Company or its Subsidiaries (including product lines or businesses and capital stock of any of its Subsidiaries), except (i) in connection with services provided in the ordinary course of business consistent with past practice

or (ii) pursuant to Contracts in effect prior to the date of this Agreement, and other than the sale of the assets listed on Schedule 6.1(l);

(m) except for Company Transaction Expenses and contractual obligations in effect on the date of this Agreement and disclosed in Schedule 6.1 that the Company and its Subsidiaries are required to perform or discharge, expend, disburse or advance any cash or cash equivalents outside the ordinary course of business consistent with past practice;

(n) except in the ordinary course of business consistent with past practice or as expressly provided in this Agreement, materially amend or terminate any Material Contract to which the Company or any of its Subsidiaries is party;

(o) except as set forth in Schedule 6.1(o) and other than in the ordinary course of business consistent with past practice, enter into any Contract that would have been a Material Contract had it been entered into prior to this Agreement;

(p) make or change any Tax election, change any annual Tax reporting period, adopt or change any Tax accounting method, file any amended Tax Return, enter into any closing agreement, settle any Tax claim or assessment relating to the Company or any of its Subsidiaries, surrender any right to claim a refund of Taxes, consent to any extension or waiver of the limitation period applicable to any Tax claim or assessment, or take any other similar action related to the filing of any Tax Return or the payment of any Tax, if such election, adoption, change, amendment, agreement, settlement, surrender, consent or other action would have the effect of increasing the Tax liability of the Company or any of its Subsidiaries for any Tax period ending after the Closing Date or decreasing any Tax attribute of the Company or any of its Subsidiaries existing on the Closing Date;

(q) except as set forth in Schedule 6.1(q), settle or compromise any litigation, investigations or other disputes (whether or not commenced prior to the date of this Agreement) other than settlements or compromises for litigation or other disputes where the amount paid in settlement or compromise does not exceed \$100,000 individually or \$1,000,000 in the aggregate, for all such litigation or other disputes;

(r) take any action that could reasonably be foreseen to result in any of the conditions to the Merger set forth in Article VIII not being satisfied;

(s) except as set forth in Schedule 6.1(s), dispose of or permit to lapse any ownership and/or right to the use of any patent, trademark, trade name, service mark, or copyright owned by the Company or its Subsidiaries (including any of the Company Intellectual Property owned by the Company or its Subsidiaries), or dispose of or disclose to any Person, any Confidential Information (except, for the avoidance of doubt, expiration of patents at the end of their full statutory term), except in accordance with the terms of an agreement in effect on the date hereof;

(t) allow any of the Registered Intellectual Property to be abandoned, forfeited, cancelled, expunged and/or dedicated to the public (except, for the avoidance of doubt, expiration of patents at the end of their full statutory term);

(u) amend, modify or supplement the Annual Budget; or

(v) enter into any executory agreement, commitment or undertaking (whether in writing or orally) to do any of the activities prohibited by the foregoing provisions.

Section 6.2 Communications. Notwithstanding the foregoing, prior to making any written or material broad-based oral communications to the directors, officers or employees of the Company or any of its Subsidiaries pertaining to compensation or benefit matters that are affected by the transactions contemplated by this Agreement, the Company shall provide Buyer with a copy of the intended communication, Buyer shall have a reasonable period of time to review and comment on the communication, and Buyer and the Company shall cooperate in providing any such mutually agreeable communication.

ARTICLE VII

ADDITIONAL AGREEMENTS

Section 7.1 Stockholders Consent.

(a) The Company shall use its reasonable best efforts to promptly obtain and deliver to Buyer a true, correct and complete copy of the irrevocable and unconditional Stockholder Written Consent, executed and delivered by the Stockholders named on Exhibit A hereto, evidencing the adoption of this Agreement and the approval of the Merger, including (i) the deposit of the Escrow Shares and Escrow Cash into the Escrow Funds, (ii) the right of the Buyer Indemnified Parties, subject to the terms and conditions of this Agreement and the Escrow Agreement, to set off the amount of any Losses with respect to which the Indemnified Parties are entitled to indemnification against the Escrow Funds in accordance with and subject to the limitations set forth herein, and (iii) the appointment of the Stockholders' Representative as the agent and attorney-in-fact for the Stockholders, having the powers and rights to limited liability and indemnification set forth herein.

(b) In accordance with this Agreement, the DGCL, and the Certificate of Incorporation, the Company shall use its commercially reasonable efforts to obtain a written consent in the same form as the irrevocable and unconditional Stockholder Written Consent from all of its other Stockholders who are not signatories to the Stockholder Written Consent. In furtherance thereof, the Company shall promptly, but in no event later than ten (10) Business Days after the date hereof, deliver to its Stockholders a form of written consent together with notice and a description of the adoption of this Agreement and approval of the Merger and the other matters approved in the Stockholder Written Consent. The document containing such information (the "Information Statement") shall be prepared by the Company, shall, subject to Section 7.1(c), include the Board Recommendation (defined in Section 7.1(c)) and the notice required by Section 228 of the DGCL, and shall be reasonably satisfactory to Buyer. The Information Statement shall not, as of the date of mailing, contain any untrue statement of a material fact, or omit to state a material fact necessary in order to make the statements made, in light of the circumstances under which they were made, not misleading. The Company shall also

deliver such notices and take such other actions as are required prior to the Closing to comply with the provisions of Section 262 of the DGCL, and if the Merger is approved pursuant to Section 228 of the DGCL shall promptly give any notice required of it under Section 262(d)(2), such that any Stockholder entitled under the Appraisal Rights Provisions to demand appraisal for its shares of Company Stock must do so on or before the Demand Date in order to perfect its statutory rights to such appraisal.

(c) The Board of Directors of the Company shall not withdraw, alter, modify, change or revoke (i) its recommendation to the Stockholders to vote in favor of adoption and approval of this Agreement (the “Board Recommendation”) nor (ii) its approval of this Agreement, the Merger and the other transactions contemplated by this Agreement.

(d) Promptly, but in any event within one (1) Business Day following execution of this Agreement by the parties hereto, MergerCo shall deliver to the Company a true, correct and complete copy of an action by written consent, executed and delivered by Buyer evidencing the adoption of this Agreement and the approval of the Merger.

Section 7.2 Access to Information .

(a) Without unreasonable disruption of its or its Subsidiaries’ businesses, and subject to Section 7.2(b) below, between the date of this Agreement and the Closing Date, the Company shall, and shall cause each of its Subsidiaries and each of the Company’s and its Subsidiaries’ officers, employees and agents to, give Buyer and MergerCo and their representatives reasonable access upon reasonable notice and during times mutually convenient to Buyer and MergerCo and senior management of the Company and its Subsidiaries to the facilities, properties, employees, books and records of the Company and its Subsidiaries as from time to time may be reasonably requested.

(b) Buyer and MergerCo shall use commercially reasonable efforts so that any such investigation does not unreasonably interfere with any of the businesses or operations of the Company or its Subsidiaries. All requests by Buyer or MergerCo for access or information shall be submitted or directed exclusively to an individual or individuals to be designated by the Company. In the event that Buyer desires to contact any partner, lender, lessor, vendor, customer, supplier, employee or consultant of the Company or any of its Subsidiaries with respect to the Company or its Subsidiaries or with respect to the transactions contemplated by this Agreement, Buyer shall first inform the Company of such fact and the Company shall cooperate reasonably with Buyer to facilitate such contact and, if requested by the Company, to contact any of the foregoing jointly with Buyer.

(c) The Company will prepare and furnish to Buyer as soon as they become available, and in any event, not later than thirty (30) days after the end of each month (commencing with the month ended April 30, 2008; provided that the Company shall have until June 10 to deliver the statements for the month ended April 30, 2008) an unaudited consolidated balance sheet and unaudited unconsolidated statements of income and cash flows for the Company and its Subsidiaries for each such full monthly period prior to the Closing. The Company will prepare each of the foregoing financial statements on a basis consistent with the Estimated Reference Date Balance Sheet.

Section 7.3 Confidentiality. The parties shall adhere to the terms and conditions of that certain confidentiality and non-disclosure agreement, by and between the Company and Buyer, dated November 6, 2007 (the “Confidentiality Agreement”).

Section 7.4 Regulatory and Other Authorizations; Consents.

(a) Prior to the Closing Date, the Company and its Subsidiaries, as necessary, shall use commercially reasonable efforts to obtain the consent or approval (or waiver thereof) of any Person that is necessary for the execution and delivery, and the performance of their obligations pursuant to this Agreement, subject to the other provisions of this Section 7.4; provided, however, that neither the Company nor any Subsidiary shall have any obligation to offer or pay any consideration in order to obtain any such consents or approvals, other than filing fees and similar payments it may be required to make and the fees and expenses of advisors and agents it engages in connection with obtaining such consents or approvals. During the period prior to the Closing Date, Buyer shall use commercially reasonable efforts to cooperate with the Company and its Subsidiaries in attempting to obtain the consents, approvals and waivers contemplated by this Section 7.4(a).

(b) The parties hereto shall use commercially reasonable efforts, and shall cooperate with each other, in attempting to obtain any consents and approvals (or waivers thereof) of any Governmental Body required to permit the consummation of the transactions contemplated by this Agreement. Buyer and the Company (and its Subsidiaries) shall advise each other as to material developments with respect to the status of receipt of approvals. Without limitation of the foregoing:

(i) each party hereto agrees to make an appropriate filing of a Pre-Merger Notification and Report Form under the HSR Act with respect to the transactions contemplated by this Agreement within ten (10) Business Days after the date hereof, and to supply promptly any additional information and documentary material that may be requested pursuant to the HSR Act. The parties hereto will not unreasonably take any action that will have the effect of delaying, impairing or impeding the receipt of any required approvals and shall promptly respond to any requests for additional information from any Governmental Body or other third party in respect thereof. Buyer shall pay all filing and related fees in connection with any such filings that must be made by any of the parties under the HSR Act. Subject to Section 7.4(c) below, Buyer hereby covenants and agrees to use its commercially reasonable efforts to secure termination of any waiting periods under the HSR Act or any other applicable Law and to obtain the approval of the Federal Trade Commission (the “FTC”), the Antitrust Division of the United States Department of Justice (the “DOJ”) or any other Governmental Body, as applicable, for the Merger and the other transactions contemplated hereby;

(ii) the Company agrees to make, within thirty (30) days after the date hereof, all appropriate filings with FINRA pursuant to NASD Rule 1017 in relation to the change in ownership of Creditex Securities Corp. resulting from the

transactions contemplated by this Agreement, and each of the parties hereto agrees to provide such information as is reasonably necessary to enable the Company to make such filing and to cooperate with the Company and FINRA to enable the approval of FINRA to be obtained; and

(iii) promptly, but in no event later than 15 Business Days after the date hereof, Buyer and MergerCo agree to make all appropriate filings with the United Kingdom Financial Services Authority (“FSA”) in relation to the proposed acquisition of control (as defined for the purposes of Part XII of the United Kingdom Financial Services and Markets Act 2000 (“FSMA”)) of each of Creditex Brokerage LLP, T-Zero International Limited and Q-Wixx International Limited (the “Authorized Group Companies”) with a view to obtaining from the FSA an indication, in terms satisfactory to Buyer (acting reasonably) that the FSA has no objection to Buyer, MergerCo and each of their controllers acquiring control of each of the Authorized Group Companies, or the relevant three month period for consideration by the FSA having elapsed with no warning notice having been given under Section 183(3) of FSMA, and each of the parties hereto agrees to provide such information about the business of the parties and to co-operate with each other and the FSA, as is reasonably necessary, to prepare and submit such filings and to obtain any necessary consent from the FSA in relation to the proposed acquisition of control.

(c) Notwithstanding anything herein to the contrary, neither the Company nor any Subsidiary nor Buyer shall be obligated to contest any final action or decision taken by any Governmental Body challenging the consummation of the transactions contemplated by this Agreement, and nothing in this Agreement, including without limitation, this Section 7.4, shall require, or be construed to require, Buyer or the Company nor any of their Affiliates to proffer to, or agree to, sell, divest, lease, license, transfer, dispose of or otherwise encumber or hold separate and agree to sell, divest, lease, license, transfer, dispose of or otherwise encumber before or after the Effective Time, any assets, licenses, operations, rights, product lines, businesses or interest therein of Buyer, the Company or any of their respective Affiliates (or to consent to any sale, divestiture, lease, license, transfer, disposition or other encumbrance by the Company of any of its assets, licenses, operations, rights, product lines, businesses or interest therein or to any agreement by the Company to take any of the foregoing actions) or to agree to any material changes (including, without limitation, through a licensing arrangement) or restriction on, or other impairment of Buyer’s ability to own or operate, any such assets, licenses, product lines, businesses or interests therein or Buyer’s ability to vote, transfer, receive dividends or otherwise exercise full ownership rights with respect to the stock of the Surviving Corporation.

Section 7.5 Press Releases. The initial press release regarding the Merger shall be a joint press release. Thereafter Buyer and the Company shall use commercially reasonable efforts to develop a joint communications plan and each party shall use commercially reasonable efforts to ensure that all press releases and other public statements with respect to the transactions contemplated hereby shall be consistent with such joint communications plan. In addition to the foregoing, neither Buyer or its Subsidiary on the one hand or the Company or its Subsidiary on

the other hand shall issue any press release or otherwise make any public statement or disclosure concerning the other party or the other party's business, financial condition or results of operations without the consent of the other party, which consent shall not be unreasonably withheld or delayed, except for any such release, statement or disclosure that may be required by applicable Law.

Section 7.6 No Solicitations .

(a) The Company will not, and will not permit any of its Subsidiaries or any of the directors, officers, employees, advisors, representatives or agents of the Company or any of its Subsidiaries to, (i) discuss, negotiate, undertake, authorize, recommend, propose or enter into, either as the proposed surviving, merged, acquiring or acquired corporation, any transaction involving a merger, consolidation, business combination, purchase or disposition of any amount of the assets of the Company (other than in the ordinary course of business) or any of its Subsidiaries or any capital stock of the Company or any of its Subsidiaries other than the transactions contemplated by this Agreement (an “Acquisition Transaction”), (ii) facilitate, encourage, solicit or initiate discussions, negotiations or submissions of proposals or offers in respect of an Acquisition Transaction, (iii) furnish or cause to be furnished, to any Person or entity, any information concerning the business, operations, properties or assets of the Company or its Subsidiaries in connection with an Acquisition Transaction, or (iv) otherwise cooperate in any way with, or assist or participate in, facilitate or encourage, any effort or attempt by any other Person or entity to do or seek any of the foregoing.

(b) The Company shall, and shall cause its Subsidiaries, and their respective directors, officers, employees, advisors, representatives and agents to, immediately cease and cause to be terminated any existing discussions or negotiations with any Persons or entities (other than Buyer and MergerCo) conducted heretofore with respect to any other Acquisition Transaction.

Section 7.7 Officers' and Directors' Indemnification .

(a) In the event of any threatened or actual claim, action, suit, proceeding or investigation, whether civil, criminal or administrative, including, without limitation, any such claim, action, suit, proceeding or investigation in which any Person who is now, or has been at any time prior to the date hereof, or who becomes prior to the Effective Time, a director, officer, employee, fiduciary or agent of the Company or any of its Subsidiaries (the “Specified Indemnified Parties”) is, or is threatened to be, made a party based in whole or in part on, or arising in whole or in part out of, or pertaining to (i) the fact that he or she is or was a director, officer, employee, fiduciary or agent of the Company or any of its Subsidiaries, or is or was serving at the request of the Company or any of its Subsidiaries as a director, officer, employee, fiduciary or agent of another corporation, partnership, joint venture, trust or other enterprise or (ii) the negotiation, execution or performance of this Agreement or any of the transactions contemplated hereby, whether in any case asserted or arising before or after the Effective Time, the Company agrees to defend against and respond thereto. It is understood and agreed that the Company shall indemnify and hold harmless, and after the Effective Time the Surviving Corporation shall indemnify and hold harmless, as and to the full extent permitted by applicable

Law, each Specified Indemnified Party against any losses, claims, damages, liabilities, costs, expenses (including reasonable attorneys' fees and expenses), judgments, fines and amounts paid in settlement in connection with any such threatened or actual claim, action, suit, demand, proceeding or investigation, and in the event of any such threatened or actual claim, action, suit, proceeding or investigation (whether asserted or arising before or after the Effective Time), (A) the Company, and the Surviving Corporation and Buyer after the Effective Time, shall promptly pay expenses incurred by each Specified Indemnified Party as the same are incurred in advance of the final disposition of any claim, suit, proceeding or investigation to such Specified Indemnified Party; provided, that the Specified Indemnified Party to whom expenses are advanced shall first provide an undertaking to repay such advances if it is ultimately determined that such Specified Indemnified Party is not entitled to have its expenses paid or to be indemnified in the manner contemplated hereby, and (B) the Company and the Surviving Corporation will cooperate in a reasonable manner to assist in the defense of any such matter; provided, however, that none of the Company, the Surviving Corporation or Buyer shall be liable for any settlement effected without its prior written consent; and provided further that the Company, Surviving Corporation and Buyer shall have no obligation hereunder to any Specified Indemnified Party when and if a court of competent jurisdiction shall ultimately determine, and such determination shall have become final and non-appealable, that the payment of expenses to or the indemnification of such Specified Indemnified Party in the manner contemplated hereby is prohibited by applicable Law. Any Specified Indemnified Party wishing to claim indemnification under this Section 7.7, upon learning of any such claim, action, suit, proceeding or investigation, shall notify the Company and, after the Effective Time, the Surviving Corporation and Buyer thereof; provided, however, that the failure to so notify shall not affect the obligations of the Company, the Surviving Corporation and Buyer except to the extent such failure to notify prejudices such party.

(b) Buyer and MergerCo agree that all rights to indemnification or exculpation existing in favor of, and all limitations on the personal liability of, each present and former director, officer, employee, fiduciary and agent of the Company and its Subsidiaries provided for in their respective charters or by-laws or otherwise in effect as of the date hereof shall continue in full force and effect for a period of six (6) years from the Effective Time; provided, however, that all rights to indemnification in respect of any claims (each a "Claim") asserted or made within such period shall continue until the disposition of such Claim. Without limiting the general indemnification rights of the Indemnified Parties under this Section 7.7, from and after the Effective Time, the Surviving Corporation also agrees to indemnify and hold harmless the present and former officers and directors of the Company and its Subsidiaries in respect of acts or omissions occurring prior to the Effective Time to the extent provided in any written indemnification agreements between the Company and/or one or more of its Subsidiaries.

(c) At the Effective Time, the Surviving Corporation shall purchase (at Buyer's expense) an extended reporting period endorsement under the Company's existing directors' and officers' liability insurance coverage (the "D&O Tail Policy") for the Company's and its Subsidiaries' directors and officers in a form acceptable to the Company that shall provide such directors and officers with coverage for six (6) years following the Effective Time of not less than the existing coverage and have other terms not materially less favorable to, the insured persons than the directors' and officers' liability insurance coverage presently

maintained by the Company; provided, however, that the aggregate cost of such policy shall not exceed \$500,000 (the “ Premium Limit ”), and in the event that the Premium Limit is insufficient for such coverage, Buyer shall purchase the maximum amount of coverage that is available for such amount. Buyer shall, and shall cause the Surviving Corporation to, maintain such policy in full force and effect, and continue to honor the obligations thereunder.

(d) The obligations under this Section 7.7 shall not be terminated or modified in such a manner as to adversely affect any Specified Indemnified Party to whom this Section 7.7 applies without the consent of such Specified Indemnified Party (it being expressly agreed that the Specified Indemnified Parties to whom this Section 7.7 applies shall be third party beneficiaries of this Section 7.7 and shall be entitled to enforce the covenants contained herein).

(e) In the event Buyer or the Surviving Corporation or any of their respective successors or assigns (i) consolidates with or merges into any other Person and shall not be the continuing or surviving corporation or entity of such consolidation or merger or (ii) transfers or conveys all or substantially all of its properties and assets to any Person, then, and in each such case, to the extent necessary proper provision shall be made so that the successors and assigns of Buyer or the Surviving Corporation, as the case may be, assume the obligations set forth in this Section 7.7.

Section 7.8 Employee Benefit Arrangements.

(a) Buyer agrees that, during the period commencing at the Effective Time and ending on the first anniversary thereof, the employees of the Company and its Subsidiaries will continue to be provided with pension and welfare benefits under employee benefit plans that are substantially comparable in the aggregate than those currently provided by the Company and its Subsidiaries to such employees or substantially comparable in the aggregate to those provided to similarly situated employees of Buyer and its Subsidiaries, as elected by Buyer in its sole discretion. Buyer will cause any employee benefit plans which the employees of the Company and its Subsidiaries are eligible to participate in to take into account for purposes of eligibility and vesting thereunder, except for purposes of qualifying for subsidized early retirement benefits or to the extent it would result in a duplication of benefits, service by employees of the Company and its Subsidiaries as if such service were with Buyer, to the same extent such service was credited under a comparable plan of the Company and its Subsidiaries and to the extent that such time period is recognized under the terms of such plan of Buyer.

(b) Each of Buyer and the Company acknowledges that, for the Benefit Plans listed on Schedule 7.8(b), the consummation of the transactions contemplated by this Agreement will constitute a change in control of the Company. Each of Buyer and the Company further acknowledge that, for the avoidance of doubt, the consummation of the transactions contemplated by this Agreement will not constitute a “Transaction Event” for purposes of the T-Zero Long-Term Incentive Plan and the Q-Wixx Long-Term Incentive Plan.

(c) Prior to the Effective Time, if requested by Buyer in writing, to the extent permitted by applicable Law and the terms of the applicable plan or arrangement, the Company shall (1) cause to be amended the Benefit Plans and arrangements of it and its Subsidiaries to the extent necessary to provide that no employees of Buyer and its Subsidiaries shall commence

participation therein following the Effective Time unless the Surviving Corporation or such Subsidiary explicitly authorizes such participation and (2) cause the Company's 401(k) Plan to be terminated effective immediately prior to the Effective Time.

(d) To the same extent that such service was recognized by the Company for purposes of the Benefit Plans, Buyer shall, and shall cause the Surviving Corporation to, treat, and cause the applicable benefit plans to treat, the service of Surviving Corporation employees with the Company or the Subsidiaries of the Company attributable to any period before the Effective Time as service rendered to Buyer or the Surviving Corporation for all purposes (except for purposes of qualifying for subsidized early retirement benefits, for purposes of benefit accrual under any defined benefit pension plans or to the extent that it would result in a duplication of benefits), including but not limited to, eligibility to participate, vesting and applicability of any minimum waiting periods for participation. Without limiting the foregoing, to the extent reasonably practicable under the Company's contracts with its insurance carrier(s), Buyer shall not, and shall cause the Surviving Corporation not to, treat any Surviving Corporation employee as a "new" employee for purposes of any exclusions under any health or similar plan of Buyer or the Surviving Corporation for a pre-existing medical condition, and any deductibles and co-pays paid under any of the Company's or any of its Subsidiaries' health plans shall be credited towards deductibles and co-pays under the health plans of Buyer or the Surviving Corporation to the extent recognized under the analogous Benefit Plans. Notwithstanding the foregoing, nothing contained herein shall (1) be treated as an amendment of any particular Benefit Plan, (2) give any third party any right to enforce the provisions of this Section 7.8, or (3) obligate Buyer, the Surviving Corporation or any of its Affiliates to (i) maintain any particular Benefit Plan or (ii) retain the employment of any particular employee.

Section 7.9 Tax Matters.

(a) (i) Preparation and Filing of Tax Returns. Buyer shall timely prepare and file, or shall cause to be timely prepared and filed, all Tax Returns of the Company and its Subsidiaries with respect to any taxable year or period that ends on or before the Closing Date, and, with respect to any taxable year or period beginning on or before and ending after the Closing Date (each, a "Straddle Tax Period"), the portion of such taxable year or period ending on and including the Closing Date (each, a "Pre-Closing Tax Period") which are due after the Closing Date; provided, however, that Buyer shall provide each such Tax Return to the Stockholders' Representative for its review and comment at least twenty (20) Business Days prior to the date on which such Tax Return is to be filed, and Buyer shall make changes to each such Tax Return as are reasonably requested by Stockholders' Representative. Buyer shall cause any amounts shown to be due on such Tax Returns to be timely remitted to the applicable Taxing Authority. If any portion of the Taxes due with respect to such Tax Return is allocable to a Pre-Closing Tax Period, then to the extent the applicable Tax liability has not already been taken into account in the calculation of Stockholders Equity through an accrual or reserve, the Buyer shall be indemnified against such Pre-Closing Tax Period Tax liabilities pursuant to Article IX herein.

(ii) Apportionment of Tax Liabilities. All Taxes imposed on and Tax liabilities with respect to the income, property or operations of the Company or its Subsidiaries that relate to a Straddle Tax Period shall be apportioned to the Pre-Closing Tax Period as

follows: (i) in the case of Taxes that are either (A) based upon or related to income or receipts, capital or net worth, or (B) imposed in connection with any sale or other transfer or assignment of property (real or personal, tangible or intangible) (other than conveyances pursuant to this Agreement, as provided under Section 7.9(c)), such Taxes shall be deemed equal to the amount which would be payable if the Tax year ended with the Closing Date (provided, however, that exemptions, allowances or deductions that are calculated on an annual basis, such as the deduction for depreciation, shall be apportioned on a time basis); and (ii) in the case of Taxes imposed on a periodic basis other than those described in clause (i), including property Taxes and similar ad valorem obligations, such Taxes shall be deemed to be the amount of such Taxes for the entire Straddle Tax Period (or, in the case of such Taxes determined on an arrears basis, the amount of such Taxes for the immediately preceding period), multiplied by a fraction the numerator of which is the number of calendar days in the period ending on the Closing Date and the denominator of which is the number of calendar days in the entire period. Section 7.9(c) shall control the allocation of Transfer Taxes thereunder. Subject to the terms of this Agreement, Buyer shall be held harmless and indemnified from the Escrow Funds for all Taxes of the Company or any of its Subsidiaries that are attributable to any Pre-Closing Tax Period, whether shown on any original Tax Return or amended Tax Return for the period therein, and Buyer shall be liable for all Taxes that are attributable to any Tax period that begins after the Closing Date, and, with respect to any taxable period beginning on or before and ending after the Closing Date, the portion of such taxable year or period that begins immediately after the Closing Date (each, a “Post-Closing Tax Period”).

(iii) Tax Return Amendments; Disputes. Buyer (and its Subsidiaries and Affiliates) shall not amend any Tax Returns of the Company or any Subsidiary of the Company for any Pre-Closing Tax Period without the prior written consent of the Stockholders’ Representative, such consent not to be unreasonably withheld. If there is a dispute with respect to whether the written consent of the Stockholders’ Representative is being unreasonably withheld with respect to the amendment of a Tax Return pursuant to this Section 7.9(a)(iii) and the Buyer and the Stockholders Representative are unable to resolve such dispute, the parties shall jointly request the Accounting Referee to resolve such dispute as promptly as possible. The Accounting Referee will make its determination of whether or not the Stockholder Representative’s consent was unreasonably withheld on the basis of whether or not the relevant position on the Tax Return with respect to which the Buyer seeks to make an amendment satisfies the “reasonable basis” standard set forth in Treasury Regulations Section 1.6662-3(b)(3). If the Accounting Referee is unable to make a determination with respect to any disputed issue prior to the due date (including extensions) for the filing of the Tax Return in question, the Buyer may file such Tax Return without the consent of the Stockholders’ Representative, subject, however, to the obligation thereafter to file an amended Tax Return reflecting the final decision of the Accounting Referee (which decision shall be rendered prior to the expiration of the period during which an amended Tax Return may validly be filed with respect to the applicable taxable period), and provided that no claim for indemnification may be made by the Buyer in respect of such disputed Tax Return until the Accounting Referee has rendered its decision in respect of such dispute. Any decision rendered by the Accounting Referee in accordance with this Section 7.9(a)(iii) shall be binding and conclusive, and any expenses relating to the engagement of the Accounting Referee shall be shared equally by the Stockholders and the Buyer.

(iv) Tax Contests. The Stockholders Representative shall have the right, at its own expense, to participate in and to jointly (with the Buyer) control and settle the portion of any audit, examination, or other administrative or judicial proceeding, contest, assessment, notice of deficiency, or other adjustment or proposed adjustment relating to any and all Taxes (a “Tax Contest”) for which Buyer may have a right to be indemnified for and held harmless from the Escrow Funds pursuant to this Agreement. Buyer and Surviving Corporation shall give prompt written notice of any such Tax Contest to the Stockholders Representative and shall execute appropriate powers of attorney so as to allow the Stockholders Representative to participate in and jointly control and settle any such Tax Contest as described above. In the event of a conflict between the provisions set forth in Section 9.5 and this Section 7.9, the provisions of this Section 7.9 shall control.

(b) Cooperation on Tax Matters. Buyer, the Surviving Corporation and the Stockholders’ Representative shall cooperate fully, as and to the extent reasonably requested by the other parties, in connection with the filing of Tax Returns, the filing of any amended Tax Return for a period prior to (or including) the Closing Date, any Tax audits, Tax proceedings or other Tax-related claims, and the authorization and execution of any appropriate powers of attorney to accomplish the foregoing. Such cooperation shall include providing records and information that are reasonably relevant to any such matters, making employees available on a mutually convenient basis to provide additional information, and explaining any materials provided pursuant to this Section 7.9. Buyer, the Surviving Corporation and their respective Subsidiaries and Affiliates shall not destroy or dispose of any Tax workpapers, schedules or other materials and documents supporting Tax Returns of the Company and its Subsidiaries for Pre-Closing Tax Periods until the latter of (i) the Indemnification Cut-Off Date, or (ii) the tenth anniversary of the Closing Date, without the prior written consent of Stockholders’ Representative, and before any disposition or destruction of such materials at any time, Buyer shall give thirty (30) days prior written notice of any such proposed disposition or destruction to the Stockholders’ Representative, and the Stockholders’ Representative shall have the right, in its sole discretion, to take possession of such materials and documents.

(c) Transfer Taxes. The Buyer, on the one hand, and all of the Stockholders, on the other hand, shall each be liable for fifty percent (50%) of any transfer, value added, excise, stock transfer, stamp, recording, registration and any similar Taxes (“Transfer Taxes”) that become payable in connection with the Merger and other transactions contemplated hereby. The applicable parties shall cooperate in filing such forms and documents as may be necessary to permit any such Transfer Tax to be assessed and paid on or prior to the Closing Date in accordance with any available pre-sale filing procedure, and to obtain any exemption or refund of any such Transfer Tax.

(d) Reorganization. Neither Buyer nor the Company shall take or cause to be taken any action, whether before or after the Effective Time, that would disqualify the Merger as a “reorganization” within the meaning of Section 368(a) of the Code.

(e) Tax Representation Letter. The Company shall deliver to Sullivan & Cromwell LLP and to Goodwin Procter LLP a “Tax Representation Letter,” dated as of the Closing Date and signed by an officer of the Company, containing representations of the

Company, and Buyer shall deliver to Sullivan & Cromwell LLP and Goodwin Procter LLP a “Tax Representation Letter,” dated as of the Closing Date and signed by an officer of Buyer, containing representations of Buyer, in each case as shall be reasonably necessary or appropriate to enable Goodwin Procter LLP to render the opinion described in Section 8.3(g) and Sullivan & Cromwell LLP to render an opinion substantially similar to the opinion described in Section 8.3(g) to Buyer.

(f) Stockholder Vote Concerning Code Section 280G . On or before the thirtieth (30th) day following the date of this Agreement, the Company shall provide Buyer with a document stating: (i) the estimated maximum amount that could be paid to each disqualified individual (as such term is defined in Treasury Regulation Section 1.280G-1, and hereafter referred to as a “ Disqualified Individual ”) in connection with the Merger and the other transactions contemplated by this Agreement under all employment, severance and termination agreements, other compensation arrangements and Benefit Plans currently in effect, assuming that the individual’s employment with the Company is terminated immediately after the Effective Time, (ii) the grant dates, exercise prices and vesting schedules applicable to each Company Option granted to the individual, (iii) the “base amount” (as defined in Section 280G(b)(3) of the Code) for each such individual as of the date of this Agreement, and (iv) the maximum additional amount that the Company is estimated to have an obligation to pay to each Disqualified Individual to reimburse the Disqualified Individual for any excise Tax imposed under Section 4999 of the Code with respect to the Disqualified Individual’s “excess parachute payments” (as defined in Section 280G(b)(3) of the Code) (including any Taxes, interest or penalties imposed with respect to the excise Tax). Prior to the Effective Time and to the extent that Buyer determines necessary prior to the date that the Company distributes to its Stockholders the information statement relating to the 280G Stockholder Vote (as hereinafter defined), the Company shall conduct a Stockholder vote in a manner that complies with the stockholder vote requirements needed to avail itself of the exemption for small business corporations contained in Section 280G(b)(5) of the Code and the applicable regulations promulgated thereunder (the “ 280G Stockholder Vote ”), and shall, prior to the 280G Stockholder Vote, use commercially reasonable efforts to cause its Disqualified Individuals to waive any payments in respect of the Merger that would not be deductible pursuant to Section 280G of the Code if the 280G Stockholder Vote fails the approval requirements set out in Section 280G(b)(5) of the Code and the applicable regulations promulgated thereunder. Prior to providing the Company’s Stockholders with any materials necessary to comply with such requirements, the Company shall provide a copy of such materials to Buyer in sufficient time (but in no event less than five (5) Business Days prior to such 280G Stockholder Vote) to allow Buyer to comment thereon and shall consider any such comments in good faith. If the 280G Stockholder Vote fails to achieve the requisite approval in respect of any Disqualified Individual, the Company shall provide to Buyer the name of such Disqualified Individuals and amounts waived.

Section 7.10 Section 16(b) Matters . Prior to Closing, the Board of Directors of Buyer shall adopt resolutions substantially in the form attached to this Agreement as Exhibit E with respect to acquisitions pursuant to the Merger and the other transactions contemplated by this Agreement of Buyer Stock and New Options by any officer of the Company that may, at the Effective Time, be regarded as an individual subject to the reporting requirements of Section 16(a) of the Securities Exchange Act of 1934, as amended, by virtue of his position with Buyer.

Section 7.11 Further Action. Each of the parties hereto shall use its respective commercially reasonable efforts to take or cause to be taken all appropriate action, do or cause to be done all things necessary, proper or advisable and execute and deliver such documents and other papers, as may be required to carry out the provisions of this Agreement and consummate and make effective the transactions contemplated by this Agreement.

ARTICLE VIII

CONDITIONS TO THE MERGER

Section 8.1 Conditions to the Obligations of Each Party to Effect the Merger. The respective obligations of each party to effect the Merger are subject to the fulfillment or waiver by consent of the other party, where permissible, at or prior to the Effective Time, of each of the following conditions:

(a) Stockholder Approval. This Agreement shall have been adopted and approved by a Stockholder Written Consent representing the Required Stockholder Approval, in accordance with the DGCL, the Certificate of Incorporation and the By-laws, and by the stockholder of MergerCo in accordance with the DGCL, such adoption and approval shall represent the requisite approval required by the Company's Stockholders to consummate the Merger, and such adoption and approval shall remain in full force and effect.

(b) Hart-Scott-Rodino Act. The waiting period (and any extension thereof) applicable to the consummation of the Merger under the HSR Act shall have expired or been terminated.

(c) Governmental Consents. All licenses, permits, consents, authorizations, approvals, qualifications and orders of Governmental Bodies required to consummate the Merger or otherwise set forth in Schedule 8.1(c) of this Agreement shall have been obtained and shall remain in full force and effect.

(d) No Injunctions, Orders or Restraints; Illegality. No temporary, preliminary or permanent injunction or other order, decree or ruling issued by a court or other Governmental Body of competent jurisdiction nor any statute, rule, regulation or executive order promulgated or enacted by any Governmental Body of competent jurisdiction shall be in effect which would have the effect of (i) making the consummation of the Merger illegal or (ii) otherwise prohibiting the consummation of the Merger, and no Governmental Body shall have instituted any proceeding or proposed the enactment of any statute, rule, regulation or executive order that would reasonably be expected to have any such effect.

Section 8.2 Additional Conditions to Obligations of Buyer and MergerCo. The obligations of Buyer and MergerCo to effect the Merger are further subject to the satisfaction of the following conditions, any one or more of which may be waived by Buyer and MergerCo at or prior to the Effective Time:

(a) Representations and Warranties. Each of the representations and warranties of the Company set forth in this Agreement shall be true and correct as of the date of this Agreement and as of the Closing Date as though made on and as of such date and time (except to the extent that any such representation and warranty speaks of a specified date, in which case such representation and warranty shall be true and correct as of such specified date), except where the failure to be so true and correct, individually or in the aggregate, has not had and would not reasonably be expected to have a Company Material Adverse Effect.

(b) Performance and Obligations of the Company. The Company shall have performed or complied in all material respects with all agreements and covenants required by this Agreement to be performed or complied with by it on or prior to the Effective Time.

(c) Officer's Certificate. Buyer shall have received a certificate executed and delivered by the Company's Chief Executive Officer or Chief Financial Officer, dated as of the Closing Date, stating therein that the conditions set forth in Section 8.2(a), Section 8.2(b) and Section 8.2(f) have been satisfied.

(d) Secretary's Certificate. The Company shall have delivered a certificate of an authorized officer of the Company, dated as of the Closing Date, certifying as to (i) the incumbency of officers of the Company executing documents executed and delivered in connection herewith, (ii) the copies of the Certificate of Incorporation and By-laws, each as in effect from the date of this Agreement until the Closing Date, and (iii) a copy of the resolutions of the Company Board authorizing and approving the applicable matters contemplated hereunder.

(e) Escrow Agreement. The Escrow Agreement shall remain in full force and effect as between the Stockholders' Representative and Buyer, and the Escrow Agent shall have executed and delivered the Escrow Agreement.

(f) No Material Adverse Effect; Preservation of Business. Since the date of this Agreement, there shall not have occurred any change, event, circumstances or development that has had, or is reasonably likely to have, a Company Material Adverse Effect. In addition, as of the Closing Date:

(i) The Persons employed by the Company and its Subsidiaries in the United States and identified on Schedule 8.2(f)(i), to the extent described on such Schedule, shall be full-time employees of the Company or one of its Subsidiaries as of the Closing Date and shall not have provided to the Company or any of its Subsidiaries notice of their intention to terminate such employment or retire following the Closing;

(ii) The Persons employed by the Company and its Subsidiaries in the United Kingdom and identified on Schedule 8.2(f)(ii), to the extent described on such Schedule, shall be full-time employees of the Company or one of its Subsidiaries as of the Closing Date and shall not have provided to the Company or any of its Subsidiaries any notice of their intention to terminate such employment or retire following the Closing; and

(iii) If there is a reduction in the aggregate trading volume in credit derivatives generated by the Company and its Subsidiaries during the period beginning on the first (1st) Business Day following the date of this Agreement and continuing through, and including, the last Business Day prior to the Closing Date, then (x) if the aggregate trading volumes in credit derivatives generated over the same period by GFI Group, Inc., ICAP plc, Tullett Prebon plc and Tradition (UK) Limited and their respective Subsidiaries, considered together, and as reported by research firms, industry associations, equity research analysts, The International Swaps and Derivatives Association, The British Bankers Association and Fitch Ratings, Inc. for the credit derivatives industry generally (collectively, the “Credit Derivatives Industry Group”) have increased, such aggregate trading volumes shall not have increased in a manner that represents a material difference in performance relative to the Company and its Subsidiaries and (y) if such aggregate trading volumes of the Credit Derivatives Industry Group over the same period shall have decreased, then the reduction experienced by the Company and its Subsidiaries shall not be a materially greater reduction, in percentage terms, than the reduction experienced by the Credit Derivatives Industry Group.

(g) Consents Under Contracts. The Company shall have obtained the consents or approvals required in respect of those Contracts as set forth on Schedule 8.2(g).

(h) Company Financial Statements. All historical financial statements and information regarding the Company and its Subsidiaries required to be filed by Buyer with the SEC following the Closing pursuant to a Current Report on Form 8-K shall have been prepared and, as applicable, audited and reported on or reviewed by the Company’s independent auditor, and all pro forma financial statements and information regarding Buyer and the Company, and their respective subsidiaries, required to be filed by Buyer with the SEC following the Closing pursuant to a Current Report on Form 8-K shall have been prepared, in each of the foregoing cases in form and substance satisfactory, in Buyer’s judgment, to be filed with the SEC on the next Business Day immediately following the Closing Date on which the SEC is accepting filings. Buyer acknowledges and confirms that it will not require the Company’s or its independent auditors to re-audit or restate the Company’s audited financial statements for the fiscal year ended December 31, 2007, except as may be required to comply with GAAP, the rules and regulations of the SEC, or other applicable laws, regulations or rules, or as it may be advised to do so by Deloitte & Touche.

Section 8.3 Additional Conditions to Obligations of the Company. The obligation of the Company to effect the Merger is further subject to the satisfaction of the following conditions, any one or more of which may be waived by the Company at or prior to the Effective Time:

(a) Representations and Warranties. Each of the representations and warranties of Buyer and MergerCo set forth in this Agreement shall be true and correct as of the date of this Agreement and as of the Closing Date as though made on and as of such date and time (except to the extent that any such representation and warranty speaks of a specified date, in

which case such representation and warranty shall be true and correct as of such specified date) except where the failure to be so true and correct, individually or in the aggregate, has not had and would not reasonably be expected to have an Buyer Material Adverse Effect.

(b) Performance of Obligations of Buyer and MergerCo. Each of Buyer and MergerCo shall have performed or complied in all material respects with all agreements and covenants required by this Agreement to be performed or complied with by it on or prior to the Effective Time.

(c) Officer's Certificate. The Company shall have received a certificate executed and delivered by Buyer's Chief Executive Officer or Chief Financial Officer, dated as of the Closing Date, stating therein that the conditions set forth in Section 8.3(a) and Section 8.3(b) have been satisfied.

(d) Secretary's Certificate. Each of Buyer and MergerCo shall have delivered a certificate of an authorized officer, dated as of the Closing Date, certifying as to (i) the incumbency of officers executing documents executed and delivered in connection herewith, (ii) copies of their respective incorporation documents, each as in effect from the date of this Agreement until the Closing Date, and (iii) a copy of the votes of their respective Boards of Directors authorizing and approving the applicable matters contemplated hereunder.

(e) Escrow Agreement. The Escrow Agreement shall remain in full force and effect as between the Stockholders' Representative and Buyer, and the Escrow Agent shall have executed and delivered the Escrow Agreement.

(f) Registration Rights Agreement. The Registration Rights Agreement shall be in full force and effect.

(g) Tax Opinion. The Company and its Stockholders shall have received the opinion of Goodwin Procter LLP, counsel to the Company, dated the Closing Date, to the effect that the merger will be treated for federal income Tax purposes as a reorganization within the meaning of Section 368(a) of the Code and that each of Buyer, MergerCo and the Company will be a party to that reorganization within the meaning of Section 368(b) of the Code. In rendering such opinion, counsel to the Company shall be entitled to rely upon assumptions, representations, warranties and covenants, including those contained in this Agreement and in the Tax Representation Letters described in Section 7.9(e) of this Agreement

(h) Listing of Buyer Stock. The Buyer Stock to be issued in the Merger shall have been approved for listing on the New York Stock Exchange, subject to official notice of issuance, prior to the Effective Time.

ARTICLE IX

SURVIVAL OF REPRESENTATIONS AND WARRANTIES; INDEMNIFICATION

Section 9.1 Survival. Subject to the limitations and other provisions of this Agreement: (a) the representations and warranties of the parties hereto contained in this Agreement or in any certificate or in any letter agreement between Buyer and the Company delivered by or on behalf of a party hereto pursuant to or in connection with this Agreement, as the case may be, shall survive the Closing and shall remain in full force and effect until the eighteen (18) month anniversary of the Closing Date, except for the representations and warranties set forth in Section 4.8 (Taxes) which shall survive the Closing and remain in full force and effect until the fourth (4th) anniversary of the Closing Date, and except, in all cases, with respect to any Loss (as defined below), claim or breach of any such representation or warranty of which any Indemnified Party shall have provided written notice to the Stockholders' Representative or Buyer, as applicable, prior to such expiry, in which case the representations and warranties that are subject to such claim shall survive solely for purposes of, and only until, the resolution of such claims; and (b) the respective covenants, agreements and obligations of the parties hereto contained in this Agreement or in any certificate delivered or on behalf of a party hereto pursuant to or in connection with this Agreement, as the case may be, shall survive the Closing and shall remain in full force and effect in accordance with their terms. For the purposes of this Agreement, "Losses" of a Person means any and all losses, liabilities, damages, claims, awards, judgments, costs and expenses (including, without limitation, reasonable attorneys' fees) actually suffered or incurred by such Person; provided, that "Losses" shall not include any claim by an Indemnified Party for consequential, incidental, indirect, punitive, special or exemplary damages. Furthermore, (i) for purposes of calculating Losses after a breach has been established, the terms "material," "in all material respects," "Company Material Adverse Effect" and any similar qualification, and any \$1,000,000 qualification or threshold to any representation or warranty, shall be disregarded, and (ii) solely for purposes of determining if there has been a breach of any of the representations and warranties made by the Company or the Buyer on the Closing Date (but not on the date of this Agreement) for purposes of this Article IX, and not for purposes of determining the satisfaction of any closing condition, the term "Material Adverse Effect" that is used in the Officer's Certificates delivered pursuant to Section 8.2(c) and Section 8.3(c) shall be disregarded.

Section 9.2 Buyer/MergerCo Indemnification. Subject to the other terms and conditions of this Agreement, from and after the Closing, Buyer and MergerCo (each a "Buyer Indemnified Party") shall be held harmless and indemnified from the Escrow Funds to the extent of any Losses (as defined in Section 9.1) resulting from: (a) the breach or inaccuracy of any representation or warranty of the Company contained in this Agreement or in any certificate or in any letter agreement between Buyer and the Company delivered by or on behalf of the Company pursuant to or in connection with this Agreement, as the case may be; or (b) any failure of the Company to fully perform, fulfill or comply with any covenant of the Company contained in this Agreement; (c) any and all unpaid Company Transaction Expenses exceeding the amount accrued or reserved for in the calculation of Stockholders Equity and which was not taken into account in connection with the true-up procedure described in Section 2.5 herein; (d) all costs arising from the Company's failure to execute a valid 280G Stockholder Vote, including, without

limitation (1) the total cost of any Section 280G or Section 4999 gross-up payments made to Disqualified Individuals (including the value of any federal, state or local income Taxes on such gross-up payments), (2) the value of the lost Tax deduction for any payments that become non-deductible pursuant to Section 280G of the Code, (3) the value of any amounts that should have been waived by Disqualified Individuals in connection with the 280G Stockholder Vote to the extent that such amounts are treated as deductions in the calculation of Net Merger Consideration and (4) any claims from employees arising in connection with clauses (1) or (3) hereof, in each case as the amounts in (1) through (4) hereof arise in connection with the transactions contemplated by this Agreement; (e) that certain FINRA investigation referenced in paragraph number 3 of Schedule 4.5(b); and (f) matters set forth on Schedule 4.8; and (g) Pre-Closing Tax Period Tax liabilities for which Buyer is entitled to indemnification to the extent described in Section 7.9, except for Pre-Closing Tax Period Tax liabilities attributable to matters set forth on Schedule 4.8, which shall be addressed solely under Section 9.2(f).

Section 9.3 Company Indemnification. Subject to the other terms and conditions of this Agreement, from and after the Closing, the Stockholders, the Vested Optionholders and their respective officers and directors (each a “Stockholder Indemnified Party”) shall be held harmless and indemnified by Buyer to the extent of any Losses resulting from (a) the breach or inaccuracy of any representation or warranty of Buyer or MergerCo contained in this Agreement or in any certificate delivered by or on behalf of Buyer or MergerCo pursuant to or in connection with this Agreement, as the case may be; and (b) any failure of Buyer or the Surviving Corporation to fully perform, fulfill or comply with any covenant of Buyer or the Surviving Corporation contained in this Agreement.

Section 9.4 Limitations.

(a) A Buyer Indemnified Party’s indemnification rights pursuant to Section 9.2 and a Stockholder Indemnified Party’s indemnification rights pursuant to Section 9.3, respectively, shall be limited as follows:

(i) Indemnified Parties shall not be entitled to indemnification pursuant to Section 9.2(a), Section 9.2(e) or Section 9.3(a) except to the extent that the aggregate dollar amount of all Losses that would otherwise be indemnifiable pursuant to Section 9.2(a) or Section 9.3(a) exceeds \$2,500,000 (the “Deductible”), and then only to the extent that such Losses exceed the Deductible.

(ii) Buyer Indemnified Parties shall not be entitled to any indemnification hereunder for any Losses (individually or in the aggregate) in excess of the deemed value of the Escrow Shares (as provided in the Escrow Agreement) and Escrow Cash constituting the Escrow Funds and the right of the Buyer Indemnified Parties to recover for all their indemnifiable Losses shall be limited solely to the Escrow Shares and the Escrow Cash then remaining in escrow pursuant to the terms of the Escrow Agreement.

(iii) Stockholder Indemnified Parties shall not be entitled to any indemnification hereunder for any Losses (individually or in the aggregate) in

excess of the value of the shares of Buyer Stock and Escrow Cash constituting the Escrow Funds as of the date the Escrow Funds are employed to indemnify the Stockholder Indemnified Parties for such Losses and the Stockholder Indemnified Parties' right to recover for all their indemnifiable Losses shall be limited solely to that value.

(iv) All claims for indemnification by an Indemnified Party must be made on or before the eighteen (18) month anniversary of the Closing Date (except for claims by Buyer Indemnified Parties for indemnification pursuant to Section 9.2(f) and Section 9.2(g) and claims by Buyer Indemnified Parties for indemnification with respect to the representations and warranties set forth in Section 4.8, which claims must be made on or before the fourth (4th) anniversary of the Closing Date) (the "Indemnification Cut-Off Date"). No indemnification shall be payable to an Indemnified Party with respect to claims asserted by such Indemnified Party after the applicable Indemnification Cut-Off Date, regardless of when the claim accrued or the circumstances that resulted in the claim being asserted after the Indemnification Cut-Off Date. In the event a claim has been properly made on or prior to the applicable Indemnification Cut-Off Date and such claim is unresolved as of such applicable Indemnification Cut-Off Date, then the right to indemnification with respect to such claim shall remain in effect until such matter shall have been finally determined.

(v) Buyer Indemnified Parties shall not be entitled to indemnification for any Losses pursuant to Section 9.2(f) until the aggregate amount of indemnifiable Losses under such section exceeds \$1,000,000 ("Threshold"), whereupon Buyer Indemnified Parties shall then be entitled to be indemnified for all indemnifiable Losses pursuant to Section 9.2(f), without regard to the Threshold, but subject to the other terms of this Article IX.

(b) The amount of any Losses subject to indemnification under this Article IX shall be calculated net of (i) any insurance proceeds actually received by the Indemnified Party on account of such Losses under insurance policies of the Company and its Subsidiaries in effect prior to the Closing, and (ii) any amounts actually recovered by the Indemnified Party under other indemnity agreements (excluding insurance policies), or from any other Person alleged to be responsible therefor, without duplication. The Indemnified Party shall take all steps as the Indemnifying Party may reasonably request (at the Indemnifying Party's expense) to enforce recovery of such amounts available under such insurance coverage or other indemnity agreement.

(c) No Indemnified Party shall be entitled to duplicate or multiple indemnification under this Article IX for any Loss.

(d) The Surviving Corporation shall not be liable to any Stockholder Indemnified Party, whether jointly, severally, pursuant to contribution or otherwise, in respect of any matter for which a Buyer Indemnified Party may seek indemnification pursuant to this Agreement.

(e) No Buyer Indemnified Party shall be entitled to indemnification under this Agreement for any Loss arising from a breach of any representation, warranty or covenant set forth herein (and the amount of any Loss incurred in respect of such breach shall not be included in the calculation of any limitations on indemnification set forth herein) if and to the extent such Loss was expressly taken into account in the calculation of Stockholders' Equity (including, without limitation, any accruals or reserves relating to tax liabilities) or to the extent expressly included as a liability or expense on the Financial Statements (including the footnotes thereto).

(f) The limitations set forth in this Section 9.4(a)(i) shall not apply to the Buyer Indemnified Parties' indemnification rights with respect to Losses related to Taxes, including without limitation Losses pursuant to Section 9.2(a) with respect to representations and warranties set forth in Section 4.8 (Taxes) and Losses pursuant to Section 9.2(f) and Section 9.2(g).

Section 9.5 Notice; Defense of Claims.

(a) Any Buyer Indemnified Party or Stockholder Indemnified Party (each individually, an "Indemnified Party") may make claims for indemnification hereunder by giving prompt written notice thereof to the Stockholders' Representative, in the case of claims made against the Company, or to Buyer, in the case of claims made against Buyer or the Surviving Corporation, prior to the Indemnification Cut-Off Date. If indemnification is sought for a claim, assertion, event or proceeding by or in respect of any third party (a "Third Party Claim"), the Indemnified Party shall also give the Stockholders' Representative or Buyer, as applicable, written notice of such Third Party Claim as to which such Indemnified Party may request indemnification hereunder, as soon as reasonably practicable after the time that such Indemnified Party learns of such Third Party Claim, and in any event within thirty (30) days thereafter. Any notice given pursuant to this Section 9.5 shall state all material information then available regarding the amount and nature of such claim, assertion, event or proceeding and shall specify the representation, warranty or covenant in this Agreement under which the liability or obligation is asserted. The failure of the Indemnified Party to give notice as provided in this Section 9.5 shall not relieve any party with an indemnification obligation hereunder (each an "Indemnifying Party" and collectively, the "Indemnifying Parties") from any liability except to the extent that it is actually prejudiced by the failure or delay in giving such notice and then only to the extent of such prejudice.

(b) In the event that an Indemnifying Party shall object in good faith to the indemnification of an Indemnified Party in respect of any claim or claims specified in a notice given pursuant to this Section 9.5, the Indemnifying Party shall, within thirty (30) days after receipt by the Indemnifying Party of such notice, deliver to the Indemnified Party a notice to such effect, setting forth in reasonable detail the basis for such objection, and the Indemnifying Party and the Indemnified Party shall, within the thirty (30) day period beginning on the date of receipt by the Indemnified Party of such objection, attempt in good faith to agree upon the rights of the respective parties with respect to each of such claims to which the Indemnifying Party shall have so objected. If the Indemnified Party and the Indemnifying Party shall succeed in reaching agreement on their respective rights with respect to any of such claims, the Indemnified Party and the Indemnifying Party shall promptly prepare and sign a memorandum setting forth

such agreement and, if applicable, an instruction to the Escrow Agent. Should the Indemnified Party and the Indemnifying Party be unable to agree as to any particular item or items or amount or amounts, then each party shall be entitled to pursue its available remedies for resolving the claim for indemnification.

(c) In the event that a Third Party Claim gives rise to an indemnification claim, the Indemnifying Party may elect to assume and control the defense of such Third Party Claim and any litigation resulting therefrom; provided that counsel for the Indemnifying Party, who shall conduct the defense of such claim or any litigation resulting therefrom, shall be approved by the Indemnified Party (whose approval shall not unreasonably be withheld or delayed), and the Indemnified Party may participate in such defense at the Indemnified Party's expense, which shall include counsel of its choice; provided further that the Indemnified Party shall have the right to employ, at the Indemnifying Party's expense, one counsel of its choice in each applicable jurisdiction (if more than one jurisdiction is involved) to represent the Indemnified Party if, in the Indemnified Party's reasonable judgment, there exists an actual or potential conflict of interest between the Indemnified Party and the Indemnifying Party; and provided further that, if the Indemnifying Party (i) elects not to defend, compromise or settle a Third Party Claim or (ii) having elected to defend a Third Party Claim, fails to retain counsel to prosecute the action within twenty (20) days of such election, then in such case the Indemnified Party shall have the right to defend such Third Party Claim on behalf of and for the account and risk of the Indemnifying Party. Neither the Indemnifying Party nor the Indemnified Party shall settle or compromise any Third Party Claim without the prior written consent of the Indemnified Party or the Indemnifying Party, as applicable, which consent shall not be unreasonably withheld. No Indemnified Party shall be deemed to have unreasonably withheld its consent to any such proposed settlement or compromise that contains any term that does not consist entirely of a monetary payment and that does not include an unconditional release from all liability without future obligation or liability on the part of the Indemnified Party and its Affiliates. If an Indemnified Party refuses to consent to a bona fide offer of settlement which the Indemnifying Party wishes to accept and which provides solely for monetary payment and includes an unconditional release from all liability without future obligation or prohibition on the part of the Indemnified Party and does not contain an admission of guilt or liability on the part of the Indemnified Party and, in the case of Buyer being the Indemnified Party, such settlement has no adverse effect on the reputation of Buyer, the Indemnified Party may continue to pursue such matter, free of any participation by the Indemnifying Party, at the expense of the Indemnified Party. However, in such event, the obligation of the Indemnifying Party shall be limited to the amount of the offer of settlement which the Indemnified Party refused to accept plus the reasonable costs and expenses of the Indemnified Party incurred prior to the date the Indemnifying Party notified the Indemnified Party of the offer of settlement. The Indemnifying Party and the Indemnified Party shall cooperate with each other in all reasonable respects in connection with the defense of any claim, including making available records relating to such claim and furnishing, at the expense of the Indemnifying Party, such employees of the Indemnified Party as may be reasonably necessary for the preparation of the defense of any such claim or for testimony as witnesses in any proceeding relating to such claim.

Section 9.6 Agreed Claims. Claims (i) for Losses specified in any notice of indemnification claim to which the recipient did not object in writing within 30 days, (ii) for

Losses covered by a memorandum of agreement of the nature described in Section 9.5(b), and (iii) for Losses the validity and amount of which have been the subject of resolution by binding arbitration or of a final non-appealable judicial determination are hereinafter referred to, collectively, as “Agreed Claims”. The Indemnified Party shall be entitled to payment from the Indemnifying Party for all Agreed Claims, subject to all of the terms and limitations set forth in this Article IX, within 10 Business Days of the determination of the amount of any such Agreed Claims. In the case of an Agreed Claim requiring payment to a Buyer Indemnified Party, if payment is not made by the Indemnifying Party within such period, Buyer shall be entitled to give notice to the Escrow Agent in accordance with the Escrow Agreement (which notice the Stockholders’ Representative shall countersign promptly on request) instructing the Escrow Agent, who shall promptly comply with such instruction, to release to Buyer from the Indemnity Escrow Account the number of Escrow Shares and amount of Escrow Cash having an aggregate value (as calculated pursuant to the Escrow Agreement) equal to the amount of such Agreed Claim.

Section 9.7 Remedies Exclusive. After the Closing, the rights of the parties hereto and the Indemnified Parties to indemnification relating to this Agreement or the transactions contemplated hereby shall be strictly limited to those contained in this Article IX, and such indemnification rights shall be the sole and exclusive remedies of the parties hereto and the Indemnified Parties subsequent to the Closing Date with respect to any matter in any way relating to this Agreement or its subject matter or arising in connection herewith. To the maximum extent permitted by Law, the parties hereto and the Indemnified Parties hereby waive all other rights and remedies with respect to any matter in any way relating to this Agreement or arising in connection herewith, whether under any Laws at common law, in equity or otherwise. Except as provided in this Article IX, no claim, action or remedy shall be brought or maintained by any party against any other party, and no recourse shall be brought or granted against any of them, by virtue of or based upon any alleged misstatement or omission respecting an inaccuracy in or breach of any of the representations, warranties, covenants or agreements of any of the parties hereto set forth or contained in this Agreement. However, notwithstanding anything in this Article IX to the contrary, nothing in this Agreement shall limit any right or remedy of a party with respect to fraud.

Section 9.8 Treatment of Indemnity Payments. All payments made pursuant to this Article IX are intended to be treated for Tax purposes as consideration for the Company Stock purchased by Buyer in the Merger and shall be treated as such consideration (subject to any requirement to treat a portion as imputed interest) for all Tax purposes except to the extent otherwise required by a final determination or a Taxing Authority.

ARTICLE X

TERMINATION

Section 10.1 Termination. This Agreement may be terminated at any time prior to the Effective Time, whether before or after the execution of the Stockholder Written Consent:

(a) by the written consent of Buyer (on behalf of itself and MergerCo) and the Company;

(b) by either of the Company, on the one hand, or Buyer or MergerCo, on the other hand, by written notice to the other:

(i) if any governmental agency of competent jurisdiction shall have issued an injunction or taken any other action (which injunction or other action the parties hereto shall use their best efforts to lift) that permanently restrains, enjoins or otherwise prohibits the consummation of the Merger, and such injunction shall have become final and non-appealable; or

(ii) if the consummation of the Merger shall not have occurred on or before December 12, 2008 (the “ Termination Date ”); provided , however , that (A) the right to terminate this Agreement under this Section 10.1(b)(ii) shall not be available to any party whose failure to comply with any provision of this Agreement has been the cause of, or resulted in, the failure of the Merger to occur on or before such date; (B) if on December 12, 2008, all of the conditions set forth in Article VIII (other than those conditions which by their nature are required to be satisfied at Closing) have been satisfied or waived, other than the FINRA approval for a change in control, then the Termination Date shall be January 9, 2009 instead; and (C) the parties may mutually agree to extend the period before termination if such failure to consummate the Merger is due to regulatory or antitrust issues;

(c) by the Company, if the Company is not then in material breach of any term of this Agreement, upon written notice to Buyer, upon a material breach of any representation, warranty or covenant of Buyer or MergerCo contained in this Agreement, provided , however , that such breach is not capable of being cured or has not been cured within thirty (30) days after the giving of notice thereof by the Company to Buyer, such that the conditions set forth in Section 8.3(a) or (b) cannot be satisfied or cured prior to the date set forth in Section 10.1(b)(ii);

(d) by Buyer or MergerCo, if neither Buyer nor MergerCo is then in material breach of any term of this Agreement, upon written notice to Company, upon a material breach of any representation, warranty or covenant of the Company contained in this Agreement, provided , however , that such breach is not capable of being cured or has not been cured within thirty (30) days after the giving of notice thereof by Buyer or MergerCo to the Company, such that the conditions set forth in Section 8.2(a) or (b) cannot be satisfied or cured prior to the date set forth in Section 10.1(b)(ii); or

(e) by Buyer or MergerCo, if the Company fails to obtain and deliver to Buyer the Stockholder Written Consent representing the Required Stockholder Approval within one (1) Business Day of the date of this Agreement or if at any time following such delivery of the Stockholder Written Consent such Stockholder Written Consent is not in full force and effect.

Section 10.2 Effect of Termination. In the event of the termination of this Agreement pursuant to Section 10.1, this Agreement shall forthwith become null and void and have no effect, without any liability on the part of Buyer, MergerCo, the Company, any Stockholder or any Optionholder (collectively with the Stockholders, the “Common Equity Holders,” or each individually, a “Common Equity Holder”) or the Stockholders’ Representative or any of their respective directors, officers, employees, partners, managers, members or stockholders and all rights and obligations of any party hereto shall cease, except for the agreements contained in Section 7.3, this Article X and Article XII; provided, however, that no such termination shall relieve any party hereto of any liability or damage resulting from any willful or intentional breach of this Agreement.

ARTICLE XI

STOCKHOLDERS’ REPRESENTATIVE

Section 11.1 Appointment. TA Associates, Inc. shall have full power and authority to take all actions under this Agreement and the Escrow Agreement that are to be taken by the Stockholders’ Representative. The Stockholders’ Representative shall take any and all actions which it believes are necessary or appropriate under this Agreement and the Escrow Agreement, including, without limitation, executing the Escrow Agreement as Stockholders’ Representative, giving and receiving any notice or instruction permitted or required under this Agreement or the Escrow Agreement by the Stockholders’ Representative, interpreting all of the terms and provisions of this Agreement and the Escrow Agreement, authorizing payments to be made with respect hereto or thereto, obtaining reimbursement as provided for herein for all out-of-pocket fees and expenses and other obligations of or incurred by the Stockholders’ Representative in connection with this Agreement and the Escrow Agreement, defending all indemnity claims against the Escrow Funds pursuant to Section 9.2 of this Agreement (an “Indemnity Claim”), consenting to, compromising or settling all Indemnity Claims, conducting negotiations with Buyer, the Surviving Corporation and their respective agents regarding such claims, dealing with Buyer, the Surviving Corporation and the Escrow Agent under this Agreement, taking any other actions specified in or contemplated by this Agreement and the Escrow Agreement, and engaging counsel, accountants or other representatives in connection with the foregoing matters. Without limiting the generality of the foregoing, the Stockholders’ Representative shall have the full power and authority to interpret all the terms and provisions of this Agreement and the Escrow Agreement and to consent to any amendment hereof or thereof in its capacity as Stockholders’ Representative.

Section 11.2 Authorization. The Company hereby authorizes the Stockholders’ Representative to, and by accepting the merger consideration provided for in Section 2.1(c), Section 2.1(d) or Section 2.2(b), as applicable (subject to Section 2.10 and Section 2.11), each Common Equity Holder shall be deemed to ratify and confirm all that the Stockholders’ Representative shall do or cause to be done by virtue of such Stockholders’ Representative’s appointment as Stockholders’ Representative of such Common Equity Holder and to authorize the Stockholders’ Representative to:

(a) Receive all notices or documents given or to be given to the Common Equity Holders pursuant hereto or to the Escrow Agreement or in connection herewith or therewith and to receive and accept services of legal process in connection with any suit or proceeding arising under this Agreement or the Escrow Agreement;

(b) Engage counsel, and such accountants and other advisors and incur such other expenses in connection with this Agreement or the Escrow Agreement and the transactions contemplated hereby or thereby as the Stockholders' Representative may in its sole discretion deem appropriate; and

(c) Take such action as the Stockholders' Representative may in its sole discretion deem appropriate in respect of: (i) waiving any inaccuracies in the representations or warranties of Buyer or MergerCo contained in this Agreement or in any document delivered by Buyer or MergerCo pursuant hereto; (ii) taking such other action as the Stockholders' Representative is authorized to take under this Agreement or the Escrow Agreement; (iii) receiving all documents or certificates and making all determinations, in its capacity as Stockholders' Representative, required under this Agreement or the Escrow Agreement; and (iv) all such actions as may be necessary to carry out any of the transactions contemplated by this Agreement and the Escrow Agreement, including, without limitation, the defense and/or settlement of any claims for which indemnification is sought pursuant to Article IX and any waiver of any obligation of Buyer or the Surviving Corporation.

Section 11.3 Agency. Notwithstanding any provision herein to the contrary, the Stockholders' Representative is not an agent of the Common Equity Holders, and shall have no duties to the Common Equity Holders or liability to the Common Equity Holders with respect to any action taken, decision made or instruction given by the Stockholders' Representative in connection with the Escrow Agreement or this Agreement

Section 11.4 Indemnification and Exculpation. The Stockholders' Representative shall be indemnified by the Common Equity Holders for and shall be held harmless against any loss, liability or expense incurred by the Stockholders' Representative or any of its Affiliates and any of their respective partners, directors, officers, employees, agents, stockholders, consultants, attorneys, accountants, advisors, brokers, representatives or controlling persons, in each case relating to the Stockholders' Representative's conduct as Stockholders' Representative, other than losses, liabilities or expenses resulting from the Stockholders' Representative's willful misconduct in connection with its performance under this Agreement and the Escrow Agreement. This indemnification shall survive the termination of this Agreement. The costs of such indemnification (including the costs and expenses of enforcing this right of indemnification) shall be paid exclusively from the Stockholders' Representative Expense Fund. The Stockholders' Representative may, in all questions arising under this Agreement, rely on the advice of counsel and for anything done, omitted or suffered in good faith by the Stockholders' Representative in accordance with such advice, the Stockholders' Representative shall not be liable to the Common Equity Holders. Neither Buyer, MergerCo, the Company nor the Surviving Corporation shall be in any way responsible to any Common Equity Holder for any Loss suffered by reason of the performance by the Stockholders' Representative of such Stockholders' Representative's duties under this Agreement or the Escrow Agreement.

Section 11.5 Access to Information. The Stockholders' Representative shall have reasonable access to all information of and concerning any Indemnity Claim and which is in the possession, custody or control of Buyer or the Surviving Corporation and the reasonable assistance of Buyer's and the Surviving Corporation's officers and employees for purposes of performing the Stockholders' Representative's duties under this Agreement or the Escrow Agreement and exercising its rights under this Agreement and the Escrow Agreement, including for the purpose of evaluating any Indemnity Claim against the Escrow Funds by any Buyer Indemnified Party; provided, however, that the Stockholders' Representative shall treat confidentially and not, except in connection with enforcing its rights under this Agreement and the Escrow Agreement, disclose any nonpublic information from or concerning any Indemnity Claim to anyone (except to the Stockholders' Representative's attorneys, accountants or other advisers, to Stockholders and on a need-to-know basis to other individuals who agree to keep such information confidential), and provided, further, that the foregoing shall not require Buyer or the Surviving Corporation (i) to permit any inspection, or to disclose any information, that in the reasonable judgment of Buyer or the Surviving Corporation, as the case may be, would result in the disclosure of any trade secrets of third parties or violate any of its obligations with respect to confidentiality, (ii) to disclose any information developed or discovered with respect to any period or date following the Closing Date, or (iii) to disclose any privileged information of Buyer or the Surviving Corporation, as the case may be, or any of its Subsidiaries.

Section 11.6 Reasonable Reliance. In the performance of its duties hereunder, the Stockholders' Representative shall be entitled to rely upon any document or instrument reasonably believed to be genuine, accurate as to content and signed by any Common Equity Holders or any party hereunder and assume that any Person purporting to give any notice in accordance with the provisions hereof has been duly authorized to do so. By accepting the merger consideration provided for in Section 2.1(c), Section 2.1(d), or Section 2.2(b), as applicable (subject to Section 2.10 and Section 2.11), each of the Common Equity Holders hereby expressly acknowledges and agrees that Buyer, MergerCo and the Company shall be entitled to rely on, and enforce, any and all actions, agreements, understandings or commitments taken or entered into, as the case may be, by the Stockholders' Representative under this Agreement and the Escrow Agreement without liability to, or obligation to inquire of, any of the Common Equity Holders, and notwithstanding any dispute or disagreement among the Common Equity Holders.

Section 11.7 Orders. The Stockholders' Representative is authorized, in its sole discretion, to comply with final, nonappealable orders or decisions issued or entered by any court of competent jurisdiction or arbitrator with respect to the Escrow Funds. If any portion of the Escrow Funds is disbursed to the Stockholders' Representative and is at any time attached, garnished or levied upon under any court order, or in case the payment, assignment, transfer, conveyance or delivery of any such property shall be stayed or enjoined by any court order, or in case any order, judgment or decree shall be made or entered by any court affecting such property or any part thereof, then and in any such event, the Stockholders' Representative is authorized, in its sole discretion, but in good faith, to rely upon and comply with any such order, writ, judgment or decree which it is advised by legal counsel selected by it is binding upon it without the need for appeal or other action; and if the Stockholders' Representative complies with any such order, writ, judgment or decree, he shall not be liable to any Common Equity Holders or to any other

Person by reason of such compliance even though such order, writ, judgment or decree may be subsequently reversed, modified, annulled set aside or vacated.

Section 11.8 Removal of Stockholders' Representative; Authority of Stockholders' Representative . A majority in interest of the Stockholders, voting together as a single class, shall have the right at any time during the term of the Escrow Agreement to remove the then-acting Stockholders' Representative and to appoint a successor Stockholders' Representative; provided , however , that neither such removal of the then acting Stockholders' Representative nor such appointment of a successor Stockholders' Representative shall be effective until the delivery to the Escrow Agent of executed counterparts of a writing signed by such majority in interest of the Stockholders with respect to such removal and appointment, together with an acknowledgement signed by the successor Stockholders' Representative appointed in such writing that he, she or it accepts the responsibility of successor Stockholders' Representative and agrees to perform and be bound by all of the provisions of this Agreement applicable to the Stockholders' Representative. For all purposes hereunder, a majority in interest of the Stockholders shall be determined on the basis of each Stockholder's Pro Rata Portion. Each successor Stockholders' Representative shall have all of the power, authority, rights and privileges conferred by this Agreement upon the original Stockholders' Representative, and the term "Stockholders' Representative" as used herein and in the Escrow Agreement shall be deemed to include any interim or successor Stockholders' Representative. Neither the removal of a, nor the appointment of a successor, Stockholders' Representative shall affect in any manner the validity or enforceability of any actions taken or agreements, understandings or commitments entered into by the prior Stockholders' Representative, which shall continue to be effective and binding upon the Stockholders, and Buyer, the Surviving Corporation and any other relevant counterparty shall continue to have the right to rely on, and enforce, all such actions, agreements, understandings or commitments taken or entered into, as the case may be, by the prior Stockholders' Representative and their rights with respect thereto shall not be affected, waived or discharged by any such removal or appointment.

Section 11.9 Expenses of the Stockholders' Representative . The Stockholders' Representative Expense Fund shall be used to reimburse the out of pocket fees and expenses (including legal, accounting and other advisors' fees and expenses, if applicable) incurred by the Stockholders' Representative in performing all of its duties and obligations under this Agreement and the Escrow Agreement.

Section 11.10 Irrevocable Appointment . Subject to Section 11.8, the appointment of the Stockholders' Representative hereunder is irrevocable and any action taken by the Stockholders' Representative pursuant to the authority granted in this Article IX shall be effective and absolutely binding as the action of the Stockholders' Representative under this Agreement or the Escrow Agreement.

ARTICLE XII

GENERAL PROVISIONS

Section 12.1 Notices. All notices, requests, claims, demands and other communications under this Agreement will be in writing and will be deemed given if delivered personally, sent by overnight courier (providing proof of delivery) or via facsimile (providing proof of receipt) to the parties at the following addresses (or at such other address for a party as specified by like notice):

if to the Company, to:

Creditex Group Inc.
875 Third Avenue, 29th Floor
New York, NY 10022
Attn: Chief Executive Officer
Facsimile: (212) 323-7466

with copy to:

Goodwin Procter LLP
New York Times Building
620 Eighth Avenue
New York, NY 10018
Attn: John R. LeClaire, Esq. and
Stuart L. Rosenthal, Esq.
Facsimile: (212) 355-3333

if to Buyer or MergerCo, to:

IntercontinentalExchange, Inc.
2100 RiverEdge Pkwy, 5th Floor
Atlanta, GA 30328
Attn: Johnathan Short, Senior Vice President and General Counsel
Facsimile: (770) 857-4755

with a copy to:

Sullivan & Cromwell LLP
125 Broad Street
New York, NY 10004
Attn: John Evangelakos, Esq.
Facsimile: (212) 558-3588

If to Stockholders' Representative, to:

TA Associates, Inc.

25 Knightsbridge, 2nd Floor
London, England
SW1X 7RZ
Attn: Jonathan W. Meeks
Facsimile: +44 0 20 7823 0201

with a copy to:

Goodwin Procter LLP
New York Times Building
620 Eighth Avenue
New York, NY 10018
Attn: John R. LeClaire, Esq. and
Stuart L. Rosenthal, Esq.
Facsimile: (212) 355-3333

Section 12.2 Disclosure Schedules. Certain information set forth in the schedules to this Agreement (the “Schedules”) is included solely for informational purposes and may not be required to be disclosed pursuant to this Agreement. The disclosure of any information in the Schedules shall not be deemed to constitute an acknowledgment that such information is required to be disclosed in connection with the representations and warranties made by Buyer, MergerCo or the Company, as applicable, in this Agreement or that such information is material, nor shall such information be deemed to establish a standard of materiality, nor shall it be deemed an admission of any liability of, or concession as to any defense available to, Buyer, the Company or the Stockholders’ Representative on behalf of the Common Equity Holders, as applicable. Further, for the avoidance of doubt, the references throughout Article IV to \$1,000,000 worth of liabilities, damages or payments shall in no event, in and of itself, be deemed a standard for establishing the existence of a “Material Adverse Effect” as such term is used throughout this Agreement. The section number headings in the Schedules correspond to the section numbers in this Agreement. Disclosures included in any Schedule shall be considered to qualify only the corresponding Section of this Agreement which expressly indicates that such section is to be qualified by a particular Disclosure Schedule except to the extent that it is reasonably apparent, given the nature and content of such disclosure, that the disclosure of such matter is intended to qualify a further Section of this Agreement which expressly indicates that such section is to be qualified by a particular Disclosure Schedule.

Section 12.3 Entire Agreement; No Third Party Beneficiaries. This Agreement, together with the Schedules and Exhibits hereto, any documents executed by the parties simultaneously herewith or pursuant hereto and the Confidentiality Agreement, constitute the entire agreement of the parties hereto with respect to the subject matter hereof and supersede all prior agreements and understandings, written and oral, among the parties with respect to the subject matter hereof, other than the Confidentiality Agreement (excluding the provisions of this Agreement), which shall survive the execution of this Agreement and any termination of this Agreement. Buyer and the Company hereby agree that their respective representations, warranties and covenants set forth herein are solely for the benefit of the other party hereto or any other Person entitled to indemnification (whether pursuant to Section 7.7 or Article IX

herein), in accordance with and subject to the terms of this Agreement, and this Agreement (with the exception of Section 7.7 and Article IX) is not intended to, and does not, confer upon any Person other than the parties hereto any rights or remedies hereunder, including, without limitation, the right to rely upon the representations and warranties set forth herein.

Section 12.4 Assignment. Except as expressly permitted by the terms hereof, neither this Agreement nor any of the rights, interests or obligations hereunder shall be assigned by any of the parties hereto without the prior written consent of the other parties. Any such assignment which is purported to be made without such prior written consent shall be null and void.

Section 12.5 Severability. If any provision of this Agreement, or the application thereof to any Person or circumstance, is held invalid or unenforceable, the remainder of this Agreement, and the application of such provision to other Persons or circumstances, shall not be affected thereby, and to such end, the provisions of this Agreement are agreed to be severable.

Section 12.6 Interpretation. When a reference is made in this Agreement to an Article, Section, Schedule or Exhibit, such reference will be to an Article or Section of, or a Schedule or Exhibit to, this Agreement unless otherwise indicated. The table of contents and headings contained in this Agreement are for reference purposes only and will not affect in any way the meaning or interpretation of this Agreement. Whenever the words “include,” “includes” or “including” are used in this Agreement, they will be deemed to be followed by the words “without limitation.” The words “hereof,” “herein” and “hereunder” and words of similar import when used in this Agreement will refer to this Agreement as a whole and not to any particular provision of this Agreement. All terms used herein with initial capital letters have the meanings ascribed to them herein and all terms defined in this Agreement will have such defined meanings when used in any certificate or other document made or delivered pursuant hereto unless otherwise defined therein. The definitions contained in this Agreement are applicable to the singular as well as the plural forms of such terms and to the masculine as well as to the feminine and neuter genders of such term. For the purposes of this Agreement, “Person” shall mean an individual, corporation, partnership, limited liability company, joint venture, association, trust, unincorporated organization or other entity or group (as defined in Section 13(d) of the Exchange Act). References to a Person are also to its permitted successors and assigns.

Section 12.7 Fees and Expenses. Except as otherwise expressly provided for in this Agreement, whether or not the Merger is consummated, each of Buyer (on behalf of Buyer and MergerCo), on the one hand, and the Company, on the other hand, shall bear its own expenses in connection with the negotiation and the consummation of the transactions contemplated by this Agreement.

Section 12.8 Choice of Law/Consent to Jurisdiction. All disputes, claims or controversies arising out of or relating to this Agreement, or the negotiation, validity or performance of this Agreement, or the transactions contemplated hereby shall be governed by and construed in accordance with the Laws of the State of New York (or the Laws of the State of Delaware solely with respect to those matters addressed herein which are, by their nature, governed by the DGCL), without regard to its rules of conflict of Laws. Each of the Company, Buyer, MergerCo and the Stockholders’ Representative hereby irrevocably and unconditionally

consents to submit to the sole and exclusive jurisdiction of the state or federal courts of the State of New York located in New York County, New York (the “Chosen Courts”) for any litigation arising out of or relating to this Agreement, or the negotiation, validity or performance of this Agreement, or the transactions contemplated hereby (and agrees not to commence any litigation relating thereto except in such courts), waives any objection to the laying of venue of any such litigation in the Chosen Courts and agrees not to plead or claim in any Chosen Court that such litigation brought therein has been brought in any inconvenient forum. The parties hereby agree that mailing of process or other papers in connection with any such action or proceeding in the manner provided in Section 12.1, or in such other manner as may be permitted by Law, shall be valid to the fullest extent permitted by applicable Law and sufficient service thereof and hereby waive any objections to service accomplished in the manner herein provided.

Section 12.9 Amendment. This Agreement may be amended by the parties hereto by an instrument in writing signed on behalf of each of the parties hereto at any time before or after any approval hereof by the Stockholders of the Company and MergerCo; provided, however, that after the execution of the Stockholder Written Consent, no amendment shall be made that by Law requires further approval by the Stockholders without obtaining the approval of the Stockholders’ Representative.

Section 12.10 Extension; Waiver. At any time prior to the Effective Time, the parties hereto may, to the extent legally allowed, (a) extend the time for the performance of any of the obligations or other acts of the other parties hereto, (b) waive any inaccuracies in the representations and warranties of the other party contained herein or in any document delivered pursuant hereto, and (c) waive compliance by the other party with any of the agreements or conditions contained herein. Any agreement on the part of a party hereto to any such extension or waiver shall be valid only if set forth in a written instrument signed on behalf of the party against which such waiver or extension is to be enforced. Waiver of any term or condition of this Agreement by a party shall not be construed as a waiver of any subsequent breach or waiver of the same term or condition by such party, or a waiver of any other term or condition of this Agreement by such party.

Section 12.11 Conflicts and Privilege. It is acknowledged by each of the parties hereto that the Stockholders’ Representative has retained Goodwin to act as its counsel in connection with the transactions contemplated hereby. Buyer and MergerCo hereby agree that, in the event that a dispute arises after the Closing between Buyer and its Subsidiaries on the one hand, and the Stockholders’ Representative and the Common Equity Holders on the other hand, Goodwin may represent the Stockholders’ Representative and Common Equity Holders in such dispute even though the interests of the Stockholders’ Representative and Common Equity Holders may be directly adverse to Buyer, and its Subsidiaries, and even though Goodwin may have represented the Company or its Subsidiaries in a matter substantially related to such dispute, or may be handling ongoing matters for the Surviving Corporation or its Subsidiaries; provided, however, that the foregoing waiver shall not relieve or excuse Goodwin from its obligation to keep confidential non-public information of the Company and its Subsidiaries and to preserve and protect all privileges of the Company and its Subsidiaries.

Section 12.12 Mutual Drafting. The parties hereto are sophisticated and have been represented by attorneys throughout the transactions contemplated hereby who have carefully negotiated the provisions hereof. As a consequence, the parties do not intend that the presumptions of Laws or rules relating to the interpretation of contracts against the drafter of any particular clause should be applied to this Agreement or any agreement or instrument executed in connection herewith, and therefore waive their effects.

Section 12.13 Specific Performance. The parties hereby acknowledge and agree that a material breach by any party of its agreements and covenants hereunder (including, without limitation, the failure of a party to consummate the transactions contemplated hereby following the satisfaction or waiver of all applicable conditions to closing, other than those conditions that by their nature are to be performed at the Closing) will cause irreparable injury to the other parties, for which damages, even if available, will not be an adequate remedy. Accordingly, each party hereby consents to the issuance of injunctive relief by any court of competent jurisdiction to compel performance of such party's obligations and to the granting by any court of the remedy of specific performance of such party's obligations hereunder if it established that any such material breach has occurred.

Section 12.14 Miscellaneous. This Agreement shall be binding upon and inure to the benefits of the parties hereto and their respective successors and assigns and is not intended to confer upon any other Person any rights or remedies hereunder and may be executed in two or more counterparts which together shall constitute a single agreement.

[Remainder of page intentionally left blank.]

IN WITNESS WHEREOF , the parties hereto have caused this Merger Agreement to be signed by their respective officers thereunto duly authorized, all as of the date first written above.

COMPANY:

CREDITEX GROUP INC.

By: /s/ Sunil Hirani
Name: Sunil Hirani
Title: Chief Executive Officer

BUYER:

INTERCONTINENTALEXCHANGE, INC.

By: /s/ Scott A. Hill
Name: Scott A. Hill
Title: Senior Vice President & CFO

MERGERCO:

COLUMBIA MERGER CORPORATION

By: /s/ Scott A. Hill
Name: Scott A. Hill
Title: President & Treasurer

STOCKHOLDERS' REPRESENTATIVE:

TA ASSOCIATES, INC.

By: /s/ Johnathan Meeks

Name: Johnathan Meeks

Title: Managing Director

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Stockholders' Equity	Section 2.1(e)(xx)

<u>Term</u>	<u>Section</u>
Stockholders' Representative	Preamble
Stockholders' Representative Expense Fund	Section 2.6
Straddle Tax Period	Section 7.9(a)(i)
Subsidiary	Section 2.1(e)(xxii)
Surviving Corporation	Section 1.1
Tax Representation Letter	Section 7.9(e)
Tax Returns	Section 4.8(b)(iii)
Taxes	Section 4.8(b)(i)
Taxing Authority	Section 4.8(b)(ii)
Tax Contest	Section 7.9(a)(iv)
Termination Date	Section 10.1(b)(ii)
Third Party Claim	Section 9.5(a)
Threshold	Section 9.4(a)(v)
Transfer Taxes	Section 7.9(c)
True-up Statement	Section 2.5(b)
T-Zero LTIP Awards	Section 2.2(c)
Unvested Company Option	Section 2.2(a)(i)
Vested Company Option	Section 2.2(a)(i)
Vested Optionholder	Section 2.2(a)(i)

CERTIFICATIONS

I, Jeffrey C. Sprecher, certify that:

1. I have reviewed this quarterly report on Form 10-Q of IntercontinentalExchange, Inc.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: August 4, 2008

/s/ Jeffrey C. Sprecher
Jeffrey C. Sprecher
Chairman and Chief Executive Officer

CERTIFICATIONS

I, Scott A. Hill, certify that:

1. I have reviewed this quarterly report on Form 10-Q of IntercontinentalExchange, Inc.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: August 4, 2008

/s/ Scott A. Hill
Scott A. Hill
Senior Vice President and
Chief Financial Officer

**CERTIFICATION PURSUANT TO
18 U.S.C. SECTION 1350,
AS ADOPTED PURSUANT TO
SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002**

In connection with the quarterly report of IntercontinentalExchange, Inc. (the "Company") on Form 10-Q for the period ended June 30, 2008 as filed with the Securities and Exchange Commission on the date hereof (the "Report"), I, Jeffrey C. Sprecher, Chairman and Chief Executive Officer of the Company, certify, pursuant to 18 U.S.C. § 1350, as adopted pursuant to § 906 of the Sarbanes-Oxley Act of 2002, that, to the best of my knowledge:

- (1) The Report fully complies with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
- (2) The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company.

/s/ Jeffrey C. Sprecher

Jeffrey C. Sprecher
Chairman and
Chief Executive Officer

Date: August 4, 2008

**CERTIFICATION PURSUANT TO
18 U.S.C. SECTION 1350,
AS ADOPTED PURSUANT TO
SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002**

In connection with the quarterly report of IntercontinentalExchange, Inc. (the "Company") on Form 10-Q for the period ended June 30, 2008 as filed with the Securities and Exchange Commission on the date hereof (the "Report"), I, Scott A. Hill, Senior Vice President and Chief Financial Officer of the Company, certify, pursuant to 18 U.S.C. § 1350, as adopted pursuant to § 906 of the Sarbanes-Oxley Act of 2002, that, to the best of my knowledge:

- (1) The Report fully complies with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
- (2) The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company.

/s/ Scott A. Hill
Scott A. Hill
Senior Vice President and
Chief Financial Officer

Date: August 4, 2008